OFFICIAL STATEMENT DATED MAY 17, 2022

NEW ISSUE – BOOK-ENTRY-ONLY SYSTEM **RATINGS: See "RATINGS" herein.**

In the opinion of Gust Rosenfeld P.L.C., Phoenix, Arizona, Bond Counsel, under existing laws, regulations, rulings and judicial decisions, and assuming continuing compliance with certain restrictions, conditions and requirements by the Town of Gilbert, Arizona Water Resources Municipal Property Corporation and the Town of Gilbert, Arizona, as mentioned under "TAX EXEMPTION" herein, interest income on the Bonds is excluded from gross income for federal income tax purposes. Interest income on the Bonds is not an item of tax preference to be included in computing the alternative minimum tax. In the opinion of Bond Counsel, interest income on the Bonds is exempt from Arizona income taxes. See "TAX EXEMPTION", "BOND PREMIUM" and "ORIGINAL ISSUE DISCOUNT" herein.

$473,005,000
TOWN OF GILBERT, ARIZONA
WATER RESOURCES MUNICIPAL PROPERTY CORPORATION
SENIOR LIEN UTILITY SYSTEM REVENUE BONDS, SERIES 2022
(GREEN BONDS)

Dated: Date of Initial Delivery *Due*: July 15, as shown on inside front cover page.

The Senior Lien Utility System Revenue Bonds, Series 2022 (Green Bonds) (the "Bonds") are being issued by the Town of Gilbert, Arizona, Water Resources Municipal Property Corporation (the "Corporation") pursuant to a Series 2022 Utilities Bond Indenture, to be dated as of June 1, 2022, from the Corporation to U.S. Bank Trust Company, National Association, as trustee (the "Trustee"). Interest on the Bonds will be payable semiannually on January 15 and July 15 of each year, commencing January 15, 2023. The Bonds will initially be registered in the name of Cede & Co., as nominee of The Depository Trust Company ("DTC"), for purposes of the book-entry-only system described herein and will be available to ultimate purchasers in amounts of $5,000 of principal due on a specified maturity date or any integral multiple thereof pursuant to the book-entry-only system maintained by DTC. Payments of principal and interest with respect to the Bonds will be paid by the Trustee to DTC for subsequent disbursements to DTC participants who will remit such payments to the beneficial owners of the Bonds. See APPENDIX I – "Book-Entry-Only System."

The Bonds will be special, limited revenue obligations of the Corporation and will be payable solely from purchase payments required to be paid by the Town of Gilbert, Arizona (the "Town"), to the Corporation pursuant to a Series 2022 Utilities Town Purchase Agreement, to be dated as of June 1, 2022 (the "Town Purchase Agreement"), between the Corporation and the Town. The obligation of the Town to make the purchase payments and any other obligations of the Town under the Town Purchase Agreement will be payable solely from, and secured by a senior lien on and pledge of, revenues received from the operation of the complete waterworks and sewer plant and system (the "System") of the Town, after payment of costs of operation and maintenance, and on a parity of lien on such revenues with the Parity Obligations (as defined herein) currently outstanding and any additional obligations issued on a parity basis in the future. For a complete description of the definitions of Net Revenues and Operation and Maintenance Expenses, see APPENDIX D – "Summary of Certain Provisions of Legal Documents – Certain Definitions."

Additional Parity Obligations (as defined herein) may, in the future, be issued on a parity basis with the Bonds under certain circumstances. See "SECURITY FOR AND SOURCE OF PAYMENT OF THE BONDS" herein. The Bonds are being issued by the Corporation for the purpose of (i) paying for certain improvements to the System and (ii) paying the costs of issuance of the Bonds. See "THE SYSTEM IMPROVEMENTS" herein.

See Maturity Schedule on Inside Front Cover Page

Certain of the Bonds will be subject to redemption prior to maturity as described herein. See "THE BONDS - Redemption Provisions."

The Bonds have been identified as "Green Bonds" by Kestrel Verifiers. See APPENDIX H – "Kestrel Verifiers Second Party Opinion."

THE BONDS WILL BE SPECIAL, LIMITED OBLIGATIONS OF THE CORPORATION, PAYABLE SOLELY FROM THE SOURCES HEREIN DESCRIBED. THE BONDS ARE NOT GENERAL OBLIGATIONS OF THE CORPORATION, THE TOWN, THE STATE OF ARIZONA OR ANY POLITICAL SUBDIVISION THEREOF, AND THE FULL FAITH AND CREDIT OF THE CORPORATION, THE TOWN, THE STATE OF ARIZONA, OR ANY POLITICAL SUBDIVISION THEREOF ARE NOT PLEDGED FOR THE PAYMENT OF THE BONDS.

This cover page contains certain information relating to the Bonds for convenience of reference only. It is not a summary of material information with respect to the Bonds. Investors must read this Official Statement in its entirety to obtain information essential to the making of an informed investment decision with respect to the Bonds.

The Bonds are offered when, as and if issued by the Corporation, and subject to the legal opinion of Gust Rosenfeld P.L.C., Phoenix, Arizona, Bond Counsel, as to validity and tax exemption. Certain legal matters will be passed upon for the Underwriters identified below by Squire Patton Boggs (US) LLP, Phoenix, Arizona and for the Corporation and the Town by the Town Attorney of the Town. It is expected that the Bonds will be available for delivery through the facilities of DTC on or about June 14, 2022.

J.P. Morgan

BofA Securities **Piper Sandler** **RBC Capital Markets** **Morgan Stanley**

$473,005,000
TOWN OF GILBERT, ARIZONA
WATER RESOURCES MUNICIPAL PROPERTY CORPORATION
SENIOR LIEN UTILITY SYSTEM REVENUE BONDS, SERIES 2022
(GREEN BONDS)

MATURITY SCHEDULE

Maturity Date (July 15)	Principal Amount	Interest Rate (%)	Yield (%)	CUSIP® (a) (Base No. 37530A)
2023	$10,955,000	5.000	2.080	BL1
2024	11,515,000	5.000	2.430	BM9
2025	12,105,000	5.000	2.640	BN7
2026	12,730,000	5.000	2.700	BP2
2027	13,380,000	5.000	2.780	BQ0
2028	14,065,000	5.000	2.930	BR8
2029	14,790,000	5.000	3.080	BS6
2030	16,360,000	5.000	3.170	BT4
2031	20,625,000	5.000	3.230	BU1
2032	21,680,000	5.000	3.300	BV9
2033	22,795,000	5.000	3.370 (b)	BW7
2034	23,965,000	5.000	3.420 (b)	BX5
2035	25,195,000	5.000	3.470 (b)	BY3
2036	26,480,000	5.000	3.570 (b)	BZ0
2037	15,020,000	4.000	3.940 (b)	CA4
2037	12,745,000	5.000	3.590 (b)	CB2
2038	29,110,000	5.000	3.610 (b)	CC0
2039	30,445,000	4.000	4.080	CD8
2040	31,690,000	4.000	4.140	CE6
2041	32,985,000	4.000	4.200	CF3
2042	34,330,000	4.000	4.270	CG1

$40,040,000 Term Bond @ 4.000% Due July 15, 2047 - Yield of 4.400% CUSIP® (a): 37530ACH9

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(b) Yield calculated to the first optional redemption date of July 15, 2032.

TOWN OF GILBERT, ARIZONA
Incorporated July 6, 1920

TOWN COMMON COUNCIL

Brigette Peterson, *Mayor*
Aimee Yentes, *Vice Mayor*
Scott Anderson, *Councilmember*
Laurin Hendrix, *Councilmember*
Yung Koprowski, *Councilmember*
Scott September, *Councilmember*
Kathy Tilque, *Councilmember*

ADMINISTRATIVE OFFICERS

Patrick Banger, *Town Manager*
Mary Goodman, *Deputy Town Manager*
Dawn Prince, *Deputy Town Manager*
Leah Hubbard Rhineheimer, *Deputy Town Manager*
Christopher Payne, *Town Attorney*
Håkon Johanson, *Finance and Management Services Director*
Kelly Pfost, *Management and Budget Director*
Tanya Wright, *Accounting Manager*

WATER RESOURCES MUNICIPAL PROPERTY CORPORATION

Kevin Boudreau, *President*
Nicholas Macaluso, *Vice President*
John Dalen Wilcock, *Secretary-Treasurer*
James Graham, *Director*
Lisa Horne, *Director*

BOND COUNSEL

Gust Rosenfeld P.L.C.
Phoenix, Arizona

FINANCIAL ADVISOR

Wedbush Securities Inc.
Scottsdale, Arizona

TRUSTEE, REGISTRAR AND PAYING AGENT

U.S. Bank Trust Company, National Association
Phoenix, Arizona

REGARDING THIS OFFICIAL STATEMENT

This Official Statement, including the front cover page, inside front cover page and Appendices hereto, does not constitute an offering of any security other than the original offering of the Town of Gilbert, Arizona, Water Resources Municipal Property Corporation Senior Lien Utility System Revenue Bonds, Series 2022 (Green Bonds) (the "Bonds"). No person has been authorized by the Town of Gilbert, Arizona Water Resources Municipal Property Corporation (the "Corporation"), the Town of Gilbert, Arizona ("Gilbert" or the "Town"), Wedbush Securities Inc. (the "Financial Advisor") or J.P. Morgan Securities LLC, BofA Securities, Inc., Piper Sandler & Co., RBC Capital Markets, LLC and Morgan Stanley & Co. LLC (collectively, the "Underwriters") to give any information or to make any representations other than as contained in this Official Statement, and if given or made, such other information or representation not so authorized should not be relied upon as having been given or made by the Corporation or the Town. This Official Statement does not constitute an offer to sell or the solicitation of an offer to buy, and there will not be any sale of the Bonds by any person in any jurisdiction in which it is unlawful to make such offer, solicitation or sale.

The information set forth herein has been provided by the Town, the Maricopa County Assessor's, Finance and Treasurer's offices, the State of Arizona Department of Revenue, and other sources that are considered to be reliable and customarily relied upon in the preparation of similar official statements, but such information is not guaranteed as to accuracy or completeness and is not to be construed as the promise or guarantee of the Town, the Financial Advisor or the Underwriters. The presentation of information, including tables of receipts from taxes and other sources, is intended to show recent historic information, and is not intended to indicate future or continuing trends in the financial position or other affairs of the Corporation or the Town. No representation is made that past experience, as is shown herein, will necessarily continue or be repeated in the future. All forecasts, projections, assumptions, opinions or estimates are "forward looking statements" which must be read with an abundance of caution and which may not be realized or may not occur in the future.

The Bonds will not be registered under the Securities Act of 1933 or the Securities Exchange Act of 1934, both as amended, in reliance upon the exemptions provided thereunder by Sections 3(a)(2) and 3(a)(12), respectively, pertaining to the issuance and sale of municipal securities, nor will the Bonds be qualified under the Securities Act of Arizona in reliance upon various exemptions contained in such Act. Neither the Securities and Exchange Commission nor any other federal, state or other governmental entity or agency will have passed upon the accuracy or adequacy of the Official Statement or approved the Bonds for sale.

The Town will undertake to provide continuing disclosure as described in this Official Statement under "CONTINUING SECONDARY MARKET DISCLOSURE" and in APPENDIX G – "Form of Continuing Disclosure Certificate," to assist the original purchaser in complying with its obligations pursuant to Rule 15c2-12 promulgated pursuant to the Securities Exchange Act of 1934, as amended.

None of the Town, the Financial Advisor, the Underwriters, Bond Counsel (as defined herein) or counsel to the Underwriters are actuaries, nor have any of them performed any actuarial or other analysis of the Town's unfunded liabilities under the Arizona State Retirement System, the Public Safety Personnel Retirement System or the Elected Officials Retirement Plan.

The information in APPENDIX I – "Book-Entry-Only System" has been furnished by The Depository Trust Company and no representation is made by the Corporation, the Town, or any of their respective counsel or agents, as to the accuracy or completeness of such information.

A variety of other information, including financial information, concerning the Corporation and the Town is available from publications and websites of the Town and others. Any such information that is inconsistent with the information set forth in this Official Statement should be disregarded. No such information is a part of or incorporation into this Official Statement, except as noted herein.

The Underwriters have provided the following sentence for inclusion in this Official Statement. The Underwriters have reviewed the information in this Official Statement in accordance with, and as part of, their respective responsibilities to investors under the federal securities laws as applied to the facts and circumstances of this transaction, but the Underwriters do not guarantee the accuracy or completeness of such information.

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APPENDIX C: Town of Gilbert, Arizona – Financial Data
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APPENDIX F: Form of Approving Opinion
APPENDIX G: Form of Continuing Disclosure Certificate
APPENDIX H: Kestrel Verifiers Second Party Opinion
APPENDIX I: Book-Entry-Only System

OFFICIAL STATEMENT

$473,005,000
TOWN OF GILBERT, ARIZONA
WATER RESOURCES MUNICIPAL PROPERTY CORPORATION
SENIOR LIEN UTILITY SYSTEM REVENUE BONDS, SERIES 2022
(GREEN BONDS)

INTRODUCTORY STATEMENT

The purpose of this Official Statement, which includes the cover page, the inside front cover and the Appendices attached hereto, is to provide certain information in connection with the offering by the Town of Gilbert, Arizona Water Resources Municipal Property Corporation (the "Corporation") of the $473,005,000 aggregate principal amount of Senior Lien Utility System Revenue Bonds, Series 2022 (Green Bonds) (the "Bonds") of the Corporation issued pursuant to a Series 2022 Utilities Bond Indenture, to be dated as of June 1, 2022 (the "Indenture"), from the Corporation to U.S. Bank Trust Company, National Association, as trustee (the "Trustee"). The Bonds are being issued by the Corporation to (i) pay for certain improvements (the "System Improvements") to the complete waterworks and sewer plant and system (the "System") of the Town of Gilbert, Arizona ("Gilbert" or the "Town") and (ii) pay the costs of issuance of the Bonds. See "THE SYSTEM IMPROVEMENTS."

The Bonds will be special, limited obligations of the Corporation, payable solely from payments received pursuant to a Series 2022 Utilities Town Purchase Agreement, to be dated as of June 1, 2022 (the "Town Purchase Agreement"), between the Town, as purchaser, and the Corporation, as seller, which requires the Town to make payments ("Purchase Payments") to the Trustee in amounts sufficient to pay when due the principal of and interest on the Bonds, fees of the Trustee and all other expenses enumerated in the Town Purchase Agreement. Purchase Payments will be made solely from Net Revenues (as defined in "APPENDIX D – Summary of Certain Provisions of Legal Documents" herein). See "SECURITY FOR AND SOURCE OF PAYMENT OF THE BONDS." The offering of the Bonds is made only by way of this Official Statement, which supersedes any other information or materials used in connection with the offer or sale of the Bonds. Accordingly, prospective purchasers of the Bonds should read this entire Official Statement before making their investment decisions.

All financial and other information presented in this Official Statement has been provided by the Town from its records, except for information expressly attributed to other sources. The presentation of financial and other information, including tables of receipts from taxes and other sources, is intended to show recent historical information and, except as expressly stated otherwise, is not intended to indicate future or continuing trends in the financial position or other affairs of the Town. No representation is made that past experience, as is shown by the financial and other information, will necessarily continue or be repeated in the future.

For definitions of certain capitalized terms used but not otherwise defined in this Official Statement and for certain provisions of the Town Purchase Agreement and the Indenture, see APPENDIX D – "Summary of Certain Provisions of Legal Documents."

THE BONDS

Authorization and Purpose

The Bonds are being issued by the Corporation under the terms of the Indenture to pay for certain improvements to the System and to pay the costs of issuance of the Bonds. Purchase Payments will be required to be sufficient to make payments of principal and interest on the Bonds. The Town will make a senior lien pledge of Net Revenues to secure amounts due under the Town Purchase Agreement, and on a parity of lien on such revenues with the Parity Obligations (as defined herein) currently outstanding and any additional obligations issued in the future. See "SECURITY FOR AND SOURCE OF PAYMENT OF THE BONDS."

The issuance and delivery of the Bonds, the execution and delivery of the Indenture and the Town Purchase Agreement and the application of the proceeds of the Bonds by the Corporation were authorized by a resolution adopted by the Board of Directors of the Corporation on April 25, 2022. Approval of the issuance and delivery of the Bonds, the application of the proceeds therefrom by the Corporation and the execution and delivery of the Town Purchase Agreement were authorized by a resolution adopted by the Mayor and Common Council of the Town (the "Town Council") on April 26, 2022.

General Terms

The Bonds will be dated the date of their initial delivery and will bear interest therefrom to the maturity or earlier redemption of each of the Bonds payable semiannually on January 15 and July 15 of each year, commencing January 15, 2023. The Bonds will bear interest at the rates and will mature on the dates and in the amounts, all as set forth on the inside front cover of this Official Statement. The Bonds initially will be registered only in the name of Cede & Co., the nominee of The Depository Trust Company ("DTC") for purposes of a book-entry-only system. Beneficial ownership interests in the Bonds may be purchased through direct and indirect participants of DTC in amounts of $5,000 of principal due on a specific maturity date or integral multiples thereof. See APPENDIX I – "Book-Entry-Only System."

Redemption Provisions

Optional Redemption. The Bonds maturing on or after July 15, 2033, will be subject to redemption, at the option of the Corporation, as directed by the Town, in whole or in part at any time in increments of $5,000 of principal amount due on a specific maturity date, in any order of maturity as directed by the Town and by lot within a maturity, on July 15, 2032, and thereafter by payment of the principal amount of each Bond at the redemption price of the principal amount to be redeemed, plus the interest accrued to the date fixed for redemption, without premium.

Mandatory Redemption. The Bonds maturing July 15, 2047 will be subject to mandatory redemption on the following dates and in the following amounts at a price equal to the principal amount thereof plus interest accrued to the date of redemption, but without premium:

Term Bonds Due July 15, 2047

Redemption Date (July 15)	Principal Amount
2043	$7,380,000
2044	7,685,000
2045	7,995,000
2046	8,320,000
2047*	8,660,000

* Maturity Date.

Notice of Redemption. When redemption is authorized or required, the Trustee will give DTC notice of the redemption of the Bonds as described herein in APPENDIX I – "Book-Entry-Only System." Any redemption will be from such maturities as directed by the Town and by lot within a maturity in any manner the Trustee deems fair. Notice of such redemption will be given not more than 60 days nor less than 30 days prior to such redemption date.

Notice having been given in the manner provided above, the portions of the Bonds called for redemption will become due and payable on the redemption date and if an amount of money sufficient to redeem all the portions of the Bonds called for redemption is held by the Trustee on the redemption date, then the portions thereof to be redeemed will not be considered outstanding under the Indenture and will cease to bear interest from and after such redemption date.

SECURITY FOR AND SOURCE OF PAYMENT OF THE BONDS

General

The Bonds will be special, limited obligations of the Corporation, payable solely from Purchase Payments in amounts sufficient to pay when due the principal of and interest on the Bonds, fees of the Trustee and all other expenses enumerated in the Town Purchase Agreement. Purchase Payments will be made solely from Net Revenues. Purchase Payments will be required to be made regardless of damage to the System or commercial frustration of purpose, without right of set-off or counterclaim, regardless of any contingencies and whether or not the Town possesses or uses the System. The obligations of the Town to make Purchase Payments will continue until all Purchase Payments and all other amounts due under the Town Purchase Agreement have been paid.

Pledge

Purchase Payments will be secured by a senior lien on and pledge of Net Revenues, which consist generally of the income, monies and receipts derived by the Town from the ownership, use and operation of the System less all Operation and Maintenance Expenses. "Operation and Maintenance Expenses" generally include all expenses reasonably incurred in connection with the operation of the System. Purchase Payments will be on a parity of lien on such revenues with the Town of Gilbert, Arizona Water Resources Municipal Property Corporation Senior Lien Utility System Revenue and Revenue Refunding Bonds, Series 2016 currently outstanding in the aggregate principal amount of $89,390,000 (the "2016 Bonds"), and Town of Gilbert, Arizona Water Resources Municipal Property Corporation Senior Lien Utility System Revenue Bonds, Series 2018 currently outstanding in the aggregate principal amount of $27,965,000 (together with the 2016 Bonds, the "Parity Obligations") and any additional obligations issued in the future on a parity basis therewith as described under "Additional Senior Obligations" below. See "SCHEDULE OF DEBT SERVICE REQUIREMENTS AND DEBT SERVICE COVERAGE" and APPENDIX D – "Summary of Certain Provisions of Legal Documents – Certain Definitions."

The obligations of the Town under the Town Purchase Agreement will not constitute a debt or a pledge of the full faith and credit of the Town, the State of Arizona (the "State") or any other political subdivision thereof. The Town will not pledge any form of ad valorem property taxes to the payment of the Bonds. The Bonds will be special, limited obligations of the Corporation, secured only by Purchase Payments which are to be paid from, and secured by, a pledge of Net Revenues. No security interest will be held by the Trustee for the benefit of the owners of the Bonds in any portion of the System. Remedies available to the Trustee upon a failure of the Town to make Purchase Payments when due will be generally limited to specific performance against the Town to payment from Net Revenues. For a description of events of default and remedies under the Town Purchase Agreement, see APPENDIX D – "Summary of Certain Provisions of Legal Documents - The Town Purchase Agreement – Events of Default" and "Remedies on Default by Town." The Town may, but will not be required to, pay amounts due under the Town Purchase Agreement from any other money legally available for such purposes.

For a discussion about the System, see APPENDIX A – "The System." For a discussion of certain covenants which the Town has entered into with respect to the System, see APPENDIX D – "Summary of Certain Provisions of Legal Documents – The Town Purchase Agreement."

Additional Senior Obligations

In order to issue additional parity lien obligations pursuant to the requirements of the Town Purchase Agreement ("Additional Parity Obligations" and, together with the Parity Obligations and the Bonds, "Senior Obligations"), which obligations would be on a parity basis with payments to be made under the Town Purchase Agreement, the Town will be required to file a statement by the Finance and Management Services Director of the Town or an independent certified public accountant to the effect that the aggregate amount of Net Revenues for the last full Fiscal Year immediately preceding the issuance of any Additional Parity Obligations were equal to the sum of (i) not less than one hundred twenty-five percent (125%) of Parity Lien Test Debt Service (as defined in Appendix D hereto), including the obligations proposed to be issued, (ii) not less than one hundred percent (100%) of the aggregate amounts payable in such Fiscal Year and secured on a subordinate basis by Net Revenues and (iii) not less than one hundred percent (100%) of any additional amounts required to maintain or fund necessary fund balances under the Town Purchase Agreement or Parity Obligation Documents. The Town Purchase Agreement will permit certain adjustments to Net Revenues in such report or statement by the Finance and Management Services Director or independent certified public accountant. The Town Purchase Agreement will also permit the issuance of Additional Parity Obligations for refunding purposes without compliance with the foregoing financial tests if certain other conditions are met. See APPENDIX D – "Summary of Certain Provisions of Legal Documents – The Town Purchase Agreement – Parity Obligations for Refunding Purposes" and – "Additional Parity Obligations Generally."

Subordinate Lien Obligations

The Town Purchase Agreement does not prohibit the issuance or incurrence by the Town of obligations payable from Net Revenues on a basis subordinate to the Senior Obligations. The Town currently does not have any subordinate lien obligations and has no present plans to issue or incur any such subordinate lien obligations.

Rate Covenant; Other Covenants

Pursuant to the Town Purchase Agreement, the Town will covenant to continuously own, control, operate and maintain the System in an efficient and economical manner and on a revenue-producing basis and will at all times, establish, fix, maintain and collect rates, fees and other charges for all utility services furnished by the System fully sufficient:

1) To pay the Operation and Maintenance Expenses;

2) To produce an aggregate amount of Net Revenues in each Fiscal Year equal to the sum of (i) one hundred twenty-five percent (125%) of Interest Requirement and Principal Requirement for the then current Fiscal Year on all Senior Obligations then outstanding in such Fiscal Year and (ii) one hundred percent (100%) of the aggregate of the debt service on comparable payments, separately payable and secured on a basis subordinate to the Senior Obligations by Net Revenues; and

3) To produce Net Revenues in each Fiscal Year that will remedy all deficiencies in payments into any of the funds and accounts described in the Town Purchase Agreement required from prior Fiscal Years for the payment of the Purchase Price as well as the payment of principal and interest on any Parity Obligations.

Below is the table of Historical Combined Statement of Operations for the System for the previous five fiscal years.

TABLE 1 (a)

HISTORICAL COMBINED STATEMENT OF OPERATIONS

	Audited				
	2020/21	2019/20	2018/19	2017/18	2016/17
Revenues:					
Charges for Services	$83,737,222	$78,553,689	$74,194,329	$69,385,350	$66,727,704
System Development Fees (b)	21,629,945	14,104,586	18,200,112	19,046,392	18,856,484
Investment Income	3,275,893	2,504,119	772,184	6,060,788	4,316,678
Net Change Fair Value of Investments	(3,186,165)	6,364,840	9,888,387	(4,299,999)	(3,377,364)
Miscellaneous	1,998,380	2,063,195	1,991,109	1,286,286	1,013,494
Total Revenues	$107,455,275	$103,590,429	$105,046,121	$91,478,817	$87,536,996
Operating Expenses:					
General and Administrative	$2,121,468	$2,005,361	$1,475,136	$1,989,641	$1,880,690
Personnel Services	14,981,087	14,874,111	10,435,843	11,841,364	10,757,787
Operation and Maintenance	28,241,164	26,736,128	27,489,244	26,998,834	24,224,075
Allocation of Indirect Expenses	3,958,490	3,549,200	3,090,690	3,194,480	3,040,150
Total Operating Expenses	$49,302,209	$47,164,800	$42,490,913	$44,024,319	$39,902,702
Net Revenues Available for Debt Service	$58,153,066	$56,425,629	$62,555,208	$47,454,498	$47,634,294
Net Revenue Less System Development Fees	$36,523,121	$42,321,043	$44,355,096	$28,408,106	$28,777,812

(a) Except as otherwise described herein, revenues include all income, moneys and receipts derived by the Town from the ownership, use and operation of the System. Such revenues include operating revenues, system development fees and other miscellaneous revenues including interest. Operating expenses are the reasonable and necessary cost of System operation, maintenance and repair.

(b) System Development Fee revenues fluctuate with building activity. See APPENDIX B – "Town of Gilbert, Arizona General Economic and Demographic Information – Value of Building Permits" and "Single Family Home Permits Issued." See APPENDIX A – "The System – System Development Fees."

Source: Gilbert Finance Department.

Below is the table of the Projected Combined Statement of Operations for the System for fiscal years 2021/22 through 2025/26. The Town's projected numbers (the "Management Forecast") are derived from a series of assumptions based on the current and future System rate increases. See APPENDIX A – THE SYSTEM – "Water System Rates, Fees and Charges", "Wastewater Charges" and "System Development Fee Schedule."

TABLE 2 (a)

PROJECTED COMBINED STATEMENT OF OPERATIONS

	Management Forecast				
	2021/22 (b)	2022/23	2023/24	2024/25	2025/26
Revenues:					
Charges for Services (c)	$87,833,500	$103,153,517	$112,331,767	$116,925,837	$119,846,056
System Development Fees (d) (e)	14,120,000	18,356,000	18,356,000	18,356,000	18,356,000
Investment Income (f)	2,090,473	-	-	-	-
Net Change Fair Value of Investments (f)	(8,187,656)	-	-	-	-
Miscellaneous	2,129,870	2,172,468	2,215,917	2,260,235	2,305,440
Total Revenues	$97,986,187	$123,681,985	$132,903,684	$137,542,072	$140,507,496
Operating Expenses: (g)					
General and Administrative	$2,545,782	$2,622,134	$2,700,798	$2,781,822	$2,865,277
Personnel Services	15,879,952	16,673,950	17,174,168	17,689,393	18,220,075
Operation and Maintenance	33,889,397	35,244,973	36,302,322	37,391,392	38,513,133
Allocation of Indirect Expenses	4,077,245	4,240,334	4,367,545	4,498,571	4,632,528
Total Operating Expenses	$56,392,376	$58,781,391	$60,544,833	$62,361,178	$64,231,013
Net Revenues Available for Debt Service	$41,593,811	$64,900,594	$72,358,851	$75,180,894	$76,276,483
Net Revenue Less System Development Fees	$27,473,811	$46,544,594	$54,002,851	$56,824,894	$57,920,483

(a) The Town's unaudited Management Forecast fiscal year 2021/22 through 2025/26 results are projected. Such amounts are "forward-looking statements" which may not be realized and must be considered with an abundance of caution. Actual results may vary from the projected amounts.

(b) The Town's projected fiscal year 2021/22 results are estimated based on actual results through March 31, 2022, and projections through June 30, 2022.

(c) Charges for Services are projected to grow as the customer base expands. The annual revenue growth is estimated at approximately 2.1% for Water System fees and 3.2% for Wastewater System fees. Water System rates increased approximately 29.5% on April 1, 2022 based on both fees and consumption. An additional Water System rate increase of about 2.5% is projected in fiscal year 2024/25. Wastewater System rates are assumed to increase by 20% before the end of fiscal year 2022/23 as a result of a third-party rate study being conducted.

(d) The Water System Development Fee will increase by 36% in June 2022.

(e) System Development Fee revenues fluctuate with building activity. See APPENDIX B – "Town of Gilbert, Arizona General Economic and Demographic Information – Value of Building Permits" and "Single Family Home Permits Issued." See APPENDIX A – "The System – System Development Fees."

(f) Investment income for fiscal year 2021/22 is based on actual results through March 31, 2022, and projections through June 30, 2022. The fair market value adjustment is based on March 31, 2022, investment balances. No investment income or changes in fair value of investments were included in the Management Forecast for fiscal years 2022/23 through 2025/26.

(g) Projected Operating Expenses are elevated to account for significant inflationary pressures in fiscal year 2021/22 and 2022/23, and calculated at a 3% growth rate in fiscal years 2023/24 through 2025/26.

Source: Gilbert Finance Department.

THE TOWN OF GILBERT

The Town is a municipal corporation organized and existing under the laws of the State. For economic and demographic information on the Town, see APPENDIX B – "Town of Gilbert, Arizona – General Economic and Demographic Information."

THE CORPORATION

The Corporation is a nonprofit corporation incorporated on February 5, 1997 and existing pursuant to the laws of the State. The Corporation is permitted, pursuant to its Articles of Incorporation, to conduct all lawful affairs for which nonprofit corporations may be incorporated pursuant to the laws of the State, subject to the express limitation and condition that the Corporation will always be operated solely and exclusively in the interest of the general public. The Corporation exists and acts as a separate entity. The Board of Directors of the Corporation presently consists of five members appointed by the Town Council.

The Corporation has the power to incur indebtedness and to issue bonds, to own real property, to provide for the acquisition and construction of a utility system facility, to lease such facility to the Town and to exercise any and all rights and powers which a nonprofit corporation organized under the laws of the State may now or hereafter exercise. Upon the dissolution of the Corporation, all of its assets remaining after payment of or provision for payment of all debts and liabilities will be distributed to the Town.

The Corporation has no stockholders or members. Vacancies occurring on the Board of Directors of the Corporation are filled by appointment of the Town Council. Members of the Board of Directors may be removed, with or without cause, by the Town Council. All amendments to the Articles of Incorporation or Bylaws of the Corporation require approval by the Town Council. No compensation is paid to any officer or director of the Corporation.

THE SYSTEM IMPROVEMENTS

The System Improvements described below will be purchased by the Town from the Corporation pursuant to the Town Purchase Agreement. A portion of the proceeds from the sale of the Bonds will be used to pay the costs of the System Improvements. Such portion of the proceeds of the sale of the Bonds will be deposited with and held by the Town and used to pay the costs of the System Improvements. **Moneys deposited with the Town and used to purchase the System Improvements will not be pledged as security for the Bonds.** For a more complete rendition of the terms relating to the use of proceeds of the Bonds see APPENDIX D – "Summary of Certain Provisions of Legal Documents – The Town Purchase Agreement."

System Improvements include the non-growth related reconstruction of the North Water Treatment Plant ("NWTP") and other non-growth water projects that are included in the capital improvement plan ("CIP") of the Town. The NWTP is a surface water treatment plant located on a Town-owned parcel south of Guadalupe Road between Greenfield and Higley Roads. The non-growth related portion of the NWTP project will rebuild the existing 45 million gallons per day ("MGD") facility and will be repaid with a combination of funding sources including water operating revenue (for the added infrastructure related to water quality), and water repair and replacement funds (for the replacement of the existing 45 MGD infrastructure). Any current structures that have sufficient useful life will be reused and incorporated into the new facility. Other non-growth related water projects anticipated to be completed include repair and replacement of certain water lines throughout the Town and may include the purchase of water rights.

System Improvements also include the growth related portions of the NWTP and other related water projects that are included in the most recently adopted CIP. The growth related portion of the NWTP project will expand the existing 45 MGD facility into a 60 MGD facility and will be repaid with water system development fees. Other growth related water projects anticipated to be completed include those identified in the system development fee study, and may include the purchase of water rights. Design of the NWTP project is already underway and construction is anticipated to be completed by the end of calendar year 2026.

Gilbert expects to post updates on the System Improvements on the Town's website: www.gilbertaz.gov. The Town intends to produce a report after all Bond proceeds have been expended that will include a summary of financed projects and their impacts. Impact metrics are expected to include: number of customers benefiting from the System

Improvements, total increase in treatment capacity, and reduced reliance on groundwater resources as a result of the financed activities. The Town will voluntarily post this report on either the Town's website or on the Electronic Municipal Market Access system ("EMMA") of the Municipal Securities Rulemaking Board ("MSRB") after all Bond proceeds have been spent.

DESIGNATION OF BONDS AS GREEN BONDS

Green Bonds Designation

Per the International Capital Market Association ("ICMA"), Green Bonds are any type of bond instrument where the proceeds will be exclusively applied to finance or re-finance, in part or in full, new and/or existing eligible Green Projects and which are aligned with the four core components of the Green Bond Principles. The four core components are: 1. Use of Proceeds; 2. Process for Project Evaluation and Selection; 3. Management of Proceeds; and 4. Reporting.

Kestrel Verifiers has determined that the Bonds are in conformance with the four core components of the ICMA Green Bond Principles, as described in Kestrel Verifiers' "Second Party Opinion", which is attached hereto as APPENDIX H.

Despite the Second Party Opinion being provided by Kestrel Verifiers, it should be noted that there is currently no clearly defined regulatory definition applicable to the Bonds as to what constitutes a "green" or equivalently labeled project or as to what precise attributes are required for a particular project to be defined as "green" or such other equivalent label. No assurance can be given that a regulatory definition will develop over time, or that, if developed, it will include the projects to be financed or refinanced with the proceeds of the Bonds.

Independent Second Party Opinion on Green Bonds Designation and Disclaimer

For over 20 years, Kestrel Verifiers has been consulting in sustainable finance. Kestrel Verifiers, a division of Kestrel 360, Inc. is an Approved Verifier accredited by the Climate Bonds Initiative and an Observer for the ICMA Green Bond Principles and Social Bond Principles. Kestrel Verifiers reviews transactions in all asset classes worldwide for alignment with ICMA Green Bond Principles, Social Bond Principles, Sustainability Bond Guidelines and the Climate Bonds Initiative Standards and Criteria.

The Second Party Opinion issued by Kestrel Verifiers does not and is not intended to make any representation or give any assurance with respect to any other matter relating to the Bonds. Designations by Kestrel Verifiers are not a recommendation to any person to purchase, hold, or sell the Bonds and such labeling does not address the market price or suitability of these Bonds for a particular investor and does not and is not in any way intended to address the likelihood of timely payment of interest or principal when due.

In issuing the Second Party Opinion, Kestrel Verifiers has assumed and relied upon the accuracy and completeness of the information made publicly available by the Town or that was otherwise made available to Kestrel Verifiers.

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SOURCES AND USES OF FUNDS

The proceeds of the Bonds will be applied substantially as follows:

Sources of Funds:	
Principal Amount of the Bonds	$473,005,000.00
Net Original Issue Premium (a)	28,217,643.15
Total Sources of Funds	$501,222,643.15
Uses of Funds:	
Deposit to the Project Construction Fund	$500,000,000.00
Deposit to the Costs of Issuance Fund	662,151.72
Underwriters' Compensation	560,491.43
Total Uses of Funds	$501,222,643.15

(a) Net original issue premium consists of original issue premium on the Bonds, less original issue discount on the Bonds.

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SCHEDULE OF DEBT SERVICE REQUIREMENTS AND DEBT SERVICE COVERAGE (a)

The following schedule illustrates the debt service requirements of the outstanding Parity Obligations, including the debt service of the Bonds, the combined debt service requirements and the debt service coverage ratio for such combined debt service requirements of the outstanding Parity Obligations and the Bonds provided by the projected net revenues available for debt service for fiscal years 2021/22 through 2025/26. See TABLE 2 – PROJECTED COMBINED STATEMENT OF OPERATIONS herein.

Fiscal Year	Projected Net Revenues Available for Debt Service (b)	Parity Obligations Debt Service		Plus: The Bonds		Combined Debt Service Requirements	Debt Service Coverage Provided by Projected Net Revenues (d)
		Principal	Interest	Principal	Interest (c)		
2022	$41,593,811	$8,340,000	$2,544,906			$10,884,906	3.82x
2023	64,900,594	8,780,000	4,672,813		$12,780,241	26,233,053	2.47x
2024	72,358,851	9,200,000	4,233,813	$10,955,000	21,531,275	45,920,088	1.58x
2025	75,180,894	9,655,000	3,773,813	11,515,000	20,969,525	45,913,338	1.64x
2026	76,276,483	10,155,000	3,291,063	12,105,000	20,379,025	45,930,088	1.66x
2027		10,575,000	2,857,863	12,730,000	19,758,150	45,921,013	
2028		11,105,000	2,329,113	13,380,000	19,105,400	45,919,513	
2029		11,445,000	1,997,300	14,065,000	18,419,275	45,926,575	
2030		11,835,000	1,591,350	14,790,000	17,697,900	45,914,250	
2031		10,285,000	1,085,100	16,360,000	16,919,150	44,649,250	
2032		2,950,000	639,200	20,625,000	15,994,525	40,208,725	
2033		3,070,000	521,200	21,680,000	14,936,900	40,208,100	
2034		3,190,000	398,400	22,795,000	13,825,025	40,208,425	
2035		3,320,000	270,800	23,965,000	12,656,025	40,211,825	
2036		3,450,000	138,000	25,195,000	11,427,025	40,210,025	
2037				26,480,000	10,135,150	36,615,150	
2038				27,765,000	8,854,125	36,619,125	
2039				29,110,000	7,507,350	36,617,350	
2040				30,445,000	6,170,700	36,615,700	
2041				31,690,000	4,928,000	36,618,000	
2042				32,985,000	3,634,500	36,619,500	
2043				34,330,000	2,288,200	36,618,200	
2044				7,380,000	1,454,000	8,834,000	
2045				7,685,000	1,152,700	8,837,700	
2046				7,995,000	839,100	8,834,100	
2047				8,320,000	512,800	8,832,800	
2048				8,660,000	173,200	8,833,200	
		$117,355,000	$30,344,731	$473,005,000	$284,049,266	$904,753,997	

(a) Prepared by the Financial Advisor (as defined herein).

(b) Represents the Projected Net Revenues Available for Debt Service for fiscal years 2021/22 through 2025/26 which are contained in TABLE 2 – PROJECTED COMBINED STATEMENT OF OPERATIONS herein.

(c) The first interest payment on the Bonds will be due January 15, 2023. Thereafter, interest payments will be made semiannually on July 15 and January 15 until the final maturity of outstanding Parity Obligations and prior redemption of the Bonds.

(d) Debt service coverage is computed using Projected Net Revenues Available for Debt Service for fiscal years 2021/22 through 2025/26 divided by the annual debt service on the outstanding Parity Obligations and the Bonds for each fiscal year.

RISK FACTORS

Investment in the Bonds involves risks that may not be appropriate for certain investors. The following is a discussion of certain risk factors that should be considered, in addition to other matters set forth herein, in evaluating the Bonds for investment. The information set forth below does not purport to be an exhaustive listing of the risks and other considerations that may be relevant to an investment in the Bonds. In addition, the order in which the following information is presented is not intended to reflect the relative importance of any such risks.

Limited Obligations

The obligation of the Town under the Town Purchase Agreement will not constitute a debt or a pledge of the full faith and credit of the Town, the State or any other political subdivision thereof. The Town will not pledge any form of ad valorem property taxes to the payment of the Bonds. The Bonds will be special, limited obligations of the Corporation secured only by Purchase Payments which are to be paid from and secured by a pledge of Net Revenues. The Corporation has no other source of revenues from which to pay debt service on the Bonds. The Corporation has no taxing power. No security interest will be held by the Trustee for the benefit of the owners of the Bonds in any portion of the System. Remedies available to the Trustee upon a failure of the Town to make Purchase Payments when due will be generally limited to specific performance against the Town to payment from Net Revenues.

No assurance can be made that Net Revenues, estimated or otherwise, will be realized by the Town in amounts sufficient to pay Purchase Payments. In addition, the realization of future Net Revenues is subject to, among other things, the capabilities of management of the Town, the ability of the Town to provide water or wastewater services to its customers, and the ability of the Town to meet its covenant to fix, prescribe, and collect rates and charges for the System in amounts sufficient to timely pay Purchase Payments, which could in turn adversely impact the Corporation's ability to make payments of the principal of or interest on the Bonds. See "SECURITY FOR AND SOURCE OF PAYMENT OF THE BONDS – Rate Covenant; Other Covenants." Additional Senior Obligations may be incurred in the future that are secured, on a parity with the Bonds, by Net Revenues. See "SECURITY FOR AND SOURCE OF PAYMENT OF THE BONDS – Additional Parity Obligations."

No Debt Service Reserve Fund

Neither the Town nor the Corporation have covenanted to, and will be under no obligation to, create and maintain a debt service reserve fund for the payment of principal of or interest on the Bonds.

System Expenses and Future Rates

Increases in expenses could require a significant increase in rates or charges in order to pay for projects and to pay the debt service on any Senior Obligations, including, without limitation, Purchase Payments securing the Bonds. Also, any such rate increases could increase the likelihood of nonpayment by purchasers of water or wastewater services from the Town and could also decrease demand from such purchasers and may impact the Town's ability to make Purchase Payments, which could in turn adversely impact the Corporation's ability to make payments of the principal of and interest on the Bonds.

System Demand

There can be no assurance that the local demand for the services provided by the System will be maintained at levels described in this Official Statement. Because of the potential for changes in demographics within the boundaries of the Town, it is possible for the demand for water or wastewater services to decline over the term of the Bonds. A significant decline in demand might create a situation in which the Town could not increase rates sufficiently to offset the decrease in customers or usage. This would reduce the Town's ability to make Purchase Payments, which could in turn adversely impact the Corporation's ability to make payments of the principal of and interest on the Bonds as and when due.

Water Supply and Drought Conditions

The ability of the System to operate effectively can be affected by the water supply available to the Town, which is situated in a desert environment. If the water supply decreases significantly, whether by operation or mandatory supply restrictions, prohibitively high water costs or otherwise, System sales may diminish and Net Revenues

available to pay Purchase Payments may be adversely affected. The Town has planned and managed reserve supplies to account for normal occurrences of drought conditions.

The Colorado River system has experienced over-allocation and extensive drought conditions for 18 years, resulting in Lake Mead dropping to historically low reservoir levels. As reservoir levels in Lake Mead drop, different tiers of water supply reductions affect the State, California, Nevada and Mexico. The water level elevation is approximately 1,062 feet as of March 27, 2022. A tier 1 reduction occurs when the water level falls below 1,075 feet; a tier 2a reduction occurs when water levels fall below 1,050 feet, a tier 2b reduction occurs when water levels fall below 1,045 feet and a tier 3 reduction occurs when water levels fall below 1,025 feet. The Town's water supply that comes from the Colorado River System will be reduced by varying percentages for each of the shortage tiers starting in 2023, with the largest reductions occurring with tier 3. A tier 3 reduction results in a temporary reduction of approximately 8% of the Town's total water portfolio. See APPENDIX A – "The Water System."

Security of the System

To ensure water quality and delivery service are maintained, the Town continually plans and prepares for emergency situations such as fire, power failure, or possible terrorist activities. The Town routinely monitors the water supply for possible contamination in a variety of ways, including taking thousands of water samples throughout the year. Additional emergency preparation procedures include: routinely training staff on critical security and safety; conducting disaster drills to improve coordination efforts throughout the region; collaborating with law enforcement and fire-rescue agencies in order to improve multiple agency response to water emergencies; implementing a water quality notification plan to keep customers informed in emergency situations; and implementing additional security measures throughout the System.

There can be no assurance that any existing or additional safety and security measures will prove adequate in the event of an emergency situation affecting the System, or that costs of security measures will not be greater than presently anticipated. Further, damage to certain components of the System could require the Town to increase expenditures for repairs to the System significantly enough to adversely impact the Town's ability to make Purchase Payments, which could in turn adversely impact the Corporation's ability to make payments of the principal of and interest on the Bonds.

Cybersecurity

The Town, like many other public and private entities, relies on computer and other digital networks and systems to conduct its operations, including the operation of the System. As a recipient and provider of personal, private or other sensitive electronic information, the Town is potentially subject to multiple cyber threats, including without limitation hacking, viruses, ransomware, malware and other attacks. United States government agencies have in the past issued warnings indicating that critical infrastructure sectors such as water systems may be specific targets of cybersecurity threats.

The Town has established a comprehensive Written Information Security Program ("WISP") to manage operational concerns associated with Information Technology, data processing, and cybersecurity. This WISP includes defining, documenting, and supporting the implementation and maintenance of the administrative, technical, and physical safeguards focused on maintaining the confidentiality, integrity, and availability of the Town's data. These include appropriate governance bodies and mechanisms to provide operational oversight and enforcement, continual risk assessment and mitigation, development of information security policies and procedures, implementation of task specific safeguards, partnering with industry leaders in service provision of cloud, monitoring, and security services, and establishing incident response strategies to address potential events and incidents.

No assurance can be given that the Town's efforts to manage cyber threats and attacks will be successful in all cases, or that any such attack will not materially impact the operations or finances of the Town or disrupt the operation of the System. As of the date of this Official Statement, there have been no detected cyberattacks that have affected the System.

Factors Adversely Affecting Development

System development fees are paid to the Town as building permits are issued for the construction of new homes and other structures. The pace at which building permits are issued will be affected by changes in general economic

conditions, material shortages, fluctuations in land prices both locally and nationally, availability of water, water treatment, sewage treatment and power necessary for development, changes in the income tax treatment of land and ownership, changes in the availability and cost of borrowed funds including mortgages for homebuyers, inflation and numerous other factors. In addition, land development operations are subject to comprehensive federal, State and local regulation. Approval is required from various agencies in connection with the layout and design of developments, the nature and extent of improvements, the availability of an assured water supply, construction activity, land use, zoning, school and health requirements and many other matters.

In areas of substantial growth, such as the Town, public and or political attitudes toward growth are subject to shifts from support for growth to opposition to growth. Although growth cannot be prevented, no assurance can be given that the Town Council as now constituted or a future Town Council will not delay or defer action required for continued growth. Such action by the Town Council as now constituted or a future Town Council could have a materially adverse impact on future Net Revenues. See APPENDIX A – "The System – System Development Fees."

Limitations on Remedies

Any remedies available to the owners of the Bonds upon the occurrence of an Event of Default will be in many respects dependent upon judicial actions, which are often subject to discretion and delay and could prove both expensive and time consuming to obtain.

Further, enforceability of the rights and remedies of the owners of the Bonds, and the obligations incurred by the Town, may become subject to the federal bankruptcy code and applicable bankruptcy, insolvency, receivership, reorganization, moratorium, or similar laws relating to or affecting the enforcement of creditor's rights generally, now or hereafter in effect, equity principles that may limit the specific enforcement under State law of certain remedies, the exercise by the United States of America of the powers delegated to it by the Constitution, the reasonable and necessary exercise, in certain exceptional situations, of the police powers inherent in the sovereignty of the State and its governmental bodies in the interest of serving a significant and legitimate public purpose, and the limitations on remedies against counties in the State. Bankruptcy proceedings, or the exercise of powers by the federal or State government, if initiated, could subject the owners of the Bonds to judicial discretion and interpretation of their rights in bankruptcy or otherwise and consequently may entail risks of delay, limitation, or modification of their rights. The opinion to be delivered by Bond Counsel (as defined herein), concurrently with the issuance of the Bonds, that the Bonds constitute valid and binding limited obligations of the Corporation and the Indenture constitutes a valid and binding obligation of the Corporation will be subject to such limitations and the various other legal opinion to be delivered concurrently with the issuance of the Bonds will be similarly qualified. See "APPENDIX F – Form of Approving Opinion."

If the Town fails to comply with its covenants under the Town Purchase Agreement to pay the Purchase Payments, there can be no assurance of the availability of remedies adequate to protect the interests of the holders of the Bonds.

Statutory and Regulatory Compliance; Future Legislation

The System is subject to a variety of federal and State statutory and regulatory requirements. Laws and regulations governing water and wastewater treatment and the delivery of water are enacted and promulgated by federal, state and local government agencies. Compliance with these laws and regulations is and will continue to be costly and, as more stringent standards are developed to ensure safe drinking water standards and the provision of water for other purposes, such costs will likely increase.

The Town's failure to comply with applicable laws and regulations could result in significant fines and penalties. Such claims are payable from assets of the System or from other legally available sources. In addition to claims by private parties, changes in the scope and standards for public agency water and wastewater systems such as that operated by the Town may also lead to administrative orders issued by federal or State regulators. The Town is unable to predict the adoption or amendment of any such laws, rules or regulations, or their effect on the operations of the System or financial condition of the Town. Future compliance with such orders can also impose substantial additional costs on the System.

No assurance can be given that the cost of compliance with such laws, regulations, and orders would not adversely affect the ability of the System to generate Net Revenues sufficient to pay the debt service on any Senior Obligation,

including, without limitation, the Purchase Payments, which could in turn adversely impact the Corporation's ability to make payments of the principal of and interest on the Bonds.

Limited Secondary Market for the Bonds

There can be no guarantee that there will ever be a secondary market for purchase or sale of the Bonds or, if a secondary market exists, that the Bonds can be sold for any particular price. Occasionally, because of general market conditions or because of adverse history or economic prospects connected with a particular issue, secondary marketing practices in connection with a particular issue are suspended or terminated. Additionally, prices of issues for which a market is being made will depend upon then prevailing circumstances. Such prices could be substantially different from the original purchase price.

Loss of Tax Exemption on the Bonds

As discussed under the caption "TAX EXEMPTION," interest on the Bonds could become included in gross income for purposes of federal income taxation, retroactive to the date the Bonds were issued, as a result of future acts or omissions of the Town or the Corporation in violation of their respective covenants in the Indenture and the Town Purchase Agreement. In that event, the Bonds are not subject to special redemption and will remain outstanding on a taxable basis until maturity or redeemed in accordance with the redemption provisions contained in the Indenture.

Economic, Political, Social, and Environmental Conditions

Prospective investors are encouraged to evaluate current and prospective economic, political, social, and environmental conditions as part of an informed investment decision. Changes in economic, political, social, or environmental conditions on a local, state, federal, and/or international level may adversely affect investment risk generally. Such conditional changes may include (but are not limited to) fluctuations in business production, consumer prices, or financial markets, unemployment rates, technological advancements, shortages or surpluses in natural resources or energy supplies, changes in law, social unrest, fluctuations in the crime rate, political conflict, acts of war or terrorism, environmental damage, and natural disasters. The Town cannot guarantee that prices for electricity will not increase, which could adversely affect the System's financial condition.

Covid-19

The Coronavirus Disease 2019 ("COVID-19") global pandemic continues to affect the nation and the State with ongoing concerns related to health and safety, appropriate preventative protocols, fiscal and economic issues, and student learning loss. At present, government and business operations in the State, following the rescindment of numerous COVID-19-related Executive Orders by Arizona Governor Doug Ducey, essentially function without government-imposed restrictions relating to the pandemic.

The Town does not currently anticipate the collection of Revenues and the ability of the Town to pay Purchase Payments to be materially adversely affected by the continued existence of COVID-19. Neither the Corporation nor the Town, however, can predict the effect the on-going spread of COVID-19 (including COVID-19 variants such as the Delta and Omicron variants or future, similar variants) or the various governmental or private actions taken in response to COVID-19 will have on the finances or operations of the Town or the System, which could have a negative impact on the Net Revenues pledged to pay operating expenses and debt service of the Bonds, if for example, the customers of the System become unable to pay the amounts billed for use of the System. The full financial effect of COVID-19 on the Town and the System could change significantly as circumstances and events evolve. The Town will monitor events as they occur, particularly those that may have a material adverse effect on the Net Revenues.

LITIGATION

To the knowledge of appropriate representatives of the Corporation and the Town, no litigation or administrative action or proceeding is pending or threatened restraining or enjoining, or seeking to restrain or enjoin, the issuance and delivery of the Bonds or the execution and delivery of the Town Purchase Agreement or the Indenture or contesting or questioning the proceedings and authority under which the Bonds have been authorized and are to be issued, sold, executed or delivered, or the validity of the Bonds. Certificates of appropriate representatives of the Corporation and the Town to that effect will be delivered at the delivery of the Bonds.

CONTINUING SECONDARY MARKET DISCLOSURE

The Town will covenant for the benefit of the Owners of the Bonds, in accordance with Rule 15c2-12 of the Commission (as defined herein) (the "Rule") to provide certain financial information and operating data relating to the Town by not later than February 1 in each year commencing February 1, 2023 (the "Annual Reports"), and to provide notices of the occurrence of certain enumerated events (the "Notices") as set forth in APPENDIX G – "FORM OF CONTINUING DISCLOSURE CERTIFICATE." The Annual Reports and the Notices and any other documentation or information required to be filed by such covenants will be filed by the Town with the MSRB in a format prescribed by the MSRB. Currently, the MSRB requires filing through their EMMA system, as described in APPENDIX G – "FORM OF CONTINUING DISCLOSURE CERTIFICATE." The specific nature of the information to be contained in the Annual Report and the Notices and the method of their dissemination is set forth in APPENDIX G hereto. A failure by the Town to comply with these covenants must be reported in accordance with the Rule and must be considered by any broker, dealer or municipal securities dealer before recommending the purchase or sale of Bonds in the secondary market. Absence of continuing disclosure may adversely affect the Bonds and specifically, their transferability and market price.

TAX EXEMPTION

In the opinion of Bond Counsel, under existing laws, regulations, rulings and judicial decisions, and assuming continuing compliance with certain restrictions, conditions and requirements by the Corporation and the Town as described below, interest income on the Bonds is excluded from gross income for federal income tax purposes. In the opinion of Bond Counsel, interest income on the Bonds is exempt from State income taxes. The opinion of Bond Counsel will be dated as of the date of initial delivery of the Bonds. The form of such opinion is included as APPENDIX F – "Form of Approving Opinion" attached hereto.

The Internal Revenue Code of 1986, as amended, (the "Code") imposes various restrictions, conditions and requirements relating to the continued exclusion of interest income on the Bonds from gross income for federal income tax purposes, including a requirement that the Corporation and the Town rebate to the federal government certain of its investment earnings with respect to the Bonds. The Corporation and the Town has covenanted to comply with the provisions of the Code relating to such matters. Failure to comply with such restrictions, conditions and requirements could result in the interest income on the Bonds being included as gross income for federal income tax purposes, under certain circumstances, from the date of initial issuance. The Bonds do not provide for an adjustment in the interest rate or yield in the event of taxability and an event of taxability does not cause an acceleration of the principal on the Bonds. The opinion of Bond Counsel assumes continuing compliance with such covenants.

The Code also imposes an "alternative minimum tax" upon certain individuals. A taxpayer's "alternative minimum taxable income" ("AMTI") is its taxable income with certain adjustments. Interest income on the Bonds is not an item of tax preference to be included in the AMTI.

Although Bond Counsel will render an opinion that, as of the delivery date of the Bonds, interest income on the Bonds is excluded from gross income for federal income tax purposes, the accrual or receipt of interest on the Bonds may otherwise affect a Beneficial Owner's (as defined in APPENDIX I – "Book-Entry-Only System") federal tax liability. Certain taxpayers may experience other tax consequences. Taxpayers who become Beneficial Owners of the Bonds, including without limitation, corporations subject to the branch profits tax, financial institutions, certain insurance companies, certain subchapter S corporations, individuals who receive Social Security or Railroad Retirement benefits and taxpayers who have or are deemed to have incurred indebtedness to purchase or carry tax-exempt obligations, should consult their tax advisors as to the applicability of such tax consequences to the respective Beneficial Owner. The nature and extent of these other tax consequences will depend upon the Beneficial Owner's particular tax status and the Beneficial Owner's other items of income or deduction. Bond Counsel expresses no opinion regarding any such other tax consequences.

The Bonds are not "private activity bonds" within the meaning of Section 141 of the Code.

Currently and from time to time, there are legislative proposals in Congress, which, if enacted or made effective, could alter or amend the federal tax matters referred to above or adversely affect the market value and marketability (liquidity) of the Bonds. Any such change that occurs before initial delivery of the Bonds could cause Bond Counsel to deliver opinion substantially different from the opinion shown in APPENDIX F – "Form of Approving Opinion." The extent

of change in Bond Counsel's opinion cannot be determined at this time. It cannot be predicted whether, when or in what form any such proposal or proposals might be enacted or whether, if enacted, such proposal or proposals would apply to obligations (such as the Bonds) issued prior to the enactment or effective date. Prospective purchasers should consult with their own tax advisors regarding any other pending or proposed federal income tax legislation.

BOND PREMIUM

The initial public offering prices of the Bonds maturing on July 15, 2023, through and including July 15, 2038 (collectively, the "Premium Bonds"), are greater than the amount payable on each Bond at maturity. An amount equal to the difference between the initial public offering price of a Premium Bond (assuming that a substantial amount of the Premium Bonds of that maturity are sold to the public at such price) and the amount payable at maturity constitutes premium to the initial Beneficial Owner of such Premium Bonds. The basis for federal income tax purposes of a Premium Bond in the hands of such initial Beneficial Owner must be reduced each year by the amortizable bond premium, although no federal income tax deduction is allowed as a result of such reduction in basis for amortizable bond premium. Such reduction in basis will increase the amount of any gain (or decrease the amount of any loss) to be recognized for federal income tax purposes upon a sale or other taxable disposition of a Premium Bond. The amount of premium that is amortizable each year by an initial Beneficial Owner is determined by using such Beneficial Owner's yield to maturity. Beneficial Owners of the Premium Bonds should consult with their own tax advisors with respect to the determination of amortizable bond premium with respect to the Premium Bonds for Federal income tax purposes and with respect to the state and local tax consequences of owning Premium Bonds.

ORIGINAL ISSUE DISCOUNT

The initial offering prices of the Bonds maturing on July 15, 2039, through and including July 15, 2042 and July 15, 2047 (collectively, the "Discount Bonds"), are less than the respective amounts payable at maturity. As a result, the Discount Bonds will be considered to be issued with original issue discount. The difference between the initial public offering price (assuming it is the first price at which a substantial amount of that maturity of Discount Bonds was sold (the "OID Issue Price")) of the Discount Bonds, and the amount payable at maturity of the Discount Bonds will be treated as "original issue discount." With respect to a Beneficial Owner who purchases a Discount Bond in the initial public offering at the OID Issue Price and who holds the Discount Bond to maturity, the full amount of original issue discount will constitute interest income which is not includible in the gross income of the Beneficial Owner of the Discount Bond for federal income tax purposes and Arizona income tax purposes and that Beneficial Owner will not, under present federal income tax law and present Arizona income tax law, realize a taxable capital gain upon payment of the Discount Bond at maturity.

The original issue discount on each of the Discount Bonds is treated for federal income tax purposes and Arizona income tax purposes as accreting daily over the term of such Discount Bond on the basis of a constant interest rate compounded at the end of each six-month period (or shorter period from the date of original issue) ending on January 15 and July 15 (with straight-line interpolation between compounding dates).

The amount of original issue discount accruing each period will be added to the Beneficial Owner's tax basis for the Discount Bond. The adjusted tax basis will be used to determine taxable gain or loss upon disposition of the Discount Bond. An initial Beneficial Owner of a Discount Bond who disposes of the Discount Bond prior to maturity should consult his or her tax advisor as to the amount of the original issue discount accrued over the period held and the amount of taxable gain or loss upon the sale or disposition of the Discount Bond prior to maturity.

The Code contains certain provisions relating to the accretion of original issue discount in the case of subsequent Beneficial Owners of the Discount Bonds. Beneficial Owners who do not purchase the Discount Bonds in the initial offering at the OID Issue Price should consult their own tax advisors with respect to the tax consequences of the ownership of Discount Bonds.

A portion of the original issue discount that accretes in each year to a Beneficial Owner of a Discount Bond may result in certain collateral federal income tax consequences as described in "TAX EXEMPTION" herein. Beneficial Owners of Discount Bonds in states other than Arizona should consult their own tax advisors with respect to the state and local tax consequences of owning Discount Bonds.

LEGAL MATTERS

Legal matters incident to the issuance of the Bonds, and with regard to the tax-exempt status of the interest thereon, are subject to the legal opinion of Gust Rosenfeld P.L.C., Phoenix, Arizona, Bond Counsel. A signed copy of the opinion, dated and speaking only as of the date of delivery of the Bonds, will be delivered to the initial purchaser of the Bonds. Certain other legal matters will be passed upon for the Corporation and the Town by the Town Attorney of the Town. Certain legal matters will be passed upon for the Underwriters by Squire Patton Boggs (US) LLP, Phoenix, Arizona, counsel to the Underwriters.

The text of the form of legal opinion of Bond Counsel is set forth as APPENDIX F – "Form of Approving Opinion." The actual legal opinion to be delivered may vary from that text if necessary to reflect facts and law on the date of delivery. The opinion will speak only as of their dates, and subsequent distribution of it by recirculation of this Official Statement or otherwise shall create no implication that Bond Counsel has reviewed or expresses any opinion concerning any of the matters referred to in the opinion subsequent to their dates.

Bond Counsel has reviewed the information in the tax caption on the cover page as well as the information under the heading "THE BONDS," "SECURITY FOR AND SOURCE OF PAYMENT OF THE BONDS," "TAX EXEMPTION," "BOND PREMIUM," "ORIGINAL ISSUE DISCOUNT," "RELATIONSHIP AMONG PARTIES" (but only as it relates to Bond Counsel) and "CONTINUING SECONDARY MARKET DISCLOSURE" (except as it relates to compliance with prior continuing disclosure undertakings) and in APPENDICES D – "Summary of Certain Provisions of Legal Documents," F – "Form of Approving Opinion" and G – "Form of Continuing Disclosure Certificate" but otherwise has not participated in the preparation of this Official Statement and will not pass upon its accuracy, completeness or sufficiency. Bond Counsel has neither examined nor attempted to examine nor verify any of the financial or statistical statements or data contained in this Official Statement and will express no opinion with respect thereto.

The fees of Bond Counsel and counsel to the Underwriters are to be paid from the proceeds of the sale of the Bonds and are contingent upon delivery of the Bonds.

The legal opinion to be delivered concurrently with the delivery of the Bonds express the professional judgment of the attorneys rendering the opinion as to the legal issues explicitly addressed therein. By rendering a legal opinion, the opinion giver does not become an insurer or guarantor of the expression of professional judgment, of the transaction opined upon or of the future performance of parties to the transaction, nor does the rendering of an opinion guarantee the outcome of any legal dispute that may arise out of the transaction.

RATINGS

S&P Global Ratings, a division of Standard & Poor's Financial Services, LLC ("S&P") and Fitch Ratings, Inc. ("Fitch") have assigned ratings of "AAA" and "AAA", respectively, to the Bonds. Such ratings will reflect only the views of S&P and Fitch. An explanation of the significance of a rating assigned by S&P may be obtained at 55 Water Street, 38th Floor, New York, New York 10041. An explanation of a rating assigned by Fitch may be obtained at 1 Post Street, Suite 900, San Francisco, California, 94104. Such ratings may be revised or withdrawn entirely by S&P or Fitch, if, in their respective judgment, circumstances so warrant. Any subsequent revision or withdrawal of such ratings may have an adverse effect on the market price of the Bonds. The Town will covenant in its continuing disclosure undertaking with respect to the Bonds that it will file, among other things, notice of any formal change in any such rating relating to the Bonds. See "CONTINUING SECONDARY MARKET DISCLOSURE" and Appendix G – "Form of Continuing Disclosure Certificate."

FINANCIAL ADVISOR

Wedbush Securities Inc. (the "Financial Advisor") has been engaged by the Corporation and the Town for the purpose of advising the Corporation and the Town as to certain debt service structuring matters specific to the Bonds and on certain matters relative to the Corporation's overall debt financing program. The Financial Advisor's fee for services rendered with respect to the sale of the Bonds is contingent upon the issuance and delivery of the Bonds. The Financial Advisor has assisted in the assembly and preparation of this Official Statement at the direction and on behalf of the Corporation and the Town. No person is entitled to rely on the Financial Advisor's participation as an assumption of

responsibility for, or an expression of opinion of any kind with regard to, the accuracy or completeness of the information contained herein.

UNDERWRITING

The Bonds will be purchased by J.P. Morgan Securities LLC, BofA Securities, Inc., Piper Sandler & Co., RBC Capital Markets, LLC and Morgan Stanley & Co. LLC (collectively, the "Underwriters") at an aggregate purchase price of $500,662,151.72, pursuant to a bond purchase agreement (the "Bond Purchase Contract") entered into by and among the Town, the Corporation and the Underwriters. If the Bonds are sold to produce the yields shown on the inside front cover hereof, the Underwriters' compensation will be $560,491.43. The Bond Purchase Contract provides that the Underwriters will purchase all of the Bonds so offered if any are purchased. The Underwriters may offer and sell the Bonds to certain dealers (including dealers depositing Bonds into unit investment trusts) and others at prices higher or yields lower than the public offering prices or yields stated on the inside cover page hereof. The initial offering yields set forth on the inside cover page may be changed, from time to time, by the Underwriters.

The Underwriters and their respective affiliates are full service financial institutions engaged in various activities, which may include sales and trading, commercial and investment banking, advisory, investment management, investment research, principal investment, hedging, market making, brokerage and other financial and non-financial activities and services. Under certain circumstances, the Underwriters and their affiliates may have certain creditor and/or other rights against the Town and its affiliates in connection with such activities. In the various course of their various business activities, the Underwriters and their respective affiliates, officers, directors and employees may purchase, sell or hold a broad array of investments and actively trade securities, derivatives, loans, commodities, currencies, credit default swaps and other financial instruments for their own account and for the accounts of their customers, and such investment and trading activities may involve or relate to assets, securities and/or instruments of the Town (directly, as collateral securing other obligations or otherwise) and/or persons and entities with relationships with the Town. The Underwriters and their respective affiliates may also communicate independent investment recommendations, market color or trading ideas and/or publish or express independent research views in respect of such assets, securities or instruments and may at any time hold, or recommend to clients that they should acquire, long and/or short positions in such assets, securities and instruments.

J.P. Morgan Securities LLC ("JPMS"), one of the Underwriters of the Bonds, has entered into negotiated dealer agreements (each, a "Dealer Agreement") with each of Charles Schwab & Co., Inc. ("CS&Co.") and LPL Financial LLC ("LPL") for the retail distribution of certain securities offerings at the original issue prices. Pursuant to each Dealer Agreement, each of CS&Co. and LPL may purchase Bonds from JPMS at the original issue price less a negotiated portion of the selling concession applicable to any Bonds that such firm sells.

BofA Securities, Inc., an underwriter of the Bonds, has entered into a distribution agreement with its affiliate Merrill Lynch, Pierce, Fenner & Smith Incorporated ("Merrill"). As part of this arrangement, BofA Securities, Inc. may distribute securities to Merrill, which may in turn distribute such securities to investors through the financial advisor network of this arrangement, BofA Securities, Inc. may compensate Merrill as a dealer for their selling efforts with respect to the Bonds.

RELATIONSHIPS AMONG PARTIES

Bond Counsel has previously represented the Underwriters and is currently representing the Underwriters with respect to other financings and has acted or is acting as bond counsel with respect to other obligations underwritten by the Underwriters and will continue to do so in the future if requested. Bond Counsel also serves as bond counsel for political jurisdictions whose boundaries include all or part of the Town. Additionally, Bond Counsel serves as bond counsel to the Town on various legal matters. Counsel to the Underwriters has represented, or is currently representing, the Underwriters with respect to other financings and will continue to do so in the future if requested. Counsel to the Underwriters also acts as bond counsel for other financings underwritten by the Underwriters. The Underwriters and the Financial Advisor have underwritten or acted as financial advisor on other transactions together and expect to do so in the future.

FINANCIAL STATEMENTS AND ACCOUNTING POLICIES

The financial statements of the Town as of June 30, 2021, and for its fiscal year then ended, excerpts of which are included as APPENDIX E of this Official Statement, have been audited by Heinfeld, Meech & Co., P.C. The accounting policies of the Town conform to generally accepted accounting principles as applicable to governmental units. For a more detailed summary of significant accounting policies see APPENDIX E – "Audited Financial Statements for the Fiscal Year Ended June 30, 2021."

Heinfeld, Meech & Co., P.C. has performed no procedures subsequent to rendering its opinion on the financial statements and has not been consulted in any manner pertaining to the issuance of the Bonds. They have, however, advised the Town that auditing professional standards permit the Town to include their report as set forth in APPENDIX E.

CERTIFICATION CONCERNING OFFICIAL STATEMENT

To the extent that any statements made in this Official Statement involve matters of opinion or estimates, whether or not expressly stated to be such, they are made as such and not as representations of fact or certainty and no representation is made that any of these opinions or estimates have been or will be realized. Information in this Official Statement has been derived by the Town from official and other sources and is believed by the Town to be accurate and reliable. Information other than that obtained from official records of the Town has not been independently confirmed or verified by the Town and its accuracy is not guaranteed. Neither this Official Statement nor any statement that may have been or that may be made orally or in writing is to be construed as part of a contract with the original purchasers or subsequent Owners of the Bonds.

This Official Statement has been approved by the Town and has been approved, executed and delivered by the Corporation.

TOWN OF GILBERT, ARIZONA
WATER RESOURCES
MUNICIPAL PROPERTY CORPORATION

By: /s/ Kevin Boudreau, President

APPENDIX A

THE SYSTEM

General

The Town provides water treatment, storage and delivery services and wastewater collection and treatment services to its citizens. It operates water treatment plants and distribution networks (the "Water System") and wastewater treatment reclamation plants and recharge facilities (the "Wastewater System" and, with the Water System, the "System"). Charges for services and system development fees pay the direct expenses and overhead costs associated with the System's operations, as well as the debt service on the Bonds.

System Finances

The tables on the following pages contain certain information concerning the rates, fees and charges for the System. The last rate increase for the Wastewater System was effective November 1, 2018. The Town implemented an increase in Water System rates effective April 1, 2022.

In addition to revenues from rates, fees and charges to the System, the Town also charges utility system development fees (the "System Development Fees" or "SDFs") for residential and commercial connection to the System. The SDFs are one-time charges paid by developers. The Town's SDFs are periodically reviewed and updated. Certain changes to the Town's water, water resources and wastewater SDFs were adopted in August 2017 and took effect in October of 2017. Gilbert has completed an updated comprehensive SDF review with updated fees, which was approved by Town Council March 2022 with a June 2022 implementation date. SDF reviews are conducted every 2 years.

THE WATER SYSTEM

The Town's planning area for its water resources consists of approximately 76 square miles of which approximately 55 square miles are within the Town's existing corporate limits and approximately 21 square miles are within the area that has been "strip annexed" or planned for future Town annexation. There are two smaller private water companies operating wells on the southern perimeter of the strip annexed area with fewer than 25 customers each.

The Town has an Integrated Water Resources Master Plan (the "Plan") which is updated every five years to ensure an adequate water supply. The Plan addresses water supply management during periods of normal and reduced water supply and provides an action plan for ensuring the delivery of water to its customers. The Town can enhance its water supply as necessary through guidelines that include: shifting deliveries of surface water from storage facilities for recharge credits to treatment plants for direct use; continuing the well maintenance program as backup supply for the recovery of stored water; applying to the State for a drought pumping exemption if necessary; increasing well pumping to access groundwater reserves and stored water reserves; if Salt River Project (the "SRP") supplies are reduced, purchasing excess Central Arizona Project (the "CAP") water, if available; closely monitoring watershed conditions; and, if available, increasing supplies by utilizing emergency connections with other municipal partners.

The Town's 19 wells located throughout the service area have the capacity to produce nearly 42 MGD of potable water. A total of 28 potable wells are planned to help meet water demand at Town build-out with an expected production capacity of 58 MGD. The distribution system includes over 1,200 miles of underground piping, ranging from 48 inches in the backbone system, to 4 inch residential distribution mains.

The Town has two water treatment plants: the NWTP and the San Tan Vista Water Treatment Plant (the "SVWTP", and, with the NWTP, the "Water Treatment Plants"). The NWTP gets its water from SRP and is treated conventionally by way of coagulation, flocculation, sedimentation and filtration. It can produce as much as 45 MGD and has a 16 million gallon reservoir. The SVWTP receives water from the CAP operated in partnership with the City of Chandler, Arizona ("Chandler") and is treated using ballasted flocculation. It can produce as much as 48 MGD, 24 MGD of which is reserved for use by the Town, and has 12 million gallons of storage capacity. The Town also utilizes disinfected groundwater for high demand periods and during canal maintenance.

The Town employs approximately 97 persons within three divisions (production, distribution and metering). At the start of calendar year 2022, the Water System serviced 89,016 accounts, 83,418 of which were residential, 4,143 of which were commercial/industrial, 248 of which were schools and 353 of which were municipal.

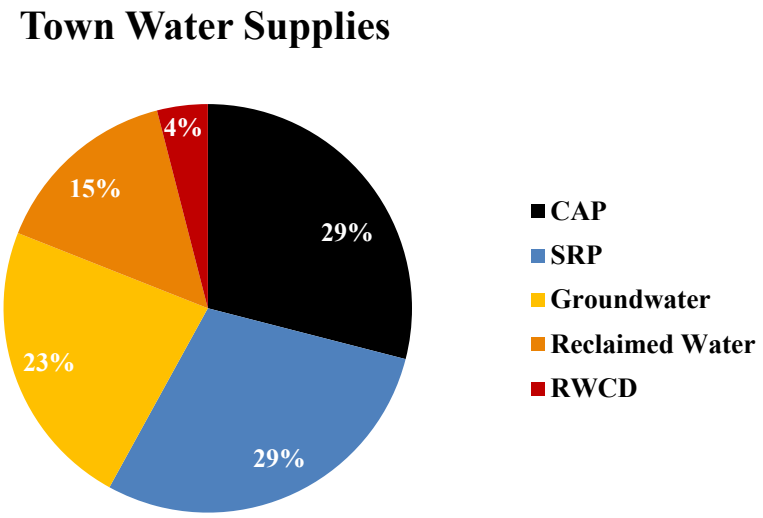
The Town plans to add capacity to the Water System to support growth and the demand requirements at build-out, with the construction of additional wells and with the addition of surface treatment capacity through plant expansion. Future demand is based on existing demand plus current water use data for specific land use types projected for the general plan build-out.

Water Supplies

The Town has a diverse water resources portfolio made up of surface water supplies from watersheds within Arizona (the Salt and Verde Rivers), and from the Colorado River. The Town also currently operates a total of 19 potable groundwater production wells, 13 of which are owned by the Town and six of which are owned by Salt River Project. Gilbert also utilizes 100% of its reclaimed water supply, reducing the demand for potable water used for landscape watering throughout the Town's planning area.

The following water resources are the major components of the Town's existing water resources portfolio, each of which is discussed in detail:

1. Salt River Project
2. Roosevelt Water Conservation District ("RWCD")
3. Colorado River Supplies
4. Groundwater
5. Reclaimed Water



Salt River Project: SRP is a public power and water utility that provides electric and water service to certain lands located within Gilbert. These specific lands were used as collateral during the early 1900's against the loan from the federal government to build the Roosevelt Dam, which impounds water from the 13,000 square mile watershed in northern and eastern Arizona. SRP now operates six reservoirs on the Salt and Verde River watershed, supplying water to over 240,000 acres in the metro Phoenix area. The SRP water supplies are delivered to Gilbert through the Eastern Canal, and are available for use only On-Project, or lands that were originally committed to the Salt River Valley Water Users Association. Rights to the SRP water are appurtenant to the lands within the SRP District, and with few exceptions, the right stays with the land, thus "On-Project." These lands generally include the areas within the Town's planning boundary that are west of the Eastern Canal, which total nearly 16,000 acres. As the On-Project lands develop, the water is "cut over" to Gilbert for treatment and delivery to the landowner through the municipal water distribution system. Approximately 12,000 acres of SRP On-Project lands have been cut over to Gilbert. Annual water allocations per acre are determined by SRP based upon reservoir storage conditions and are generally sufficient to meet On-Project water demands.

In 1990, Gilbert entered into a Water Delivery and Use Agreement ("WDUA") with SRP, which governs the Town's access to water supplies controlled or stored by SRP. The WDUA is considered a long-term supply of water under the Arizona Department of Water Resources ("ADWR") Assured Water Supply ("AWS") requirements.

Roosevelt Water Conservation District: The Roosevelt Water Conservation District ("RWCD") service area extends throughout portions of Gilbert as well as the Cities of Mesa, Arizona and Chandler, Arizona. RWCD lands within Gilbert's planning boundary extend from the Eastern Canal to the RWCD Canal. Operationally, RWCD is similar to SRP in that RWCD water must be used on RWCD lands only. Pursuant to an agreement between SRP and RWCD in 1924, and amended in 2010 to extend the agreement to 2134, RWCD agreed to line portions of SRP's canal system. In return, RWCD receives an entitlement to Salt and Verde River water equivalent to 5.6 percent of SRP water diversions at the Granite Reef Dam. This entitlement is then distributed through a system of shared SRP and RWCD canals to the lands within RWCD.

In a manner similar to the SRP WDUA, Gilbert obtains access to RWCD water under provisions of a Domestic Water Services Agreement with RWCD. In general, as lands within the RWCD are urbanized, currently totaling more than 16,000 acres, the surface water component that was used by irrigators is made available to Gilbert for municipal use. RWCD water can only be used on RWCD lands. The amount of RWCD water to which Gilbert is entitled varies from year to year based on the 5.6 percent rule. For AWS purposes, this volume is set at 7,794 acre-feet per year.

Colorado River Supplies: The CAP is designed to deliver approximately 1.5 million acre-feet ("MAF") of Colorado River water to central and southern Arizona. The estimated annual water supply available for delivery from the CAP in normal water years is 1.415 MAF. A total of 555,801 AF has been contracted by municipal and infrastructure ("M&I") entities, 462,801 AF are committed to Native American Communities, and 22,521 AF are under contract for agricultural purposes.

Gilbert has a subcontract with the Central Arizona Water Conservation District ("CAWCD") for 7,235 AF of M&I priority CAP water. As a part of the Salt River Pima-Maricopa Indian Community water rights settlement, Gilbert received 4,088 AF of Native American Community Priority CAP lease water, and 6,424 AF of Wellton-Mohawk Exchange Water. The Wellton-Mohawk Water Right pre-dates the 1968 CAP authorization, and therefore is a senior Water Right. Also through the settlement, RWCD agreed to deliver a portion of their CAP water to several cities in the Phoenix area. Gilbert received 1,537 AF. Gilbert has a 100-year Native American Community lease with the San Carlos Apache Tribe for 5,925 AF that was executed in 2019. In 2021, Gilbert added 1,832 AF of Non-Indian Agricultural priority water from the State. CAP surface water is considered a long-term reliable supply.

Gilbert has an additional Native American Community lease pending for its water resources portfolio, the White Mountain Apache Tribe ("WMAT") lease. In 2008, Gilbert entered into an agreement with the WMAT for lease water obtained through an exchange of SRP and RWCD surface water. The WMAT supply is a 100-year lease amounting to 4,226 AF and is estimated to be available in 2025.

Gilbert's current CAP supplies total 27,041 AF, and within three years are planned to grow to 31,267 AF. These supplies are delivered to the Town's Water Treatment Plants for delivery to customers. Gilbert can also store these supplies underground at recharge facilities nearby to be pumped out later using Gilbert's wells.

Groundwater: The AWS rules adopted by ADWR require that for a groundwater resource to be considered physically available, it must not cause the water table to drop below 1,000 feet below land surface over a 100-year pumping period. On September 29, 2010, Gilbert received its re-designation of AWS effective through year-end 2025. Gilbert's legal availability of groundwater is limited by Arizona's 1980 Groundwater Management Act, which includes the volume of groundwater in the Town's AWS Groundwater Allowance Account. The account includes groundwater in the following categories:

1. Groundwater allowance account (1,785 AF per year)
2. Accrued incidental recharge (3,200 AF per year)
3. Long-Term Storage Credits ("LTSC") (537,000 AF)

Gilbert has been recharging reclaimed water and excess CAP supplies to develop a recharge credit "bank account." The Town stores water in CAP facilities, the Riparian Preserve, the Neely Recharge Facility, and the South Area Recharge Facility. Gilbert also partners with multiple irrigation districts in the East Valley in the "In Lieu" recharge program. In this program, Gilbert orders its unused CAP water to be delivered to an irrigation district, who then delivers that water to their farmers, which reduces the district's need to pump groundwater and in turn reduces their cost to deliver water to their customers. Each irrigation district that participates with Gilbert pays the Town a per AF assessment on each AF delivered, plus Gilbert earns LTSC for the amount of groundwater not pumped. If the credits

are not used in the year they are stored, they become LTSCs. These credits can be used to offset future groundwater pumping.

Annual credits and LTSCs are accrued by recharging renewable supplies (CAP and reclaimed water), which can be used to offset groundwater pumping. Groundwater pumped that cannot be offset by annual credits or LTSC incurs a replenishment obligation through Gilbert's membership in the Central Arizona Groundwater Replenishment District ("CAGRD"). CAGRD is a department within the CAWCD that acts as a replenishment contractor for water providers located in CAP's tri-county area of Maricopa, Pinal and Pima Counties. Water providers who are unable to meet their service area demands without pumping groundwater in excess of their allowable limits can join CAGRD, who will then replenish the amount of groundwater pumped over the water provider's yearly limit at a current rate of $768/AF. Gilbert maintains membership in CAGRD to be used only if the Town is unable to acquire additional long-term renewable supplies and begins relying on LTSC's to offset groundwater pumping over the statutory limit.

Reclaimed Water: Since 1985, the Town has been treating wastewater to produce a reclaimed water supply that is either delivered directly to customers or recharged to provide storage credits to offset groundwater withdrawals. Gilbert uses 100 percent of the reclaimed water produced. The goal of Gilbert's reclaimed water management program is to beneficially use all of the reclaimed water produced by the Town through either reuse or recharge. Reclaimed water usage is designated for non-potable water uses such as landscape irrigation and other aesthetic uses. Irrigation water demands generate a seasonal water demand curve, with peak demands occurring during the summer months, and low demands during the winter or during precipitation events. Since the reclaimed water produced from the Water Reclamation Plant's is relatively constant, storage and recovery facilities need to be provided to manage the reclaimed water supply versus the seasonal demands. Gilbert currently has several recharge facilities available in which to store excess reclaimed water for later recovery to meet demands or to be banked in Gilbert's LTSC account to be used to offset excess groundwater withdrawals. Approximately half of Gilbert's reclaimed water is used directly for irrigation and half is recharged to offset groundwater pumping. Totaling approximately 15,000 AF currently, this supply grows along with the community, as it is reclaimed wastewater from our customers. Gilbert's 2021 long-term water supply totaled just over 78,000 AF, and its demand was 61,500 AF.

Drought Preparation

Gilbert maintains a Town Council approved Water Supply Reduction Management Plan which is updated periodically. The plan identifies water demand reduction responses that Gilbert will implement in the case of long-term surface water supply interruptions. The goal of the plan is to ensure adequate water service that meets customers' needs with the available supplies and infrastructure. Gilbert will utilize its full well capacity and remaining surface water supplies, but if the water supplies are not enough, customers will be asked to reduce use in stages, depending on the severity of water supply reductions. Because the plan sets forth triggers for each stage and the accompanying demand reduction measures, customers will not face uncertainty regarding which measures Gilbert will undertake to ensure reliable service. A copy of the Town's Water Supply Reduction Management Plan can be found at: https://www.gilbertaz.gov/home/showpublisheddocument/41870/637643885794770000.

Water Quality

The Town's water quality department operates a State-certified compliance laboratory used to ensure the Town's water supply meets rigorous state and federal water quality regulations. Samples are collected from the water treatment plants, well sites and dedicated water quality sample stations throughout the Town and tested to ensure quality, safety and compliance. Any other specialized testing is done through a certified drinking water testing laboratory off-site for more in-depth analysis. In addition, the Town monitors water quality through additional testing for bacteriological and inorganic contaminants and organic materials. This is used to optimize surface water treatment plant operations to adjust to any changes in incoming water quality and guarantee safe drinking water. The Town continuously monitors water quality parameters at the two treatment plants as well as across the 19 well sites and 15 water storage reservoirs. The Town's annual water quality reports can be found at: http://www.gilbertaz.gov/departments/public-works/water/water-qualityreports.

Water System Rates, Fees and Charges

All rates, fees and charges outlined in the following pages became effective April 1, 2022.

Monthly Base Water Charges: All customers are charged a base fee for water service, depending on the size of the meter.

TABLE 3

MONTHLY BASE WATER CHARGES

Meter Size	All Customers
¾”	$ 16.30
1”	27.25
1½”	54.30
2”	86.90
3”	173.95
4”	271.75
6”	546.60
8”	869.30

Water Consumption Charge: Customers are charged for water usage, the rate of which is dependent upon whether the customer is a residential or commercial user.

TABLE 4

WATER CONSUMPTION CHARGES

Gallons	Cost per 1,000 gallons Residential
0 - 8,000	$1.20
8,001 - 20,000	1.28
20,001 + 30,000	1.60
30,001 and above	2.06

Water Source	Cost per 1,000 gallons Non-Residential
Domestic Water	$1.60
Landscape Water	2.06

Reclaimed and Recovered Water Rates: The Town charges customers who use reclaimed and recovered water based on the source.

TABLE 5

RECLAIMED AND RECOVERED WATER RATES

Monthly Base Rate	$15.00

Source	Charge per 1,000 Gallons
Reclaimed Water (also called Direct Reuse Water)	$0.40
Recovered Well Water (from Private/Customer well sites)	0.80
Recovered Water (from Town of Gilbert well sites)	1.34

Hydrant Meter Usage: Hydrant charges are based on the size as well as water volume used.

TABLE 6

HYDRANT METER USAGE

3" Hydrant Deposit	$1,000.00
1" Hydrant Deposit	450.00
3" Hydrant Base Fee	173.95
1" Hydrant Base Fee	27.25
Usage Charge (per/1,000)	8.02
Meter Moving Fee	26.18
Installation Fee	54.80

The Town's ten largest Water System customers, based on fees and charges paid, are listed below.

TABLE 7

SCHEDULE OF THE 10 LARGEST WATER SYSTEM CUSTOMERS

Water System Customer	2020/21 Water System Fees/Charges
Town of Gilbert	$1,047,296
Gilbert Public Schools	723,086
Power Ranch Community	349,207
Higley Unified Schools	293,620
Morrison Ranch HOA	247,416
Islands Community HOA	233,471
Breit Olympus MF VIS	184,827
Seville Golf and Country Club	156,663
Seville Homeowners Association	144,534
Trilogy at Power Ranch	141,081
	$3,521,201
Total as a Percent of Total 2020/21 Water System Fees/Charges	6.06%

Source: Gilbert Finance Department.

[Remainder of page intentionally left blank.]

Water Customer History: Although the largest Water System customers are municipalities, schools and homeowners' associations, residential customers represent the largest share of total water usage for the Town. The Town's five-year water customer history is outlined in the table below.

TABLE 8

WATER CUSTOMER HISTORY
(Consumption in Gallons)

	Fiscal Year									
Water Connection	2020/21		2019/20		2018/19		2017/18		2016/2017	
Classification	Accounts	Consumption	Accounts	Consumption	Accounts	Consumption	Accounts	Consumption	Accounts	Consumption
Commercial/Industrial	4,267	4,125,092	4,000	3,577,023	4,038	3,425,423	3,982	3,700,835	3,952	3,573,216
Municipal	397	272,659	370	201,561	366	175,573	360	221,323	353	189,815
Residential	85,970	13,312,939	84,365	12,012,561	84,160	11,605,056	83,499	12,204,008	84,882	11,503,047
Schools	255	550,734	213	432,437	218	422,697	215	454,963	230	437,416
Construction Water	125	115,204	104	104,271	119	84,790	137	84,600	117	93,558
Totals	91,014	18,376,628	89,052	16,327,853	88,901	15,713,539	88,193	16,665,729	89,534	15,797,052

Source: Gilbert Finance Department.

THE WASTEWATER SYSTEM

The Wastewater System has 49 full time employees and serves approximately 55 square miles within the Town's existing corporate limits. At the end of fiscal year 2020/21, there were 82,608 wastewater accounts, 79,549 of which were single-family residential, 693 were multi-family residential, 2,126 were commercial/industrial, 161 were schools and 79 were municipal.

The Town is responsible for maintenance and operation of the collection portion of the Wastewater System (mains and lift stations), and the reclaimed reuse portion of the Wastewater System. The effluent reuse portion of the Wastewater System includes both percolation and recharge wells, as well as a reuse distribution system to major irrigation users.

The Greenfield Water Reclamation Plant

The Greenfield Water Reclamation Plant ("GWRP") is located in Southeast Gilbert and is a joint partnership with Mesa and Queen Creek and is operated by Mesa. The plant currently can treat 30 MGD with an eventual projected capacity of 55.6 MGD. Recent plant improvements increased Gilbert's ownership in the GWRP from 8 MGD to 12 MGD. See "SYSTEM IMPROVEMENTS" for a description of GWRP improvements. At full build-out it is anticipated that the Town will own 16.4 MGD, Mesa will own 27 MGD and Queen Creek will own 12.2 MGD of the total capacity.

GWRP produces class A+ reclaimed water per standards set by the Arizona State Department of Environmental Quality. The Town's portion of the reclaimed water is sent to a nearby recharge facility and direct reuse customers for irrigation use.

The Neely Wastewater Reclamation Facility

The Neely Wastewater Reclamation Facility ("NWRF" or "Neely") processes wastewater for the Northwest areas of the Town. The NWRF's present capacity is 11 MGD. While the Town's potable water supply and distribution facilities and the wastewater collection and effluent reuse facilities have been operated by Town staff, Neely is operated by Inframark, LLC ("Inframark"). The Town negotiated an Agreement for Operations and Maintenance Services (the "Operating Agreement") with Inframark for the operation of NWRF. Inframark is an established operator of public water and wastewater treatment facilities and systems and is currently operating similar facilities in the United States.

Under the terms of the Operating Agreement, the arrangement with Inframark will be renewed each year unless the Town gives 60 days written notice to Inframark of its intention to terminate the Operating Agreement. Under the terms of the Operating Agreement, Inframark is responsible for routine maintenance and the Town is responsible for "extraordinary costs" defined as any single item exceeding $5,000 and subject to a cap on costs based on the Consumer Price Index. In addition, in the Operating Agreement, Inframark agrees to indemnify the Town for wrongful death,

personal injury, property damage or economic loss arising from the negligent acts or omissions of Inframark in connection with the performance of its obligations under the Operating Agreement.

Recharge Facilities

The Town has pioneered the process of percolation recharge and injection recharge of treated effluent into the ground water table as a form of banking LTSC. This is in addition to the effluent reuse water system which is used to irrigate large parks, open spaces and golf courses in the Town. The Town operates groundwater recharge facilities with a current combined capacity of 20.6 MGD. The Town's recharge facilities consist of percolation basins and injection wells that deliver reclaimed water to the aquifer through infiltration. Current recharge facilities and their capacities are as follows:

1. Neely – 1.6 MGD
2. Riparian Preserve – 8 MGD
3. South Recharge Site – 9 MGD
4. Vadose zone injection wells (2) – 2 MGD

The Town also participates in water recharge at other facilities throughout the Phoenix metropolitan area including: 3% of the Granite Reef Underground Storage Project at 3,000 AF of recharge capacity per year; and the Superstition, Agua Fria and Tonopah Recharge projects owned by the CAWCD.

Wastewater System Rates, Fees and Charges

All rates, fees and charges outlined in the following pages became effective November 1, 2018. The Town is currently conducting a study of wastewater rates.

Wastewater Charges: The Town's residential charges are based on a variable charge per 1,000 gallons for 70% of the usage billed during winter months when water usage is typically lower.

TABLE 9

WASTEWATER CHARGES (a)

Classification	Base Charge	Fee	Usage
Residential — Single-Family	$24.73	N/A	N/A
Residential — Multi-Family (b)	24.73	N/A	N/A
Non-Residential	16.64	$1.65	per 1,000 gallons metered

(a) Revenues are defined to exclude development fees, including the connection development fees (commonly known as tap fees) associated with connecting to the wastewater system.

(b) Fee charged per residential unit.

[Remainder of page intentionally left blank.]

The Town's ten largest Wastewater System customers, based on fees and charges paid, are listed below.

TABLE 10

SCHEDULE OF THE 10 LARGEST WASTEWATER SYSTEM CUSTOMERS

Wastewater System Customer	2020/21 Wastewater System Fees/Charges	
Breit Olympus MF VIS	$284,615	
Branch Book Gardens	249,278	
Gilbert Public Schools	180,466	
Mid-America Apartments	161,437	
RRE Gilbert Holdings	137,103	
LIV Northgate	121,202	
Azul at Spectrum, AZ	108,144	
GS Baseline LLC	101,789	
San Clemente apartments	99,711	
AZ Flats at San Tan	93,708	
Total	$1,537,454	(a)
Total as a Percent of Total 2020/21 Wastewater System Fees/Charges	2.64%	

(a) Numbers may not add up due to rounding.

Source: Gilbert Finance Department.

Wastewater Customer History: Residential customers represent more than 97% of the Wastewater System customer base. The Town's five-year water customer account history is outlined in the table below. The numbers represent the active accounts at the end of the fiscal year.

TABLE 11

WASTEWATER CUSTOMER HISTORY

Wastewater Connection Classification	Number of Accounts for Fiscal Year				
	2020/21	2019/20	2018/19	2017/18	2016/2017
Commercial/Industrial	2,126	2,043	2,048	2,031	1,988
Municipal	79	72	69	91	82
Residential - Multi-family	693	613	540	492	471
Residential - Single-family	79,549	77,384	77,582	75,849	73,384
Schools	161	135	138	145	144
Totals	82,608	80,247	80,377	78,608	76,069

Source: Gilbert Finance Department.

SYSTEM DEVELOPMENT FEES

In an effort to ensure that the growth driven capital and infrastructure needs are funded by growth, the Town adopted comprehensive SDFs in 1997. The fees for water, wastewater, parks and recreation, general government, transportation and public safety are collected at the time a building permit is issued for residential, commercial and other non-residential development.

Most SDFs are calculated on a uniform basis for all new development. Growth-related projects are considered as increases in current system capacity rather than as specific improvements for any particular geographic location within the Town. The only exception is for wastewater which is broken out into the two service areas: Neely and GWRP. These service areas have unique costs of service and the SDFs are calculated independently for the two service areas to account for this.

Authorization and Purpose

Arizona Revised Statutes Section 9-463.05 authorizes SDFs to fund capital improvements only and SDFs may not be used to fund operating expenses. The amount of the SDF must bear a reasonable relationship to the burden imposed upon the municipality to provide additional necessary public services to the development.

SDFs are calculated based on the annual Capital Improvement Plan and Infrastructure Improvement Plan. In some cases, depending on the timing and financial requirements of each project, borrowing may also be required. In those cases, all of the borrowing and project costs are included in the amount to be funded through SDFs. In other words, projects that cannot be funded through the revenues generated by new construction permit activity, on a pay as you go basis, are also funded through borrowing. Projects in this category have traditionally been larger capital projects, such as expansions of the Water and Wastewater Treatment Plants.

System Development Fee Schedule

The Town's water, water resources and wastewater SDFs were adopted March 2022 and take effect June 2022. The Town is currently working with an outside consulting firm to do a comprehensive update of its infrastructure improvement plan and all SDFs.

The Town's current Water, Water Resources and Wastewater SDFs are listed in the table below:

TABLE 12

WATER AND WASTEWATER SYSTEM DEVELOPMENT FEES
Effective June 2022

	Meter Size (inches)	Water Resources and Development	Wastewater
Neely Service Area	0.75	$6,721	$157
	1.00	11,224	262
	1.50	22,383	522
	2.00	35,828	834
GWRP Service Area	0.75	$6,721	$2,586
	1.00	11,224	4,318
	1.50	22,383	8,610
	2.00	35,828	13,780

TOWN OF GILBERT, ARIZONA
GENERAL ECONOMIC AND DEMOGRAPHIC INFORMATION

The Town is located in the southeastern portion of Maricopa County, Arizona (the "County"), bounded on the north and east by Mesa, Arizona, on the west by Chandler, Arizona, on the southeast by Queen Creek, Arizona and on the south by the Gila River Indian Community. Founded in 1902 and incorporated on July 6, 1920, the Town today has a planning area of 72.6 square miles. The population of the Town nearly doubled in the 2000s. The following table illustrates respective population statistics for the Town, the County and the State:

POPULATION STATISTICS

Year	Town of Gilbert	Maricopa County	State of Arizona
2021 Estimate	273,796	4,507,419	7,285,370
2020 Census	267,918	4,420,568	7,151,502
2010 Census	208,453	3,817,117	6,392,017
2000 Census	109,697	3,072,149	5,130,632

Source: Gilbert Office of Management and Budget and the U.S. Census Bureau.

Municipal Government and Organization

The Town operates under a Council-Manager form of government. Six council members are elected at large for staggered four-year terms. The Mayor is directly elected by the Town electorate to a four-year term and is the Chief Executive Officer of the Town and Chair of the Town Council. The Town Council appoints a Town Manager who has full responsibility for carrying out Council policies and administering the Town operations. The Town Manager administers the Town's functions through department directors. The Town's employees are hired under personnel rules adopted by the Town Council. Functions of government and operation are provided by a staff of approximately 1,600. The Town provides or administers a full range of services including police and fire protection, ambulance transport, municipal court, development services (planning, code enforcement and engineering), public works (water, wastewater, environmental services, and streets), parks and recreation services and management services.

The Arizona State Constitution was amended by the voters in June of 1980 to establish a system of local government expenditure limitations. That system establishes a base expenditure limit for all communities in Arizona based upon their 1979/80 actual expenditures. The base limit is indexed annually for inflation and population growth for the community. Expenditures for voter approved debt service are exempted from the expenditure limit. The amendment also allows communities to establish their own (home rule) expenditure limit, or to permanently adjust their base limit through voter approval. In 1997 the voters of the Town approved a permanent base expenditure adjustment to allow for current and planned future expenditures for local government. The adoption of the permanent base adjustment eliminates the need to hold elections every four years seeking approval of the home rule expenditure limitation.

The Town is served by two electric utilities, Arizona Public Service Company and Salt River Project, each serving separate areas of the Town. Natural gas service is provided by Southwest Gas Corporation, phone and internet service by CenturyLink and Cox Communications, and water and wastewater services are provided by the Town. Residential solid waste services are provided by the Town; commercial solid waste services are provided by both the Town and private providers.

Economy

Once known as the hay shipping capital of the world, agriculture and extractive industries today comprise less than one percent of the Town's employment. The Town's historic agricultural economy of cotton, sorghum, grains, alfalfa, citrus, vegetables, and livestock production has transitioned into a modern metropolitan suburban economy, where office and industrial oriented employment comprise 40.6% and 18.6 % of total jobs, respectively. In 2021, new construction deliveries totaled over 2.8 million square feet, and an additional 3.2 million square feet was under construction as of February 2022. Of

the 3.2 million square feet under construction, approximately 1.5 million square feet is multi-family, 1.4 million square feet is industrial, and 179,000 square feet is retail, with the remainder distributed among other categories (office, flex, specialty, hospitality). Industrial demand has steadily increased, as the low cost of doing business and a streamlined regulatory environment continue to attract employers to the Greater Phoenix area. From 2016 to 2021, the Town added over 6,500 jobs.

The Town Office/Industrial Parks with total existing/under construction square footage greater than 100,000 square feet are described in the following table:

BUSINESS/INDUSTRIAL PARKS
Town of Gilbert, Arizona

Office/Industrial Park	Square Feet
El Dorado Tech Center	1,571,355
Fiesta Tech Center	1,167,119
Park Lucero/Park Lucero East	1,145,167
Rivulon (excluding car dealerships)	863,102
Gilbert Spectrum	612,583
East Valley Commerce Park	578,404
Elliot Commons Business Center	572,022
Sunrise Business Park	548,081
The Reserve at San Tan	469,149
Fiesta Ranch Business Park	426,601
Gilbert Gateway Commerce Park	416,593
Golden Key/Monterrey Industrial Area	355,084
Gilbert Crossroads	317,979
202 Business Park	268,698
AZ 60	225,600
Fuller Industrial Park	170,511

Source: Gilbert Economic Development Department.

The following table illustrates unemployment rate averages for the Town, the County, the State, and the United States:

UNEMPLOYMENT RATE AVERAGES

Year	Town of Gilbert	Maricopa County	State of Arizona	United States
2021	4.9	5.1	5.2	5.9
2020	8.0	7.4	9.5	10.2
2019	3.5	4.5	4.9	3.7
2018	3.5	4.1	4.8	3.8
2017	3.8	4.2	4.9	4.4

Source: Arizona Office of Unemployment and Population Statistics, in cooperation with the U.S. Department of Labor, Bureau of Labor Statistics.

Employers

The following table is a partial list of major employers within the Town:

MAJOR EMPLOYERS
Town of Gilbert, Arizona (a)

Employer	Business Type	Approximate Employment
Gilbert Unified School District 41	Education	3,868
Banner Health	Healthcare	2,008
Town of Gilbert	Government	1,650
Fry's Food Stores	Supermarkets	1,311
Go Daddy Software, Inc.	Technology	1,257
Higley Unified School District 60	Education	955
Dignity Health	Healthcare	872
Walmart	Supermarkets	868
Chandler Unified School District 80	Education	706
Deloitte	Business Services	675

(a) Some of such taxpayers or their parent companies are subject to the informational requirements of the Securities Exchange Act of 1934, as amended (the "Exchange Act"), and in accordance therewith file reports, proxy statements and other information with the Securities and Exchange Commission (the "Commission"). Such reports, proxy statements and other information (collectively, the "Filings") may be inspected and copied at the public reference facilities maintained by the Commission at 450 Fifth Street, N.W., Washington, D.C. 20549 and Northwestern Atrium Center, 400 West Madison Street, Suite 1400, Chicago, Illinois. Copies of the Filings can be obtained from the public reference section of the Commission at 450 Fifth Street, N.W., Washington, D.C. 20549 at prescribed rates. In addition, the Filings may also be inspected at the offices of the NYSE at 20 Broad Street, New York, NY 10005. The Filings may also be obtained through the Internet on the Commission's EDGAR database at http://www.sec.gov. None of the Town, the Financial Advisor, the Underwriters or their respective agents or consultants have examined the information set forth in the Filings for accuracy or completeness, nor do they assume responsibility for the same.

Source: The Town.

Construction

The following tables illustrate a building permit summary for residential and non-residential construction and new housing starts in the Town:

VALUE OF BUILDING PERMITS
Town of Gilbert, Arizona

Fiscal Year	Residential	Commercial and Industrial	Other	Total
2021/22 (a)	$147,895,243	$174,641,367	$1,980,180	$324,516,790
2020/21	310,395,178	346,325,788	1,082,837	657,803,803
2019/20	122,931,422	68,652,115	51,045,795	242,629,332
2018/19	236,910,724	176,527,330	75,238,414	488,676,468
2017/18	264,459,197	90,406,305	102,747,281	457,612,783
2016/17	311,221,548	110,532,935	56,288,119	478,042,602

(a) Year to date through March 28, 2022.

Source: Gilbert Development Services Department.

SINGLE FAMILY HOME PERMITS ISSUED (a)
Town of Gilbert, Arizona

Fiscal Year	Total
2021/22 (b)	675
2020/21	2,161
2019/20	1,194
2018/19	1,535
2017/18	1,604
2016/17	1,754

(a) The date on which the permit is issued is not to be construed as the date of construction.

(b) Permits issued as of February 2, 2022.

Source: Gilbert Development Services Department.

Commerce

The Town's connectivity to major markets is provided through a comprehensive transportation network which includes the State Route 202 and U.S. Route 60, Sky Harbor International Airport, and Phoenix-Mesa Gateway Airport. This robust transportation network provides access to Town-based enterprises while providing reliable and accessible modes of transportation to local, national and international markets. According to Environmental Systems Research Institute ("ESRI"), within a 30-minute commute, there are over 1,150,000 working age (15-64) people.

In tandem with an educated workforce, the Town's concentration of employers in Science, Technology, Engineering and Math ("STEM") and related occupations is an essential component of the community's economic development foundation. According to the latest ESRI community demographic estimates, 45.1 percent of Gilbert residents age 25-plus have a bachelor's degree or higher, compared to 32.7 percent for the Phoenix Metropolitan Statistical Area ("MSA"). According to the 2019 Census American Community Survey, 43.1 percent of Gilbert residents age 25-plus hold a bachelor's degree in a science, engineering, or related field. Moreover, 45.0 percent of the Phoenix MSA's STEM & STEM related jobs are within a 30-minute commute of Gilbert. The Town's job-based economic development strategy specifically identifies (a) Finance, Insurance and Real Estate, (b) Business, Healthcare, Education and Professional Services, (c) Manufacturing, and (d) High Technology as industries on which to focus business attraction and expansion efforts.

The Town's Heritage District continues to experience growth through an influx of restaurant, retail, art, cultural and higher education institutions. Since 2019, The Town welcomed nine new businesses to the district, and announced the expansion of the University of Arizona ("UArizona") nursing program and subsequent build-out of the 4th floor of the University Building. Adding to the inventory, a 40,000 square foot office and retail building was added to the market in early 2020. In addition, the planned development of the nine-plus acre site at the northern end of the District received approval to move forward with the proposed development plan. This project is expected to consist of at least 500,000 gross square feet, including Class A Office Space, Retail Space, a Hotel and Multifamily Housing.

The Town's Central Business District runs along State Route 202 (the "San Tan Freeway") and is marked by a high concentration of financial, professional, industrial, and healthcare services. The Central Business District is experiencing a growing diversity in high-wage science and technology jobs with ongoing business park development. Within this employment center is Rivulon, a Nationwide Realty Investors mixed-use development. The Rivulon development is approximately 250 acres in size and is projected to contain 3 million square feet of office and 500,000 square feet of retail and hospitality uses.

Rivulon currently totals nearly 1.2 million square feet of office and retail development. Isagenix International, a provider of health and nutrition products, moved its world corporate headquarters to Rivulon in 2016. More recently, Deloitte opened a major U.S. delivery center at Rivulon and is scheduled to add over 1,500 jobs to the site. There are three business and industrial parks located just south of the San Tan Freeway and east of Gilbert Road: The Reserve at San Tan is a Class "A" 42-acre business park totaling 469,149 square feet of office space; the 202 Business Park is comprised of 268,698 square feet

of industrial space; and Park Lucero with 582,247 square feet of industrial space. Slated to be the next substantial employment corridor in the southeast valley, this trade area also hosts other office and industrial parks such as the Gilbert 202 Commerce Center and Gilbert Crossroads. In the last two years, Gilbert Crossroads also completed the development of 300,000-plus square feet of light industrial space and Park Lucero East added an additional 600,000-plus square feet. Build-out of the Central Business District is expected in the next 10 to 15 years.

Many life science and healthcare related businesses occupy the area just east of the Central Business District and are anchored by the Dignity Healthcare Mercy Gilbert Medical Campus, the main driver for development in the area. In 2019, Dignity Healthcare completed an 80,000 square foot expansion of the Mercy Gilbert Medical Campus with the addition of a new medical office building. A five story, 378,000 square foot, tower focusing on women's and pediatric health and wellness, in partnership with Phoenix Children's Hospital, is currently underway at the site. Other notable projects include Cancer Treatment Centers of America, the Celebration Stem Cell Centre, Hospice of the Valley, Ironwood Cancer Treatment Centers, and many smaller medical office condos. Growth in the healthcare sector also includes a 300,000 square foot expansion of the Banner Gateway Medical Center currently underway at the U.S. Route 60 and Higley Road.

To the north of the San Tan Freeway are a variety of office and retail uses. Notably, Val Vista Square, which contains over 70,000 square feet of existing office, and 10,000 square feet of retail. An additional 250,000 square feet of office and over 50,000 square feet of retail are also proposed for the site. Travelling east from Val Vista Square along the San Tan Freeway, we find the San Tan Marketplace and San Tan Village. The San Tan Marketplace/Village area is home to over 2.4 million square feet of existing commercial space. The majority, approximately 2.3 million square feet, is retail.

The Town is currently home to numerous retail establishments that also accommodate the needs of the Town's growing population. Total Town privilege (sales) tax collections are an indicator of overall economic growth within the Town and reflect the flow of cash in businesses in the Town. In fiscal year 2021, the Town experienced a 15.2 percent increase in sales tax collections over the previous year, which followed six consecutive years of year over year growth in excess of 7.0 percent. Over this period the Town has successfully diversified its tax base and boosted the proportion of tax revenue attributable to visitor spending.

Transportation

Industry, business, and residents benefit from the transportation network available in and near the Town. Rail, air, and highway facilities are developed throughout the area.

The Town is centrally located to several highway and freeway systems. Twelve miles to the west is Interstate Highway I-10, which joins the cities of Phoenix, Arizona and Tucson, Arizona. In addition to direct access to over eight miles of the San Tan Freeway, where a new traffic interchange at Lindsay Road is under construction, the Town has access to U.S. Route 60, one-half mile north, and State Highway 87 on the west. The Union Pacific Railroad, as well as numerous interstate and intrastate motor freight carriers, facilitates the transport of area products and supplies. Transcontinental bus service is available through Phoenix, Arizona. In 2020, the South Mountain Loop 202 extension was fully completed, which allows east valley motorists and commuters to connect with the Downtown Phoenix area and the West Valley more conveniently.

Chandler Municipal Airport is located four miles southwest of the Town's central business district and has two runways, one 4,400-foot runway and the other, a 4,850-foot runway. Mesa's Falcon Field is about seven miles from the Town's northern border, and has two runways, one 5,100 feet in length and the other 3,800 feet in length. Phoenix Sky Harbor International Airport, located about 13 miles from the Town, provides local, regional, and international air service.

Phoenix-Mesa Gateway Airport

Phoenix-Mesa Gateway Airport ("AZA") has three runways (10,401 feet, 10,201 feet, and 9,301 feet) and an expanded and remodeled passenger terminal. AZA is a small, but growing hub of passenger and commercial service. While commercial passenger activity declined fiscal year 2019/20 and fiscal year 2020/21 as compared to previous years, through January of fiscal year 2022, commercial passenger activity is up 57% year-to-date as compared to fiscal year 2020/21.* The number of carriers at AZA has increased steadily over time with seven in operation in fiscal year 2021/22.

AZA is a Foreign Trade Zone and home to several companies operating in the aircraft maintenance, modification, testing, and pilot training space. The area is home to 1,600 employees concentrated in High Tech Manufacturing and Development

* Fiscal Year Traffic Counts, Phoenix Mesa Gateway Airport

(13.5 percent), Construction (12.5 percent) and Business Services (11.5 percent). Aviation related companies operating within the area are focused on Support Activities for Air Transportation, Airport Operations, and Aviation related manufacturing. AZA is owned and operated by the Phoenix-Mesa Gateway Airport Authority whose members include the Town, Phoenix, Arizona, Mesa, Arizona, Queen Creek, Arizona, Apache Junction, Arizona and the Gila River Indian Community.

Construction on the first phase of State Route 24, a one-mile freeway segment extending access from the existing San Tan Freeway eastward, was completed in fall 2013 and the second phase is currently under construction. This freeway segment lies immediately north of Phoenix-Mesa Gateway Airport and provides freeway access to the east side of the airport property.

Education

Park University and UArizona have both opened campuses in Gilbert. Park University serves traditional and non-traditional students looking to start or advance their career and to provide them with affordable and convenient educational programs. Programs are offered at the undergraduate and graduate level, as well as accelerated adult-learning options. UArizona offers a Bachelor of Science in Nursing ("BSN") devoted to blending conventional health care with complementary approaches to mind-body-spirit wellbeing. The four-semester, upper-division BSN Integrative Health program differs from the conventional BSN pathway in that it focuses on integrative health and wellbeing assessment and promotion. UArizona also announced it will move its Master of Science in Nursing – Entry to the Profession ("MEPN") program from downtown Phoenix to the University Building in Gilbert in the fall of 2022. The MEPN program retrains students with university degrees in other fields to become nurses, while simultaneously earning a master's degree.

Adjacent to AZA, the Airport/Campus District serves approximately 8,700 students. The campus includes five higher education partners: Arizona State University ("ASU") Polytechnic campus, Chandler-Gilbert Community College, Embry-Riddle Aeronautical University, Mesa Community College and the University of North Dakota's UND Aerospace flight training center. The ASU Polytechnic campus has expanded and added new academic buildings that doubled the instructional lab and classroom space, and added faculty offices, dormitories, a recreation center and a 500-seat auditorium. ASU, with its main campus in the neighboring Tempe, Arizona, is one of the largest universities in the United States. Excluding online programs, total enrollment at the university's six valley campuses is over 100,000.

Mesa Community College, one of the 10 campuses that comprise the Maricopa County Community College District ("MCCCD"), is located three miles from the Town and offers comprehensive educational programs to a student enrollment of just over 20,000. Chandler-Gilbert Community College, also part of the MCCCD, occupies a campus adjacent to the Town in the City of Chandler, Arizona. The college offers a wide range of credit and non-credit courses with a student population of approximately 15,000.

The Town has a nationally ranked K-12 system through the Gilbert, Higley and Chandler public school districts. The Gilbert Unified School District serves over 33,000 students in 40 schools. The Higley Unified School District covers a portion of the eastern area of the Town and presently has 16 schools and serves just over 12,000 students. The Chandler Unified School District serves just over 44,000 students and covers the southern area of the Town. In addition, Gilbert is home to 21 charter schools and several private schools.

TOWN OF GILBERT, ARIZONA
FINANCIAL DATA

Current Statistics (for fiscal year 2021/22)
Town of Gilbert, Arizona

Total General Obligation Bonded Debt to be Outstanding	$320,740,000	(a)
Total Public Facilities Municipal Property Corporation Bonded Debt Outstanding	35,615,000	(b)
Total Subordinate Lien Obligations Outstanding	33,450,000	(c)
Total Water Resources Municipal Property Corporation Bonded Debt to be Outstanding	590,360,000	(d)
Total Improvement District Bonded Debt Outstanding	4,000,000	(e)

Net Limited Assessed Property Value	$2,807,360,551
Net Full Cash Assessed Property Value	3,805,306,307
Estimated Net Full Cash Value	33,985,598,725

The Town's preliminary fiscal year 2022/23 Net Limited Assessed Property Value is estimated at $2,990,879,633. The Town's preliminary fiscal year 2022/23 Net Full Cash Assessed Property Value is estimated at $4,101,111,156. The Town's preliminary fiscal year 2022/23 Net Full Cash Value is estimated at $37,019,416,000. The values are subject to positive or negative adjustments until approved by the Board of Supervisors of the County on or before August 15, 2022.

(a) See "Direct General Obligation Bonded Debt to be Outstanding" in this APPENDIX.

(b) See "Public Facilities Municipal Property Corporation Bonded Debt Outstanding" in this APPENDIX.

(c) See "Subordinate Lien Excise Tax/State Shared Revenue Obligations Outstanding" in this APPENDIX.

(d) Includes the Bonds. See "Water Resources Municipal Property Corporation Bonded Debt to be Outstanding" in this APPENDIX.

(e) See "Improvement District Bonded Debt Outstanding" in this APPENDIX.

Source: *Abstract of the Assessment Roll*, Arizona Department of Revenue and *Property Tax Rates and Assessed Values,* Arizona Tax Research Association, the Treasurer of the County, the Assessor of the County and the Finance Department of the County. Note that Net Assessed Property Value for Secondary Tax Purposes is described as "Net Assessed Value" in the Property Tax Abstract.

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STATEMENTS OF INDEBTEDNESS
Town of Gilbert, Arizona

Direct General Obligation
Bonded Debt to be Outstanding

Issue Series	Purpose	Original Amount	Maturity Dates	Balance Outstanding
2017	Various Purpose	$121,670,000	7-1-17/36	$58,610,000
2020	Public Safety Facility	61,730,000	7-1-22/39	58,200,000
2020	Refunding	15,020,000	7-1-23	15,020,000
2022 (a)	Various Purpose	199,785,000	7-15-24/42	188,910,000
Total General Obligation Bonded Debt to be Outstanding				$320,740,000

(a) The issuance of the General Obligation Bonds, Series 2022 is scheduled to close on May 24, 2022.

Public Facilities Municipal Property Corporation
Senior Lien Excise Tax/State Shared Revenue
Bonded Debt Outstanding

Issue Series	Purpose	Original Amount	Maturity Dates	Balance Outstanding
2017	Municipal Facilities	$6,450,000	7-1-17/27	$6,450,000
2017	Refunding	43,075,000	7-1-17/27	29,165,000
Total Senior Lien Excise Tax/State Shared Revenue Bonded Debt Outstanding				$35,615,000

Subordinate Lien Excise Tax/State Shared Revenue
Obligations Outstanding

Issue Series	Purpose	Original Amount	Maturity Dates	Balance Outstanding
2015	University Facility	$36,980,000	7-1-17/45	$33,450,000
Total Subordinate Lien Obligations Outstanding				$33,450,000

Water Resources Municipal Property Corporation
Senior Lien Utility System Revenue Bonded Debt to be Outstanding

Issue Series	Purpose	Original Amount	Maturity Dates	Balance Outstanding
2016	Refunding and System Improvements	$115,940,000	7-1-17/36	$89,390,000
2018	System Improvements	37,460,000	7-1-18/31	27,965,000
Subtotal				$117,355,000
	Plus: The Bonds			473,005,000
Total Senior Lien Utility System Revenue Bonded Debt to be Outstanding				$590,360,000

Improvement District
Bonded Debt Outstanding (a)

Issue Series	Purpose	Original Amount	Maturity Dates	Balance Outstanding
2002	No. 19 - Water and Sewer Improvements	$6,510,000	1-1-05/27	$65,000
2009	No. 20 - Various Purposes	8,675,000	1-1-12/29	3,935,000
Total Improvement District Bonded Debt Outstanding				$4,000,000

(a) These bonds are payable from special assessments levied on the property benefited by the financed improvements. Such bonds are a contingent liability of the Town to the extent of any delinquent assessments.

PENSION AND POST EMPLOYMENT BENEFITS

Retirement Benefits

The Town contributes to the three plans described below. Benefits are established by state statute and generally provide retirement, death, long-term disability, survivor and health insurance premium supplement benefits. See also APPENDIX C – "Town of Gilbert, Arizona Audited Financial Statements for the Fiscal Year Ended June 30, 2021, Note 9 – *Pension and Other Postemployment Benefits*."

The Arizona State Retirement System

The Arizona State Retirement System ("ASRS") is a cost-sharing, multiple agency defined benefit plan in which the Town participates. It provides benefits to approximately 628,000 public employees and, in 2021, paid in excess of $3.6 billion in benefits to approximately 169,000 retired annuitants, their survivors, and to approximately 3,000 disabled members. The ASRS has reported an increase in its overall unfunded liabilities of $297 million or 1.9% from the prior fiscal year. The most recent annual reports for the ASRS may be accessed at: https://www.azasrs.gov/content/annual-reports.

For fiscal year 2020/21 the Town's contribution rate to the ASRS was 12.22% (11.65% for retirement, 0.39% for health insurance premium benefit, and 0.18% for long-term disability). The ASRS adopted contribution rate for fiscal year 2021/22 is 12.41% (12.01% for retirement, 0.21% for health insurance premium benefit and 0.19% for long-term disability). The Town's contributions to the ASRS for fiscal years 2020/21 and 2019/20 were $7,263,134 and $6,355,725, respectively, both of which were equal to the required contributions for the year.

At June 30, 2021, Gilbert reported a liability of $90,610,769 for its proportionate share of the ASRS' net pension liability, which compares with a net pension liability as of June 30, 2020 of $75,693,697. The reported liability increased by $14.9 million due to an increase of 0.003% of the Town's proportionate share of the net pension liability from the previous fiscal year along with changes in ASRS' net pension liability.

The Arizona Public Safety Personnel Retirement System

The Arizona Public Safety Personnel Retirement System ("PSPRS") is an agent multiple-employer defined benefit plan that covers public safety personnel who are regularly assigned to hazardous duties. The Arizona Legislature establishes and may amend active plan members' contribution rates and has reported increases in unfunded pension liabilities. The effect of the increase in the PSPRS's unfunded liabilities has resulted in significantly increased contributions by all of the participating agencies including the Town and its employees. The specific future impact on the Town, or on the Town and its employees' future annual contributions to the PSPRS, cannot be determined at this time. The most recent annual reports for the PSPRS may be accessed at: http://www.psprs.com/investments--financials/annual-reports.

At June 30, 2021, Gilbert reported liabilities for police and fire of $40,804,930 and $20,415,060, respectively, which compares with net pension liabilities for police and fire for fiscal year 2020 of $49,228,288 and $18,147,796, respectively. This represented a decrease in PSPRS net pension liability of $6.2 million, or 9.1%. The decrease has been the result of the Town making significant contributions in excess of required contributions over the last six years.

	Active Member-Pension	Active Member-Health	Gilbert-Pension	Gilbert-Health
Police				
PSPRS Tier 1	7.65%		31.76%	0.27%
PSPRS Tier 2	11.65%		31.76%	0.27%
PSPRS Tier 3				
Defined benefit only	9.21%	0.14%	26.39%	0.14%
PSPRS Tier 3				
Defined contribution only	10.41%		27.00%	
Fire				
PSPRS Tier 1	7.65%		22.79%	0.29%
PSPRS Tier 2	11.65%		22.79%	0.29%
PSPRS Tier 3				
Defined benefit only	9.21%	0.14%	16.90%	0.14%
PSPRS Tier 3				
Defined contribution only	10.41%		17.51%	

The Town's required pension contributions to the PSPRS for fiscal years 2020/21 and 2019/20 were $9,367,660 and $9,145,164, respectively. The Town's fiscal year 2020/21 contribution exceeded the actuarially required contribution by $15.0 million. As of June 30, 2021, the Town's net pension liability for the PSPRS was $61,219,990, which did not reflect the additional fiscal 2020/21 payments mentioned herein. In November 2020, the Town sent PSPRS $5 million to pay down its police unfunded liability and in March 2021, the Town sent PSPRS an additional $8 million and $2 million to pay down its unfunded liabilities for police and fire, respectively.

The most recent annual reports for the PSPRS may be accessed at: http://www.psprs.com/investments--financials/annual-reports.

The Elected Officials Retirement Plan

The Elected Officials Retirement Plan ("EORP") has reported increases in its unfunded liabilities. The effect of the increase in the EORP's unfunded liabilities is expected to result in significant increases in contributions by all of the participating agencies including the Town and its employees; however, the specific impact on the Town, or on the Town and its employees' future annual contributions to the EORP cannot be determined at this time. The Town's contributions to the EORP for Fiscal years 2020/21 and 2019/20 were $1,723,794 and $1,535,105, respectively. Enacted legislation places future elected officials in the recently created Elected Officials Pension Contribution Retirement System.

For fiscal years 2020/21 the Town's contribution rate to the EORP was 61.43%. The EORP adopted contribution rate for fiscal year 2021/22 remained the same as prior year. The most recent annual reports for the EORP may be accessed at: http://www.psprs.com/investments--financials/annual-reports.

Other Post-Employment Benefits

Other post-employment healthcare benefits ("OPEB"), like the costs of pension benefits, constitute an exchange of compensation for employee services rendered. Similar to pension benefits, the cost of OPEB generally should be associated with the periods in which the exchange occurs rather than in future periods in which the benefits are provided. GASB Statement No. 75, *Accounting and Financial Reporting for Postemployment Benefits Other Than Pensions*, as amended by GASB Statement No. 85, *Omnibus 2017*, required the Town to measure and recognize net

assets or liabilities, deferred outflows of revenues, deferred inflows of resources, and expenses/expenditures related to OPEB provided through defined benefit OPEB plans and to provide information about the future demands on the Town's future cash flows.

The Town provides post-employment medical care, prescription drug and dental care for retired employees through a single-employer defined benefit medical and dental plan. The plan provides medical and dental benefits for eligible retirees, their spouses and dependents through the Town's group health and dental insurance plans, which cover active and retired members. To be eligible for benefits, the retired employee must retire under one of the state retirement plans for public employees, must have a minimum of ten years of service with the Town and be covered under the Town's medical plan during their active status. Plan benefits and coverage levels are reviewed annually by Town staff and the Board of Trustees for recommendations to and approval by Town Council. The Board of Trustees makes premium recommendations to the Town Council based on revenues needed to cover the projected cost to operate the plan which are subject to approval by the Town Council. As of June 30, 2021, there were 57 retirees that were currently receiving medical and/or dental benefits.

The plan is not accounted for as a trust fund because an irrevocable trust has not been established to account for the plan. The plan does not issue a separate financial report.

The Town requires retirees to pay 125% of the full blended contribution rate. The Town makes no contributions for retirees other than allowing them to participate through the Town's pooled benefits. By providing retirees access to the Town's healthcare plans, the Town is in effect providing a subsidy to retirees. This implied subsidy exists because on average, retiree healthcare costs are higher than active employee healthcare costs. The Town pays for and reports retiree benefits on a pay-as-you-go basis, which is the practice of paying for these benefits as they become due each year. As of June 30, 2021, retirees contributed $499,019 and the Town contributed $97,744 (implied subsidy).

The Town's annual net OPEB liability is an amount actuarially determined in accordance with the parameters of GASB Statement No. 75.

The Town's net OPEB liability and related information for the plan at June 30, 2021 are as follows:

Balances at June 30, 2020	$775,237
Changes for the year:	
Service cost	88,914
Interest	22,369
Difference between expected and actual experience	181,231
Changes in assumptions/inputs	(194,875)
Benefit payments	97,744
Net changes	195,383
Balances at June 30, 2021	$970,620

APPENDIX D

SUMMARY OF CERTAIN PROVISIONS OF LEGAL DOCUMENTS

The following information summarizes or paraphrases certain provisions of the Town Purchase Agreement and the Indenture pursuant to which the Bonds are to be issued. Such summaries or paraphrasing are not full statements of the terms of such documents and, accordingly, is qualified by reference to the full text thereof. References to section numbers herein refer to the section number of the respective documents.

CERTAIN DEFINITIONS

The following are definitions in summary form of certain terms used in the Town Purchase Agreement and the Indenture and not otherwise defined herein:

"*Administrative Expenses*" means the reasonable cost or value of all services rendered by the Town and its various departments with respect to the System.

"*Bond Fund*" means the fund of that name created pursuant to the Indenture and held by the Trustee.

"*Bondholder*" shall have the same meaning as "*Holder*."

"*Bond Year*" means the period commencing July 2 of each year and ending July 1 of the next year.

"*Defeasance Obligations*" means (a) cash (insured at all times by the Federal Deposit Insurance Corporation or otherwise collateralized with obligations described in the following clause), and (b) obligations of, or obligations guaranteed as to principal and interest by, the United States of America or any agency or instrumentality thereof, when such obligations are backed by the full faith and credit of the United States of America, including (i) U.S. treasury obligations, (ii) all direct or fully guaranteed obligations, (iii) Farmers Home Administration, (iv) General Services Administration, (v) Guaranteed Title XI financing, (vi) Government National Mortgage Association (GNMA), and (vii) State and Local Government Series. Any security used for defeasance must provide for the timely payment of principal and interest and cannot be callable or prepayable prior to maturity or earlier redemption of the rated debt (excluding securities that do not have a fixed par value and/or whose terms do not promise a fixed dollar amount at maturity or call date).

"*Event of Default*" means one of the events defined as such in the Town Purchase Agreement or the Indenture, as the case may be.

"*Fiscal Year*" means the 12-month period used by the Town for its general accounting purposes as the same may be changed from time to time, said fiscal year currently extending from July 1 to June 30.

"*Independent Certified Public Accountant*" means a firm of certified public accountants which is not in the regular employ of the Town or the Corporation on a salary basis.

"*Independent Engineer*" means an independent engineer or firm of such engineers having a favorable reputation with respect to the matters in question.

"*Interest Account*" means the account of the Bond Fund by that name created under the Indenture.

"*Interest Requirement*" means (i) with respect to the Bonds, as of any date of calculation, the interest amount on the Bonds due during the applicable Fiscal Year, and (ii) with respect to Parity Obligations, as of any date of calculation, the amount required to be paid by the Town during the applicable Fiscal Year with respect to interest on Parity Obligations.

"*Net Revenues*" means that portion of the Revenues remaining after providing sufficient funds for the Operation and Maintenance Expenses as required by the Town Purchase Agreement.

"*Operation and Maintenance Expenses*" means all costs reasonably incurred in connection with the operation, use and maintenance of the System, including (i) repairs necessary to keep the System in efficient and economical operating condition, (ii) the payments of premiums for insurance required to be carried on the System, (iii) payments of reasonable Administrative Expenses and (iv) generally all expenses of the System except depreciation, interest expense on the Bonds or Parity Obligations, and interest expense on any obligations subordinate to the Bonds or Parity Obligations.

"*Other Moneys*" means moneys of the Town other than Net Revenues which are, at the time any payment is required under the Town Purchase Agreement, legally available to make such payment.

"*Parity Lien Test Debt Service*" means an amount of money equal to the highest aggregate Interest Requirement and Principal Requirement of all outstanding Senior Obligations to fall due and payable in the current or any future Fiscal Year. For purposes of determining Parity Lien Test Debt Service for any Fiscal Year, the Interest Requirement on the Senior Obligations shall be determined based on interest on all outstanding Senior Obligations to their stated maturity dates unless the Town shall have given the Corporation irrevocable instructions to redeem some or all outstanding Senior Obligations pursuant to the Indenture or the Parity Obligation Documents, in which case the Interest Requirement on the Senior Obligations shall be determined based on interest on all outstanding Senior Obligations to their stated maturity or, with respect to Senior Obligations for which such irrevocable redemption instructions have been given, prior redemption dates. In case any Parity Obligations outstanding or proposed to be issued shall bear interest at a variable rate, the Interest Requirement of such Parity Obligations in each Fiscal Year during which such variable rate applies shall be computed at the lesser of (i) the maximum rate which such Parity Obligations may bear under the terms of their issuance or (ii) the rate of interest established for long-term bonds by the 20-year bond index most recently published by The Bond Buyer of New York, New York, prior to the date of computation (or in the absence of such published index, some other index selected in good faith by the Finance and Management Services Director of the Town after consultation with one or more reputable, experienced investment bankers as being equivalent thereto).

"*Parity Obligation Documents*" means any ordinance, indenture, contract or agreement of the Town constituting or authorizing Parity Obligations.

"*Parity Obligations*" means the Senior Obligations having a lien payable from Net Revenues of the System on a parity with the Bonds which are currently outstanding (including the Series 2016 Bonds and Series 2018 Bonds) or may hereafter be issued by the Town (or any financing conduit acting on behalf of the Town) in compliance with the terms of the Town Purchase Agreement.

"*Principal Account*" means the account of the Bond Fund of that name created under the Indenture.

"*Principal Requirement*" means (i) with respect to the Bonds, as of any date of calculation, the principal amount of the Bonds maturing or subject to mandatory redemption pursuant to the Indenture during the applicable Fiscal Year, and (ii) with respect to Parity Obligations, as of any date of calculation, the amount required to be paid by the Town during the applicable Fiscal Year with respect to principal of Parity Obligations. In computing the Principal Requirement for Parity Obligations, an amount of Parity Obligations required to be redeemed pursuant to mandatory redemption in each year shall be deemed to fall due in that year and (except in case of default in observing a mandatory redemption requirement) shall be deducted from the amount of Parity Obligations maturing on the scheduled maturity date.

"*Purchase Price*" means the sum of the payments required by the Town Purchase Agreement to be paid by the Town to or for the account of the Corporation as the purchase price for the System Improvements.

"*Revenue Fund*" means the fund of that name created pursuant to the Town Purchase Agreement and held by the Town.

"*Revenues*" means and includes all income, moneys, and receipts to be received by the Town, directly or indirectly, from the ownership, use, or operation of the System, including any waste material or by-products of the

System, and also including investment income. Revenues shall include the allocable portion of any development, impact, connection or related fee or charge available as a result of the existence of the System.

"*Senior Obligations*" means any bond or other obligation payable from Net Revenues which enjoys a prior and paramount claim on Net Revenues (including the Bonds and any Parity Obligations).

"*Series 2016 Bonds*" means the Corporation's Senior Lien Utility System Revenue and Revenue Refunding Bonds, Series 2016, which are on a parity with the Bonds.

"*Series 2018 Bonds*" means the Corporation's Senior Lien Utility System Revenue Bonds, Series 2018, which are on a parity with the Bonds.

"*System*" means and includes all of the properties and facilities of the complete waterworks and sewer plant and system of the Town, whether lying within or without the boundaries of the Town, as now existing and as they may hereafter be improved or extended, all improvements, additions and extensions thereto or replacements thereof hereafter constructed or acquired by purchase, contract or otherwise and all contracts, rights, agreements, leases and franchises of every nature owned by the Town and used or useful or held for use in the operation of said plant and system or any part or portion thereof.

* * *

THE TOWN PURCHASE AGREEMENT

Section 2.1 Agreement to Issue Bonds; Application of Bond Proceeds. In order to provide funds for payment of the costs of the Improvements, including but not limited to costs of issuance of the Bonds, the Corporation shall cause the Bonds to be issued under the Indenture.

* * *

Section 3.3 Amounts of Purchase Price Payable Upon Issuance of Bonds. The Town shall pay, solely from Net Revenues or Other Moneys the Town chooses to make available, as the Purchase Price, the aggregate of the amounts for which provision is made in this section 3.3 as the Purchase Price:

(a) On the tenth (10th) day of each January and July, commencing January 10, 2023, until principal of and interest on the Bonds shall have been fully paid or provision for the payment thereof shall have been made in accordance with the Indenture, the Town shall pay an amount equal to the amount which, when added to the amount then on deposit in the Interest Account, shall be equal to the interest due on the Bonds falling due on the next succeeding payment date. (The Town shall also pay the amounts due with respect to arbitrage rebate with respect to the Bonds.)

(b) On the tenth (10th) day of each July, commencing July 10, 2023, until principal of and interest on the Bonds have been fully paid or provision for the payment thereof shall have been made in accordance with the Indenture, the Town shall pay an amount which, when added to the amount then on deposit in the Principal Account, shall be equal to the principal due or subject to mandatory redemption on the next succeeding payment date.

(c) If at any payment date following delivery of the Bonds the balance available in the Bond Fund is insufficient to make required payments of principal and interest due on such date, the Town shall pay any such deficiency in sufficient time to prevent default in the payment of principal of or interest on the Bonds falling due on such payment date; provided however, that any amount at any time held by the Trustee in the Interest Account or the Principal Account shall be credited against the aforesaid respective obligations next thereafter required to be met by the Town, but only to the extent such amount is in excess of the amount required for payment of past due interest or principal whether or not such Bonds shall have been presented for payment.

(d) The Town shall pay to the Trustee its fees and expenses in accordance with the provisions of Section 8.8 of the Indenture.

(e) The Town shall pay to the official entitled to collect the same, when due, all taxes of whatever nature, if any, that may be imposed upon the System Improvements, the Corporation, its property, operations or income, whether by state, local or federal government, and including every governmental charge whether for services rendered or not, which the Corporation is required or may be required by law to pay with respect to the System Improvements.

(f) To the extent not paid from proceeds of the sale of the Bonds, the Town shall pay to the Corporation amounts sufficient to reimburse the Corporation for all its expenses in connection with the issuance of the Bonds and negotiations, execution and delivery of the Town Purchase Agreement if and when paid by the Corporation.

In the event the Town should fail to make when due any of the payments required in this section 3.3, the item or installment so in default shall continue as an obligation of the Town payable solely from Net Revenues, until the amount in default shall have been fully paid, and the Town shall pay the same with interest thereon at the rate applicable to the corresponding maturities of Bonds, from the date said payment was to be made to the date of payment by the Town until paid.

* * *

Section 3.5 Limitation on Source of Purchase Payments. Except to the extent the Town determines to make payments from Other Moneys, all Purchase Payments shall be payable solely from Net Revenues as provided in the Town Purchase Agreement. Under no circumstances shall amounts paid under the Town Purchase Agreement from such Other Moneys constitute a pledge of such Other Moneys, and amounts payable by the Town thereunder shall never constitute a general obligation of the Town or a pledge of ad valorem taxes by the Town.

Section 3.6 Obligations of Town Unconditional. The obligations of the Town to make the Purchase Payments and to perform and observe the other agreements on its part contained in the Town Purchase Agreement shall be absolute and unconditional, regardless of the continued existence of the Property or its physical condition. Until such time as the principal of and interest on the Bonds shall have been fully paid or provision for the payment thereof shall have been made in accordance with the Indenture, the Town (a) shall not diminish, suspend or discontinue any Purchase Payments, (b) shall perform and observe all of its other agreements contained in the Town Purchase Agreement and (c) shall not terminate the Town Purchase Agreement for any cause including, without limiting the generality of the foregoing, any acts or circumstances that may constitute failure of consideration, loss, theft, or destruction of or damage to the System Improvements, or any part thereof, frustration of purpose, any change in the tax or other laws of the United States of America or of the State or any political subdivision of either thereof, or any failure of the Corporation to perform and observe any agreement, whether express or implied, or any duty, liability or obligation arising out of or connected with the Town Purchase Agreement. Nothing contained in this section 3.6 shall be construed to release the Corporation from the performance of any of the agreements on its part herein contained and, in the event the Corporation shall fail to perform any such agreement on its part, the Town may institute such action against the Corporation as the Town may deem necessary to compel performance or recover its damages for non-performance so long as such action shall not violate or impair the effectiveness of the agreements on the part of the Town contained in the next two preceding sentences. The Town may, however, at its own cost and expense and in its own name or in the name of the Corporation, prosecute or defend any action or proceeding or take any other action involving third persons which the Town deems reasonably necessary in order to secure or protect its rights of ownership, possession and use hereunder, and in such event the Corporation shall cooperate fully with the Town and to take all action necessary to effect the substitution of the Town for the Corporation in any such action or proceeding if the Town shall so request.

* * *

Section 4.2 Rate Covenant. The Town shall continuously own, control, operate and maintain the System in an efficient and economical manner and on a revenue producing basis and shall at all times establish, fix, maintain and collect rates, fees and other charges for all utility services furnished by the System fully sufficient at all times:

(a) To pay the Operation and Maintenance Expenses;

(b) To produce an aggregate amount of Net Revenues in each Fiscal Year equal to the sum of (i) one hundred twenty-five percent (125%) of Interest Requirement and Principal Requirement for the then current Fiscal Year on all Senior Obligations then outstanding in such Fiscal Year and (ii) one hundred percent (100%) of the aggregate of the debt service on comparable payments, separately payable and secured on a basis subordinate to the Senior Obligations by Net Revenues; and

(c) To produce Net Revenues in each Fiscal Year which will remedy all deficiencies in payments into any of the funds and accounts described in the Town Purchase Agreement required from prior Fiscal Years for the payment of the Purchase Price as well as the payment of principal of and interest on Parity Obligations.

The Town shall cause an amount of Net Revenues to be included in the annual budget and appropriation for every Fiscal Year commencing with the Fiscal Year immediately following the delivery of the Town Purchase Agreement sufficient to meet all requirements of the Town Purchase Agreement.

* * *

Section 4.4 Flow of Funds – Revenue Fund. The Town shall deposit all of the Revenues in the Revenue Fund from time to time as received. Money in the Revenue Fund shall be applied as follows:

(a) Revenues in amounts necessary to pay the Operation and Maintenance Expenses shall be paid from the Revenue Fund monthly on the fifth day of each month of each Bond Year.

(b) After making the payments required to be made pursuant to subsection (a), Net Revenues in the amount of the Purchase Payment then due shall be paid from the Revenue Fund to the Trustee in amounts corresponding to debt service on Senior Obligations when due, such amounts in the Revenue Fund being pledged to the payment thereof as provided in the Indenture.

(c) After all of the payments required in the foregoing subsections have been made, Net Revenues shall be regarded as surplus and may be used for any lawful purpose of the Town, including the retirement of Senior Obligations, construction of extensions and improvements to the System, and the payment of the principal of and interest (including reasonable reserves therefor) on any other obligations or indebtednesses which by their terms are payable from the Net Revenues of the System, but subordinate to the Senior Obligations and which have been issued for the purpose of renewals, replacements, extensions or improvements to the System or for the purpose of constructing, acquiring, improving or extending the water or wastewater facilities for the Town and further that if such surplus in the Revenue Fund is to be used for the purpose of retiring Senior Obligations in advance of maturity by redemption or by the purchase of such Senior Obligations on the open market, the price for such Senior Obligations so purchased shall at no time exceed the par value of such Senior Obligations plus interest accrued or the price at which such Senior Obligations could be called for redemption on the next succeeding call date.

If in any month the money in the Revenue Fund is insufficient to pay the required amount, the deficiency shall be made up in the following month or months after the payment first to be paid from the Revenues as described hereinabove has been met in full.

No further payments of the Purchase Price need be made whenever the amount on deposit in the Bond Fund is sufficient to retire all Bonds then outstanding and to pay all unpaid interest accrued and to accrue prior to such retirement.

* * *

Section 4.8 Prior Lien Obligations; Parity Obligations. The Town shall not incur any obligations payable from Net Revenues ranking prior to the obligations of the Town under the Town Purchase Agreement or any outstanding Parity Obligations.

The Town shall not incur any obligations payable from Net Revenues in the future on a parity with its obligations under the Town Purchase Agreement or any outstanding Parity Obligations except for (a) additional Parity Obligations entered into or issued for the purpose of refunding the Senior Obligations if, upon the incurring of such additional Parity Obligations, the conditions specified in Section 4.9 of the Town Purchase Agreement are met, or (b) such additional Parity Obligations entered into or issued for purposes other than refunding the Senior Obligations and for the purpose of providing funds to make improvements and expansions to the existing System, to purchase capacity rights in sewage treatment plant facilities owned by other political subdivisions of the State, to purchase capacity rights in water treatment plant facilities owned by other political subdivisions of the State, to acquire land, rights in land or water rights for the System, to provide reasonable reserves for Senior Obligations, to refund Senior Obligations or to refund other bonds of the Town, if any, whether revenue bonds, general obligation bonds or other bonds or obligations, issued to provide funds to construct or acquire additions, extensions, improvements, expansions or replacements to the System if, upon the incurring of such additional Parity Obligations, the conditions specified in Section 4.10 of the Town Purchase Agreement are met.

Section 4.9 Parity Obligations for Refunding Purposes. Any or all of the Senior Obligations may be refunded at maturity, upon redemption in accordance with their terms or with the consent of the holders thereof, and the refunding Parity Obligations so entered into or issued shall constitute Parity Obligations; provided, however, that:

(a) The requirements in Section 4.10 of the Town Purchase Agreement shall be satisfied, except that for the purpose of the calculation required in the first paragraph thereof, the percentage requirement on such additional Parity Obligations will be taken into consideration only in any future Fiscal Year in which any fractional part of such additional Parity Obligations will remain outstanding after the issuance of such Parity Obligations and the Town Clerk shall have received a certificate or report of the Finance & Management Services Director of the Town or an Independent Certified Public Accountant demonstrating the same, or

(b) All outstanding Senior Obligations are being refunded under arrangements which immediately result in making provision for the payment of the refunded Senior Obligations.

Section 4.10 Additional Parity Obligations Generally. Additional Parity Obligations may also be issued for other than refunding purposes as described above in Sections 4.8 and 4.9 if, prior to the issuance thereof, the Town will not, at the time of the issuance thereof, be in default under any Senior Obligations or under the Town Purchase Agreement or Parity Obligation Documents, and there shall have been procured and filed with the Town Clerk and the Trustee a certificate or report by the Finance & Management Services Director of the Town or an Independent Certified Public Accountant to the effect that the aggregate amount of Net Revenues for the last full Fiscal Year immediately preceding the issuance thereof were equal to the sum of (i) not less than one hundred twenty-five percent (125%) of Parity Lien Test Debt Service, including the obligations proposed to be issued, (ii) not less than one hundred percent (100%) of the aggregate amounts payable in such Fiscal Year and secured on a subordinate basis by Net Revenues and (iii) not less than one hundred percent (I00%) of any additional amounts required to maintain or fund necessary fund balances under the Town Purchase Agreement or Parity Obligation Documents.

Any such certificate or report required pursuant to this Section 4.10 may contain the following adjustments to Net Revenues for such most recently completed Fiscal Year:

(a) If Revenues have been increased as a result of construction of additions or acquisitions to the System made prior to the issuance thereof but during either the Fiscal Year in which the same are to be issued or in the preceding Fiscal Year, such increased Revenues may be treated as if such additions to the System were completed on the first day of the Fiscal Year used for purposes of the computation. The Revenues derived from such additions and acquisitions to the System may be converted for purposes of computation to estimated Net Revenues which would have been derived therefrom if said additions and acquisitions had actually been completed on the first day of the year used for computation purposes, such estimates to be made by an Independent Engineer.

(b) If all or part of the proceeds thereof are to be expended for the acquisition of existing water or wastewater properties or facilities, there may be added to the Net Revenues of such preceding Fiscal Year the Net Revenues which would have been derived from the operation of such properties or facilities if such properties or facilities had been acquired or operated by the Town under the applicable rate schedule of the Town during the entire preceding Fiscal Year, such Net Revenues to be estimated by an Independent Engineer.

(c) If prior to the issuance thereof and subsequent to the first day of such preceding Fiscal Year, the Town shall have increased its rates or charges imposed for water or wastewater services, there may be added to the Net Revenues of such Fiscal Year the additional Net Revenues which would have been received from the operation of the System during such Fiscal Year had such increase been in effect throughout such Fiscal Year, such additional Net Revenues to be estimated by an Independent Engineer.

* * *

Article V. Covenants Regarding the System. The Town shall maintain the System in good condition, maintain insurance on the System sell, lease, encumber or dispose of property comprising a part of the System only after satisfying certain requirements, keep proper books, records and accounts of the System, adopt a budget for the System for each Fiscal Year, and not grant a franchise or permit the operation of any competing water system in the Town.

* * *

Section 7.1 Events of Default. Any one or more of the following events shall constitute a default under the Town Purchase Agreement:

(a) The Town shall fail to make any payment of the Purchase Price sufficient to pay amounts due on the Bonds when due;

(b) The Town shall fail to perform any other covenant in the Town Purchase Agreement for a period of thirty (30) days after written notice specifying such default shall have been given to the Town by the Corporation or the Trustee, provided that if such failure be such that it cannot be remedied within such 30 day period, it shall not be deemed an Event of Default so long as the Town diligently tries to remedy the same; or

(c) The filing by the Town of a voluntary petition in bankruptcy, or failure by the Town promptly to lift any execution, garnishment or attachment, or assignment by the Town for the benefit of creditors, or the entry by the Town into an agreement of composition with creditors, or the approval by a court of competent jurisdiction of a petition applicable to the Town in any proceedings instituted under the provisions of the Federal Bankruptcy statutes, as amended, or under any similar acts which may hereafter be enacted.

Section 7.2 Remedies on Default by Town. Upon the occurrence of an Event of Default as above defined, the Corporation shall, but only if requested to do so by the Trustee, without further demand or notice, exercise any of the available remedies at law or in equity, including, but not limited to, specific performance. The obligations of the Town under the Town Purchase Agreement may not be accelerated. The Corporation may assign any or all of its rights and privileges under this section to the Trustee (subject to its rights and protection under the Indenture), and upon furnishing evidence of such assignment to the Town, the Trustee may exercise any or all of such rights or privileges as it may deem advisable.

* * *

Section 9.3 Amendments. The Town Purchase Agreement may only be amended with the express written consent of the Trustee and in accordance with the provisions of the Indenture.

* * *

THE INDENTURE

Pursuant to the Indenture, the Corporation grants a security interest in, assigns, transfers, pledges, grants and conveys unto the Trustee and its successors and assigns the following described property:

A. All rights and interests of the Corporation in, under and pursuant to the Town Purchase Agreement, provided that the assignment made by this clause shall not include (i) any assignment of any obligation of the Corporation under the Town Purchase Agreement (and the Trustee shall have no duties with respect thereto) or (ii) any assignment of any right of the Corporation thereunder to inspect books and records, or to give or receive notices, approvals, consents, requests or other communications or approvals, or any right to limitation of liability, indemnification of liability, or payment or reimbursement of fees, costs or expenses,

B. Amounts on deposit from time to time in the funds and accounts created pursuant to the Indenture, subject to the provisions of the Indenture permitting the application thereof for the purposes and on the terms and conditions set forth therein, and

C. Any and all other real or personal property of any kind from time to time hereafter by delivery or by writing of any kind specifically conveyed, pledged, assigned or transferred, as and for additional security under the Indenture for the Bonds by the Corporation or by anyone on its behalf or with its written consent, in favor of the

Trustee.

* * *

The Bonds authorized and the payments to be made by the Corporation thereon and into the various funds established under the Indenture are not general obligations of the Corporation but are limited obligations payable solely from payments under the Town Purchase Agreement.

* * *

Section 5.3 Flow of Funds in the Bond Fund. So long as any Bonds are outstanding, in each Bond Year, payments received by the Trustee shall be applied in the following manner and order of priority:

(a) *Interest Account*. The Trustee shall deposit to the Interest Account on the tenth (10th) day of each January and July commencing January 10 2023, an amount equal to the amount of the interest to be paid on outstanding Bonds on the next payment date. Moneys in the Interest Account shall be used to pay interest on the Bonds as it becomes due.

(b) *Principal Account*. The Trustee shall deposit to the Principal Account on the tenth (10th) day of each July commencing July 10, 2023, an amount equal to the principal amount at maturity plus an amount equal to any mandatory redemption requirement of Bonds outstanding which will mature or be subject to mandatory redemption on the next payment date as well as the total of any principal amounts coming due which have been called for optional redemption. Moneys in the Principal Account shall be used to retire Bonds by payment at their scheduled maturity, their mandatory redemption retirement date or optional redemption date directed by the Town.

* * *

Section 7.1 Events of Default. Each of the following is declared an "Event of Default" under the Indenture:

(a) If payment of any installment of interest on any Bond shall not be made in full when the same becomes due and payable;

(b) If payment of the principal or redemption premium, if any, on any Bond shall not be made in full when the same becomes due and payable;

(c) If under the provisions of any law for the relief or aid of debtors, any court of competent jurisdiction shall assume custody or control of all or any part of the interests pledged hereunder and such custody or control shall continue for more than 60 days;

(d) If the Corporation shall default in the due and punctual performance of any other of the covenants, conditions, agreements and provisions on its part to be performed as provided herein or in the Bonds and such default shall continue for 30 days after written notice specifying such default and requiring the same to be remedied shall have been given to the Corporation and the Town by the Trustee, unless within such 30 days the Corporation shall have commenced and be diligently pursuing in good faith appropriate corrective action to the satisfaction of the Trustee; the Trustee may give such notice in its discretion and shall give such notice at the written request of the Holders of not less than 25% in principal amount of the Bonds then outstanding; or

(e) If any "Events of Default" under the Town Purchase Agreement occurs.

Section 7.2 Remedies and Enforcement of Remedies.

(a) Upon the occurrence and continuance of any Event of Default and in accordance with Article VII of the Indenture and Article VII of the Town Purchase Agreement, the Trustee may, and upon

the written request of the Holders of not less than a majority in principal amount of the Bonds outstanding, together with indemnification of the Trustee to its satisfaction therefor, shall, proceed promptly to protect and enforce its rights and the rights of the Bondholders thereunder and the Bonds by such suits, actions or proceedings as the Trustee, being advised by counsel, shall deem expedient, including but not limited to, an action for the recovery of any amounts due thereunder or for damages for the breach of the Indenture, and the Trustee may pursue any other remedy which the law affords, including the remedy of specific performance. The Trustee shall also have those remedies which the Corporation is provided pursuant to Article VII of the Town Purchase Agreement, subject to any limitations on such remedies set forth therein.

(b) Regardless of the happening of an Event of Default and subject to Section 7.7 of the Indenture, the Trustee, if requested in writing by the Holders of not less than a majority in principal amount of the Bonds then outstanding shall, upon being indemnified to its satisfaction therefor, institute and maintain such suits and proceedings as it may be advised shall be necessary or expedient (i) to prevent any impairment of the security thereunder by any acts which may be unlawful or in violation thereof, or (ii) to preserve or protect the interests of the Holders, as their interests may appear, provided that such request is in accordance with law and the provisions of the Indenture. Nothing in the Indenture shall be deemed to authorize the Trustee to authorize or consent to or accept or adopt on behalf of any Holder any plan of reorganization, arrangement, adjustment, or composition affecting the Bonds or the rights of any Holder thereof, or to authorize the Trustee to vote in respect of the claim of any Holder in any such proceeding without the approval of the Holders so affected.

Section 7.3 No Acceleration. In no event shall the Trustee have the right to accelerate or cause to become immediately due and payable or payable in advance of their scheduled maturity dates, other than because of optional redemption pursuant to the Indenture and then only to the extent of the amount to be so redeemed and only pursuant to Article III of the Indenture, amounts due thereunder.

Section 7.4 Application of Revenues and Other Moneys After Default. During the continuance of an Event of Default all moneys received by the Trustee pursuant to any right given or action taken under the provisions of this Article, shall, after payment of the costs and expenses of the proceedings resulting in the collection of such moneys and of the fees, expenses and advances incurred or made by the Trustee with respect thereto and any amounts due the Trustee under Section 8.8 of the Indenture and the creation of a reasonable reserve for anticipated fees, costs and expenses, be deposited in the Bond Fund, and all amounts held by the Trustee in the Bond Fund thereunder shall be applied as follows:

First: To the payment to the persons entitled thereto of all installments of interest (including interest on amounts unpaid when due on the Bonds) then due, and, if the amount available shall not be sufficient to pay in full any installment or installments then due, then to the payment thereof ratably in a manner consistent with the second sentence of Section 5.3(a) of the Indenture, according to the amounts due thereon to the persons entitled thereto, without any discrimination or preference; and

Second: To the payment to the persons entitled thereto of the unpaid Principal Installments or redemption price of any Bonds which shall have become due, whether at maturity or by call for redemption, in the order of their due dates, and if the amounts available shall not be sufficient to pay in full all the Bonds due on any date, then to the payment thereof ratably in a manner consistent with the second sentence of Section 5.3(b) of the Indenture, according to the amounts of Principal Installments or redemption price due on such date, to the persons entitled thereto, without any discrimination or preference.

Whenever moneys in the Bond Fund are to be applied by the Trustee pursuant to the provisions of this Section, such moneys shall be applied by it at such times, and from time to time, as the Trustee shall determine, having due regard for the amount of such moneys available for application and the likelihood of additional moneys becoming available for such application in the future. Whenever the Trustee shall apply such moneys, it shall fix the date upon which such application is to be made and upon such date interest on the amounts of principal of the Bonds to be paid on such dates shall cease to accrue. The Trustee shall give such notice as it may deem appropriate of the deposit with it of any such moneys and of the fixing of any such date, and shall not be required to make payment to the Holder of

any unpaid Bond until such Bond shall be presented to the Trustee for appropriate endorsement of any partial payment or for cancellation if fully paid.

Whenever all principal of and interest on the Bonds which has become due has been paid under the provisions of this Section and all expenses and charges of the Trustee have been paid and the Bond Fund contains the amounts then required to be credited thereto, any balance remaining shall be paid to the Town.

* * *

Section 7.7 Individual Bondholder Action Restricted.

(a) No Holder of any Bond shall have any right to institute any suit, action or proceeding in equity or at law for the enforcement thereof or for the execution of any trust under the Indenture or for any remedy thereunder except for the right to institute any suit, action or proceeding in equity or at law for the enforcement of the Trustee's duties and powers thereunder upon the occurrence of all of the following events:

(i) The Holders of at least a majority in principal amount Bonds outstanding shall have made written request to the Trustee to proceed to exercise the powers granted in the Indenture; and

(ii) Such Bondholders shall have offered the Trustee indemnity as provided in the Indenture; and

(iii) The Trustee shall have failed or refused to exercise the duties or powers therein granted for a period of 60 days after receipt by it of such request and offer of indemnity; and

(iv) During such 60-day period no direction inconsistent with such written request has been delivered to the Trustee by the Holders of a greater majority in principal amount of Bonds then outstanding.

(b) No one or more Holders of Bonds shall have any right in any manner whatsoever to affect, disturb or prejudice the security thereof or to enforce any right thereunder except in the manner therein provided and for the equal benefit of the Holders of all Bonds outstanding.

(c) Nothing contained in the Indenture shall affect or impair, or be construed to affect or impair, the right of the Holder of any Bond (i) to receive payment of the principal of or premium, if any, or interest on such Bond, as the case may be, on or after the due date thereof or (ii) to institute suit for the enforcement of any such payment on or after such due date; provided, however, no Holder of any Bond may institute or prosecute any such suit or enter judgment therein if, and to the extent that, the institution or prosecution of such suit or the entry of judgment therein would, under applicable law, result in the surrender, impairment, waiver or loss of the lien thereof on the moneys, funds and properties pledged thereunder for the equal and ratable benefit of all Holders of Bonds.

* * *

Section 7.9 Waiver of Event of Default.

(a) No delay or omission of the Trustee or of any Holder of the Bonds to exercise any right or power accruing upon any Event of Default shall impair any such right or power or shall be construed to be a waiver of any such Event of Default or an acquiescence therein. Every power and remedy given by this Article may be exercised from time to time and as often as may be deemed expedient.

(b) The Trustee may waive any Event of Default which in its opinion shall have been remedied before the entry of final judgment or decree in any suit, action or proceeding instituted by it under, the provisions thereof of the Indenture, or before the completion of the enforcement of any other remedy

thereunder.

(c) In case of any waiver by the Trustee of an Event of Default under the Indenture, the Corporation, the Trustee and the Bondholders shall be restored to their former positions and rights thereunder, respectively, but no such waiver shall extend to any subsequent or other Event of Default or impair any right consequent thereon. The Trustee shall not be responsible to anyone for waiving or refraining from waiving any Event of Default in accordance with this Section.

* * *

Section 9.1 Supplements not Requiring Consent of Bondholders. The Corporation acting through an appropriate representative and the Trustee may, but without the consent of or notice to any of the Holders, enter into one or more supplements to the Indenture for one or more of the following purposes:

(a) To cure any ambiguity or formal defect or omission therein or to correct or supplement any provision in the Indenture which may be inconsistent with any other provision therein, or, to make any other provisions with respect to matters or questions arising thereunder provided such action shall, in the opinion of the Trustee, not materially adversely affect the interests of the Holders;

(b) To grant or confer upon the Holders any additional rights, remedies, powers or authority that may lawfully be granted or conferred upon them;

(c) To secure additional revenues or provide additional security or reserves for payment of the Bonds;

(d) To comply with the requirements of any state or federal securities laws or the Trust Indenture Act of 1939, as from time to time amended, if required by law or regulation lawfully issued thereunder;

(e) To provide for the appointment of a successor trustee or co-trustee pursuant to the terms of the Indenture;

(f) To permit Bonds in bearer form if, in the opinion of Bond Counsel received by the Corporation and the Trustee, such action will not cause the interest on any Bonds to become includible in gross income for purposes of federal income taxes;

(g) To preserve the exclusion of the interest on the Bonds from gross income for purposes of federal or State income taxes and to preserve the power of the Corporation to continue to issue bonds or other obligations (specifically not limited to the Bonds authorized hereby) the interest on which is likewise exempt from federal and State income taxes; and

(h) To adopt procedures for the disclosure of information to Bondholders and to others in accordance with any guidelines for such purpose promulgated by the American Bankers Association or some other similar national organization, as such guidelines may be made applicable to the Indenture by agreement of the Trustee, the Corporation and the Town.

Section 9.2 Supplements Requiring Consent of Bondholders.

(a) Other than supplements to the Indenture referred to in Section 9.1 thereof and subject to the terms and provisions and limitations contained in this Article and not otherwise, the Holders of not less than a majority in principal amount of the Bonds then outstanding shall have the right , from time to time, anything contained therein to the contrary notwithstanding, to consent to and approve the execution by the Corporation acting through an appropriate representative and the Trustee of such supplement as shall be deemed necessary and desirable by the Corporation and the Trustee for the purpose of modifying, altering, amending, adding to or rescinding, in any particular respect, any of the terms or provisions contained therein;

provided, however, nothing in this Section or Section 9.1 of the Indenture shall permit or be construed as permitting a supplement to an Indenture which would:

(i) Extend the stated maturity of or time for paying interest on any Bond or reduce the principal amount of or the redemption premium or rate of interest payable on any Bond without the consent of the Holder of such Bond;

(ii) Prefer or give a priority to any Bond over any other Bond without the consent of the Holder of each Bond then outstanding not receiving such preference or priority;

(iii) Reduce the principal amount of Bonds then outstanding the consent of the Holders of which is required to authorize such supplement without the consent of the Holders of all Bonds then outstanding;

(iv) Increase the principal amount of Bonds then outstanding, the request of the Holders of which is required by Section 7.1 (d) of the Indenture, without the consent of the Holders of all Bonds then outstanding; or

(v) Reduce the redemption price of any Bond upon optional redemption or reduce any period of time prior to commencement of any optional redemption period set forth in Section 3.2 without the consent of the Holders of such Bond.

(b) If at any time the Corporation shall request the Trustee to enter into a supplement pursuant to this Section, the Trustee shall, upon being satisfactorily and specifically indemnified by the Town with respect to expenses with respect to such supplement, cause notice of the proposed execution of such supplement to be mailed by first class mail, postage pre-paid, to all registered Holders of Bonds then outstanding at their addresses as they appear on the registration books for the Bonds. The Trustee shall not, however, be subject to any liability to any Bondholder by reason of its failure to mail, or the failure of such Bondholder to receive, the notice required by this Section, and any such failure shall not affect the validity of such supplement when consented to and approved as provided in this Section. Such notice shall briefly set forth the nature of the proposed supplement and shall state that copies thereof are on file at the office of the Trustee for inspection by all Bondholders.

* * *

Section 9.4. Amendments to Town Purchase Agreement Not Requiring Consent of Bondholders. The Corporation and the Trustee may, without the consent of or notice to any of the Holders consent to and join with the Town in the execution and delivery of any amendment, change or modification of the Town Purchase Agreement as may be required (i) by the provisions thereof; (ii) to cure any ambiguity or formal defect or omission therein or to correct or supplement any provision therein which may be inconsistent with any other provision therein, or to make any other provisions with respect to matters or questions arising thereunder provided such action shall, in the opinion of the Trustee, not materially adversely affect the interests of the Holders; and (iii) to preserve the exclusion of the interest on the Bonds from gross income for purposes of federal or State income taxes and to preserve the power of the Corporation to continue to issue bonds or other obligations (specifically not limited to the Bonds authorized hereby) the interest on which is likewise exempt from Federal and State income taxes in connection with any other change therein which in the opinion of the Trustee will not materially adversely affect the interests of the Holders or the Trustee.

Section 9.5 Amendments to Town Purchase Agreement Requiring Consent of Bondholders. Except for amendments, changes or modification to the Town Purchase Agreement referred to in Section 9.4 above and subject to the terms and provisions and limitations contained in Article IX of the Indenture and not otherwise, the Trustee may consent to and join with the Town in the execution and delivery of any amendment, change or modification to the Town Purchase Agreement only upon the consent of not less than a majority in principal amount of Bonds then outstanding, given as provided in this Section, provided, however, no such amendment, change or modification may

affect the obligation of the Town to make payments under the Town Purchase Agreement or reduce the amount of or extend the time for making such payments without the consent of the Holders of all Bonds then outstanding.

* * *

Section 10.1 Discharge. If payment of all principal of and premium, if any, and interest on all of the Bonds in accordance with their terms and as provided in the Indenture is made, or is provided for in accordance with this Article, and if all other sums, if any, payable by the Corporation thereunder shall be paid, then the liens, estates and security interests granted thereby shall cease. Thereupon, upon the request of the Corporation, and upon receipt by the Trustee of an opinion of counsel addressed to the Corporation and the Trustee stating that all conditions precedent to the satisfaction and discharge of the lien thereof have been satisfied, the Trustee shall execute and deliver proper instruments acknowledging such satisfaction and discharging the lien thereof and the Trustee shall transfer all property held by it thereunder, other than moneys or obligations held by the Trustee for payment of amounts due or to become due on the Bonds, to the Corporation, the Town or such other person as may be entitled thereto as their respective interests may appear. Such satisfaction and discharge shall be without prejudice to the rights of the Trustee thereafter to charge and be compensated or reimbursed for services rendered and expenditures incurred in connection therewith.

The Corporation or the Town may at any time surrender to the Trustee for cancellation any Bonds previously authenticated and delivered which the Corporation or the Town may have acquired in any manner whatsoever and such Bonds upon such surrender and cancellation shall be deemed to be paid and retired.

Section 10.2 Providing for Payment of Bonds. Payment of all or any part of the Bonds in authorized denominations may be provided for by the deposit with the Trustee or any financial institution meeting the requirements as a successor Trustee under the Indenture which may be designated by the Town and acceptable to the Trustee to serve as its agent (the "*Depository Trustee*") of monies or Defeasance Obligations which are not redeemable in advance of their maturity dates. The monies and the maturing principal and interest income on such Defeasance Obligations, if any, shall be sufficient, as evidenced by a certificate of an independent nationally recognized certified public accountant or firm of such accountants acceptable to the Trustee and the Depository Trustee, to pay when due the principal or redemption price of and interest on such Bonds. The moneys and Defeasance Obligations shall be held by the Trustee or the Depository Trustee irrevocably in trust for the Holders of such Bonds solely for the purpose of paying the principal or redemption price of and interest on such Bonds as the same shall mature, come due or become payable upon prior redemption, and, if applicable, upon simultaneous direction, expressed to be irrevocable, to the Trustee and the Depository Trustee as to the dates upon which any such Bonds are to be redeemed prior to their respective dates.

If payment of Bonds is so provided for, the Trustee or Depository Trustee shall mail a notice so stating to each Holder of a Bond so provided for.

Bonds, the payment of which has been provided for, in accordance with this Section, shall no longer be deemed outstanding thereunder or secured thereby. The obligation of the Corporation in respect of such Bonds shall nevertheless continue but the Holders thereof shall thereafter be entitled to payment only from the moneys or Defeasance Obligations deposited with the Trustee or the Depository Trustee to provide for the payment of such Bonds.

* * *

APPENDIX E

TOWN OF GILBERT, ARIZONA

AUDITED FINANCIAL STATEMENTS

FOR THE FISCAL YEAR ENDED JUNE 30, 2021

The audited general purpose financial statements for the Town included in this APPENDIX E are the Fiscal Year Ended June 30, 2021, and are the most recent audited financial statement available for the Town. Such financial statements speak only of that date and do not report any changes that might have occurred since June 30, 2021. However, the Town is not aware of any material change in its financial conditions as of the date of this Official Statement.

Heinfeld, Meech & Co., P.C. has performed no procedures subsequent to rendering its opinion on the financial statements and has not been consulted in any manner pertaining to the issuance of the Bonds. They have, however, advised the Town that auditing professional standards permit the Town to include their report as set forth in this APPENDIX E.

HeinfeldMeech

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HeinfeldMeech.com

Independent Auditor's Report

Honorable Mayor and Members of the Town Council
Town of Gilbert, Arizona

Report on Audit of Financial Statements

Opinions

We have audited the accompanying financial statements of the governmental activities, business-type activities, each major fund, and the aggregate discretely presented component unit and remaining fund information of Town of Gilbert, Arizona (Town), as of and for the year ended June 30, 2021, and the related notes to the financial statements, which collectively comprise the Town's basic financial statements as listed in the table of contents.

In our opinion, the financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, the business-type activities, each major fund, and the aggregate discretely presented component unit and remaining fund information of the Town of Gilbert, Arizona, as of June 30, 2021, and the respective changes in financial position and, where applicable, cash flows, and the respective budgetary comparison for the General Fund and Streets Special Revenue Fund thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinions

We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards,* issued by the Comptroller General of the United States. Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Financial Statements* section of our report. We are required to be independent of Town of Gilbert, Arizona, and to meet our other ethical responsibilities in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Change in Accounting Principle

As described in Note 1, the Town implemented the provisions of the Governmental Accounting Standards Board (GASB) Statement No. 84, *Fiduciary Activities*, for the year ended June 30, 2021, which represents a change in accounting principle. Our opinion is not modified with respect to this matter.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Town's ability to continue as a going concern for one year beyond the financial statement date, including any currently known information that may raise substantial doubt shortly thereafter.

Auditor's Responsibilities for the Audit of the Financial Statements
Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinions. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with generally accepted auditing standards and *Government Auditing Standards* will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements. In performing an audit in accordance with generally accepted auditing standards and *Government Auditing Standards*, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Town's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Town's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control related matters that we identified during the audit.

Other Matters
Required Supplementary Information
Accounting principles generally accepted in the United States of America require that the Management's Discussion and Analysis, net pension liability information, and other postemployment benefit plan information, as listed in the table of contents, be presented to supplement the basic financial statements. Such information is the responsibility of management and, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board, who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Supplementary Information
Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the Town's basic financial statements. The Combining and Individual Fund Financial Statements and Schedules are presented for purposes of additional analysis and are not a required part of the basic financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. Such information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the Combining and Individual Fund Statements and Schedules information is fairly stated in all material respects in relation to the basic financial statements as a whole.

Other Information
Management is responsible for the other information included in the annual report. The other information comprises the Introductory Section and Statistical Section but does not include the basic financial statements and our auditor's report thereon. Our opinions on the basic financial statements do not cover the other information and we do not express an opinion or any form of assurance thereon.

In connection with our audit of the basic financial statements, our responsibility is to read the other information and consider whether a material inconsistency exists between the other information and the basic financial statements, or the other information otherwise appears to be materially misstated. If, based on other work performed, we conclude that an uncorrected material misstatement of the other information exists, we are required to describe it in our report.

Other Reporting Required by *Government Auditing Standards*
In accordance with *Government Auditing Standards*, we have also issued our report dated December 20, 2021, on our consideration of Town of Gilbert, Arizona's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the Town of Gilbert, Arizona's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering Town of Gilbert, Arizona's internal control over financial reporting and compliance.

Heinfeld Meech & Co. PC

Heinfeld, Meech & Co., P.C.
Tucson, Arizona
December 20, 2021

gilbert
arizona

MANAGEMENT'S DISCUSSION AND ANALYSIS

As management of Gilbert, we offer this narrative overview and analysis of Gilbert's financial activities for the fiscal year ended June 30, 2021. We encourage readers to consider the information presented here in conjunction with information provided in the Letter of Transmittal.

Financial Highlights

- Gilbert's assets and deferred outflows of resources exceeded its liabilities and deferred inflows of resources at the end of the fiscal year by $2.0 billion, which is an increase over the prior year of $93.9 million, due primarily to increases in governmental and business-type activities. Included in this amount, defined as net position, is $580.3 million of unrestricted net position, of which $188.9 million is invested in joint ventures with the Cities of Mesa and Chandler and the Town of Queen Creek, and $391.4 million which may be used to fund ongoing operations in future years.
- Governmental activities increased net position by $69.5 million, which was primarily due to higher than expected taxes totaling $222.7 million, offset by net program expenses of $151.6 million. The business-type activities increased net position by $24.4 million, primarily due to capital grants and contributions in the Water and Wastewater funds of $16.3 million and $5.3 million, respectively.
- Net position includes $826.0 million net investment in capital assets in governmental activities such as streets, parks, and municipal buildings and a $485.0 million net investment in business-type activities in water, wastewater and environmental services infrastructure and equipment. Amounts increased in the governmental activities by $21.0 million from the prior year primarily due to the final construction costs of the Public Safety Training Facility ($19.6 million). Amounts increased in the business-type activities by $16.5 million in fiscal year 2021 primarily due to the construction of various capital projects including a project to design and construct a four million gallon ground reservoir and pump station, along with equipping a previously drilled well to supply the reservoir ($11.4 million) and the Greenfield Repair and Replacement Expansion expenses during the fiscal year ($4.4 million).
- The combined fund balance for all governmental funds is $314.3 million. Unrestricted fund balance is classified as *Committed*, *Assigned* and *Unassigned*. The unrestricted portion of all governmental funds is $207.0 million which is an increase of $21.6 million. The increase is primarily due to higher collections of sales tax over the prior fiscal year of $16.4 million.
- The General Fund unrestricted fund balance is $216.3 million, of which $76.7 million has been assigned for capital replacement, capital improvements, and road maintenance.
- The General Fund unassigned balance of $139.5 million is approximately 66.8% of the total fund expenditures.
- Gilbert's total bonded debt outstanding at the end of the fiscal year was $340.3 million, as compared to $381.9 million at the end of fiscal year 2020, which is a decrease of $41.6 million due to the regularly scheduled debt payments made throughout the fiscal year.
- Gilbert's total net pension liability at the end of the fiscal year was $153.6 million, as compared to $144.7 million at the end of fiscal year 2020. Gilbert made contributions in excess of the annual required contribution to the Public Safety Personnel Retirement System (PSPRS) of $15.0 million during the fiscal year.

Overview of the Financial Statements

This discussion and analysis are intended to serve as an introduction to Gilbert's basic financial statements, which are comprised of three components: 1) government-wide financial statements, 2) fund financial statements, and 3) notes to the financial statements. This report also contains other supplementary information in addition to the basic financial statements.

Government-wide Financial Statements

The **government-wide financial statements** are designed to provide readers with a broad overview of the finances of Gilbert as a whole, in a manner similar to a private-sector business.

The ***statement of net position*** presents information on all of Gilbert's assets, liabilities, and deferred inflows/outflows of resources, with the difference reported as net position. Over time, increases or decreases in net position may serve as a useful indicator of whether Gilbert's financial position is improving or declining.

The ***statement of activities*** presents the changes in net position from the previous year. All changes in net position are reported as soon as the underlying event giving rise to the change occurs, regardless of the timing of related cash flows. Thus, revenues and expenses are reported in this statement for some items that will result in cash flows in future fiscal periods (e.g., earned but unused vacation leave).

Both government-wide financial statements distinguish functions of Gilbert that are principally supported by taxes and intergovernmental revenues (*governmental activities)* from other functions that are intended to recover a majority, or all, of their costs through user fees and charges (*business-type activities)*. The *governmental activities* of Gilbert include general government, public safety, highways and streets, parks and recreation, and transportation. The *business-type activities* include water, wastewater, and environmental services.

The government-wide financial statements also include the Industrial Development Authority (IDA) as a component unit of Gilbert. The IDA provides financing for eligible private sector entities to acquire and construct facilities deemed to be in the public interest. The financial information for the IDA is presented separately in the statements.

The government-wide financial statements can be found on pages 27-29 of this report.

Fund Financial Statements

A fund is a grouping of related accounts used to maintain control over resources segregated for specific activities or objectives. Gilbert, like other state and local governments, uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements. All of Gilbert's funds can be divided into two categories: governmental funds and proprietary funds.

Governmental Funds

Governmental funds account for essentially the same functions reported as governmental activities in the government-wide financial statements. Unlike the government-wide financial statements, however, governmental fund financial statements focus on near-term inflows and outflows of spendable resources, as well as balances of spendable resources available at fiscal year-end. This information may be useful in evaluating a government's near-term financing ability.

Because the focus of governmental funds is narrower than that of the government-wide financial statements, it is useful to compare the information presented for governmental funds with similar information presented for governmental activities in the government-wide financial statements. By doing so, readers may better understand the long-term impact of Gilbert's near-term financing decisions. To facilitate this comparison, reconciliations are provided with the fund financial statements.

The basic governmental fund financial statements can be found on pages 30-39.

Proprietary Funds

Gilbert maintains two different types of proprietary funds. Enterprise funds report the same functions presented as business-type activities in the government-wide financial statements, which include water, wastewater, and environmental services. Internal service funds accumulate and allocate costs internally among the various functions. Gilbert uses internal service funds to account for maintenance of its fleet of vehicles, and employee health, dental and workers' compensation self-insurance. The assets and liabilities of the internal service funds are included in the governmental activities column of the government-wide statement of net position. Costs of internal service funds are allocated to the various user functions on the government-wide statement of activities. Enterprise funds provide the same information as the government-wide financial statements, only with more detail. Internal service funds are combined into a single column on the proprietary funds statements. Additional detail for the internal service funds can be found on pages 108-110.

The proprietary fund statements can be found on pages 40-42.

Notes to the Financial Statements

The notes to the financial statements provide additional information that is essential to obtain a full understanding of the data provided in the government-wide and fund financial statements and should be read with the financial statements.

The notes to the financial statements can be found on pages 43-80.

Government-wide Financial Analysis

Net position serves as a useful indicator of a government's financial position. The following table reflects the condensed Statement of Net Position as of June 30, 2021 and 2020.

Town of Gilbert
Condensed Statement of Net Position

	Governmental Activities		Business-type Activities		Total	
	2021	2020	2021	2020	2021	2020
Current and other assets	$ 402,154,547	$ 373,833,644	$ 475,396,975	$ 478,930,144	$ 877,551,522	$ 852,763,788
Capital assets	1,052,831,742	1,042,290,182	629,992,624	611,566,663	1,682,824,366	1,653,856,845
Total assets	**1,454,986,289**	**1,416,123,826**	**1,105,389,599**	**1,090,496,807**	**2,560,375,888**	**2,506,620,633**
Deferred outflows of resources	**71,641,854**	**60,115,067**	**7,290,543**	**5,515,756**	**78,932,397**	**65,630,823**
Long-term liabilities	385,260,387	415,369,055	170,481,474	175,198,877	555,741,861	590,567,932
Other liabilities	56,256,857	40,421,302	16,038,594	17,706,416	72,295,451	58,127,718
Total liabilities	**441,517,244**	**455,790,357**	**186,520,068**	**192,905,293**	**628,037,312**	**648,695,650**
Deferred inflows of resources	**5,064,583**	**9,951,074**	**300,035**	**1,640,558**	**5,364,618**	**11,591,632**
Net position:						
Net investment in capital assets	825,952,184	804,916,527	484,983,885	468,440,304	1,310,936,069	1,273,356,831
Restricted	91,916,826	72,942,666	22,716,849	24,872,533	114,633,675	97,815,199
Unrestricted	162,177,306	132,638,269	418,159,305	408,153,875	580,336,611	540,792,144
Total net position	**$ 1,080,046,316**	**$ 1,010,497,462**	**$ 925,860,039**	**$ 901,466,712**	**$ 2,005,906,355**	**$ 1,911,964,174**

Net position consists of three components. The largest portion of Gilbert's net position (65.4%) is its investment in capital assets (land, buildings, equipment, infrastructure, etc.), less depreciation and any related debt used to acquire those assets that is still outstanding. Gilbert uses these capital assets to provide services to citizens; consequently, these assets are not available for appropriation. Although Gilbert's investment in its capital assets is reported net of related debt, it should be noted that the resources needed to repay this debt are provided from other sources, since the capital assets themselves cannot be used to liquidate these liabilities.

An additional portion of Gilbert's net position (5.7%) represents resources that are subject to external restrictions on how they may be used. The remaining portion of net position (28.9%) includes $188.9 million which is invested in joint ventures with the Cities of Mesa and Chandler and the Town of Queen Creek and $391.4 million which may be used to meet the government's ongoing obligations to citizens, customers, and creditors.

Governmental Activities

Governmental activities in fiscal year 2021 increased Gilbert's net position by $69.5 million. Taxes and program revenues (charges for services and grants and contributions that are clearly identifiable to operating functions) were Gilbert's most significant revenue sources comprising 99.7% of total revenues for governmental activities. Taxes (local and state-shared) were $222.7 million, an increase of $27.0 million from the prior year. Program revenues were $118.9 million, an increase of $10.2 million from the prior year, which was mostly due to an increase in operating grants and contributions specifically related to highways and streets.

The other component of the change in net position is expenses. The largest expense functions were public safety, which represented 38.2%, and highways and streets, which represented 23.1% of total governmental activities expenses, which is consistent with prior year. Total expenses increased $18.6 million (7.4%) over the prior fiscal year mainly due to spending CARES and ARPA funding.

The following table details the changes in net position for governmental and business-type activities.

Changes in Net Position

	Governmental Activities		Business-type Activities		Total	
	2021	2020	2021	2020	2021	2020
Revenues						
Program revenues:						
Charges for services	$ 17,798,829	$ 15,286,610	$ 106,197,360	$ 100,472,155	$ 123,996,189	$ 115,758,765
Operating grants and contributions	43,619,284	53,661,220	1,960,312	1,697,653	45,579,596	55,358,873
Capital grants and contributions	57,446,673	39,674,803	22,185,833	18,318,923	79,632,506	57,993,726
General revenues:						
Sales taxes	123,929,742	107,533,991	-	-	123,929,742	107,533,991
Property taxes	28,603,134	26,569,667	-	-	28,603,134	26,569,667
Unrestricted state-shared revenue	66,462,776	57,801,651	-	-	66,462,776	57,801,651
Other taxes	3,677,995	3,758,649	-	-	3,677,995	3,758,649
Grants and contributions not restricted to specific programs	4,140,341	2,762,422	-	-	4,140,341	2,762,422
Unrestricted investment earnings	525,621	10,467,209	31,742	9,820,041	557,363	20,287,250
Gain (loss) on sale of capital assets	(4,507,614)	(3,973,409)	405,475	147,543	(4,102,139)	(3,825,866)
Other	935,773	674,421	74,553	680,116	1,010,326	1,354,537
Total revenues	342,632,554	314,217,234	130,855,275	131,136,431	473,487,829	445,353,665
Expenses						
Management and policy	41,160,529	23,430,414	-	-	41,160,529	23,430,414
Finance and management services	2,942,943	2,590,722	-	-	2,942,943	2,590,722
Court	4,356,048	3,946,778	-	-	4,356,048	3,946,778
Development services	11,388,765	10,897,963	-	-	11,388,765	10,897,963
Police	65,100,377	65,972,487	-	-	65,100,377	65,972,487
Fire	38,173,616	41,373,244	-	-	38,173,616	41,373,244
Highw ays and streets	62,500,833	61,413,551	-	-	62,500,833	61,413,551
Parks and recreation	28,975,323	26,844,019	-	-	28,975,323	26,844,019
Transportation	609,252	655,050	-	-	609,252	655,050
Non departmental	6,494,882	5,075,953	-	-	6,494,882	5,075,953
Interest and fiscal charges on long-term debt	8,716,132	9,641,221	-	-	8,716,132	9,641,221
Water	-	-	52,258,586	49,373,198	52,258,586	49,373,198
Wastew ater	-	-	31,223,881	30,930,246	31,223,881	30,930,246
Environmental services	-	-	25,644,481	22,927,911	25,644,481	22,927,911
Total expenses	270,418,700	251,841,402	109,126,948	103,231,355	379,545,648	355,072,757
Increase in net position before transfers	72,213,854	62,375,832	21,728,327	27,905,076	93,942,181	90,280,908
Transfers	(2,665,000)	(96,453)	2,665,000	96,453	-	-
Change in net position	69,548,854	62,279,379	24,393,327	28,001,529	93,942,181	90,280,908
Net position, beginning	1,010,497,462	948,218,083	901,466,712	873,465,183	1,911,964,174	1,821,683,266
Net position, ending	$1,080,046,316	$1,010,497,462	$ 925,860,039	$ 901,466,712	$2,005,906,355	$1,911,964,174

Business-type Activities

Gilbert's net position for business-type activities increased by $24.4 million mainly due to development related growth, including $21.6 million in system development fee collections. The revenues for business-type activities remained relatively consistent. Expenses increased $5.9 million (5.7%) from the prior year primarily due to an increase in the net pension liability, increased payroll and payroll related expenses, an increase in depreciation expense, and an increased cost for water.

Financial Analysis of Gilbert's Funds

As noted earlier, Gilbert maintains fund accounting to demonstrate compliance with budgetary and legal requirements. The following is a brief discussion of financial highlights from the fund financial statements.

Governmental Funds

The focus of the governmental funds is to provide information on near-term inflows, outflows, and balances of resources available for spending. Such information is useful in assessing Gilbert's financing requirements. Unrestricted fund balance may serve as a useful measure of a government's net resources available for spending at the end of the fiscal year. Gilbert operated and separately reported the following major governmental funds:

- General
- Streets Special Revenue
- Streets and Traffic Capital Projects
- Parks Capital Projects
- Municipal Facilities Capital Projects
- Debt Service
- Special Assessments Debt Service

All nonmajor funds are combined for reporting purposes captioned "Other Governmental Funds".

As of the end of fiscal year 2021, the governmental funds reported ending unrestricted fund balances totaling $207.0 million, an increase of $21.6 million in comparison with the prior fiscal year. See explanations of variances below.

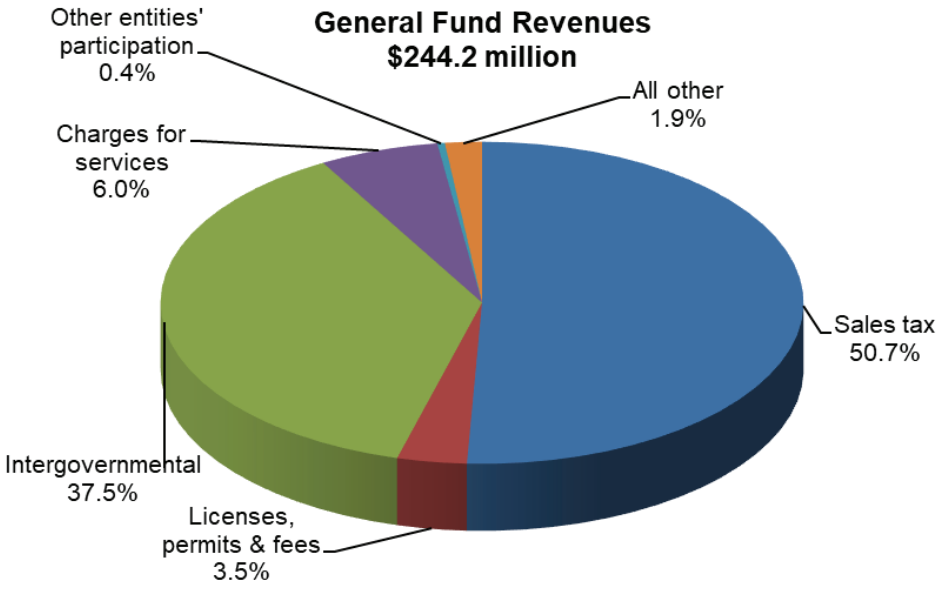
General Fund

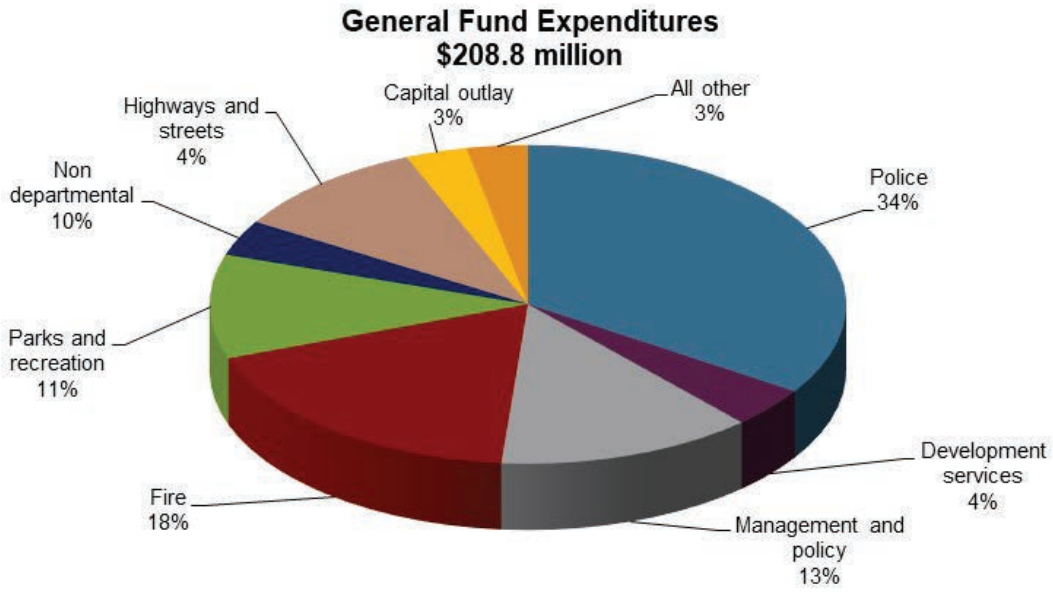
The General Fund is the primary operating fund. At the end of fiscal year 2021, the fund balance of the General Fund was $227.8 million, an increase of $10.1 million from the prior year. This increase is mainly due to the sales tax collected that exceeded the prior year's collections by $16.4 million and proceeds from the sale of a parcel with proceeds of $9.7 million. These revenues were offset by an increase in public safety expenditures totaling approximately $5.1 million (4.9%) which includes the addition of the ambulance transport service provided by Gilbert. There was also an increase in capital expenditures in the General Fund of $5.3 million, which was due to the purchase of machinery and equipment, including the acquisition of two new fire trucks totaling $2.3 million. Lastly, General Fund non-departmental expenses increased by $16.2 million, primarily due to $15.5 million in grants provided to Gilbert businesses related to funds that were made available through the CARES funding and resources provided to residents through the Emergency Rental Assistance Program.

The unrestricted portion of the fund balance was $216.3 million, of which $34.9 million has been assigned for capital replacement, $10.5 million for roads and maintenance, $31.3 million for future capital projects. As a measure of the General Fund's liquidity, it is useful to compare its available fund balance to total fund expenditures. The General Fund's unassigned fund balance represents 66.8% of total General Fund expenditures for the current year. The prior year percentage was 76.4%; this decrease reflects a decrease in unassigned fund balance, which is primarily due to the use of one-time revenue recognized in prior year for one-time expenditures in the current fiscal year.

Key elements of General Fund sources and uses are as follows:

- Overall, revenues exceeded expenditures in the General Fund by $35.4 million. Net other financing sources and uses were ($25.3) million, resulting in an increase in fund balance of $10.1 million. The transfers out of $37.1 million were primarily to finance capital projects ($25.7 million) and to pay scheduled debt payments ($8.0 million). The proceeds from the sale of capital assets of $10.6 million was primarily represented by the sale of two parcels of land, the largest of which was $9.7 million for 36.7 acres of land.
- Total revenues of $244.2 million represented an increase of $2.7 million over the prior year due to an increase in sales taxes collected in the current year compared to the prior year, offset by the net change in the fair value of investments.
- Total expenditures of $208.8 million represented an increase of $33.6 million over prior year mainly due to highways and streets, parks and recreation, capital outlay and non-departmental expenditures as explained below.
- Local sales tax and intergovernmental revenues are the largest revenue sources for the General Fund, accounting for 88.3% of the total revenues, which is consistent with the prior year.
- Local sales tax, which accounts for 50.8% of total General Fund revenues, increased $16.4 million (15.2%) from the prior fiscal year due to increased retail sales from new and existing businesses.
- Highways and streets expenditures increased $1.5 million (25.7%) due to the increased cost of asphalt patching as compared to the prior year.
- Parks and recreation expenditures increased $2.8 million (14.6%) due to a variety of factors including increased cleaning and sanitation costs due to COVID-19 and an increase in personnel of 7 full-time equivalents (FTE) during the fiscal year.
- Capital outlay expenditures increased due primarily to the acquisition of six ambulances for Gilbert's ambulance transport service ($1.4 million) and two fire trucks ($2.3 million).
- There was a significant increase in non-departmental expenditures of $16.2 million primarily due to COVID-19 related grants from CARES funding and the Emergency Rental Assistance Program support, both of which directed funds back into the community to support citizens ($5.5 million) and businesses ($10.1 million) during the global pandemic.





Streets Special Revenue Fund

The Streets Fund contains state-shared highway user revenues funds (HURF) that are required by state statute to be used for highways and streets related purposes. Total revenues in the Streets Fund remained relatively stable from prior year, with a $764 thousand (4.5%) increase due to receiving additional HURF funds. Total expenditures were relatively comparable to the prior fiscal year.

Streets and Traffic Capital Projects

The Streets and Traffic Capital Projects Fund consists of system development fees and intergovernmental revenues and the expenditure of those funds to purchase or construct capital assets. The fund balance decreased by $3.4 million during the year. This was mainly due to the use of fund balance to purchase or construct capital assets related to streets and traffic capital projects totaling $44.0 million. The larger projects with capital expenditures during the year were related to the road work on Germann Road from Gilbert Road to Val Vista Drive totaling $10.8 million, which is necessary for the addition of an interchange on the San Tan Loop 202 at Lindsay Road. There was also significant work performed during the year on Val Vista Drive from Riggs Road to Hunt Highway totaling $18.3 million. Capital outlay was offset by intergovernmental revenues of $20.2 million mainly for Proposition 400 reimbursements from the Arizona Department of Transportation (ADOT), system development fee collections of $10.4 million and transfers in of $11.8 million to fund capital projects.

Parks Capital Projects

The Parks Capital Projects Fund accounts for system development fee revenue and the expenditure of those funds for parks infrastructure. The fund balance increased by $13.7 million during the year, which was primarily due to the collection of system development fees of $17.8 million offset by capital outlay of $5.4 million. The largest project with capital expenditures during the year was Gilbert Regional Park of $4.0 million. The remaining fund balance of $26.1 million will be used to fund future parks needs related to growth in Gilbert.

Municipal Facilities Capital Projects

The Municipal Facilities Capital Projects Fund consists of system development fee revenue and Public Facilities Municipal Property Corporation bond proceeds and the expenditure of those funds to purchase or construct municipal capital assets. The fund balance decreased by $11.7 million during the year resulting in a deficit in fund balance at fiscal year-end of $7.1 million. The deficiency in this fund is primarily due to long-term loans that cover cash deficits for capital expenditures where future system development fee revenue is expected to eliminate the deficiency. The decrease in fiscal year 2021 was due to capital outlay for various projects, the greatest of which was for the Public Safety Training Facility totaling $19.6 million. Total capital outlay of $21.9 million was offset by system development fees collected during the fiscal year of $10.6 million.

Debt Service

The fund balance increased by $85 thousand during the year. Property taxes and transfers from other funds totaled $44.9 million which matched the debt service of $45.0 million. See Note 7 for additional information.

Special Assessments Debt Service

The fund balance of $85 thousand decreased from the prior fiscal year by $118 thousand due to the special assessment revenues of $617 thousand being offset by debt service of principal and interest that totaled $727 thousand.

Nonmajor Governmental Funds

All nonmajor governmental funds are combined into one column on the governmental fund statements. The combined fund balance of these funds increased $757 thousand to a balance at year-end of $3.0 million. Nonmajor funds represent less than 1% of the total governmental fund balance.

Proprietary Funds

Gilbert's proprietary funds statements are prepared on the same basis (accrual) as the government-wide financial statements. Gilbert operates, and separately reports, the following proprietary funds:

- Water
- Wastewater
- Environmental Services

Water Fund

The Water Fund is responsible for producing and distributing potable water that exceeds all county, state and federal drinking water standards. The water system is also sized and pressurized to provide adequate fire suppression to the entire planning area and operates two surface water treatment facilities capable of producing 69 million gallons per day (mgd), and 17 ground water wells capable of producing 43.5 mgd. The SanTan Vista Water Treatment Plant is jointly owned with the City of Chandler, with Gilbert acting as the lead agent. Net position increased by $18.2 million to $496.6 million primarily due to capital contributions from system development fees of $16.3 million. Operating income was $3.6 million, which is slightly higher than prior year of $2.7 million.

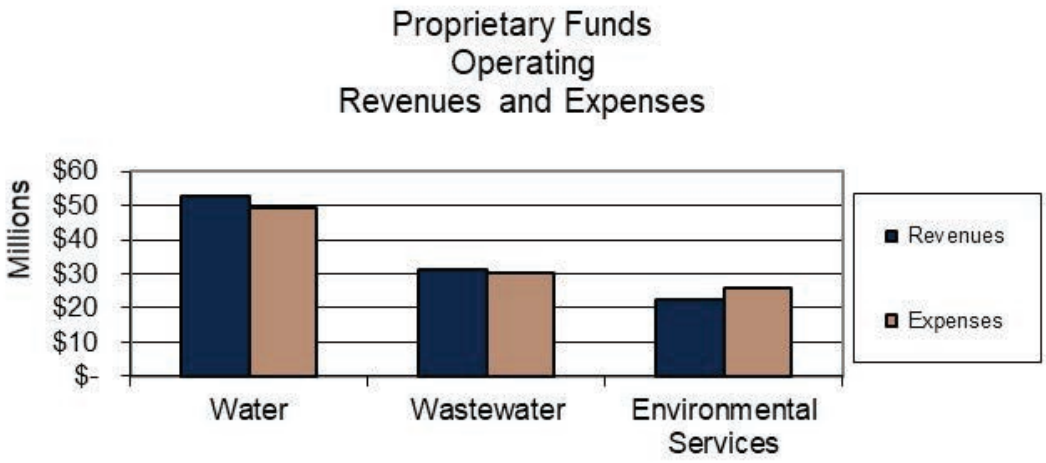
Wastewater Fund

The Wastewater Fund provides wastewater collection and treatment services to residents and businesses in Gilbert through the operation of two wastewater treatment facilities. The services also include the storage and distribution of effluent (treated wastewater). The Phase III Expansion for the Greenfield Water Reclamation Plant (GWRP), a joint venture with the City of Mesa acting as the lead agent, was completed in fiscal year 2021. The expansion included improvements and upgrades that have increased the plant's capacity from 16 mgd to 30 mgd, as well as maintenance and improvements made to the existing infrastructure of the plant. Net position increased $5.8 million to $376.8 million due primarily to capital contributions from system development fees of $5.3 million. Operating income was $769 thousand, which is slightly higher than the prior year of $172 thousand.

Environmental Services Fund

Gilbert operates the Environmental Services Fund to provide residential and commercial refuse collection, residential recycling services, street cleaning, storm water infrastructure, and environmental compliance. Residential services are provided exclusively by Gilbert, while the commercial service competes with the private sector for customers. Net position increased by $132 thousand, to $50.4 million. The operating loss of $3.3 million was due to an increase in personnel costs due to the addition of 4 FTEs and various operational and maintenance costs. The current year's operational loss was offset by transfers in of $2.7 million to offset the increased costs of the recycling market on the residential recycling program.

The following graph compares the fiscal year revenues to expenses for the Water, Wastewater and Environmental Services Funds.



General Fund Budgetary Highlights

There was a difference of ($18.2) million between the original adopted expenditure budget and the final amended expenditure budget. The final amended budget projected that expenditures would exceed revenues by $93.5 million resulting in a $182.1 million reduction to fund balance after other financing sources and uses. The difference between the original adopted budget and final amended budget was mainly due to budgeting $14.2 million more in police expenditures, $26.9 million more in non-departmental expenditures, and $62.6 million less in contingency, offset by $3.4 million more in transfers out.

During the year, actual revenues exceeded the budgeted amount by $35.4 million (16.8%) mainly due to higher than expected sales taxes collected of $26.9 million, higher than expected intergovernmental revenue of $18.4 million due to the non-budgeted CARES funding of $6.2 million, coupled with Emergency Rental Assistance Program funds of $3.8 million. Those increases were offset by $9.7 million lower than expected other entities' participation collections which varies year by year. Actual expenditures were less than budgeted by $95.6 million (31.4%) mainly due to lower than expenditures in management and policy ($4.8 million), parks and recreation ($2.9 million), fire ($5.2 million), non-departmental ($16.5 million), capital outlay ($3.3 million), and unused contingency ($61.4 million). These were mainly the result of a reduced spending directive due to the uncertainties of how COVID-19 would affect Gilbert financially. This resulted in an excess of revenues over expenditures of $131.0 million more than budgeted. Other financing sources and uses came in $63.3 million lower than expected due to non-budgeted land sales of $10.6 million and $53.0 million less than expected transfers out to fund municipal facilities, parks, and streets capital projects. This also resulted in the actual net change in fund balance being $194.4 million more than budgeted.

Capital Asset and Debt Administration

Capital Assets. As of June 30, 2021, Gilbert had $1.7 billion in capital assets, which is an increase of $29.0 million (1.8%) over prior year. This was due to increases in construction-in-progress for streets, municipal facilities, and water offset by the depreciation expense taken. Major capital improvement projects completed during the year included the following:

Governmental Activities

- Public Safety Training Facility of $84.0 million
- Lindsay Road and Pecos Road to State Route 202 of $11.8 million
- Advanced Traffic Management System Phase III of $1.3 million
- Western Powerline Trail of $2.1 million

Business-type Activities

- Candlewood Lift Station and Force Main Replacement of $8.8 million
- Ray – Recker Direct Well System construction of $4.9 million
- Greenfield Water Reclaimed Water Pump Station Expansion of $1.5 million
- North Water Treatment Plant Acid Storage and Feed Replacement of $1.1 million

The following table presents capital asset balances, net of accumulated depreciation, for the fiscal years ended June 30, 2021 and 2020.

Town of Gilbert
Capital Assets
(net of depreciation)

	Governmental Activities		Business-type Activities		Total	
	2021	2020	2021	2020	2021	2020
Land	$ 132,257,980	$ 146,382,648	$ 23,515,126	$ 23,510,321	$ 155,773,106	$ 169,892,969
Nondepreciable water rights	-	-	59,427,744	58,150,151	59,427,744	58,150,151
Construction-in-progress	174,869,102	197,705,823	61,038,529	45,659,772	235,907,631	243,365,595
Buildings	202,087,388	137,578,043	-	-	202,087,388	137,578,043
Improvements	19,607,191	20,980,569	-	-	19,607,191	20,980,569
Plant, machinery & equip	27,068,728	19,925,635	62,988,447	63,598,824	90,057,175	83,524,459
Depreciable water rights	-	-	37,225,437	37,635,866	37,225,437	37,635,866
Infrastructure	496,941,353	519,717,464	385,797,341	383,011,729	882,738,694	902,729,193
Total Capital Assets	**$ 1,052,831,742**	**$ 1,042,290,182**	**$ 629,992,624**	**$ 611,566,663**	**$ 1,682,824,366**	**$ 1,653,856,845**

Total governmental capital assets and business-type capital assets increased by $10.5 million and $18.4 million, respectively. The change in governmental capital assets can be attributed to the addition of construction-in-progress of $70.8 million, buildings of $75.3 million, infrastructure of $13.2 million and machinery and equipment of $11.2 million, offset by construction-in-progress deletions of ($93.7 million), sale of land of ($15.1 million), and depreciation taken of ($53.6 million). Most of the increase for the business-type capital assets can be attributed to construction-in-progress additions of $40.5 million, offset by depreciation taken ($25.0 million).

See Note 5 on pages 56-57 for further information regarding capital assets.

Long-term Debt. At June 30, 2021, Gilbert had total bonded debt obligations of $215.0 million related to governmental activities and $125.3 million in business-type activities. Of the total outstanding, $131.8 million is general obligation (GO) bonds backed by the full faith and credit of Gilbert; $4.0 million is special assessment bonds secured by a lien against the land of the benefited property owners in Improvement Districts #19 and #20; all other outstanding debt is secured by pledges of specific revenue sources.

The Arizona Constitution and State Statutes limit a municipality's bonded debt capacity to certain percentages of its limited property valuation and by the type of project to be constructed with GO bonds. For projects involving water, wastewater, artificial lighting, parks, open space, recreational facility improvements, streets, public safety, and fire and emergency facilities, Gilbert can issue GO bonds up to 20% of its limited property valuation. For any other general-purpose improvements, Gilbert may issue bonds up to 6% of its limited property valuation. Gilbert's available debt margin at June 30, 2021, was $208.6 million in the 6% capacity and $554.3 million in the 20% capacity.

See Note 7 on pages 58-62 for additional information on debt.

The following schedule shows Gilbert's outstanding debt as of June 30, 2021 and 2020.

Town of Gilbert
Outstanding Debt

	Governmental Activities		Business-type Activities		Total	
	2021	2020	2021	2020	2021	2020
General Obligation	$ 131,830,000	$ 151,825,000	$ -	$ -	$ 131,830,000	$ 151,825,000
Special Assessment	4,000,000	4,510,000	-	-	4,000,000	4,510,000
Revenue Obligations	34,220,000	34,955,000	-	-	34,220,000	34,955,000
Municipal Property Corporation (Revenue Bonds)	44,955,000	57,760,000	125,305,000	132,865,000	170,260,000	190,625,000
Totals	**$ 215,005,000**	**$ 249,050,000**	**$ 125,305,000**	**$ 132,865,000**	**$ 340,310,000**	**$ 381,915,000**

Gilbert's bonds are rated by leading rating agencies that assess the risk of default based on Gilbert's financial condition. The following schedule shows Gilbert's bond ratings as of June 30, 2021.

Town of Gilbert
Long-term Debt Ratings
As of June 30, 2021

	Moody's Investor Service	Standard and Poors' Ratings Service	Fitch Ratings
General Obligation	Aaa	AAA	AAA
Public Facilities Municipal Property Corporation (Revenue Bonds)	Aa1	AAA	AAA
Water Resources Municipal Property Corporation (Revenue Bonds)	Not rated	AAA	AAA
Revenue Obligations	Aa1	AAA	AAA
Improvement Districts (Special Assessment)	Aa1	AA-	Not rated

Economic Factors and Next Year's Budget

In the summer of 2021, with businesses and schools fully open despite the setbacks brought on by the COVID-19 pandemic, our community not only endured, but also continued to thrive. Gilbert continuously kept the safety of its team members and the health of its community at the forefront of decision-making while we worked to find innovative new ways to deliver the same exceptional services to our residents and businesses. For fiscal year 2022, we will continue to meet those challenges presented by COVID-19 while dealing with the economic aftershocks of the pandemic.

In fiscal year 2021, Gilbert's economic development initiatives continued to yield positive results for the community. In response to the COVID-19 pandemic, the Gilbert Town Council authorized the creation of #GilbertTogether Business Recovery program focused on relief, recovery, and resiliency. Under the 'relief' focus, Gilbert-based businesses who met certain eligibility criteria could receive a grant of up to $35 thousand to help offset financial losses they experienced during the pandemic. Through this offering, nearly 500 Gilbert-based businesses received over $9.5 million in relief grant funding. Recovery assistance was provided through a low-interest loan program offered in partnership with the Desert Financial Credit Union. Gilbert business applied for and received $340 thousand in low-interest loans to further support their needs during this time. Long-term resiliency was supported by providing access to experts and proven programs that enabled businesses to improve operations, receive technical assistance, and provided access to scholarships that allowed Gilbert residents to upskill. Gilbert's employment areas also saw growth in fiscal year 2021. In the Gateway employment area, Trammell Crow completed the 400,000 square-foot Gilbert Gateway Commerce Park. This new industrial/flex development will be home to a new Lowe's regional distribution center and is nearly 100% leased. In the central business district, Gilbert Crossroads Business Park completed its two-remaining industrial/flex buildings, adding just over 178,000 square-feet, and bringing the total size of the development to nearly 320,000 square-feet. In the Heritage District, Gilbert facilitated the expansion of the University of Arizona Bachelor of Science in Nursing – Integrated Health. To support the program expansion, the University of Arizona built out approximately 1,800 square-feet of shell space and expanded their current lease agreement through the fall of 2027.

A community of excellence demands exceptional governance, and Gilbert's Council and executive leadership stepped up. Gilbert undertakes a zero-based process for one third of the organization every year, and always applies priority, program, and performance-based approaches. Since 2018, nearly $9 million has been removed due to the zero-based efforts. Directors are tasked with balancing the budget through consensus, rather than presenting requests and waiting to hear back. Only once the directors achieve consensus is the Town Manager presented with the recommended budget. This collaborative approach allows Gilbert to promote transparency, the importance of short- and long-term planning, and maintain a strong return on investment for the zero-based process while staying focused on the citizens and businesses that Gilbert serves in different capacities.

Additionally, Gilbert staff and Council align both short-term goals and resources toward the long-term realization of Gilbert's established strategic initiatives: Strong Economy, Prosperous Community and Exceptional Built Environment. These strategic initiatives guide the formulation of organizational goals and corresponding budget for the following fiscal year. The Council retreat, as well as the budget kickoff in September 2021, allows staff to initiate the process with clear direction and focus governing the priorities for service delivery in fiscal year 2022.

The budget for fiscal year 2022 reflects an effort to deliver both effective and efficient services to the Gilbert community. Even given Gilbert's growth, the budget is balanced, and applies the non-recurring level of construction-related revenues toward non-recurring costs. The adopted budget is based off conservative revenue estimates which provide flexibility in responding to possible economic changes.

Budget Highlights for Fiscal Year 2022

With carry forwards and contingency adjustments, the budget of $988.3 million is a decrease of about $5.0 million from fiscal year 2021. The budget also includes a capital projects contingency budget of $100.0 million to allow Council the flexibility and legal authority to respond to community needs. This contingency is consistent with practice in prior years.

Tax Rates: The budget reflects a levy of $27.8 million which maintains the $0.99 property tax rate.

Balanced Financial Plan: The fiscal year 2022 budget is balanced based upon identified revenues and expenditures.

Constitutional Expenditure Limit: The fiscal year 2022 budget reflects expenses that will be under the constitutional expenditure limitation. Staff regularly monitors conformity with the constitutional expenditure requirements and will recommend, if necessary, continuing adjustments and modifications necessary to comply with expenditure limitation requirements.

State-Shared Revenues: The fiscal year 2022 budget reflects state-shared revenues based upon census population adjustments and statutory distribution formulas, taking into account currently projected state sales and income tax collections (provided by the Arizona League of Cities and Towns), which reflect the state's budgeted Highway User Revenue Fund (HURF) distributions.

Fund Balance: The revenue summary lists the use of carry over funds in an amount of about $303.0 million. This reflects use of revenues which were received in prior fiscal years in excess of minimum fund balance.

Capital Project Financing – System Development Fees: The fiscal year 2022 budget reflects revenues projected from the continued collection of system development fees as allowed under current State Law.

Financial Contact

This financial report is designed to provide a general overview of Gilbert's finances and to demonstrate accountability for the use of public funds. This report is also available on Gilbert's website at www.gilbertaz.gov. Questions about any of the information provided in this report, or requests for additional financial information should be addressed to:

Town of Gilbert
Accounting Manager
50 E. Civic Center Drive
Gilbert, AZ 85296
(480) 503-6930

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TOWN OF GILBERT, ARIZONA
Statement of Net Position
June 30, 2021

	Primary Government			Component Unit
	Governmental Activities	Business-type Activities	Total	Industrial Development Authority
Assets				
Pooled cash and investments	$ 347,310,674	$ 265,468,057	$ 612,778,731	$ 17,158
Restricted cash and investments	13,756,990	13,662,154	27,419,144	-
Receivables, net:				
Taxes	15,892,816	-	15,892,816	-
Special assessments	4,012,888	-	4,012,888	-
Accrued interest	751,576	529,070	1,280,646	-
Restricted accrued interest	-	51,604	51,604	-
Accounts	10,275,188	5,720,635	15,995,823	-
Due from other governments	7,121,534	745,540	7,867,074	-
Prepaid items	2,499,579	-	2,499,579	-
Deposits	50,000	-	50,000	-
Inventories	753,855	54,459	808,314	-
Internal balances	(2,037,092)	2,037,092	-	-
Investment in joint venture	1,766,539	187,128,364	188,894,903	-
Capital assets:				
Non-depreciable	307,127,082	143,981,399	451,108,481	-
Depreciable, net	745,704,660	486,011,225	1,231,715,885	-
Total assets	1,454,986,289	1,105,389,599	2,560,375,888	17,158
Deferred outflows of resources				
Deferred charge on refundings	3,274,199	2,224,901	5,499,100	-
Pensions and other postemployment benefits	68,367,655	5,065,642	73,433,297	-
Total deferred outflows of resources	71,641,854	7,290,543	78,932,397	-
Liabilities				
Accounts payable	21,389,357	10,673,882	32,063,239	10
Accrued liabilities	10,097,651	1,086,383	11,184,034	-
Claims payable	4,068,000	-	4,068,000	-
Deposits held for others	1,654,432	-	1,654,432	-
Utility deposits	-	1,534,673	1,534,673	-
Bond interest payable	973,916	2,743,656	3,717,572	-
Unearned revenue	18,073,501	-	18,073,501	-
Noncurrent liabilities:				
Due within one year	44,048,390	8,948,159	52,996,549	-
Due in more than one year	341,211,997	161,533,315	502,745,312	-
Total liabilities	441,517,244	186,520,068	628,037,312	10
Deferred inflows of resources				
Pensions and other postemployment benefits	5,064,583	300,035	5,364,618	-
Total deferred inflows of resources	5,064,583	300,035	5,364,618	-
Net position				
Net investment in capital assets	825,952,184	484,983,885	1,310,936,069	-
Restricted for:				
Capital projects	69,856,805	22,716,849	92,573,654	-
Court/police programs	2,048,494	-	2,048,494	-
Debt service	8,513,848	-	8,513,848	-
Highway and streets	9,886,272	-	9,886,272	-
Other purposes	140,235	-	140,235	-
Special districts	418,064	-	418,064	-
Transportation	1,053,108	-	1,053,108	-
Unrestricted	162,177,306	418,159,305	580,336,611	17,148
Total net position	$ 1,080,046,316	$ 925,860,039	$ 2,005,906,355	$ 17,148

The notes to financial statements are an integral part of this statement.

TOWN OF GILBERT, ARIZONA
Statement of Activities
For the Year Ended June 30, 2021

		Program Revenues		
Functions/Programs	**Expenses**	**Charges for Services**	**Operating Grants and Contributions**	**Capital Grants and Contributions**
Primary government				
Governmental activities				
General government				
Management and policy	$ 41,160,529	$ 8,013	$ 4,771,450	$ 82,666
Finance and management services	2,942,943	98	-	-
Court	4,356,048	596,898	32,029	-
Development services	11,388,765	8,121,199	519,753	-
Public safety				
Police	65,100,377	2,023,624	4,488,779	3,244,740
Fire	38,173,616	1,207,788	3,965,361	3,211,088
Highways and streets	62,500,833	73,883	29,676,617	32,402,703
Parks and recreation	28,975,323	5,419,240	115,411	17,777,278
Transportation	609,252	-	-	642,587
Non departmental	6,494,882	348,086	49,884	85,611
Interest and fiscal charges on long-term debt	8,716,132	-	-	-
Total governmental activities	270,418,700	17,798,829	43,619,284	57,446,673
Business-type activities				
Water	52,258,586	52,890,264	1,791,799	16,291,108
Wastewater	31,223,881	30,846,958	168,513	5,338,837
Environmental services	25,644,481	22,460,138	-	555,888
Total business-type activities	109,126,948	106,197,360	1,960,312	22,185,833
Total primary government	$ 379,545,648	$ 123,996,189	$ 45,579,596	$ 79,632,506
Component unit				
Industrial Development Authority	$ 10	$ -	$ -	$ -

General revenues
Sales taxes
Property taxes
In-Lieu property taxes
Franchise taxes
Unrestricted state-shared revenue
Grants and contributions not restricted to specific programs
Unrestricted investment earnings
Gain (loss) on sale of capital assets
Miscellaneous
Transfers
Total general revenues and transfers
Change in net position
Net position - beginning
Net position - ending

The notes to financial statements are an integral part of this statement.

Net (Expense) Revenue and Changes in Net Position			
Primary Government			Component Unit
Governmental Activities	Business-type Activities	Total	Industrial Development Authority
$ (36,298,400)	$ -	$ (36,298,400)	$ -
(2,942,845)	-	(2,942,845)	-
(3,727,121)	-	(3,727,121)	-
(2,747,813)	-	(2,747,813)	-
(55,343,234)	-	(55,343,234)	-
(29,789,379)	-	(29,789,379)	-
(347,630)	-	(347,630)	-
(5,663,394)	-	(5,663,394)	-
33,335	-	33,335	-
(6,011,301)	-	(6,011,301)	-
(8,716,132)	-	(8,716,132)	-
(151,553,914)	-	(151,553,914)	-
-	18,714,585	18,714,585	-
-	5,130,427	5,130,427	-
-	(2,628,455)	(2,628,455)	-
-	21,216,557	21,216,557	-
(151,553,914)	21,216,557	(130,337,357)	-
			$ (10)
123,929,742	-	123,929,742	-
28,603,134	-	28,603,134	-
1,009,363	-	1,009,363	-
2,668,632	-	2,668,632	-
66,462,776	-	66,462,776	-
4,140,341	-	4,140,341	-
525,621	31,742	557,363	1
(4,507,614)	405,475	(4,102,139)	-
935,773	74,553	1,010,326	-
(2,665,000)	2,665,000	-	-
221,102,768	3,176,770	224,279,538	1
69,548,854	24,393,327	93,942,181	(9)
1,010,497,462	901,466,712	1,911,964,174	17,157
$ 1,080,046,316	$ 925,860,039	$ 2,005,906,355	$ 17,148

TOWN OF GILBERT, ARIZONA
Balance Sheet
Governmental Funds
June 30, 2021

	General	Streets Special Revenue	Streets and Traffic Capital Projects	Parks Capital Projects
Assets				
Pooled cash and investments	$ 221,499,674	$ 10,176,248	$ 53,556,742	$ 26,712,372
Restricted cash and investments	182,315	-	-	-
Receivables, net				
Taxes	15,587,969	-	-	-
Special assessments	-	-	-	-
Accrued interest	511,975	22,012	115,912	57,813
Accounts	9,015,976	-	-	-
Due from other governments	1,111,777	1,597,844	1,114,273	-
Due from other funds	434,172	-	-	-
Prepaid items	2,499,579	-	-	-
Advances to other funds	9,061,893	-	-	-
Total assets	$ 259,905,330	$ 11,796,104	$ 54,786,927	$ 26,770,185
Liabilities				
Accounts payable	10,796,271	969,326	5,355,175	657,273
Accrued liabilities	9,660,031	232,819	-	-
Deposits held for others	1,654,432	-	-	-
Due to other funds	-	-	-	-
Interest payable	-	-	-	-
Advances from other funds	-	-	-	-
Unearned revenue	4,935,236	-	-	-
Bonds payable	-	-	-	-
Total liabilities	27,045,970	1,202,145	5,355,175	657,273
Deferred inflows of resources				
Unavailable revenue - sales tax	118,929	-	-	-
Unavailable revenue - special assessments	-	-	-	-
Unavailable revenue - court fines	4,902,328	-	-	-
Unavailable revenue - grants	-	-	-	-
Unavailable revenue - other	10,119	-	-	-
Total deferred inflows of resources	5,031,376	-	-	-
Fund balances (deficits)				
Nonspendable	11,561,472	-	-	-
Restricted	-	10,593,959	49,431,752	26,112,912
Assigned	76,746,986	-	-	-
Unassigned	139,519,526	-	-	-
Total fund balances (deficits)	$ 227,827,984	$ 10,593,959	$ 49,431,752	$ 26,112,912
Total liabilities, deferred inflows of resources and fund balances (deficits)	$ 259,905,330	$ 11,796,104	$ 54,786,927	$ 26,770,185

The notes to financial statements are an integral part of this statement.

Municipal Facilities Capital Projects	Debt Service	Special Assessments Debt Service	Other Governmental Funds	Total Governmental Funds
$ 4,225,979	$ 1,641,725	$ 84,634	$ 15,022,688	$ 332,920,062
-	13,574,675	-	-	13,756,990
-	280,103	-	24,744	15,892,816
-	-	4,012,888	-	4,012,888
4,233	3,743	184	4,709	720,581
-	-	-	250	9,016,226
-	-	-	3,269,734	7,093,628
-	-	-	-	434,172
-	-	-	-	2,499,579
-	-	-	-	9,061,893
$ 4,230,212	$ 15,500,246	$ 4,097,706	$ 18,322,125	$ 395,408,835
2,313,120	188	-	909,601	21,000,954
-	-	-	92,122	9,984,972
-	-	-	-	1,654,432
-	-	-	434,172	434,172
-	973,916	-	-	973,916
9,061,893	-	-	-	9,061,893
-	-	-	13,138,265	18,073,501
-	10,110,000	-	-	10,110,000
11,375,013	11,084,104	-	14,574,160	71,293,840
-	-	-	-	118,929
-	-	4,012,888	-	4,012,888
-	-	-	-	4,902,328
-	-	-	191,109	191,109
-	-	-	606,182	616,301
-	-	4,012,888	797,291	9,841,555
-	-	-	-	11,561,472
1,917,092	4,416,142	84,818	3,147,406	95,704,081
-	-	-	-	76,746,986
(9,061,893)	-	-	(196,732)	130,260,901
$ (7,144,801)	$ 4,416,142	$ 84,818	$ 2,950,674	$ 314,273,440
$ 4,230,212	$ 15,500,246	$ 4,097,706	$ 18,322,125	$ 395,408,835

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TOWN OF GILBERT, ARIZONA
Reconciliation of Balance Sheet
To the Statement of Net Position
June 30, 2021

Fund balances of governmental funds		$ 314,273,440
Amounts reported for governmental activities in the statement of net position are different because:		
Capital assets used in governmental activities are not financial resources and, therefore, are not reported in the governmental funds.		
Governmental capital assets	1,947,744,830	
Accumulated depreciation	(895,109,812)	1,052,635,018
The investment in joint venture is not a financial resource and, therefore, is not reported in the funds.		1,766,539
Some receivables are not available to pay for current period expenditures and, therefore, are reported as unavailable revenue in the governmental funds.		9,841,555
Internal service funds are used by management to charge the costs of certain activities, such as equipment maintenance, to the individual funds. The assets and liabilities of the internal service funds are included in the governmental activities in the statement of net position, but are not included on the governmental funds balance sheet.		7,881,941
Deferred outflows and inflows of resources related to pensions, other postemployment benefits, and deferred charges on debt refundings are applicable to future reporting periods and, therefore, are not reported in the funds.		
Unamortized deferred outflow on bond refunding	3,274,199	
Pension and other postemployment benefits-related items	62,831,156	66,105,355
Certain liabilities applicable to the Town's governmental activities are not due and payable in the currentperiod, and accordingly are not reported as fund liabilities in the governmental funds balance sheet.		
Bonds payable	(204,895,000)	
Bonds premium	(22,465,283)	
Compensated absences	(17,949,431)	
Net other postemployment benefits	(776,496)	
Net pension	(126,371,322)	(372,457,532)
Net position of governmental activities - statement of net position		$ 1,080,046,316

The notes to financial statements are an integral part of this statement.

TOWN OF GILBERT, ARIZONA
Statement of Revenues, Expenditures and Changes in Fund Balances
Governmental Funds
For the Year Ended June 30, 2021

	General	Streets Special Revenue	Streets and Traffic Capital Projects	Parks Capital Projects
Revenues				
Taxes				
Sales	$ 123,931,932	$ -	$ -	$ -
Property	-	-	-	-
Franchise	2,668,632	-	-	-
Special assessments	-	-	-	-
Licenses and permits	5,868,065	-	-	-
Charges for services	14,677,657	770	-	-
Intergovernmental	91,589,038	17,619,503	20,237,103	-
Fines and forfeitures	2,883,491	6,112	-	-
Other entities' participation	918,512	-	-	-
System development fees	-	-	10,424,405	17,750,206
Gifts and donations	102,547	-	-	-
Interest earnings	2,848,832	130,317	593,045	294,045
Net change in fair value of investments	(2,135,561)	(130,311)	(867,711)	(115,535)
Miscellaneous	833,763	101,735	-	-
Total revenues	244,186,908	17,728,126	30,386,842	17,928,716
Expenditures				
Current				
General government:				
Management and policy	27,244,616	-	-	-
Finance and management services	3,002,850	-	-	-
Court	3,480,526	-	-	-
Development services	8,519,611	-	-	-
Public safety				
Police	71,441,719	-	-	-
Fire	37,882,950	-	-	-
Highways and streets	7,523,229	14,623,976	606,651	-
Parks and recreation	22,053,823	-	-	13,647
Transportation	-	-	-	-
Non departmental	21,097,882	-	926,870	3,663
Debt service				
Principal	-	-	-	-
Interest	-	-	-	-
Fiscal and other charges	-	-	-	-
Capital outlay	6,572,533	102,201	44,042,131	5,428,881
Total expenditures	208,819,739	14,726,177	45,575,652	5,446,191
Excess (deficiency) of revenues over expenditures	35,367,169	3,001,949	(15,188,810)	12,482,525
Other financing sources (uses)				
Transfers in	1,218,444	-	11,819,916	6,354,431
Transfers out	(37,086,681)	(1,027,190)	-	(5,171,562)
Proceeds from the sale of capital assets	10,593,667	-	-	-
Total other financing sources (uses)	(25,274,570)	(1,027,190)	11,819,916	1,182,869
Net change in fund balances	10,092,599	1,974,759	(3,368,894)	13,665,394
Fund balances - beginning	217,735,385	8,619,200	52,800,646	12,447,518
Fund balances - ending	$ 227,827,984	$ 10,593,959	$ 49,431,752	$ 26,112,912

The notes to financial statements are an integral part of this statement.

Municipal Facilities Capital Projects	Debt Service	Special Assessments Debt Service	Other Governmental Funds	Total Governmental Funds
$ -	$ -	$ -	$ -	$ 123,931,932
-	25,855,907	-	2,747,227	28,603,134
-	-	-	-	2,668,632
-	-	617,024	-	617,024
-	-	-	-	5,868,065
-	-	-	205,373	14,883,800
-	-	-	2,942,826	132,388,470
-	-	-	369,561	3,259,164
-	-	-	-	918,512
10,596,169	-	-	-	38,770,780
-	-	-	60,666	163,213
152,220	152,917	1,902	31,329	4,204,607
(404,234)	(35,293)	(3,118)	(22,400)	(3,714,163)
-	-	-	275	935,773
10,344,155	25,973,531	615,808	6,334,857	353,498,943
-	-	-	1,502,299	28,746,915
-	-	-	-	3,002,850
-	-	-	250,028	3,730,554
-	-	-	6,069	8,525,680
159,038	-	-	852,393	72,453,150
-	-	-	119,765	38,002,715
-	-	-	2,138,434	24,892,290
91,438	-	-	892,305	23,051,213
-	-	-	606,182	606,182
11,202	-	-	49,885	22,089,502
-	35,105,000	510,000	-	35,615,000
-	9,850,669	217,075	-	10,067,744
-	6,600	6,548	-	13,148
21,873,747	-	-	1,253,498	79,272,991
22,135,425	44,962,269	733,623	7,670,858	350,069,934
(11,791,270)	(18,988,738)	(117,815)	(1,336,001)	3,429,009
6,135,879	19,073,408	-	2,384,470	46,986,548
(6,074,508)	-	-	(291,607)	(49,651,548)
-	-	-	-	10,593,667
61,371	19,073,408	-	2,092,863	7,928,667
(11,729,899)	84,670	(117,815)	756,862	11,357,676
4,585,098	4,331,472	202,633	2,193,812	302,915,764
$ (7,144,801)	$ 4,416,142	$ 84,818	$ 2,950,674	$ 314,273,440

gilbert
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TOWN OF GILBERT, ARIZONA
Reconciliation of the Statement of Revenues, Expenditures and Changes in Fund Balances to the Statement of Activities
For the Year Ended June 30, 2021

Net change in fund balances - total governmental funds		$ 11,357,676
Amounts reported for governmental activities in the statement of net position are different because:		
Governmental funds report capital outlays as expenditures. However, in the statement of activities, the cost of those assets is allocated over their estimated useful lives as depreciation expense.		
Capital outlay	79,272,991	
Depreciation expense	(53,569,052)	25,703,939
The net effect of various miscellaneous transactions involving capital assets is to decrease net position.		(15,225,652)
Repayment of bond principal is reported as expenditures in governmental funds and thus has the effect of reducing fund balance because current financial resources have been used. For the government-wide statements, however, the principal payments reduce the long-term liabilities in the statement of net position and do not result in an expense in the statement of activities. Also, governmental funds report the effect of deferred outflows and resources, premiums, discounts and similar items when debt is first issued, whereas these amounts are deferred and amortized in the statement of activities.		
Principal payments	35,615,000	
Amortization expense	1,364,760	36,979,760
Internal service funds are used by management to charge the costs of certain activities, such as equipment maintenance, to the individual funds. The adjustments for internal service funds "close" those funds by charging the additional amounts to participating governmental activities to completely cover the internal service funds' costs for the year.		655,337
Compensated absence expenses reported in the statement of activities do not require the use of current financial resources and therefore are not reported as expenditures in governmental funds.		(1,824,630)
Pension/OPEB contributions are reported as expenditures in the governmental funds when made. However, they are reported as deferred outflows of resources in the statement of net position because the reported net pension/OPEB liability is measured a year before the report date. Pension/OPEB expense, which is the change in the net pension/OPEB liability adjusted for changes in deferred outflows and inflows of resources related to pensions/OPEB, is reported in the statement of activities.		
Pension/OPEB contributions	29,593,906	
Pension/OPEB expense	(16,496,360)	13,097,546
Certain revenues are not reported in the governmental funds because they do not provide current financial resources due to unavailability but are recognized as revenue in the statement of activities. However, other revenues in the governmental funds that provide current financial resources are not included in the statement of activities because they were recognized in a prior period.		
Special assessments	(402,048)	
Court fines	(938,340)	
Sales tax	(2,190)	
Grants	(428,766)	
Other	576,222	(1,195,122)
Change in net position of governmental activities - statement of activities		$ 69,548,854

The notes to financial statements are an integral part of this statement.

TOWN OF GILBERT, ARIZONA
General Fund
Statement of Revenues, Expenditures, and Changes in Fund Balances –
Budget and Actual – Budgetary Basis
For the Year Ended June 30, 2021

	Budgeted Amounts			
	Original	Final	Non-GAAP Actual	Variance with Final Budget Positive (Negative)
Revenues				
Taxes				
Sales	$ 97,000,000	$ 97,000,000	$ 123,931,932	$ 26,931,932
Franchise	2,445,000	2,445,000	2,668,632	223,632
Licenses and permits	3,675,000	3,675,000	5,868,065	2,193,065
Charges for services	19,643,900	19,643,900	14,677,657	(4,966,243)
Intergovernmental	73,230,000	73,230,000	91,589,038	18,359,038
Fines and forfeitures	3,054,000	3,054,000	2,883,491	(170,509)
Other entities' participation	10,606,000	10,606,000	918,512	(9,687,488)
Gifts and donations	61,000	61,000	102,547	41,547
Interest earnings	735,000	735,000	2,848,832	2,113,832
Miscellaneous	426,000	426,000	833,763	407,763
Total revenues	210,875,900	210,875,900	246,322,469	35,446,569
Expenditures				
Current				
General government				
Management and policy	30,894,980	32,025,362	27,244,616	4,780,746
Finance and management services	3,024,750	3,044,440	3,002,850	41,590
Court	3,395,990	3,522,990	3,480,526	42,464
Development services	8,960,410	9,014,950	8,519,611	495,339
Public safety				
Police	58,074,040	72,240,803	71,441,719	799,084
Fire	39,337,670	43,035,763	37,882,950	5,152,813
Highways and streets	7,645,680	7,669,680	7,523,229	146,451
Parks and recreation	24,283,990	24,959,860	22,053,823	2,906,037
Non departmental	10,636,190	37,553,509	21,097,882	16,455,627
Capital outlay	12,331,410	9,921,498	6,572,533	3,348,965
Contingency	124,053,000	61,428,330	-	61,428,330
Total expenditures	322,638,110	304,417,185	208,819,739	95,597,446
Excess (deficiency) of revenues over (under) expenditures	(111,762,210)	(93,541,285)	37,502,730	131,044,015
Other financing sources (uses)				
Transfers in	1,527,190	1,531,190	1,218,444	(312,746)
Transfers out	(86,752,840)	(90,131,896)	(37,086,681)	53,045,215
Proceeds from the sale of capital assets	-	-	10,593,667	10,593,667
Total other financing sources (uses)	(85,225,650)	(88,600,706)	(25,274,570)	63,326,136
Net change in fund balances	$ (196,987,860)	$ (182,141,991)	12,228,160	$ 194,370,151

Explanation of difference between budgetary change in fund balance at June 30, 2021, and GAAP change in fund balance:	
Fair market value adjustments on investments are recorded on the GAAP basis but are not recognized on the budget basis	(2,135,561)
Change in fund balance as reported on the statement of revenues, expenses and changes in fund balance	$ 10,092,599

The notes to financial statements are an integral part of this statement.

TOWN OF GILBERT, ARIZONA
Streets Special Revenue Fund
Statement of Revenues, Expenditures, and Changes in Fund Balances – Budget and Actual – Budgetary Basis
For the Year Ended June 30, 2021

	Budgeted Amounts		Non-GAAP Actual	Variance with Final Budget Positive (Negative)
	Original	Final		
Revenues				
Charges for services	$ -	$ -	$ 770	$ 770
Intergovernmental	16,400,000	16,400,000	17,619,503	1,219,503
Fines and forfeitures	-	-	6,112	6,112
Interest	45,000	45,000	130,317	85,317
Miscellaneous	-	-	101,735	101,735
Total revenues	16,445,000	16,445,000	17,858,437	1,413,437
Expenditures				
Current				
Highways and streets	16,009,630	16,214,000	14,623,976	1,590,024
Capital outlay	111,500	111,500	102,201	9,299
Contingency	500,000	295,630	-	295,630
Total expenditures	16,621,130	16,621,130	14,726,177	1,894,953
Excess (deficiency) of revenues over (under) expenditures	(176,130)	(176,130)	3,132,260	3,308,390
Other financing sources (uses)				
Transfers out	(1,027,190)	(1,027,190)	(1,027,190)	-
Total other financing sources (uses)	(1,027,190)	(1,027,190)	(1,027,190)	-
Net change in fund balances	$ (1,203,320)	$ (1,203,320)	2,105,070	$ 3,308,390

Explanation of difference between budgetary change in fund balance at June 30, 2021, and GAAP change in fund balance:	
Fair market value adjustments on investments are recorded on the GAAP basis but are not recognized on the budget basis	(130,311)
Change in fund balance as reported on the statement of revenues, expenses and changes in fund balance	$ 1,974,759

The notes to financial statements are an integral part of this statement.

TOWN OF GILBERT, ARIZONA
Statement of Net Position
Proprietary Funds
June 30, 2021

	Business-type Activities - Enterprise Funds				Governmental Activities
	Water	Wastewater	Environmental Services	Total Enterprise Funds	Internal Service Funds
Assets					
Current assets					
Pooled cash and investments	$ 135,229,422	$ 106,256,056	$ 23,982,579	$ 265,468,057	$ 14,390,612
Restricted cash and investments	10,795,154	2,867,000	-	13,662,154	-
Receivables, net					
Accrued interest	301,527	175,708	51,835	529,070	30,995
Restricted accrued interest	19	51,585	-	51,604	-
Accounts	3,440,656	1,311,011	968,968	5,720,635	1,258,962
Due from other governments	187,852	-	557,688	745,540	27,906
Deposits	-	-	-	-	50,000
Inventories	54,459	-	-	54,459	753,855
Total current assets	150,009,089	110,661,360	25,561,070	286,231,519	16,512,330
Noncurrent assets					
Investment in joint venture	80,612,880	106,515,484	-	187,128,364	-
Capital assets					
Non-depreciable	112,716,174	30,706,880	558,345	143,981,399	5,261
Depreciable, net	280,943,178	172,021,833	33,046,214	486,011,225	191,463
Total noncurrent assets	474,272,232	309,244,197	33,604,559	817,120,988	196,724
Total assets	624,281,321	419,905,557	59,165,629	1,103,352,507	16,709,054
Deferred outflows of resources					
Deferred charge on refundings	2,224,901	-	-	2,224,901	-
Pensions and other postemployment benefits	2,539,239	868,333	1,658,070	5,065,642	498,884
Total deferred outflows of resources	4,764,140	868,333	1,658,070	7,290,543	498,884
Liabilities					
Current liabilities					
Accounts payable	5,178,385	4,546,905	948,592	10,673,882	388,403
Accrued liabilities	541,924	192,888	351,571	1,086,383	112,679
Current portion of accrued compensated absences	510,113	197,922	290,124	998,159	92,027
Claims payable	-	-	-	-	4,068,000
Bond interest payable	1,991,656	752,000	-	2,743,656	-
Bonds payable	5,835,000	2,115,000	-	7,950,000	-
Utility deposits	1,502,398	-	32,275	1,534,673	-
Total current liabilities	15,559,476	7,804,715	1,622,562	24,986,753	4,661,109
Noncurrent liabilities					
Utility revenue bonds payable	103,284,768	31,413,252	-	134,698,020	-
Accrued compensated absences	975,853	424,082	517,013	1,916,948	141,820
Other postemployment benefits	83,698	30,479	63,938	178,115	16,009
Net pension liability	12,425,092	4,241,099	8,074,041	24,740,232	2,442,999
Total noncurrent liabilities	116,769,411	36,108,912	8,654,992	161,533,315	2,600,828
Total liabilities	132,328,887	43,913,627	10,277,554	186,520,068	7,261,937
Deferred inflows of resources					
Pensions and other postemployment benefits	140,989	51,342	107,704	300,035	26,968
Total deferred inflows of resources	140,989	51,342	107,704	300,035	26,968
Net position					
Net investment in capital assets	282,746,720	168,879,725	33,357,440	484,983,885	196,724
Restricted for capital projects	-	22,716,849	-	22,716,849	-
Unrestricted	213,828,865	185,212,347	17,081,001	416,122,213	9,722,309
Total net position	$ 496,575,585	$ 376,808,921	$ 50,438,441	923,822,947	$ 9,919,033
Adjustment to reflect the consolidation of internal service fund activities related to enterprise funds				2,037,092	
Net position of business-type activities				$ 925,860,039	

The notes to financial statements are an integral part of this statement.

TOWN OF GILBERT, ARIZONA
Statement of Revenues, Expenses, and Changes in Net Position
Proprietary Funds
For the Year Ended June 30, 2021

	Business-type Activities - Enterprise Funds				Governmental Activities
	Water	Wastewater	Environmental Services	Total Enterprise Funds	Internal Service Funds
Operating revenues					
Charges for services	$ 52,890,264	$ 30,846,958	$ 22,460,138	$ 106,197,360	$ 30,143,322
Other	27,492	10,576	36,485	74,553	3,167,984
Total operating revenues	52,917,756	30,857,534	22,496,623	106,271,913	33,311,306
Operating expenses					
General and administrative	1,465,374	1,012,245	1,164,279	3,641,898	2,074,589
Personnel services	10,911,255	4,846,280	8,944,192	24,701,727	2,556,250
Operation and maintenance	17,393,608	10,862,137	9,664,753	37,920,498	5,192,012
Claims incurred	-	-	-	-	22,595,943
Depreciation	16,873,388	12,078,555	4,725,780	33,677,723	35,488
Allocation of indirect expenses	2,668,810	1,289,680	1,285,410	5,243,900	-
Total operating expenses	49,312,435	30,088,897	25,784,414	105,185,746	32,454,282
Operating income (loss)	3,605,321	768,637	(3,287,791)	1,086,167	857,024
Nonoperating revenues (expenses)					
Interest expense	(3,017,391)	(1,160,675)	-	(4,178,066)	-
Intergovernmental	1,791,799	168,513	555,888	2,516,200	-
Interest earnings	1,852,043	1,423,850	318,397	3,594,290	158,718
Net change in fair value of investments	(1,649,925)	(1,536,240)	(376,383)	(3,562,548)	(126,901)
Gain on sale of capital assets	115,040	68,675	221,760	405,475	3,360
Total nonoperating revenues (expenses)	(908,434)	(1,035,877)	719,662	(1,224,649)	35,177
Income (loss) before contributions and transfers	2,696,887	(267,240)	(2,568,129)	(138,482)	892,201
Capital contributions	16,291,108	5,338,837	-	21,629,945	-
Transfers in	-	724,302	2,700,000	3,424,302	-
Transfers out	(759,302)	-	-	(759,302)	-
Change in net position	18,228,693	5,795,899	131,871	24,156,463	892,201
Total net position - beginning	478,346,892	371,013,022	50,306,570		9,026,832
Total net position - ending	$ 496,575,585	$ 376,808,921	$ 50,438,441		$ 9,919,033

Adjustment to reflect the consolidation of internal service fund activities related to enterprise funds	236,864
Changes in net position of business-type activities	$ 24,393,327

The notes to financial statements are an integral part of this statement.

TOWN OF GILBERT, ARIZONA
Statement of Cash Flows
Proprietary Funds
For the Year Ended June 30, 2021

	Business-type Activities - Enterprise Funds				Governmental Activities
	Water	Wastewater	Environmental Services	Total Enterprise Funds	Internal Service Funds
Cash flows from operating activities					
Cash receipts from customers	$ 52,215,745	$ 30,784,060	$ 22,380,046	$ 105,379,851	$ 195,567
Other operating cash receipts	34,716	10,576	39,060	84,352	3,167,984
Cash receipts from other funds for services	-	-	-	-	30,438,202
Cash payments from deposits	(400,650)	-	(10,750)	(411,400)	-
Cash payments to suppliers for goods and services	(18,653,857)	(11,350,258)	(10,621,176)	(40,625,291)	(27,797,209)
Cash payments to employees for services	(10,443,109)	(4,756,286)	(8,361,587)	(23,560,982)	(2,378,246)
Cash payments to other funds for services	(2,668,810)	(1,289,680)	(1,285,410)	(5,243,900)	-
Net cash provided (used) by operating activities	20,084,035	13,398,412	2,140,183	35,622,630	3,626,298
Cash flows from noncapital financing activities					
Transfers from other funds	-	724,302	2,700,000	3,424,302	-
Transfers to other funds	(759,302)	-	-	(759,302)	-
Proceeds from intergovernmental agreements	1,949,451	170,566	-	2,120,017	-
Net cash provided (used) by noncapital financing activities	1,190,149	894,868	2,700,000	4,785,017	-
Cash flows from capital and related financing activities					
Acquisition and construction of capital assets	(30,229,534)	(17,904,108)	(6,026,770)	(54,160,412)	(128,517)
Proceeds from development fees	16,291,108	5,338,837	-	21,629,945	-
Cash paid for interest and fiscal charges	(4,123,438)	(1,555,875)	-	(5,679,313)	-
Principal payments on bonds	(5,545,000)	(2,015,000)	-	(7,560,000)	-
Proceeds from sale of capital assets	115,040	68,675	221,760	405,475	3,360
Net cash provided (used) by capital and related financing activities	(23,491,824)	(16,067,471)	(5,805,010)	(45,364,305)	(125,157)
Cash flows from investing activities					
Interest received on investments	325,456	23,781	(22,891)	326,346	36,787
Net cash provided (used) by investing activities	325,456	23,781	(22,891)	326,346	36,787
Net increase (decrease) in cash and cash equivalents	(1,892,184)	(1,750,410)	(987,718)	(4,630,312)	3,537,928
Balances - beginning	147,916,760	110,873,466	24,970,297	283,760,523	10,852,684
Balances - ending	$ 146,024,576	$ 109,123,056	$ 23,982,579	$ 279,130,211	$ 14,390,612
Reconciliation of operating income (loss) to net cash provided by operating activities:					
Operating income (loss)	$ 3,605,321	$ 768,637	$ (3,287,791)	$ 1,086,167	$ 857,024
Adjustments to reconcile operating income (loss) to net cash provided (used) by operating activities:					
Depreciation	16,873,388	12,078,555	4,725,780	33,677,723	35,488
Changes in assets and liabilities:					
Accounts receivable	(674,519)	(62,898)	(80,092)	(817,509)	487,799
Due from other governments	7,224	-	2,575	9,799	2,647
Prepaid items	399,194	-	-	399,194	-
Inventories	4,141	-	-	4,141	42,002
Deferred outflows of resources	(981,961)	(329,642)	(685,674)	(1,997,277)	(206,297)
Accounts payable	(198,210)	524,124	207,856	533,770	30,332
Claims payable	-	-	-	-	2,043,000
Deposits	(400,650)	-	(10,750)	(411,400)	(50,000)
Accrued expenses	246,836	58,038	126,064	430,938	46,555
Other postemployment benefits	15,909	7,375	12,986	36,270	2,807
Net pension liability	1,870,884	587,427	1,553,026	4,011,337	463,785
Deferred inflows of resources	(683,522)	(233,204)	(423,797)	(1,340,523)	(128,844)
Net cash provided by operating activities	$ 20,084,035	$ 13,398,412	$ 2,140,183	$ 35,622,630	$ 3,626,298

The notes to financial statements are an integral part of this statement.

TOWN OF GILBERT, ARIZONA
NOTES TO THE FINANCIAL STATEMENTS
June 30, 2021

The Town of Gilbert, Arizona (Gilbert) was incorporated on July 6, 1920, under the provisions of Article 13, Section 1 of the Constitution of the State of Arizona. Gilbert operates as a general law community, under the provisions of Title 9, Chapter 2, Article 3 (Common Council provision). Gilbert operates under the Council-Manager form of government, as empowered in Chapter 2, Article 2-51 of the Code of the Town of Gilbert, Arizona. There are seven members of the Council, elected to staggered four-year terms. The voters select the Mayor and the Council membership annually elects the Vice Mayor.

Note 1 – Summary of Significant Accounting Policies

Gilbert's accounting policies conform to accounting principles generally accepted in the United States of America (GAAP) as applicable to governmental units. The Governmental Accounting Standards Board (GASB) is the accepted standard-setting body for establishing governmental accounting and financial reporting principles.

For the year ended June 30, 2021, Gilbert implemented the provisions of GASB Statement No. 84, *Fiduciary Activities*, which establishes criteria for identifying fiduciary activities for accounting and financial reporting purposes. As a result, Gilbert's fiduciary fund financial statements have been removed to reflect the implementation of this new guidance. Activities previously reported in agency funds are now recorded in the governmental funds, as they no longer meet the criteria of fiduciary activities under the new pronouncement.

A. Reporting Entity

Gilbert's operations include public safety (police, fire, ambulance transport, and animal control), parks and recreation (parks, recreation, library, culture and arts, and social services), highways and streets (street and right-of-way maintenance, traffic control, and transportation), development services (planning, code enforcement, and engineering), and general administration in support of operations. Gilbert also operates three enterprise funds to provide water, wastewater, and environmental services, and two internal service funds that provide equipment and fleet maintenance and employee self-insurance for medical, dental, and workers' compensation claims.

The accompanying financial statements present the activities of Gilbert (the primary government) and its component units. Component units are legally separate entities for which Gilbert is considered to be financially accountable. Blended component units, although legally separate entities, are in substance part of Gilbert's operations. Therefore, data from these units is combined with data of the primary government. Discretely presented component units, on the other hand, are reported in a separate column in the combined financial statements to emphasize they are legally separate from the Town of Gilbert. Each blended and discretely presented component unit discussed below has a June 30 year-end.

Blended Component Units – The Water Resources Municipal Property Corporation (Water MPC) is a legally separate, non-profit corporation which exists solely for the purpose of financing the construction or acquisition of water and wastewater capital improvement projects. The Public Facilities Municipal Property Corporation (Public Facilities MPC) is a legally separate, non-profit corporation which exists solely for the purpose of financing construction of municipal facilities. Each is considered a blended component unit because the Council appoints the five-member board of directors of each MPC, the Council must approve any amendments to the articles of incorporation of each MPC, the Council must approve any debt issues of each MPC, and each MPC provides services solely to the Town of Gilbert. At June 30, 2021, the Water MPC bonded debt is reported within the Water and Wastewater Funds and the Public Facilities MPC bonded debt is reported within the Debt Service Fund (current portion only) and within the governmental activities in the government-wide statement of net position.

Discretely Presented Component Unit – The Industrial Development Authority (IDA) issues industrial revenue bonds to provide financial assistance to private sector entities for the acquisition and construction of eligible industrial and commercial facilities deemed to be in the public interest. The IDA is considered a component unit because the Council appoints the board of directors of the IDA, the Council must approve any amendments to the articles of incorporation of the IDA, and the Council must approve any debt issues of the IDA. The IDA is discretely presented in these combined financial statements because the IDA does not provide services solely to Gilbert. Separate financial statements for the IDA are prepared and presented to the IDA Board annually and can be found on Gilbert's website.

B. Jointly Governed Organizations

Phoenix-Mesa Gateway Airport Authority (PMGAA) is a non-profit corporation established and funded by the Towns of Gilbert and Queen Creek, the Cities of Mesa and Phoenix, and the Gila River Indian Community. The purpose of the entity is the development of Phoenix-Mesa Gateway Airport. The airport has three runways, a passenger terminal and is positioned to be a reliever airport to Phoenix's Sky Harbor International Airport. The Board of Directors consists of the mayors of the respective communities and the governor of the Gila River Indian Community. Gilbert contributed $350,000 in fiscal year 2021 to the PMGAA operating and capital budget.

Regional Public Transportation Authority (RPTA) is a voluntary association of local governments, including Maricopa County, Chandler, Mesa, Tempe, Scottsdale, Glendale, Phoenix, and Gilbert. Its purpose is to create a regional public transportation plan for Maricopa County. The Board of Directors consists of the mayors of those municipalities and a member of the County Board of Supervisors.

C. Government-wide and Fund Financial Statements

The government-wide financial statements (Statement of Net Position and Statement of Activities) report on Gilbert and its component units as a whole. Governmental activities, which normally are supported by taxes and intergovernmental revenues, are reported separately from business-type activities, which rely to a significant extent on fees and charges for services.

The government-wide Statement of Net Position reports all financial and capital resources of the government. It is displayed in a format of assets and deferred outflows of resources, less liabilities and deferred inflows of resources equals net position, with the assets and liabilities shown in order of their relative liquidity. Net position is required to be displayed in three components: 1) net investment in capital assets, 2) restricted and 3) unrestricted. Net investment in capital assets is capital assets net of accumulated depreciation, reduced by outstanding balances of any bonds, mortgages, notes or other borrowings that are attributable to the acquisition, construction, or improvement of those assets. Restricted net position has constraints placed on its use by either: 1) externally imposed by creditors (such as through debt covenants), grantors, contributors, or laws or regulations of other governments, or 2) imposed by law through constitutional provisions or enabling legislation. All net position not otherwise classified as restricted, is shown as unrestricted.

The government-wide Statement of Activities demonstrates the degree to which the direct expenses of the various functions or departments are offset by program revenues. Direct expenses are those that are clearly identifiable with a specific function or department. Interest and fiscal charges on long-term debt are not allocated to the various functions. Program revenues include charges for services, fines and forfeitures, licenses and permit fees, special assessment fees, system development fees, intergovernmental grants and other entities participation. Taxes, investment earnings, and other revenues not identifiable with a particular function or department are included as general revenues. The general revenues support the net costs of the functions and departments not covered by program revenues.

For the most part, the effect of internal activity has been removed from the government-wide financial statements. Net internal activity and balances between governmental activities and business-type activities are shown in the government-wide financial statements. However, certain charges between the enterprise funds' utility systems and the various functional activities are not eliminated in the government-wide statements, as this would distort the direct costs and program revenues reported for the various functions concerned. Separate financial statements are provided for the governmental funds and proprietary funds.

The focus of the fund financial statements is on major funds. Major individual governmental funds and proprietary funds are reported as separate columns in the fund financial statements. Other nonmajor governmental funds, as well as the internal service funds, are summarized into a single column on the fund financial statements and are detailed in the combining statements included as supplementary information.

The internal service funds, which provide services to the other funds of the government, are presented in a single combined column in the proprietary fund financial statements. Because the principal users of the internal service funds are the governmental activities, the assets and liabilities of the internal service funds are consolidated into the governmental activities column of the government-wide Statement of Net Position. The costs of the internal service fund services are spread to the appropriate function or department on the government-wide Statement of Activities. The revenues and expenses within the internal service funds are eliminated from the government-wide financial statements to avoid any doubling up effect from these revenues and expenses.

D. Measurement Focus and Basis of Accounting

The government-wide and proprietary fund statements are reported using the economic resources measurement focus and the accrual basis of accounting. Revenues are recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Property taxes are recognized as revenue in the year for which they are levied. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the grantor or provider have been met.

Governmental funds in the fund financial statements are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Revenues are recognized when they become both measurable and available. Gilbert considers all revenues reported in the governmental funds to be available if the revenues are collected within 60 days after year-end. Gilbert's major revenue sources that are susceptible to accrual are property taxes, sales taxes, franchise taxes, licenses and permits, intergovernmental revenue and investment earnings associated with the current fiscal period. Charges for services, fines and forfeitures, and miscellaneous revenues are recorded as revenue when received as cash because they are generally not measurable until actually received. Expenditures are recorded when the related fund liability is incurred, except for principal and interest on long-term debt, claims and judgements, and compensated absences, which are recognized as expenditures to the extent they are due and payable. General capital asset acquisitions are reported as expenditures in governmental funds. Issuances of general long-term debt and acquisitions under capital lease agreements are reported as other financing sources.

Since the governmental fund financial statements are presented on a different measurement focus and basis of accounting than the government-wide statements' governmental activities column, a reconciliation is presented on the page following each fund statement. These reconciliations briefly explain the adjustments necessary to transform the fund financial statements into the governmental activities column of the government-wide presentation.

Proprietary funds distinguish operating revenues and expenses from nonoperating items. Operating revenues and expenses generally result from providing services and producing and delivering goods in connection with a proprietary fund's principal ongoing operations. The principal operating revenue of Gilbert's enterprise funds are user fees and charges to customers for water, wastewater, and environmental services. Operating expenses for these funds include the cost of supplies and repair and maintenance, administrative and payroll expenses, and depreciation. All revenues and expenses not meeting this definition are reported as nonoperating revenues and expenses. The principal operating revenue of Gilbert's internal service funds are charges to user departments for services provided.

E. Fund Accounting

Gilbert uses funds to report its financial position and the results of its operations. Fund accounting segregates funds according to their intended purpose and is designed to demonstrate legal compliance and to aid financial management by segregating transactions related to certain governmental functions or activities. A fund is a separate accounting entity with a self-balancing set of accounts, which includes assets, liabilities, fund equity, revenues and expenditures/expenses.

Gilbert uses the following fund categories, further divided by fund type:

Governmental Funds

Governmental funds are those through which most of the governmental functions are financed. The measurement focus is based upon determination of changes in financial position rather than upon net income determination.

Gilbert reports the following major governmental funds:

General – The General Fund is the primary operating fund and is used to account for all financial resources except those required to be accounted for in another fund. The General Fund will always be considered a major fund in the basic financial statements.

Streets Special Revenue – The Streets Special Revenue Fund accounts for Gilbert's portion of the Arizona Highway User Revenue Tax (HURF). The revenue is used exclusively for the maintenance and improvement of highways and streets.

Streets and Traffic Capital Projects – The Streets and Traffic Capital Projects Fund accounts for the receipt of proceeds restricted or assigned for expenditure on street and traffic capital improvements. Proceeds recorded in this fund include general obligation bonds for street projects, roads and traffic system development fees collected from building permits, and state funds in accordance with the Maricopa Association of Governments Regional Transportation Plan approved by voters as Proposition 400.

Parks Capital Projects – The Parks Capital Projects Fund accounts for the receipt of parks system development fees collected from building permits paid and the expenditure of those funds for parks capital improvements.

Municipal Facilities Capital Projects – The Municipal Facilities Capital Projects Fund accounts for the receipt of proceeds restricted for expenditure on municipal facilities capital improvements. Proceeds recorded in this fund include general obligation bonds for municipal projects, police and fire SDFs, and previously collected general government SDFs from building permits.

Debt Service – The Debt Service Fund accounts for the principal and interest requirements of general obligation, public facilities municipal property corporation revenue bonds, and revenue obligations not recorded in proprietary funds. Financing is provided from the levy of secondary property taxes and revenue-supported transfers.

Special Assessments Debt Service – The Special Assessments Fund accounts for the principal and interest requirements of special assessment bonds not recorded in proprietary funds. Financing is provided by special assessment levies against benefited property owners.

Proprietary Funds

Proprietary funds are used to account for Gilbert's ongoing activities which are similar to those found in the private sector, where cost-recovery and the determination of net income is useful or necessary for sound fiscal management. The measurement focus is based upon determination of net income, changes in net position, financial position and cash flows.

Gilbert reports the following major proprietary funds:

Water – The Water Fund accounts for the revenues and expenses from the operation and maintenance of the domestic water system.

Wastewater – The Wastewater Fund accounts for the revenues and expenses from the operation of the sanitary wastewater collection and treatment and reclaimed water distribution system.

Environmental Services – The Environmental Services Fund accounts for the revenues and expenses of operating the solid waste collection system and environmental compliance.

Additionally, Gilbert reports the following fund type:

Internal Service – The Internal Service Funds account for operations that provide services to other departments on a cost-reimbursement basis. These services include maintenance of Gilbert's motorized equipment and self-insurance for employee benefit programs.

F. Budgetary Data

In December of each year, the Office of Management & Budget (OMB) prepares a revenue estimate based upon local and state-shared revenue forecasts, historic trends, economic indicators, anticipated growth, and year-to-date revenue performance to develop guidelines for departments to follow in prioritizing budget requests.

Simultaneously, departments develop operating budget requests and submit them to the OMB. Departments work with the Capital Improvement Program (CIP) Division to finalize project estimates for the CIP and submit them to the OMB for funding. Estimates for debt service, maintenance improvement districts, and internal service funds are prepared by respective departments and submitted to the OMB for review.

In April, the Council is presented with a working budget request for preliminary review and discussion and approves a schedule of hearings and dates for adoption of the budget. A public hearing is held in May for discussion and adoption of the preliminary budget. The preliminary budget sets the maximum legal expenditure limit for the upcoming year. A second public hearing is held in June for discussion and adoption of the final budget. The Council typically adopts the final tax levy in June and reports the levy amounts to Maricopa County for collection not later than the third Monday in August.

The Council sets policy and adopts the annual budget at the fund level as a total amount of expenditures. Financial control is set by Council at the fund level, with budgetary control for operating performance administered at the departmental level. Budget adjustments for special revenue funds, excluding the Streets Special Revenue Fund, will be administered by the OMB and will not exceed the available revenues. Grants and restricted appropriations are administered by departments. Directors may authorize transfers within non-personnel budget lines at the same fund, department, and project level. Council action is required to approve adjustments between funds, projects, or contingency transactions over $50,000. All annual appropriations lapse at year-end and are considered for inclusion in the subsequent year's budget on a case-by-case basis.

Gilbert prepares its budget on a basis generally consistent with GAAP, with certain exceptions such as long-term liability activity, capital outlay activity, depreciation expense, fair market value adjustments and developer contributions. Budgetary comparison statements for the General Fund and major special revenue funds are presented in the basic financial statements. These statements display original budget, amended budget, and actual results. Budgetary comparison schedules are also included as supplementary schedules for the other governmental funds.

G. Pooled Cash and Investments

Gilbert maintains pooled cash and investment accounts for funds that are not legally required to be maintained separately. Each fund's equity in pooled cash and investments represents that fund's position in the consolidated accounts and determines that fund's allocation of interest earned in the pool. The Arizona Revised Statutes require a pooled collateral program for public deposits and regulate the investment of surplus cash. Gilbert limits its investments to the Local Government Investment Pool (managed by the Arizona State Treasurer), U.S. government securities, certificates of deposit, bonds, repurchase agreements, corporate notes, asset-backed securities, commercial paper, and money market accounts. Investments are stated at fair value based on quoted market prices.

H. Inventories and Prepaid Items

Inventories are recorded as assets when purchased and expensed when consumed. These inventories are valued at cost using the weighted average method.

Certain payments to vendors reflect costs applicable to future accounting periods and are recorded as prepaid items in both government-wide and fund financial statements. Prepaid items are recorded as expenses when consumed in the government-wide financial statements and fund financial statements.

I. Capital Assets

Capital assets, including public domain infrastructure (e.g., roads, bridges, sidewalks and similar assets), are defined as assets with an initial, individual cost of more than $10,000 and an estimated useful life greater than one year. All infrastructure, including infrastructure acquired prior to June 30, 1980, is reported. Capital assets are recorded at cost or estimated historical cost if purchased or constructed. Donated capital assets (including streets, water and wastewater lines installed by developers) are recorded at acquisition value. Gain or loss is recognized when assets are retired from service or otherwise disposed.

The cost of normal maintenance and repairs that do not add to the value of the asset or materially extend its life are not capitalized. Major improvements are capitalized and depreciated over the remaining useful lives of the related capital assets.

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Major outlays for capital assets and improvements are capitalized as projects are constructed. Capital assets are depreciated using the straight-line method based on the following estimated useful lives (land, certain water rights, and construction-in-progress are not depreciated):

Buildings	10 to 50 years
Improvements	15 to 80 years
Machinery and equipment	3 to 15 years
Infrastructure	3 to 80 years
Water Rights	80 to 100 years

J. Deferred Outflows/Inflows of Resources

On the government-wide and proprietary funds Statement of Net Position, deferred outflows of resources are reported and represent a consumption of net position that applies to a future period and so will not be recognized as an outflow of resources (expenditure/expense) until then. Gilbert has two items that qualify for reporting in this category. A deferred charge on refunding results from the difference in the carrying value of refunded debt and its reacquisition price. This amount is deferred and amortized over the shorter of the life of the refunded or refunding debt. A deferred charge on pension and other postemployment-related items results from the difference between expected and actual experience and also changes in proportion and differences between Gilbert contributions and proportionate share of contributions. These amounts are deferred and will be recognized as an expenditure/expense in future periods.

On the governmental funds Balance Sheet, deferred inflows of resources are reported and represent an acquisition of net position that applies to a future period and so will not be recognized as an inflow of resources (revenue) until that time. The governmental funds report unavailable revenues from several sources: special assessments, court fines, sales tax, grants, and other. These amounts are deferred and recognized as an inflow of resources in the period that the amount becomes available.

On the government-wide and proprietary funds Statement of Net Position, deferred inflows of resources are reported on pension and other postemployment-related items for the net difference between projected and actual investment earnings on pension and other postemployment plan investments. These amounts are amortized as an expenditure/expense in future periods.

K. Compensated Absences

Compensated absences payable consists of vacation leave and a calculated amount of sick leave employees earned based on services already rendered.

Vacation is based on a graduated scale of years of employment and is credited to each employee as it accrues. Vacation hours vary according to years of employment and job class, and are either taken as time off from work or paid to employees upon separation or retirement. Sick leave accumulated in excess of 520 hours (728 hours for fire personnel) is convertible annually to a partial cash benefit. Sick leave is convertible to a cash benefit upon retirement or death of the employee (at 100%) or upon resignation (at 50%) when the employee has ten or more years of service (calculated at the current hourly rate of pay).

For the governmental funds, an expenditure for compensated absences is reported only if they have matured, for example, as a result of employee resignations and retirements. For the government-wide financial statements, as well as the proprietary fund financial statements, all of the outstanding compensated absences are recorded as a liability.

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L. Long-Term Obligations

In the government-wide financial statements, and proprietary fund types in the fund financial statements, long-term debt and other long-term obligations are reported as liabilities in the applicable governmental activities, business-type activities, or proprietary fund type statement of net position. Bond premiums and discounts are deferred and amortized over the life of the bonds using the straight line method. Bonds payable are reported net of the applicable bond premium or discount.

In the fund financial statements, governmental fund types recognize bond premiums and discounts, as well as bond issuance costs, during the current period. The face amount of debt issued is reported as an other financing source. Premiums received on debt issuances are reported as other financing sources while discounts on debt issuances are reported as other financing uses. Issuance costs, whether or not withheld from the actual debt proceeds received, are reported as debt service expenditures.

The debt service funds are specifically established to account for and service the long-term obligations for the governmental funds and special assessment debt. Each enterprise fund individually accounts for and services the applicable bonds that benefit these funds. Long-term obligations are recognized as a liability of a governmental fund when due, or when resources have been accumulated for payment early in the following year. For other long-term obligations, only that portion expected to be financed from expendable available financial resources is reported as a fund liability of a governmental fund.

M. Postemployment Benefits

For purposes of measuring the net pension and other postemployment benefits (OPEB) assets and liabilities, deferred outflows of resources and deferred inflows of resources related to pensions and OPEB, and pension and OPEB expense, information about the plans' fiduciary net position and additions to/deductions from the plans' fiduciary net position have been determined on the same basis as they are reported by the plans. For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms. Investments are reported at fair value.

N. Restricted Assets

Certain bond proceeds, as well as certain resources set aside for their repayment, are classified as restricted on the Balance Sheet, or Statement of Net Position, because they are maintained separately and their use is limited by applicable debt covenants.

O. Fund Balance Classifications

Fund balance classifications comprise a hierarchy based primarily on the extent to which Gilbert is bound to observe constraints imposed upon the use of the resources reported in the governmental funds. *Nonspendable* and *Restricted* fund balances represent the restricted classifications and *Committed*, *Assigned* and *Unassigned* represent the unrestricted classifications.

Nonspendable fund balance includes amounts that cannot be spent because they are either (a) not in spendable form such as inventory or (b) legally or contractually required to be maintained intact. Restricted fund balance includes amounts that can only be used for specific purposes pursuant to constraints imposed *externally* by creditors, grantors, contributors, or laws or regulations of other governments; or imposed by law through constitutional provisions or enabling legislation. Committed fund balance includes amounts that can only be used for specific purposes pursuant to constraints imposed *internally* by formal action of the Council. Formal action by Council through resolution is required to establish, modify or rescind committed fund balance. Assigned fund balance includes amounts that are limited to specific purposes by management. Per the Policies of Responsible Financial Management, Council has authorized the Finance & Management Services Director to assign fund balance amounts to a specific purpose. Unassigned fund balance represents the residual net resources in excess of the other classifications. The General Fund is the only fund that can report a positive unassigned fund balance and any other governmental fund can report a negative unassigned fund balance.

When an expenditure is incurred for purposes for which both restricted and unrestricted fund balance is available, as a general rule, restricted resources are considered spent before unrestricted. Within unrestricted, committed amounts would be reduced first, followed by assigned amounts (if available) and then unassigned amounts.

P. Statement of Cash Flows

A statement of cash flows classifies cash receipts and payments according to whether they stem from operating, noncapital financing, capital and related financing, or investing activities. For purposes of the statement of cash flows, all highly liquid investments (including restricted assets) with an original maturity of three months or less when purchased are considered cash equivalents.

Q. Use of Estimates

The preparation of financial statements in conformity with GAAP requires management to make a number of estimates and assumptions that affect the amounts reported as assets, liabilities, and deferred outflows/inflows of resources and disclosure of contingent assets and liabilities at the date of the Statement of Net Position/Balance Sheet and the reported amounts of revenues and expenditures/expenses during the reporting period. Actual results could differ from those estimates.

R. Transactions Between Funds

Transactions that would be recorded as revenues and expenditures/expenses if they involved entities external to the governmental unit are recorded as revenues and expenditures/expenses in the respective funds. Transactions constituting a reimbursement of a fund for expenditures/expenses originally recorded in that fund, but properly applicable to another fund, are recorded as expenditures/expenses in the reimbursing fund, and as reductions of the expenditures/expenses in the fund which is reimbursed, excluding indirect administrative costs which are recorded as revenues and expenditures/expenses in the related funds. Indirect administrative expenses represent overhead costs which have been allocated to the enterprise funds based upon a formula approved with the budget. All other interfund transactions are reported as transfers.

Activity between funds that are representative of lending/borrowing arrangements outstanding at the end of the fiscal year are referred to as either “due to/from other funds” (i.e., short-term interfund loans due to timing differences) or “advances to/from other funds” (i.e., loans adopted by Council for a particular purpose). Any residual balances outstanding between the governmental activities and business-type activities are reported in the government-wide financial statements as “internal balances”.

Advances between funds, as reported in the fund financial statements, are offset by a fund balance reserve account in the applicable governmental funds to indicate that they are not available for appropriation and are not expendable available financial resources. See Note 4 for further discussion of the interfund receivables/payables at June 30.

S. Property Tax

Gilbert's property tax levy is adopted by the Council each year and the County levies the taxes on or before the third Monday of August, based on the previous year's limited property value as of the lien date (January 1). Maricopa County, at no charge, levies and collects all property taxes. Levies are due and payable in two installments, on September 1 and March 1, and become delinquent on November 1 and May 1, respectively.

Public auctions of properties that have delinquent real estate taxes are held in February following the May 1 delinquency of the second installment. The purchaser is given a certificate of purchase, issued by the County Treasurer. Five years from the date of sale, the holder of a certificate of purchase, which has not been redeemed, may demand of the County Treasurer, a County Treasurer's Deed.

Gilbert does not levy property taxes for general operations (primary tax). Secondary property taxes are levied solely for the purpose of retiring the principal, interest, and servicing fees on voter approved general obligation bonded indebtedness. State law requires municipalities to adopt a property tax levy based on the amount of scheduled and projected debt service for the year plus a reasonable amount for delinquencies and certain costs. For fiscal year 2021, Gilbert's property tax rate is $0.99 per $100 of secondary assessed valuation.

Note 2 – Deposits and Investments

The Arizona Revised Statutes require a pooled collateral program for public deposits and a Statewide Collateral Pool Administrator (Administrator) in the State Treasurer's Office. The purpose of the pooled collateral program is to ensure that governmental entities' public deposits placed in participating depositories are secured with collateral of 102% of the public deposits, less any applicable deposit insurance. An eligible depository may not retain or accept any public deposit unless it has deposited the required collateral with a qualified escrow agent or the Administrator. The Administrator manages the pooled collateral program, including reporting on each depository's compliance with the program.

The investment of public monies is also regulated by the Arizona Revised Statutes Title 35. Gilbert limits its investments to the Local Government Investment Pools 7 and 700 (that only invest in U.S. government securities and managed by the Arizona State Treasurer), U.S. government securities, certificates of deposit, bonds, corporate notes, asset-backed securities, commercial paper, and money market accounts. The State Board of Investment provides oversight for the State Treasurer's pools. The fair value of a participant's position in the pool approximates the value of that participant's pool shares, and the participant's shares are not identified with specific investments. Participants in the pool are not required to categorize the value of shares in accordance with the fair value hierarchy.

Gilbert categorizes its fair value measurements within the fair value hierarchy established by GAAP. The hierarchy is based on the valuation inputs used to measure the fair value of the asset. Investments categorized as Level 1 are valued using prices quoted in active markets for those investments. Investments categorized as Level 2 are valued based on significant other observable inputs, which may include, but are not limited to, quoted prices for similar assets or liabilities in markets that are active, quoted prices for identical or similar assets or liabilities in markets that are not active, inputs other than quoted prices that are observable for the assets or liabilities (such as interest rates, yield curves, volatilities, prepayment speeds, loss severities, credit risks and default rates) or other market corroborated inputs. Gilbert had total investments of $631,643,076 at June 30, 2021. Gilbert categorizes certain investments within the fair value hierarchy established by generally accepted accounting principles as follows:

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Investment Type	Fair Value	Fair Value Measurement Using Level 1	Fair Value Measurement Using Level 2
U.S. Government Treasuries	$ 252,806,018	$ 252,806,018	$ -
U.S. Government Agencies	168,829,130	-	168,829,130
Corporate Notes	59,726,023	-	59,726,023
Certificates of Deposit	11,473,189	-	11,473,189
Asset Backed Securities	8,122,622	-	8,122,622
Municipal Bonds	5,236,702	-	5,236,702
Money Market	43,635,558	-	43,635,558
Total Investments Categorized by Fair Value Level	$ 549,829,242	$ 252,806,018	$ 297,023,224
External Investment Pools Measured at Fair Value			
State Treasurer's Investment Pool	81,813,834		
Total Investments Measured at Fair Value	$ 631,643,076		

Interest rate risk – Interest rate risk is the risk that changes in market interest rates will adversely affect the fair value of an investment. Generally, the longer the maturity of an investment, the greater the sensitivity of its fair value to changes in market interest rates. As a means of limiting its exposure to fair value losses arising from rising interest rates, Gilbert's investment policy limits its investment portfolio to maturities of five years or less.

At June 30, 2021, Gilbert's investment maturities were as follows:

Investment Type	Fair Value	Investment Maturities (in Years) Less than 1	Investment Maturities (in Years) 1-5
U.S. Government Treasuries	$ 252,806,018	$ 60,780,879	$ 192,025,139
U.S. Government Agencies	168,829,130	17,858,573	150,970,557
Corporate Notes	59,726,023	10,701,919	49,024,104
Certificates of Deposit	11,473,189	8,056,273	3,416,916
Asset Backed Securities	8,122,622	-	8,122,622
Municipal Bonds	5,236,702	-	5,236,702
State Treasurer's Investment Pool	81,813,834	55,407,181	26,406,653
Money Market	43,635,558	43,635,558	-
Total	$ 631,643,076	$ 196,440,383	$ 435,202,693

Credit risk – Generally, credit risk is the risk that an issuer of an investment will not fulfill its obligation to the holder of the investment. Gilbert addresses credit risk through its investment policy by restricting the allowable investment instruments. As of June 30, 2021, the investments in the U.S. Government Treasuries were rated AA+, U.S. Government Agencies were rated AA+, Corporate Note ratings ranged from BBB+ to AAA, Certificates of Deposit ratings ranged from A to AA, asset-backed securities were rated AAA, and Municipal Bond ratings ranged from AA+ to AAA. Gilbert's investment in the State Treasurer's Investment Pool did not receive a credit quality rating from a national rating agency.

Custodial credit risk – deposits – Custodial credit risk is the risk that in the event of a bank failure, Gilbert's deposits may not be returned. As of June 30, 2021, Gilbert's bank balance with JP Morgan was $10,976,802 of which $10,726,802 was exposed to custodial credit risk. JP Morgan's balance was uninsured but collateralized with securities held by the pledging financial institution's trustee. These securities are not in Gilbert's name, but cannot be released without Gilbert's authorization. At the end of each day, a portion of Gilbert's bank balance is transferred to a sweep investment account.

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Custodial credit risk – investments – The custodial credit risk for investments is the risk that, in the event of the failures of the counterparty (e.g. broker-dealer) to a transaction, Gilbert will not be able to recover the value of its investment or collateral securities that are in the possession of another party. Gilbert's investment policy limits its exposure to custodial credit risk by requiring that all security transactions entered into by Gilbert be conducted on a delivery-versus-payment basis. Securities are to be held by a third-party custodian. Gilbert's investment in the State Treasurer's Investment Pool represents a proportionate interest in the Pool's portfolio; however, Gilbert's portion is not identified with specific investments and is not subject to custodial credit risk.

Concentration of credit risk – Gilbert's investment policy limits corporate notes to 20% of total funds and 3% per issuer. As of June 30, 2021, of Gilbert's investments, 43% were in U.S. Government Treasuries, 29% were in U.S. Government Agencies, 10% were in Corporate Notes, 2% were in Certificates of Deposit, 1% were in Asset Backed Securities, 1% were in Municipal Bonds and 14% were in the State Treasurer's Investment Pool.

Reconciliation of pooled cash and investments as reported on the statement of net position:

Primary government:	
Carrying amount of cash	$ 8,554,799
Carrying amount of deposits/investments	631,643,076
Total cash and investments	$ 640,197,875
Pooled cash and investments	$ 612,778,731
Restricted cash and investments	27,419,144
Total cash and investments	$ 640,197,875

Note 3 – Taxes Receivable and Due from Other Governments

The General Fund taxes receivable amount of $15,587,969 at June 30, 2021, includes $1,484,656 in state-shared sales tax and $14,103,313 in local sales tax.

Amounts reported as due from other governments for governmental funds at June 30, 2021, are summarized as follows:

General Fund	
Vehicle License Tax	$ 505,554
SRP Bond Redemption	504,685
Other Intergovernmental	101,538
Streets Special Revenue Fund	
Highway User Revenue Funds	1,597,844
Streets and Traffic Capital Projects Fund	
Maricopa County Easement Settlement	1,114,273
Nonmajor Funds	
Maricopa County Attorney's Office - Racketeer Influenced Corrupt Organization Funds	1,723,198
U.S. Dept. of Housing and Urban Development CDBG and HOME	700,614
U.S. Dept. of Homeland Security Grants	146,068
Regional Public Transportation Authority - Local Reconciliation Refund	606,182
Grant Reimbursements	93,419
Other Intergovernmental	253
Total Governmental Funds	$ 7,093,628

TOWN OF GILBERT, ARIZONA
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June 30, 2021

Amounts reported as due from other governments for proprietary funds at June 30, 2021, are summarized as follows:

Water Fund		
City of Chandler - Joint Operation of SanTan Vista Water Treatment Plant	$	187,852
Environmental Services Fund		
Maricopa Association of Governments CMAQ Funding		555,888
Town of Queen Creek Household Hazardous Waste		1,800
Total Enterprise Funds	$	745,540
Internal Service Funds		
State of Arizona Overpayment Refund	$	4,482
City of Chandler Fuel Costs		918
ASRS/PSPRS Retiree Contributions		22,506
Total Internal Service Funds	$	27,906

Note 4 – Interfund Receivables and Payables

The composition of interfund balances as of June 30, 2021, is shown below.

Due to/from other funds are short-term loans that cover cash deficits and are recorded in the following funds (cash deficits are temporary, until reimbursements are received):

	Due From	Due To
General	$ 434,172	$ -
Other Governmental Funds	-	434,172
Total	$ 434,172	$ 434,172

Advances to/from other funds are long-term loans that cover cash deficits for capital expenditures and are recorded in the following funds:

	Advances To	Advances From
General	$ 9,061,893	$ -
Municipal Facilities Capital Projects	-	9,061,893
Total	$ 9,061,893	$ 9,061,893

TOWN OF GILBERT, ARIZONA
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Note 5 – Capital Assets

A summary of changes in capital assets for governmental activities, for the fiscal year ended June 30, 2021, is as follows:

	July 1, 2020	Additions	Deletions	June 30, 2021
Non-depreciable assets:				
Land	$ 146,382,648	$ 956,509	$ (15,081,177)	$ 132,257,980
Construction-in-progress	197,705,823	70,843,280	(93,680,001)	174,869,102
Total non-depreciable assets	344,088,471	71,799,789	(108,761,178)	307,127,082
Depreciable assets:				
Buildings	273,407,269	75,301,802	-	348,709,071
Improvements other than buildings	75,325,062	1,413,092	-	76,738,154
Machinery and equipment	72,616,603	11,229,363	(2,472,750)	81,373,216
Infrastructure	1,121,087,788	13,183,332	-	1,134,271,120
Total depreciable assets	1,542,436,722	101,127,589	(2,472,750)	1,641,091,561
Less accumulated depreciation:				
Buildings	(135,829,226)	(10,792,457)	-	(146,621,683)
Improvements other than buildings	(54,344,493)	(2,786,470)	-	(57,130,963)
Machinery and equipment	(52,690,968)	(4,066,170)	2,452,650	(54,304,488)
Infrastructure	(601,370,324)	(35,959,443)	-	(637,329,767)
Total accumulated depreciation	(844,235,011)	(53,604,540)	2,452,650	(895,386,901)
Total depreciable assets, net	698,201,711	47,523,049	(20,100)	745,704,660
Governmental activities capital assets, net	$ 1,042,290,182	$ 119,322,838	$ (108,781,278)	$ 1,052,831,742

Depreciation expense was charged to governmental functions in the government-wide financial statement as follows:

Management and policy	$ 519,387
Finance and management services	389,159
Legal and court	459,768
Development services	2,367,732
Police	2,833,630
Fire	3,610,321
Highways and streets	37,321,167
Parks and recreation	6,067,888
Total depreciation expense not including internal service funds	$ 53,569,052
Capital assets held by Gilbert's internal service funds are charged to the various functions based on their usage of the assets	35,488
Total depreciation expense - governmental activities	$ 53,604,540

TOWN OF GILBERT, ARIZONA
NOTES TO THE FINANCIAL STATEMENTS
June 30, 2021

A summary of changes in capital assets for business-type activities, for the fiscal year ended June 30, 2021, is as follows:

	July 1, 2020	Additions	Deletions	June 30, 2021
Non-depreciable assets:				
Land	$ 23,510,321	$ 4,805	$ -	$ 23,515,126
Water rights	58,150,151	1,277,593	-	59,427,744
Construction-in-progress	45,659,772	40,535,233	(25,156,476)	61,038,529
Total non-depreciable assets	127,320,244	41,817,631	(25,156,476)	143,981,399
Depreciable assets:				
Plant and equipment	148,035,168	7,290,105	(2,050,142)	153,275,131
Infrastructure	629,381,738	19,484,374	-	648,866,112
Water rights	40,354,519	-	-	40,354,519
Total depreciable assets	817,771,425	26,774,479	(2,050,142)	842,495,762
Less accumulated depreciation:				
Plant and equipment	(84,436,344)	(7,900,482)	2,050,142	(90,286,684)
Infrastructure	(246,370,009)	(16,698,762)	-	(263,068,771)
Water rights	(2,718,653)	(410,429)	-	(3,129,082)
Total accumulated depreciation	(333,525,006)	(25,009,673)	2,050,142	(356,484,537)
Total depreciable assets, net	484,246,419	1,764,806	-	486,011,225
Business-type activities capital assets, net	$ 611,566,663	$ 43,582,437	$ (25,156,476)	$ 629,992,624

Note 6 – Construction-in-Progress and Commitments

Governmental activities construction-in-progress and related construction commitments at June 30, 2021, were as follows:

	Construction-in-Progress	Commitments
Streets and traffic	$ 80,822,031	$ 18,325,757
Parks	65,794,434	1,012,940
Municipal facilities	2,595,853	3,263,261
Redevelopment	25,651,523	1,080,665
Fleet	5,261	-
Total	$ 174,869,102	$ 23,682,623

Business-type activities construction-in-progress and related construction commitments at June 30, 2021, were as follows:

	Construction-in-Progress	Commitments
Water system	$ 40,853,237	$ 8,447,056
Wastewater system	19,626,946	7,791,661
Environmental services	558,346	-
Total	$ 61,038,529	$ 16,238,717

TOWN OF GILBERT, ARIZONA
NOTES TO THE FINANCIAL STATEMENTS
June 30, 2021

Note 7 – Long-Term Debt

General Obligation Bonds

Gilbert issues general obligation bonds to provide funds for the acquisition and construction of major capital facilities including street improvements and the Public Safety Training Facility. General obligation bonds have been issued for both governmental and business-type activities. Currently, there are no outstanding general obligation bonds for business-type activities. General obligation bonds are direct obligations and pledge the full faith and credit of Gilbert.

General obligation bonds outstanding at June 30, 2021, were as follows:

	Governmental
2017 General Obligation and General Obligation Refunding Bonds, Series 2017, 3.0% to 5.0%, original amount $121,670,000, annual retirements due July 1, 2017, through July 1, 2036	$ 58,610,000
2020 General Obligation and General Obligation Refunding Bonds, Series 2020, 2.0% to 4.0%, original amount $76,750,000, annual retirements due July 1, 2020, through July 1, 2039	73,220,000
Total	$ 131,830,000

Annual debt service requirements to maturity for general obligation bonds are as follows:

	Governmental Activities	
Year Ending	Principal	Interest
2022	$ 22,275,000	$ 4,908,338
2023	18,530,000	3,855,538
2024	4,170,000	3,114,338
2025	4,360,000	2,922,688
2026	4,565,000	2,722,238
2027-2031	25,845,000	10,577,388
2032-2036	31,245,000	5,175,663
2037-2039	20,840,000	1,024,281
	$ 131,830,000	$ 34,300,472

Under the provisions of the Arizona Constitution, outstanding general obligation bonded debt for combined water, wastewater, electric, parks and open space, streets, and public safety purposes may not exceed 20% of Gilbert's net full cash (NFC) valuation, nor may outstanding general obligation bonded debt for all other purposes exceed 6% of Gilbert's NFC valuation. The following is a summary of legal borrowing capacity at June 30, 2021:

TOWN OF GILBERT, ARIZONA
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Water, Wastewater, Electric, Streets, Fire, Police, and Parks and Open Space Special Purpose Bonds		All Other General Obligation Bonds	
NFC - Assessed Valuation	$ 3,477,450,021	NFC - Assessed Valuation	$ 3,477,450,021
20% constitutional limit	$ 695,490,004	6% constitutional limit	$ 208,647,001
Less general obligation bonds outstanding	(131,830,000)	Less general obligation bonds outstanding	-
Less premium adjustment	(9,400,564)	Less premium adjustment	-
Available 20% limitation borrowing capacity	$ 554,259,440	Available 6% limitation borrowing capacity	$ 208,647,001

Special Assessment Bonds with Governmental Commitment

As trustee for the improvement districts, Gilbert is responsible for collection of assessments levied against the owners of property within the improvement districts and for disbursement of these amounts for retirement of the respective bonds issued to finance the improvements. At June 30, 2021, the special assessments receivable, together with amounts paid in advance and interest to be received over the life of the assessment period, were adequate for the scheduled maturities of the bonds payable and the related interest. Special assessment bonds are collateralized by properties within the districts. In the event of default by the owner, Gilbert may enforce an auction sale to satisfy the debt service requirements of the improvement bonds. Gilbert is contingently liable on special assessment bonds to the extent that proceeds from auction sales are insufficient to retire outstanding bonds.

Special assessment bonds outstanding at June 30, 2021, were as follows:

	Governmental
2002 Improvement District #19 Bonds, 5.2%, original amount $6,510,000, annual retirements due January 1, 2005, through January 1, 2027	$ 65,000
2009 Improvement District #20 Bonds, 5.1%, original amount $8,675,000, annual retirements due January 1, 2012, through January 1, 2029	3,935,000
Total	$ 4,000,000

Annual debt service requirements to maturity for special assessment bonds are as follows:

	Governmental Activities	
Year Ending	Principal	Interest
2022	$ 420,000	$ 193,350
2023	440,000	171,410
2024	465,000	148,323
2025	490,000	123,958
2026	510,000	98,445
2027-2029	1,675,000	130,693
	$ 4,000,000	$ 866,179

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Municipal Property Corporation (MPC) Revenue Bonds

The Public Facilities MPC exists solely for the purpose of financing the cost of acquisition of certain interests in real property for public safety and parks and recreation facilities, the cost of design and construction of Fire and Rescue Station #9 (the 2017 issue); and the refunding of certain maturities of outstanding bonds (the 2011, 2014, and 2017 issues). The Water MPC exists solely for the purpose of financing the construction of water and wastewater capital improvement projects. Also see Note 16 regarding Pledged Revenues.

Municipal property corporation revenue bonds outstanding at June 30, 2021, were as follows:

	Governmental	Business-Type
2011 Public Facilities Municipal Property Corporation Revenue Refunding Bonds, 3.0% to 4.75%, original amount $20,980,000, annual retirements due July 1, 2013 through July 1, 2021	$ 2,750,000	$ -
2014 Public Facilities Municipal Property Corporation Revenue Refunding Bonds, 2.0% to 5.0%, original amount $28,080,000, annual retirements due July 1, 2016 through July 1, 2021	6,590,000	-
2017 Public Facilities Municipal Property Corporation Revenue Refunding Bonds, 3.0% to 5.0%, original amount $43,075,000, annual retirements due July 1, 2018 through July 1, 2027	29,165,000	-
2017 Public Facilities Municipal Property Corporation Revenue Bonds, 4.0% to 5.0%, original amount $6,450,000, annual retirements due July 1, 2022 through July 1, 2027	6,450,000	-
2016 Water Resources Municipal Property Corporation, Senior Lien Utility System Revenue and Revenue Refunding Bonds, 2.25% to 5.0%, original amount $115,940,000, annual retirements due July 1, 2017 through July 1, 2036	-	95,225,000
2018 Water Resources Municipal Property Corporation, Senior Lien Utility System Revenue Bonds, 3.0% to 5.0%, original amount $37,460,000 annual retirements due July 1, 2018 through July 1, 2031	-	30,080,000
Total	$ 44,955,000	$ 125,305,000

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Annual debt service requirements to maturity for MPC revenue bonds are as follows:

	Governmental Activities		Business-type Activities	
Year Ending	Principal	Interest	Principal	Interest
2022	$ 14,590,000	$ 1,991,212	$ 7,950,000	$ 5,288,563
2023	5,500,000	1,508,250	8,340,000	4,881,313
2024	5,770,000	1,243,250	8,780,000	4,453,313
2025	6,055,000	954,750	9,200,000	4,003,813
2026	6,360,000	652,000	9,655,000	3,532,438
2027-2031	6,680,000	334,000	55,115,000	10,963,706
2032-2036	-	-	22,815,000	2,441,150
2037	-	-	3,450,000	69,000
	$ 44,955,000	$ 6,683,462	$ 125,305,000	$ 35,633,296

University Revenue Obligations

The University Revenue Obligations were issued specifically for the purpose of providing funds to design and construct a four-story building to be utilized for educational purposes. These obligations are payable solely from the revenues generated by excise taxes and state-shared revenue.

Subordinate lien pledged revenue obligations outstanding at June 30, 2021, were as follows:

	Governmental
Subordinate Lien Pledged Revenue Obligations, Series 2015, 3.0% to 5.0% original amount $36,980,000, annual retirements due July 1, 2017 through July 1, 2045	$ 34,220,000

Annual debt service requirements to maturity for subordinate lien pledged revenue obligations are as follows:

	Governmental Activities	
Year Ending	Principal	Interest
2022	$ 770,000	$ 1,468,456
2023	810,000	1,428,956
2024	850,000	1,387,456
2025	895,000	1,343,831
2026	935,000	1,298,081
2027-2031	5,440,000	5,730,238
2032-2036	6,610,000	4,558,878
2037-2041	7,910,000	3,237,325
2042-2045	10,000,000	1,298,750
	$ 34,220,000	$ 21,751,971

TOWN OF GILBERT, ARIZONA
NOTES TO THE FINANCIAL STATEMENTS
June 30, 2021

Changes in Long-term Liabilities

Long-term liability activity for the year ended June 30, 2021, was as follows:

	Balance July 1, 2020	Additions	Reductions	Balance June 30, 2021	Due Within One Year
Governmental activities:					
Bonds payable:					
General obligation bonds	$ 151,825,000	$ -	$ (19,995,000)	$ 131,830,000	$ 22,275,000
Special assessment bonds with government commitment	4,510,000	-	(510,000)	4,000,000	420,000
Revenue bonds	57,760,000	-	(12,805,000)	44,955,000	14,590,000
Revenue obligations	34,955,000	-	(735,000)	34,220,000	770,000
Unamortized bond premium	25,420,362	-	(2,955,079)	22,465,283	-
Total bonds payable	274,470,362	-	(37,000,079)	237,470,283	38,055,000
Compensated absences	16,329,370	10,986,960	(9,133,052)	18,183,278	5,993,390
Other postemployment benefits	633,392	159,113	-	792,505	-
Net pension liability	123,935,931	4,878,390	-	128,814,321	-
Total long-term liabilities	$ 415,369,055	$ 16,024,463	$ (46,133,131)	$ 385,260,387	$ 44,048,390
Business-type activities:					
Bonds payable:					
Revenue bonds	$ 132,865,000	$ -	$ (7,560,000)	$ 125,305,000	$ 7,950,000
Unamortized bond premium	18,877,751	-	(1,534,731)	17,343,020	-
Total bonds payable	151,742,751	-	(9,094,731)	142,648,020	7,950,000
Compensated absences	2,585,386	2,142,606	(1,812,885)	2,915,107	998,159
Other postemployment benefits	141,845	36,270	-	178,115	-
Net pension liability	20,728,895	4,011,337	-	24,740,232	-
Total long-term liabilities	$ 175,198,877	$ 6,190,213	$ (10,907,616)	$ 170,481,474	$ 8,948,159

Internal service funds predominantly serve the governmental funds. Accordingly, long-term liabilities for them are included as part of the above totals for governmental activities. At year-end, $233,847 of internal service funds compensated absences, $2,442,999 of net pension liability, and $16,009 of other postemployment benefits liability are included in the above amounts.

Long-term compensated absences, other postemployment benefits, and the net pension liability of governmental activities are expected to be liquidated by the operating funds (primarily the General Fund and the Streets Special Revenue Fund) as they come due.

Gilbert does not have any outstanding notes from direct borrowings or direct placements, no assets pledged as collateral for debt, nor any outstanding lines of credit.

TOWN OF GILBERT, ARIZONA
NOTES TO THE FINANCIAL STATEMENTS
June 30, 2021

Note 8 – Risk Management

Traditional Commercial Insurance Programs

Gilbert operates with traditional commercial insurance programs against major losses in cybercrime, property, plant, and equipment liability. Administrative responsibility for the safety program resides with the Office of the Town Manager, and administrative responsibility for risk management (including education) resides with the Risk Management Division of the Town Attorney's Office. Insurance is procured annually on a competitive quotation basis, using the services of an independent broker as a consultant. Risk Management processes all claims and evaluates their validity to determine if insurance reporting is warranted, or if the claim can be resolved administratively. Claims settled administratively, which are generally less than the deductibles of the appropriate policy, are paid from the funds where the claims occurred. During fiscal year 2021, there was no reduction in insurance coverage from prior years. Additionally, settlements and judgements have not exceeded insurance coverage during any of the last three fiscal years.

Self-Insurance

Gilbert established an Internal Service Fund to account for the Employee Benefit Self-Insurance Trusts (Trusts), which finance the uninsured risk of loss related to medical, dental, and workers' compensation claims. The Trusts are overseen by the Health Trust Board and the Workers' Compensation Trust Board. Gilbert purchases commercial stop loss insurance to limit the claims liability to the Trusts. The stop loss insurance provides reimbursement to the Trusts for medical claims incurred by an individual member in excess of $250,000 after an additional $150,000 aggregate plan risk retention, workers' compensation claims in excess of $750,000, and presumptive loss claims in excess of $2,000,000. Premiums are paid into the Trusts by funds and are available to pay claims and administrative costs of the program and fund claim reserves. As with any risk retention program, Gilbert is contingently liable with respect to claims beyond those actuarially projected.

The claims liability of $4,068,000 reported as claims payable in the Trusts at June 30, 2021, is based on the requirements of Governmental Accounting Standards Board Statement No. 10, which requires that a liability be reported when it is probable that a loss has occurred and the amount of the loss can be reasonably estimated. Claim liabilities are calculated considering the effects of inflation, recent claim settlement trends including frequency and amount of payouts and other economic and social factors. Liabilities include an amount for claims that have been incurred but not reported (IBNR).

Changes in the Trusts' claim liability amount in fiscal years 2021 and 2020 were:

Year Ended June 30,	Risk of Loss	Beginning of Fiscal Year Balance	Current Year Claims and Changes in Estimates	Claim Payments	Balance at Fiscal Year End
2021	Health	$ 1,936,000	$ 19,217,387	$ (18,825,387)	$ 2,328,000
	Dental	89,000	1,178,185	(1,156,185)	111,000
	Workers' Compensation	-	2,200,371	(571,371)	1,629,000
		$ 2,025,000	$ 22,595,943	$ (20,552,943)	$ 4,068,000
2020	Health	$ 1,594,000	$ 18,959,100	$ (18,617,100)	$ 1,936,000
	Dental	106,000	1,007,178	(1,024,178)	89,000
	Workers' Compensation	-	-	-	-
		$ 1,700,000	$ 19,966,278	$ (19,641,278)	$ 2,025,000

TOWN OF GILBERT, ARIZONA
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June 30, 2021

Note 9 – Pensions and Other Postemployment Benefits

Gilbert contributes to the following pension and OPEB plans:

- Elected Officials Retirement Plan (EORP) Pension
- Arizona State Retirement System (ASRS) Pension
- ASRS Health Insurance Premium Supplement (OPEB)
- ASRS Long-Term Disability (OPEB)
- Public Safety Retirement System (PSPRS) Pension
- PSPRS Health Insurance Premium Benefit (OPEB)

Gilbert also provides postemployment medical care, prescription drug, and dental care for retired employees through a single-employer defined benefit medical and dental plan. The ASRS, PSPRS, and EORP OPEB plan information is not disclosed in detail in this note due to their relative insignificance to the financial statements. See Note 10 for information on Gilbert's OPEB plan. The ASRS and PSPRS plans are component units of the State of Arizona.

Pension and OPEB Statement of Net Position and Statement of Activities	**Governmental Activities**	**Business-Type Activities**	**Total**
Deferred Outflow of Resources:			
OPEB - Town	$ 666,225	$ 149,734	$ 815,959
Pension - ASRS	13,218,896	4,915,908	18,134,804
Pension - PSPRS	54,267,303	-	54,267,303
Pension - EORP	215,231	-	215,231
Total	$ 68,367,655	$ 5,065,642	$ 73,433,297
Liabilities:			
OPEB - Town	$ 792,505	$ 178,115	$ 970,620
Pension - ASRS	65,870,537	24,740,232	90,610,769
Pension - PSPRS	61,219,990	-	61,219,990
Pension - EORP	1,723,794	-	1,723,794
Total	$ 129,606,826	$ 24,918,347	$ 154,525,173
Deferred Inflow of Resources:			
OPEB - Town	$ 1,334,982	$ 300,035	$ 1,635,017
Pension - ASRS	-	-	-
Pension - PSPRS	3,728,186	-	3,728,186
Pension - EORP	1,415	-	1,415
Total	$ 5,064,583	$ 300,035	$ 5,364,618

Gilbert reported $29,593,906 of pension and OPEB contributions as expenditures in the governmental funds related to all pension plans to which it contributed for fiscal year 2021.

A. Arizona State Retirement System

Plan Description – Gilbert employees not covered by the other pension plans described below participate in the ASRS. The ASRS administers a cost-sharing multiple-employer defined benefit pension plan, a cost-sharing multiple-employer defined benefit health insurance premium supplement (OPEB) plan, and a cost-sharing multiple-employer defined benefit long-term disability (OPEB) plan. The ASRS is governed by the Arizona State Retirement System Board according to the provisions of A.R.S. Title 38, Chapter 5, Articles 2 and 2.1. The ASRS issues a publicly available financial report that includes financial statements and required supplementary information. This report is available on their website at www.azasrs.gov.

TOWN OF GILBERT, ARIZONA
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Benefits Provided – The ASRS provides retirement, health insurance premium supplement, long-term disability, and survivor benefits. State statute establishes benefit terms. Retirement benefits are calculated on the basis of age, average monthly compensation, and service credit as follows:

	Retirement Initial Membership Date:	
	Before July 1, 2011	**On or After July 1, 2011**
Years of service and age required to receive benefit	Sum of years and age equals 80 10 years, age 62 5 years, age 50* Any years, age 65	30 years, age 55 25 years, age 60 10 years, age 62 5 years, age 50* Any years, age 65
Final average salary based on	Highest 36 consecutive months of last 120 months	Highest 60 consecutive months of last 120 months
Benefit percent per year of service	2.1% to 2.3%	2.1% to 2.3%

* With actuarially reduced benefits.

Retirement benefits for members who joined the ASRS prior to September 13, 2013, are subject to automatic cost-of-living adjustments based on excess investment earnings. Members with a membership date on or after September 13, 2013, are not eligible for cost-of-living adjustments. Survivor benefits are payable upon a member's death. For retired members, the retirement benefit option chosen determines the survivor benefit. For all other members, the beneficiary is entitled to the member's account balance that includes the member's contributions and employer's contributions, plus interest earned.

Contributions – In accordance with state statutes, annual actuarial valuations determine active member and employer contribution requirements. The combined active member and employer contribution rates are expected to finance the costs of benefits employees earn during the year, with an additional amount to finance any unfunded accrued liability. For the year ended June 30, 2021, statute required active ASRS members to contribute at the actuarially determined rate of 12.22% (12.04% for retirement and 0.18% for long term disability) of the members' annual covered payroll, and statute required Gilbert to contribute at the actuarially determined rate of 12.22% (11.65% for retirement, 0.39% for health insurance premium benefit, and 0.18% for long-term disability) of the members' annual covered payroll. In addition, Gilbert was required by statute to contribute at the actuarially determined rate of 10.21% (10.14% for retirement and 0.07% for long-term disability) of annual covered payroll of retired members who worked for Gilbert in positions that an employee who contributes to the ASRS would typically fill.

During fiscal year 2021, Gilbert paid for ASRS pension contributions as follows: 63% from the general fund, 32% from major funds, and 5% from other funds. The contributions to the pension plan for fiscal year 2021 were $7,263,134.

Pension Liability – At June 30, 2021, Gilbert reported a liability of $90,610,769 for its proportionate share of the ASRS' net pension liability. The net pension liability was measured as of June 30, 2020. The total pension liability used to calculate the net pension liability was determined using updated procedures to roll forward the total pension liability from an actuarial valuation as of June 30, 2019, to the measurement date of June 30, 2020.

Gilbert's proportion of the net pension liability was based on Gilbert's actual contributions to the plan relative to the total of all participating employers' contributions for the year ended June 30, 2020. Gilbert's proportion measured as of June 30, 2020, was 0.523%, which was an increase of 0.003% from its proportion measured as of June 30, 2019.

TOWN OF GILBERT, ARIZONA
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Gilbert's reported liability at June 30, 2021, increased by $14,917,072 from the prior year liability of $75,693,697 because of changes in the ASRS' net pension liability and Gilbert's proportionate share of that liability. The ASRS' publicly available financial report provides details on the change in the net pension liability.

The allocation of pension liability to the funds is based on employer contributions for the fiscal year.

Pension Expense and Deferred Outflows/Inflows of Resources – For the year ended June 30, 2021, Gilbert recognized pension expense for ASRS of $9,836,710. At June 30, 2021, Gilbert reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	$ 819,731	$ -
Net difference between projected and actual earnings on pension plan investments	8,739,515	-
Changes in proportion and differences between Gilbert contributions and proportionate share of contributions	1,312,424	-
Gilbert contributions subsequent to the measurement date	7,263,134	-
Total	$ 18,134,804	$ -

The $7,263,134 reported as deferred outflows of resources related to ASRS pensions resulting from Gilbert's contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ended June 30, 2022. Gilbert did not have deferred inflows of resources related to ASRS pension during the year. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to ASRS pensions will be recognized in pension expense as follows:

Year Ending June 30	Amount
2022	$ 2,202,539
2023	2,804,869
2024	3,161,176
2025	2,703,086
2026	-
Thereafter	-

Actuarial Assumptions – The significant actuarial assumptions used to measure the total pension liability are as follows:

Actuarial valuation date	June 30, 2019
Actuarial rollforward date	June 30, 2020
Actuarial cost method	Entry age normal
Investment rate of return	7.5%
Projected salary increases	2.7% - 7.2%
Inflation	2.3%
Permanent benefit increase	Included
Mortality rates	2017 SRA Scale U-MP

Actuarial assumptions used in the June 30, 2019 valuation were based on the results of an actuarial experience study for the 5-year period ended June 30, 2016.

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The long-term expected rate of return on ASRS pension plan investments was determined to be 7.5% using a building-block method in which best-estimate ranges of expected future real rates of return (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation.

The target allocation and best estimates of geometric real rates of return for each major asset class are summarized in the following table:

Asset Class	Target Allocation	Long-Term Expected Geometric Real Rate of Return
Equity	50%	6.39%
Fixed income - credit	20%	5.44%
Fixed income - Interest rate sensitive	10%	0.22%
Real estate	20%	5.85%
	100%	

Discount Rate – At June 30, 2020, the discount rate used to measure the ASRS total pension liability was 7.5%. The projection of cash flows used to determine the discount rate assumed that contributions from participating employers will be made based on the actuarially determined rates based on the ASRS Board's funding policy, which establishes the contractually required rate under Arizona statute. Based on those assumptions, the pension plan's fiduciary net position was projected to be available to make all projected future benefit payments of current plan members. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

Sensitivity of Gilbert's Proportionate Share of the ASRS Net Pension Liability to Changes in the Discount Rate – The following presents Gilbert's proportionate share of the net pension liability calculated using the discount rate of 7.5%, as well as what Gilbert's proportionate share of the net pension liability would be if it were calculated using a discount rate that is 1 percentage point lower (6.5%) or 1 percentage point higher (8.5%) than the current rate:

	1% Decrease (6.5%)	**Current Discount Rate (7.5%)**	**1% Increase (8.5%)**
Gilbert's proportionate share of the net pension liability	$ 123,908,997	$ 90,610,769	$ 62,775,161

Pension Plan Fiduciary Net Position – Detailed information about the pension plan's fiduciary net position is available in the separately issued ASRS financial report. The report is available on the ASRS website at www.azasrs.gov.

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B. Public Safety Personnel Retirement System

Plan Description – The PSPRS administers agent and cost-sharing multiple-employer defined benefit pension plans and agent multiple-employer defined benefit health insurance premium benefit (OPEB) plans. Gilbert public safety employees who are regularly assigned hazardous duty participate in the PSPRS or employees who became members on or after July 1, 2017, may participate in the Public Safety Personnel Defined Contribution Retirement Plan (PSPDCRP). A nine-member board known as the Board of Trustees and the participating local boards govern the PSPRS according to the provisions of A.R.S. Title 38, Chapter 5, Article 4. Employees who became PSPRS members on or after July 1, 2017, participate in the cost-sharing plans (PSPRS Tier 3 Risk Pool) which are not further disclosed because of their relative insignificance to Gilbert's financial statements.

The PSPRS issues a publicly available financial report that includes financial statements and required supplementary information. This report is available on their website at www.psprs.com.

Benefits Provided – The PSPRS provides retirement, health insurance premium supplement, disability, and survivor benefits. State statute establishes benefits terms. Retirement and disability benefits are calculated on the basis of age, average monthly compensation, and service credit as follows:

	Initial Membership Date:		
	Before January 1, 2012	**On or after January 1, 2012 and before July 1, 2017**	**On or after July 1, 2017**
Retirement and Disability:			
Years of service and age required to receive benefit	20 years of service, any age 15 years of service, age 62	25 years of service or 15 years of credited service, age 52.5	15 years of credited service, age 52.5* 15 or more years of service, age 55
Final average salary based on	Highest 36 months of last 20 years	Highest 60 months of last 20 years	Highest 60 months of last 15 years
Benefit percent			
Normal retirement	50% less 2.0% for each year of credited service less than 20 years OR plus 2.0% to 2.5% for each year of credited service over 20 years, not to exceed 80%	1.5% to 2.5% per year of credited service, not to exceed 80%	
Accidental disability retirement	50% plus normal retirement, whichever is greater		
Catastrophic disability retirement	90% for the first 60 months then reduced to either 62.5% or normal retirement, whichever is greater		
Ordinary disability retirement	Normal retirement calcuated with actual years of credited service or 20 years of credited service, whichever is greater, multiplied by years of credited service (not to exceed 20 years) divided by 20		
Survivor Benefit:			
Retired members	80% to 100% of retired member's pension benefit		
Active members	80% to 100% of accidental disability benefit or 100% of average monthly compensation if death was the result of injuries received on the job		

* With actuarially reduced benefits.

Retirement and survivor benefits are subject to automatic cost-of-living adjustments based on inflation. PSPRS also provides temporary disability benefits of 50% of the member's compensation for up to 12 months.

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Employees Covered by Benefit Terms – At June 30, 2021, the following employees were covered by the agent pension plan's benefit terms:

	Police	Fire
Inactive employees or beneficiaries currently receiving benefits	82	27
Inactive employees entitled to but not yet receiving benefits	59	21
Active employees	189	155
Total	330	203

Contributions and Annual OPEB Cost – State statutes establish the pension contribution requirements for active PSPRS employees. In accordance with state statutes, annual actuarial valuations determine employer contribution requirements for PSPRS pension and health insurance premium benefits. The combined active member and employer contribution rates are expected to finance the costs of benefits employees earn during the year, with an additional amount to finance any unfunded accrued liability. Contribution rates for the year ended June 30, 2021, are indicated below. Rates are a percentage of active members' annual covered payroll.

	Active Member-Pension	Active Member-Health	Gilbert-Pension	Gilbert-Health
Police				
PSPRS Tier 1	7.65%		31.76%	0.27%
PSPRS Tier 2	11.65%		31.76%	0.27%
PSPRS Tier 3				
Defined benefit only	9.21%	0.14%	26.39%	0.14%
PSPRS Tier 3				
Defined contribution only	10.41%		27.00%	
Fire				
PSPRS Tier 1	7.65%		22.79%	0.29%
PSPRS Tier 2	11.65%		22.79%	0.29%
PSPRS Tier 3				
Defined benefit only	9.21%	0.14%	16.90%	0.14%
PSPRS Tier 3				
Defined contribution only	10.41%		17.51%	

In addition, the statute required Gilbert to contribute at the actuarially determined rate indicated above for employees participating in the PSPRS Tier 3 Risk Pool and PSPDCRP members in addition to Gilbert's required contributions to the PSPRS Tier 3 Risk Pool and PSPDCRP.

For the agent plans, actual contributions made to the pension plan for the year ended June 30, 2021, exceeded the annual pension cost due to an additional payment made towards the unfunded liability (100% from the General Fund):

	Police	Fire
Pension contributions made	$ 18,652,558	$ 5,715,102

Pension Liability – At June 30, 2021, Gilbert reported $61,219,990 in net pension liability. The net pension liabilities were measured as of June 30, 2020, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of that date.

TOWN OF GILBERT, ARIZONA
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Actuarial Assumptions – The significant actuarial assumptions used to measure the total pension liability are as follows:

Actuarial valuation date	June 30, 2020
Actuarial cost method	Entry age normal
Investment rate of return	7.3%
Wage inflation	3.5%
Price inflation	2.5%
Cost-of-living adjustment	1.75%
Mortality rates	PubS-2010 tables

Actuarial assumptions used in the June 30, 2020, valuation were based on the results of an actuarial experience study for the 5-year period ended June 30, 2017.

The long-term expected rate of return on PSPRS pension plan investments was determined to be 7.3% using a building-block method in which best-estimate ranges of expected future real rates of return (expected returns, net of pension plan investment expenses and inflation) are developed for each major asset class. The target allocation and best estimates of geometric real rates of return for each major asset class are summarized in the following table:

Asset Class	Target Allocation	Long-Term Expected Geometric Real Rate of Return
U.S. public equity	23%	4.93%
International public equity	15%	6.09%
Global private equity	18%	8.42%
Other assets (capital appreciation)	7%	5.61%
Core bonds	2%	0.22%
Private credit	22%	5.31%
Diversifying strategies	12%	3.22%
Cash	1%	-0.60%
	100%	

Pension Discount Rates – At June 30, 2020, the discount rate used to measure total pension liability was 7.3%. The projection of cash flows used to determine the discount rate assumed that plan member contributions will be made at the current contribution rate and that employer contributions will be made at rates equal to the difference between actuarially determined contribution rates and the member rate. Based on those assumptions, the pension plan's fiduciary net position was projected to be available to make all projected future benefit payments of current plan members. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

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Changes in the Agent Plans Net Pension Liability

Police

	Increase/ (Decrease)		
	Total Pension Liability	Plan Fiduciary Net Position	Net Pension Liability
Balances at June 30, 2020	$ 152,920,976	$ 103,632,748	$ 49,288,228
Adjustment to beginning of year	-	(1,392,489)	1,392,489
Changes for the year:			
Service cost	4,166,829	-	4,166,829
Interest on the total pension liability	11,233,464	-	11,233,464
Differences between expected results and actual experience in the measurement of the total pension liability	3,349,250	-	3,349,250
Contributions - employer	-	25,390,957	(25,390,957)
Contributions - employee	-	1,845,450	(1,845,450)
Net investment income	-	1,512,207	(1,512,207)
Benefit payments	(6,409,473)	(6,409,473)	-
Administrative expense	-	(123,284)	123,284
Net changes	12,340,070	20,823,368	(8,483,298)
Balances at June 30, 2021	$ 165,261,046	$ 124,456,116	$ 40,804,930

Fire

	Increase/ (Decrease)		
	Total Pension Liability	Plan Fiduciary Net Position	Net Pension Liability
Balances at June 30, 2020	$ 100,805,751	$ 82,657,955	$ 18,147,796
Adjustment to beginning of year	-	(546,663)	546,663
Changes for the year:			
Service cost	3,696,610	-	3,696,610
Interest on the total pension liability	7,536,882	-	7,536,882
Differences between expected results and actual experience in the measurement of the total pension liability	3,919,493	-	3,919,493
Contributions - employer	-	11,097,287	(11,097,287)
Contributions - employee	-	1,297,110	(1,297,110)
Net investment income	-	1,130,134	(1,130,134)
Benefit payments	(2,514,806)	(2,514,806)	-
Administrative expense	-	(92,147)	92,147
Net changes	12,638,179	10,370,915	2,267,264
Balances at June 30, 2021	$ 113,443,930	$ 93,028,870	$ 20,415,060

TOWN OF GILBERT, ARIZONA
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Sensitivity of the Net Pension Liability to Changes in the Discount Rate – The following presents Gilbert's net pension liability calculated using the discount rate of 7.3%, as well as what the net pension liability would be if it were calculated using a discount rate that is 1 percentage point lower (6.3%) or 1 percentage point higher (8.3%) than the current rate:

	1% Decrease (6.3%)	Current Discount Rate (7.3%)	1% Increase (8.3%)
Police net pension liability	$ 66,368,477	$ 40,804,930	$ 20,277,705
Fire net pension liability	38,924,927	20,415,060	5,466,699

Pension Plan Fiduciary Net Position – Detailed information about the pension plan's fiduciary net position is available in the separately issued PSPRS financial report. The report is available on the PSPRS website at www.psprs.com.

Pension Expense – For the year ended June 30, 2021, Gilbert recognized $7,595,420 as pension expense for Police and $2,441,653 as pension expense for Fire.

Pension Deferred Outflows/Inflows of Resources – At June 30, 2021, Gilbert reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

Police	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	$ 4,817,340	$ -
Changes in assumptions or other inputs	5,003,549	-
Net difference between projected and actual earnings on pension plan investments	5,514,528	-
Gilbert contributions subsequent to the measurement date	18,652,558	-
Total	$ 33,987,975	$ -

Fire	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	$ 6,371,210	$ 3,728,186
Changes in assumptions or other inputs	3,764,549	-
Net difference between projected and actual earnings on pension plan investments	4,428,467	-
Gilbert contributions subsequent to the measurement date	5,715,102	-
Total	$ 20,279,328	$ 3,728,186

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The $18,652,558 for Police and the $5,715,102 for Fire reported as deferred outflows of resources related to PSPRS pension resulting from contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ended June 30, 2022. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year Ending June 30	Police	Fire
2022	$ 3,853,024	$ 1,923,530
2023	3,948,196	2,469,276
2024	3,121,463	2,445,855
2025	2,673,664	2,010,697
2026	1,260,606	891,201
Thereafter	478,464	1,095,481

Note 10 – Postemployment Healthcare Benefits

Under authority of Town Council, Gilbert provides postretirement insurance benefits, for certain retirees and their dependents in accordance with the Town of Gilbert, Arizona Self-Insured Trust Fund for Health Insurance Benefits. The plan is a single-employer defined benefit OPEB plan administered by Gilbert. No assets are accumulated in a trust that meets the criteria in paragraph 4 of GASB Statement No. 75. Generally, retiree contributions are used to pay for postemployment benefits.

Benefits Provided – Gilbert provides postemployment medical care, prescription drug, and dental care for retired employees through a single-employer defined benefit medical and dental plan (the Plan). The Plan provides medical and dental benefits for eligible retirees, their spouses and dependents through Gilbert's group health and dental insurance plans, which cover active and retired members. To be eligible for benefits, the retired employee must retire under one of the state retirement plans for public employees, must have a minimum of ten years of service with Gilbert, and be covered under Gilbert's medical plan during their active status. Plan benefits and coverage levels are reviewed annually by Town staff and the Board of Trustees for recommendation to and approval from Town Council. The Board of Trustees makes corresponding premium recommendations to the Town Council based on revenues needed to cover the projected cost to operate the plan which are subject to approval by the Town Council. As of June 30, 2021, there are 57 retirees that are currently receiving medical and/or dental benefits.

Contributions – Gilbert requires retirees to pay 125% of the premium of the plan selected by the retiree. Gilbert makes no contributions for retirees other than allowing them to participate through Gilbert's pooled benefits. Town retirees are eligible to receive benefits through age 65, up until they have access to Medicare. By providing retirees access to Gilbert's healthcare plans, Gilbert is in effect providing a subsidy to retirees. This implied subsidy exists because on average, retiree healthcare costs are higher than active employee healthcare costs. Gilbert pays for and reports retiree benefits on a pay-as-you-go basis, which is the practice of paying for these benefits as they become due each year. As of June 30, 2021, retirees contributed $499,019, which was in excess of claims paid by $161,305. Gilbert's regular insurance providers underwrite the retiree policies. Retirees may not convert the benefit into an in-lieu payment to secure coverage under independent plans. The Plan does not issue a separate financial report.

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Employees Covered by Benefit Terms – The following employees were covered as of the effective date of the OPEB valuation:

Inactive employees or beneficiaries currently receiving benefits	57
Inactive employees entitled to but not yet receiving benefits	-
Active employees	1,259
Total	1,316

Total OPEB Liability – The Plan's total OPEB liability of $970,620 was measured as of June 30, 2021.

Actuarial Assumptions and Other Inputs – Projections of benefits for financial reporting purposes are based on the substantive plan (the plan as understood by the employer and plan members) and includes the types of benefits provided at the time of each valuation and the historical pattern of sharing of benefit cost between the employer and plan members to that point. The total OPEB liability in the June 30, 2021 actuarial valuation was determined using the following actuarial assumptions and other inputs, applied to all periods included in the measurement, unless otherwise specified:

Measurement date	June 30, 2021
Actuarial valuation date	June 30, 2021
Interest rate	1.92%
Inflation rate	2.40%
Projected salary increases	3.00%
Health care cost trend rate:	
Medical and prescription drug	6.00% graded down to an ultimate rate of 5.00% over 5 years
Retiree contribution increase	Consistent with medical/drug trends
ASRS subsidy increases	None
Cost of living adjustments	N/A

The discount rate was based on the Fidelity General Obligation AA 20-year yield as of the measurement date.

Mortality rates for active employees were based on the PubG.H-2010 (general employees) and PubS.H-2010 (public safety) Employee Mortality Table, Generational with Projection Scale MP-2018 for males/females. Mortality rates for retirees were based on the PubG.H-2010 (current retirees and general employees) PubS.H-2010 (public safety) Healthy Annuitant Mortality Table, Generational with Projection Scale MP-2018 for males/females.

Changes in the Total OPEB Liability

Balances at June 30, 2020	$	775,237
Changes for the year:		
Service cost		88,914
Interest		22,369
Differences between expected and actual experience		181,231
Changes in assumptions/inputs		(194,875)
Benefit payments		97,744
Net changes		195,383
Balances at June 30, 2021	$	970,620

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Sensitivity of the Total OPEB Liability to Changes in the Discount Rate – The following presents the total OPEB liability of the Plan, as well as what the Plan's total OPEB liability would be if it were calculated using a discount rate that is 1 percentage point lower or 1 percentage point higher than the current rate:

	1% Decrease (0.92%)	Current Discount Rate (1.92%)	1% Increase (2.92%)
Total OPEB Liability	$ 1,173,542	$ 970,620	$ 799,302

Sensitivity of the Total OPEB Liability to Changes in the Healthcare Cost Trend Rates – The following presents the total OPEB liability of the Plan, as well as what the Plan's total OPEB liability would be if it were calculated using healthcare cost trend rates that are 1 percentage point lower or 1 percentage point higher than the current rate:

	1% Decrease	Current Trend Rate	1% Increase
Total OPEB Liability	$ 764,239	$ 970,620	$ 1,230,453

OPEB Expense and Deferred Outflows/Inflows of Resource Related to OPEB – For the year ended June 30, 2021, the Plan recognized OPEB expense of $830. At June 30, 2021, the Plan reported deferred outflows of resources and deferred inflows of resources related to OPEB from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Changes between expected and actual experience	$ 167,179	$ 1,472,621
Changes in assumptions or other inputs	648,780	162,396
Total	$ 815,959	$ 1,635,017

The amounts reported as deferred outflows of resources and inflows of resources will be recognized in pension expense as follows:

Year Ending June 30	Amount
2022	$ (208,197)
2023	(208,197)
2024	(208,197)
2025	(192,192)
2026	(2,274)
Thereafter	-

TOWN OF GILBERT, ARIZONA
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Note 11 – Fund Balance Classifications of the Governmental Funds

			Major Capital Project Funds			Major Debt Service Funds			
Fund Balances:	**General**	**Streets Special Revenue**	**Streets & Traffic**	**Parks**	**Municipal Facilities**	**Debt Service**	**Special Assessments**	**Other Gov't**	**Total**
Nonspendable:									
Advances	$ 9,061,893	$ -	$ -	$ -	$ -	$ -	$ -	$ -	$ 9,061,893
Prepaid items	2,499,579	-	-	-	-	-	-	-	2,499,579
Restricted for:									
Capital projects	-	-	49,431,752	26,112,912	1,917,092	-	-	-	77,461,756
Court/public safety programs	-	-	-	-	-	-	-	2,092,551	2,092,551
Debt service	-	-	-	-	-	4,416,142	84,818	-	4,500,960
Highways and streets	-	10,593,959	-	-	-	-	-	-	10,593,959
Contract agreements	-	-	-	-	-	-	-	65,675	65,675
Parks & recreation programs	-	-	-	-	-	-	-	74,560	74,560
Transportation	-	-	-	-	-	-	-	446,926	446,926
Special districts	-	-	-	-	-	-	-	467,694	467,694
Assigned to:									
Capital replacement	34,850,195	-	-	-	-	-	-	-	34,850,195
Capital projects	31,301,451	-	-	-	-	-	-	-	31,301,451
Highways and streets	10,534,382	-	-	-	-	-	-	-	10,534,382
Management and policy	60,958	-	-	-	-	-	-	-	60,958
Unassigned:	139,519,526	-	-	-	(9,061,893)	-	-	(196,732)	130,260,901
Total fund balances	$ 227,827,984	$ 10,593,959	$ 49,431,752	$ 26,112,912	$ (7,144,801)	$ 4,416,142	$ 84,818	$ 2,950,674	$ 314,273,440

Note 12 – Capital Contributions

During the year ended June 30, 2021, the enterprise funds external capital contributions consisted of the following:

	Water	**Wastewater**	**Total**
Development fees	$ 16,291,108	$ 5,338,837	$ 21,629,945

TOWN OF GILBERT, ARIZONA
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Note 13 – Interfund Transfers

As of June 30, 2021, interfund transfers were as follows:

	Transfers In	Transfers Out
Governmental Funds:		
General	$ 1,218,444	$ 37,086,681
Streets Special Revenue	-	1,027,190
Streets and Traffic Capital Projects	11,819,916	-
Parks Capital Projects	6,354,431	5,171,562
Municipal Facilities Capital Projects	6,135,879	6,074,508
General Debt Service	19,073,408	-
Other Governmental Funds	2,384,470	291,607
Total Governmental Funds	46,986,548	49,651,548
Enterprise Funds:		
Water	-	759,302
Wastewater	724,302	-
Environmental Services	2,700,000	-
Total Enterprise Funds	3,424,302	759,302
Total Transfers	$ 50,410,850	$ 50,410,850

The interfund transfers generally fall within one of the following categories: 1) subsidy transfers; 2) transfers to cover debt service payments; 3) transfers to fund capital project costs; or 4) transfers to fund capital replacement. There were no significant transfers during fiscal year 2021 that were either non-routine in nature or inconsistent with the activities of the fund making the transfer.

Note 14 – Individual Fund Disclosures

Individual funds with deficiencies in fund balance/net position at June 30, 2021, were as follows:

Governmental funds

Municipal Facilities Capital Projects	$ 7,144,801
Grants	180,802

The deficiency in the Municipal Facilities Capital Projects Fund, a major governmental fund, is primarily due to long-term loans that cover cash deficits for capital expenditures. Future system development fee revenue is expected to eliminate the deficiency. The deficiency in the Grants Fund, a non-major governmental fund, is primarily due to unavailable revenue related to various grants. Future grant revenue is expected to eliminate the deficiency.

Internal service funds

Equipment Maintenance	$ 354,497

The deficiency in the Equipment Maintenance Fund, an internal service fund, is due to the net pension liability.

TOWN OF GILBERT, ARIZONA
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Note 15 – Contingent Liabilities

Gilbert is a defendant in various lawsuits. Although the outcome of these lawsuits is not presently determinable, in the opinion of Gilbert's legal counsel, the resolution of these matters will not have a material adverse effect on the financial condition of Gilbert.

Note 16 – Pledged Revenues

Gilbert has pledged future water system development fees revenue and future water and wastewater revenues, net of specified operating expenses, to repay $153,400,000 in utility system revenue and revenue refunding bonds issued since 2016. Proceeds from the utility system revenue bonds provided financing for water and wastewater system improvements, and the proceeds from the revenue refunding bonds were used to advance refund $75,326,000 of outstanding 2007 utility system revenue bonds. The bonds are payable from water and wastewater system development fees and water and wastewater net revenues and are payable through 2036. Annual principal and interest payments on the bonds are expected to require less than 29 percent of revenue described above. The total principal and interest remaining to be paid on the bonds is $150,244,638. Principal and interest paid for the current year was $13,437,313. Total water and wastewater system SDF revenue was $14,232,149 and water and wastewater net revenues were $33,415,625.

Gilbert has pledged future excise taxes and state-shared revenues to repay $98,585,000 in public facilities municipal property corporation (MPC) revenue bonds issued since 2011; $20,980,000 in public facilities MPC revenue refunding bonds issued in 2011, $28,080,000 in public facilities MPC revenue refunding bonds issued in 2014, $43,075,000 in public facilities MPC revenue refunding bonds issued in 2017, and $6,450,000 in public facilities MPC revenue bonds issued in 2017. Proceeds from the bonds provided financing of the multipurpose public safety complex, the South Area Service Center facility, a police property facility, a sports complex, various other parks and recreation facilities, a parking facility, and a fire and rescue station. Proceeds from the 2011 refunding bonds were used to advance refund $21,670,000 of outstanding 2001 public facilities MPC revenue bonds. Proceeds from the 2014 refunding bonds were used to advance refund $30,205,000 of outstanding 2006 public facilities MPC revenue bonds. Proceeds from the 2017 refunding bonds were used to advance refund $56,845,000 of outstanding 2009 public facilities MPC revenue bonds. The bonds are payable through 2028. In addition, Gilbert has pledged future excise taxes and state-shared revenues to repay $36,980,000 in revenue obligations issued in 2015. Proceeds from the obligations provided financing to design and construct a four-story building for educational purposes. Annual principal and interest payments on the bonds and obligations are expected to require less than 9 percent of excise taxes and state-shared revenues. The total principal and interest remaining to be paid on the bonds and obligations is $96,526,519. Principal and interest paid for the current year was $19,068,981, and the total excise taxes and state-shared revenues were $222,921,775.

Note 17 – Investment in Joint Venture

In fiscal year 2021, Gilbert, in joint effort with Mesa and Queen Creek, completed improvements as part of the Phase III Expansion for the Greenfield Water Reclamation Plant (GWRP) located on the northwest corner of Greenfield and Queen Creek Roads. This project included process improvements and upgrades to increase the plant's capacity from 16 million gallons per day (mgd) to 30 mgd, as well as maintenance and improvements to the existing infrastructure of the plant. Mesa, Gilbert and Queen Creek participate in ownership of the plant and are charged for operating expenses based on gallons of flow. Gilbert's investment in joint venture is reflected as a separate line item in the proprietary funds financial statements. Separate financial statements for the joint venture are not prepared.

TOWN OF GILBERT, ARIZONA
NOTES TO THE FINANCIAL STATEMENTS
June 30, 2021

Total investment (net of depreciation) as of June 30, 2021, was:

Mesa's share	$ 164,990,022
Gilbert's share	106,515,484
Queen Creek's share	32,300,317
Total	$ 303,805,823

Gilbert and the City of Chandler entered into an agreement to build a joint water treatment plant to provide each with 24 mgd of water. The plant was completed in two phases with each phase providing 12 mgd to both Gilbert and Chandler. Phase I was completed in fiscal year 2009 and Phase II in fiscal year 2018. Gilbert's investment in joint venture is reflected as a separate line item in the proprietary funds financial statements. Separate financial statements for the joint venture are not prepared.

Total investment (net of depreciation) as of June 30, 2021, was:

Gilbert's share	$ 80,612,880
Chandler's share	73,987,682
Total	$ 154,600,562

In August 2008, Gilbert entered into an Intergovernmental Agreement with the Cities of Mesa and Apache Junction, Superstition Fire & Medical (F&M), and the Town of Queen Creek (the Parties) to plan, design, construct, operate, maintain and finance the TOPAZ Regional Wireless Cooperative Network (Trunked Open Arizona Network – 700/800 MHz Network procured and built by the City of Mesa). On May 1, 2012 and October 26, 2015, Rio Verde Fire District (FD) and Fort McDowell Yavapai Nation (Fort McDowell), respectively, joined TOPAZ. The City of Mesa acts as the lead agency and is responsible for the planning, budgeting, construction, operation and maintenance of the network, in addition to providing all management personnel and financing arrangements. The Parties participate in ownership of the network and are charged for operating and capital expenses based on a six-month rolling average of airtime. Gilbert's investment in joint venture is reflected within the governmental activities in the government-wide statement of net position. Separate financial statements are not prepared.

Total investment (net of depreciation) as of June 30, 2021, was:

Mesa's share	$ 6,008,990
Gilbert's share	1,766,539
Apache Junction's share	514,183
Superstition F&M's share	159,911
Queen Creek's share	106,112
Fort McDowell's share	37,442
Rio Verde FD's share	12,312
Total	$ 8,605,489

TOWN OF GILBERT, ARIZONA
NOTES TO THE FINANCIAL STATEMENTS
June 30, 2021

Note 18 – Tax Abatements

Gilbert has made a commitment as part of our economic development program to reimburse certain public improvement costs through transaction privilege taxes generated out of the respective development area. Additional information regarding this agreement may only be disclosed when a sufficient number of participants can be aggregated together. Gilbert has an insufficient number of participants within the development area to authorize such disclosure, as detailed information on such commitments is prohibited from disclosure under Arizona Revised Statute 42-2002 *Disclosure of Confidential Information Prohibited*.

Note 19 – Subsequent Events

On November 2, 2021, Gilbert voters authorized the issuance of $515,000,000 in General Obligation Bonds to fund streets, transportation, and infrastructure-related improvements. The bonds are expected to be issued in three increments over the next eight years.

The voters also authorized a new franchise agreement with Southwest Gas Corporation (Utility) to continue to grant the Utility authority to serve the residents of Gilbert and recoup the costs of the Utility's use of pubic right-of-way. The new agreement is for a period of 25 years, beginning June 10, 2022, and ending June 9, 2047.

REQUIRED SUPPLEMENTARY INFORMATION

gilbert
arizona

TOWN OF GILBERT, ARIZONA
REQUIRED SUPPLEMENTARY INFORMATION
June 30, 2021

Schedule of the Proportionate Share of the Net Pension Liability

Arizona State Retirement System

	Fiscal Year				
	2021	2020	2019	2018	2017
Proportion of the net pension liability	0.52%	0.52%	0.49%	0.49%	0.49%
Proportionate share of the net pension liability	$ 90,610,769	$ 75,693,697	$ 69,364,217	$ 76,832,504	$ 78,813,297
Covered payroll (1)	55,508,515	52,965,805	49,511,839	48,187,902	45,764,166
Proportionate share of the net pension liability as a percentage of covered payroll	163%	143%	140%	159%	172%
Plan fiduciary net position as a percentage of the total pension liability	69.33%	73.24%	73.40%	69.92%	67.06%

	Fiscal Year		
	2016	2015	2014 through 2012
Proportion of the net pension liability	0.49%	0.47%	Information
Proportionate share of the net pension liability	$ 75,695,863	$ 69,412,268	not
Covered payroll (1)	43,765,044	42,295,765	available (2)
Proportionate share of the net pension liability as a percentage of covered payroll	172%	164%	
Plan fiduciary net position as a percentage of the total pension liability	68.35%	69.49%	

(1) The covered payroll amount will be as of the measurement date of the net pension liability. For fiscal year 2021, the measurement date of the net pension liability is June 30, 2020.
(2) The pension schedules in this required supplementary information are intended to show information for ten years. Additional years' information will be displayed as it becomes available.

TOWN OF GILBERT, ARIZONA
REQUIRED SUPPLEMENTARY INFORMATION
June 30, 2021

Schedule of Changes in the Net Pension Liability and Related Ratios

Public Safety Personnel Retirement System – Police

	Fiscal Year			
	2021	2020	2019	2018
Total pension liability:				
Service cost	$ 4,166,829	$ 4,173,615	$ 4,056,282	$ 4,361,408
Interest on the total pension liability	11,233,464	10,325,605	9,457,916	8,535,995
Changes in benefit terms	-	-	-	1,136,619
Differences between expected and actual experience in the measurement of the total pension liability	3,349,250	1,313,900	847,849	928,575
Changes in assumptions or other inputs	-	3,858,110	-	3,680,906
Benefit payments, including refunds of employee contributions	(6,409,473)	(4,223,688)	(5,340,286)	(3,648,774)
Net change in total pension liability	12,340,070	15,447,542	9,021,761	14,994,729
Total pension liability - beginning	152,920,976	137,473,434	128,451,673	113,456,944
Total pension liability - ending (a)	165,261,046	152,920,976	137,473,434	128,451,673
Plan fiduciary net position:				
Contributions - employer	25,390,957	7,682,173	7,551,083	12,682,256
Contributions - employee	1,845,450	1,487,218	1,973,907	2,271,326
Net investment income	1,512,207	5,637,557	6,242,434	8,763,809
Benefit payments, including refunds of employee contributions	(6,409,473)	(4,223,688)	(5,340,286)	(3,648,774)
Administrative expense	(123,284)	(98,934)	(95,708)	(77,945)
Other changes	-	-	106,036	153,768
Net change in plan fiduciary net position	22,215,857	10,484,326	10,437,466	20,144,440
Plan fiduciary net position - beginning	103,632,748	93,189,007	82,751,541	62,607,101
Adjustment to beginning of year	(1,392,489)	(40,585)	-	-
Plan fiduciary net position - ending (b)	124,456,116	103,632,748	93,189,007	82,751,541
Net pension liability - ending (a) - (b)	$ 40,804,930	$ 49,288,228	$ 44,284,427	$ 45,700,132
Plan fiduciary net position as a percentage of the total pension liability	75.31%	67.77%	67.79%	64.42%
Covered payroll (1)	$ 17,973,970	$ 20,212,530	$ 18,572,542	$ 18,694,661
Gilbert's net pension liability as a percentage of covered payroll	227.02%	243.85%	238.44%	244.46%

(1) The covered payroll amount will be as of the measurement date of the net pension liability. For fiscal year 2021, the measurement date of the net pension liability is June 30, 2020.
(2) The pension schedules in this required supplementary information are intended to show information for ten years. Additional years' information will be displayed as it becomes available.

TOWN OF GILBERT, ARIZONA
REQUIRED SUPPLEMENTARY INFORMATION
June 30, 2021

Fiscal Year			
2017	**2016**	**2015**	**2014 through 2012**
			Information
$ 3,466,239	$ 3,570,214	$ 3,293,404	not
7,222,969	6,604,564	5,414,469	available (2)
9,149,421	-	605,849	
547,040	713,111	2,479,128	
4,549,861	-	5,473,070	
(3,515,621)	(2,400,631)	(2,087,138)	
21,419,909	8,487,258	15,178,782	
92,037,035	83,549,777	68,370,995	
113,456,944	92,037,035	83,549,777	
4,426,923	3,280,061	3,103,356	
2,243,118	2,107,439	2,088,159	
365,916	2,037,534	6,306,779	
(3,515,621)	(2,400,631)	(2,087,138)	
(53,053)	(50,099)	(50,793)	
113,260	75,447	49,298	
3,580,543	5,049,751	9,409,661	
59,026,558	53,976,807	44,567,146	
-	-	-	
62,607,101	59,026,558	53,976,807	
$ 50,849,843	$ 33,010,477	$ 29,572,970	
55.18%	64.13%	64.60%	
$ 19,247,567	$ 19,071,843	$ 18,990,156	
264.19%	173.08%	155.73%	

TOWN OF GILBERT, ARIZONA
REQUIRED SUPPLEMENTARY INFORMATION
June 30, 2021

Schedule of Changes in the Net Pension Liability and Related Ratios

Public Safety Personnel Retirement System – Fire

	Fiscal Year			
	2021	2020	2019	2018
Total pension liability:				
Service cost	$ 3,696,610	$ 3,690,094	$ 3,661,929	$ 3,652,130
Interest on the total pension liability	7,536,882	7,024,670	6,428,184	5,586,910
Changes in benefit terms	-	-	-	434,841
Differences between expected and actual experience in the measurement of the total pension liability	3,919,493	(1,850,677)	(1,694,618)	3,761,967
Changes in assumptions or other inputs	-	1,934,990	-	444,609
Benefit payments, including refunds of employee contributions	(2,514,806)	(2,462,421)	(1,925,561)	(1,094,738)
Net change in total pension liability	12,638,179	8,336,656	6,469,934	12,785,719
Total pension liability - beginning	100,805,751	92,469,095	85,999,161	73,213,442
Total pension liability - ending (a)	113,443,930	100,805,751	92,469,095	85,999,161
Plan fiduciary net position:				
Contributions - employer	11,097,287	3,866,247	5,035,275	5,192,069
Contributions - employee	1,297,110	1,241,407	1,365,916	1,860,471
Net investment income	1,130,134	4,444,022	4,953,004	6,959,055
Benefit payments, including refunds of employee contributions	(2,514,806)	(2,462,421)	(1,925,561)	(1,094,738)
Administrative expense	(92,147)	(78,196)	(76,084)	(61,976)
Other changes	-	-	7,224	636
Net change in plan fiduciary net position	10,917,578	7,011,059	9,359,774	12,855,517
Plan fiduciary net position - beginning	82,657,955	75,671,432	66,311,658	53,456,141
Adjustment to beginning of year	(546,663)	(24,536)	-	-
Plan fiduciary net position - ending (b)	93,028,870	82,657,955	75,671,432	66,311,658
Net pension liability - ending (a) - (b)	$ 20,415,060	$ 18,147,796	$ 16,797,663	$ 19,687,503
Plan fiduciary net position as a percentage of the total pension liability	82.00%	82.00%	81.83%	77.11%
Covered payroll (1)	$ 15,790,177	$ 16,590,770	$ 16,176,854	$ 16,132,031
Gilbert's net pension liability as a percentage of covered payroll	129.29%	109.38%	103.84%	122.04%

(1) The covered payroll amount will be as of the measurement date of the net pension liability. For fiscal year 2021, the measurement date of the net pension liability is June 30, 2020.
(2) The pension schedules in this required supplementary information are intended to show information for ten years. Additional years' information will be displayed as it becomes available.

TOWN OF GILBERT, ARIZONA
REQUIRED SUPPLEMENTARY INFORMATION
June 30, 2021

Fiscal Year			
2017	**2016**	**2015**	**2014 through 2012**
$ 2,728,554	$ 2,785,128	$ 2,545,607	Information not available (2)
4,550,994	4,138,400	3,408,433	
7,610,545	-	(131,651)	
(1,091,858)	(1,235,512)	2,247,902	
3,069,903	-	1,333,403	
(529,722)	(277,805)	(171,217)	
16,338,416	5,410,211	9,232,477	
56,875,026	51,464,815	42,232,338	
73,213,442	56,875,026	51,464,815	
3,183,837	1,845,382	1,954,145	
1,792,809	1,903,578	1,667,772	
300,260	1,653,304	5,045,090	
(529,722)	(277,805)	(171,217)	
(43,606)	(40,728)	(40,631)	
96,335	(229,513)	-	
4,799,913	4,854,218	8,455,159	
48,656,228	43,802,010	35,346,851	
-	-	-	
53,456,141	48,656,228	43,802,010	
$ 19,757,301	$ 8,218,798	$ 7,662,805	
73.01%	85.55%	85.11%	
$ 15,444,728	$ 15,274,115	$ 15,508,151	
127.92%	53.81%	49.41%	

TOWN OF GILBERT, ARIZONA
REQUIRED SUPPLEMENTARY INFORMATION
June 30, 2021

Schedule of Pension Contributions:

Arizona State Retirement System

	Fiscal Year				
	2021	2020	2019	2018	2017
Actuarially determined contribution	$ 7,263,134	$ 6,355,725	$ 5,921,577	$ 5,338,739	$ 5,187,460
Contributions in related to the actuarially determined contributions	7,263,134	6,355,725	5,921,577	5,338,739	5,187,460
Contribution deficiency (excess)	$ -	$ -	$ -	$ -	$ -
Covered payroll	$ 62,344,498	$ 55,508,515	$ 52,965,805	$ 49,511,839	$ 48,187,902
Contributions as a percentage of covered payroll	11.65%	11.45%	11.18%	10.78%	10.77%

	Fiscal Year				
	2016	2015	2014	2013	2012
Actuarially determined contribution	$ 5,278,569	$ 5,137,457	$ 4,763,978	$ 4,162,425	$ 3,880,631
Contributions in related to the actuarially determined contributions	5,278,569	5,137,457	4,763,978	4,162,425	3,880,631
Contribution deficiency (excess)	$ -	$ -	$ -	$ -	$ -
Covered payroll	$ 45,764,166	$ 43,765,044	$ 42,295,765	$ 38,356,312	$ 36,582,049
Contributions as a percentage of covered payroll	11.53%	11.74%	11.26%	10.85%	10.61%

TOWN OF GILBERT, ARIZONA
REQUIRED SUPPLEMENTARY INFORMATION
June 30, 2021

Schedule of Pension Contributions:

Public Safety Retirement System – Police

	Fiscal Year				
	2021	2020	2019	2018	2017
Actuarially determined contribution	$ 5,652,558	$ 5,649,219	$ 6,410,919	$ 6,170,252	$ 4,501,937
Contributions in related to the actuarially determined contributions	18,652,558	20,376,341	11,245,894	7,330,436	12,700,837
Contribution deficiency (excess)	$ (13,000,000)	$ (14,727,122)	$ (4,834,975)	$ (1,160,184)	$ (8,198,900)
Covered payroll	$ 17,797,726	$ 17,973,970	$ 20,212,530	$ 18,572,542	$ 18,694,661
Contributions as a percentage of covered payroll	104.80%	113.37%	55.64%	39.47%	67.94%

	Fiscal Year				
	2016	2015	2014	2013	2012
Actuarially determined contribution	$ 4,021,770	$ 3,414,607	$ 3,231,755	$ 2,930,117	$ 2,384,390
Contributions in related to the actuarially determined contributions	4,449,337	3,414,607	3,231,755	2,930,117	2,384,390
Contribution deficiency (excess)	$ (427,567)	$ -	$ -	$ -	$ -
Covered payroll	$ 19,247,567	$ 19,071,843	$ 18,990,156	$ 17,477,557	$ 16,492,849
Contributions as a percentage of covered payroll	23.12%	17.90%	17.02%	16.77%	14.46%

Public Safety Retirement System – Fire

	Fiscal Year				
	2021	2020	2019	2018	2017
Actuarially determined contribution	$ 3,715,102	$ 3,495,945	$ 4,009,743	$ 4,644,867	$ 3,266,367
Contributions in related to the actuarially determined contributions	5,715,102	6,652,405	7,556,014	5,096,285	5,307,483
Contribution deficiency (excess)	$ (2,000,000)	$ (3,156,460)	$ (3,546,271)	$ (451,418)	$ (2,041,116)
Covered payroll	$ 16,301,459	$ 15,790,177	$ 16,590,770	$ 16,176,854	$ 16,132,031
Contributions as a percentage of covered payroll	35.06%	42.13%	45.54%	31.50%	32.90%

	Fiscal Year				
	2016	2015	2014	2013	2012
Actuarially determined contribution	$ 2,241,688	$ 1,982,159	$ 2,037,266	$ 1,793,907	$ 1,479,746
Contributions in related to the actuarially determined contributions	3,088,477	1,982,159	2,037,266	1,793,907	1,479,746
Contribution deficiency (excess)	$ (846,789)	$ -	$ -	$ -	$ -
Covered payroll	$ 15,444,728	$ 15,274,115	$ 15,508,151	$ 13,954,822	$ 13,335,971
Contributions as a percentage of covered payroll	20.00%	12.98%	13.14%	12.86%	11.10%

TOWN OF GILBERT, ARIZONA
REQUIRED SUPPLEMENTARY INFORMATION
June 30, 2021

Schedule of Changes in the Town's Total OPEB Liability and Related Ratios:

Town of Gilbert Defined Benefit Plan

	Fiscal Year				
	2021	2020	2019	2018	2017 through 2012
Total OPEB liability:					Information
Service cost	$ 88,914	$ 69,208	$ 87,269	$ 84,727	not
Interest on the total OPEB liability	22,369	17,841	54,575	58,026	available (2)
Differences between expected and actual experience in the measurement of the total OPEB liability	181,231	24,230	(1,604,373)	(1,296,953)	
Changes in assumptions/inputs	(194,875)	74,733	159,488	1,184,917	
Benefit payments, including refunds of employee contributions	97,744	176,849	118,124	96,758	
Net change in total OPEB liability	195,383	362,861	(1,184,917)	127,475	
Total OPEB liability - beginning	775,237	412,376	1,597,293	1,469,818	
Total OPEB liability - ending	$ 970,620	$ 775,237	$ 412,376	$ 1,597,293	
Covered payroll (1)	$ 89,785,462	$ 83,544,308	$ 81,110,979	$ 72,406,115	
Gilbert's total OPEB liability as a percentage of covered payroll	1.1%	0.9%	0.5%	2.2%	

(1) The covered payroll amount will be as of the measurement date of the total OPEB liability. For fiscal year 2021, the measurement date of the total OPEB liability is June 30, 2021.
(2) The OPEB schedule in this required supplementary information is intended to show information for ten years. Additional years' information will be displayed as it becomes available.
(3) No assets are accumulated in a trust that meets the criteria of a trust as defined in GASB Statement No. 75, *Accounting and Reporting for Postemployment Benefits Other than Pensions*, to pay for the related benefits of this plan.

TOWN OF GILBERT, ARIZONA
REQUIRED SUPPLEMENTARY INFORMATION
June 30, 2021

Notes to Pension Plan Schedules

Note 1 – Actuarially Determined Contribution Rates

Arizona State Retirement System (ASRS)

The actuarial assumptions used in the June 30, 2019 valuation for ASRS were based on the results of an actuarial experience study for the five-year period ended June 30, 2016. The major changes in assumptions were the discount rate, the actuarial method, the inflation rate, the investment rate, and the mortality table. The ASRS Board adopted the experience study recommended changes which were applied to the June 30, 2017 actuarial valuation.

Public Safety Personnel Retirement System (PSPRS)

Actuarial determined contribution rates for the Public Safety Personnel Retirement System are calculated as of June 30 two years prior to the end of the fiscal year in which contributions are made. The actuarial methods and assumptions used to establish the contribution requirements are as follows:

Actuarial cost method	Entry age normal
Amortization method	PSPRS members with initial membership date before July 1, 2017: Level percent-of-pay, closed PSPRS members with initial membership on or after July 1, 2017: Level dollar closed
Remaining amortization period as of the 2017 actuarial valuation	18 years
Asset valuation method	PSPRS members with initial membership date before July 1, 2017: 7-year smoothed market value; 80%/120% market corridor PSPRS members with initial membership on or after July 1, 2017: 5-year smoothed market value; 80%/120% market corridor
Actuarial assumptions:	
Investment rate of return	PSPRS members with initial membership date before July 1, 2017: In the 2017 actuarial valuation, the investment rate of return was decreased from 7.5% to 7.4%. In the 2016 actuarial valuation, the investment rate of return was decreased from 7.85% to 7.5%. In the 2013 actuarial valuation, the investment rate of return was decreased from 8.0% to 7.85%. PSPRS members with initial membership on or after July 1, 2017: 7.0%.
Projected salary increases	In the 2017 actuarial valuation, projected salary increased were decreased from 4.0%-8.0% to 3.5%-7.5%. In the 2014 actuarial valuation, projected salary increases were decreased from 4.5%-8.5% to 4.0%-8.0%. In the 2013 actuarial valuation, projected salary increases were decreased from 5.0%-9.0% to 4.5%-8.5%.
Wage growth	In the 2017 actuarial valuation, wage growth was decreased from 4.0% to 3.5%. In the 2014 actuarial valuation, wage growth was decreased from 4.5% to 4.0%. In the 2013 actuarial valuation, wage growth was decreased from 5.0% to 4.5%.
Retirement age	Experience-based table of rates that is specific to the type of eligibility condition. Last updated for the 2012 valuation pursuant to the experience study of the period July 1, 2006 – June 30, 2011.
Mortality	In the 2017 actuarial valuation, changed to RP-2014 tables, with 75% of MP-2016 fully generational projection scales. RP-2000 mortality table (adjusted by 105% for both males and females)

TOWN OF GILBERT, ARIZONA
REQUIRED SUPPLEMENTARY INFORMATION
June 30, 2021

Note 2 – Factors That Affect Trends

Arizona courts have ruled that provisions of a 2011 law that changed the mechanism for funding permanent pension benefit increases and increased employee pension contribution rates were unconstitutional or a breach of contract because those provisions apply to individuals who were members as of the law's effective date. As a result, the PSPRS and EORP changed benefit terms to reflect the prior mechanism for funding permanent benefit increases for those members and revised actuarial assumptions to explicitly value future permanent benefit increases. PSPRS and EORP also reduced those members' employee contribution rates. These changes are reflected in the plans' pension liabilities for fiscal year 2015 (measurement date 2014) for members who were retired as of the law's effective date and fiscal year 2018 (measurement date 2017) for members who retired or will retire after the law's effective date. These changes also increased the PSPRS required pension contributions beginning in fiscal year 2016 for members who were retired as of the law's effective date. These changes increased the PSPRS required contributions beginning in fiscal year 2019 for members who retired or will retire after the law's effective date.

NONMAJOR FUNDS

OTHER GOVERNMENTAL FUNDS

Special Revenue Funds

Special Revenue Funds are used to account for revenues and expenditures from specific taxes or other earmarked sources. Such funds are usually required by statute or ordinance to finance particular functions or activities.

Grants – accounts for miscellaneous grants received from federal, state and local governments that require segregation of revenues and expenditures.

Special Districts – accounts for taxes received from and expenditures of the street light maintenance improvement districts and parkway maintenance improvement districts.

Other Special Revenue – accounts for revenues received from various agencies and sources, including seized funds from law enforcement agencies that are required to be used for specific purposes.

Capital Projects Funds

Capital Projects Funds are established to account for the acquisition and construction of major capital facilities other than those financed by proprietary funds.

Other Capital Projects – accounts for the design and construction of redevelopment infrastructure and related funding.

TOWN OF GILBERT, ARIZONA
Combining Balance Sheet
Nonmajor Governmental Funds
June 30, 2021

	Special Revenue			Capital Projects	
	Grants	Special Districts	Other Special Revenue	Other Capital Projects	Total Nonmajor Governmental Funds
Assets					
Pooled cash and investments	$ 11,926,216	$ 505,217	$ 2,334,612	$ 256,643	$ 15,022,688
Receivables, net					
Taxes	-	24,744	-	-	24,744
Accrued interest	-	-	4,709	-	4,709
Accounts	-	-	250	-	250
Due from other governments	940,102	-	2,329,632	-	3,269,734
Total assets	$ 12,866,318	$ 529,961	$ 4,669,203	$ 256,643	$ 18,322,125
Liabilities					
Accounts payable	$ 497,471	$ 50,762	$ 104,725	$ 256,643	$ 909,601
Accrued liabilities	8,368	11,505	72,249	-	92,122
Due to other funds	270,142	-	164,030	-	434,172
Unearned revenue	12,080,030	-	1,058,235	-	13,138,265
Total liabilities	12,856,011	62,267	1,399,239	256,643	14,574,160
Deferred inflows of resources					
Unavailable revenue - grants	191,109	-	-	-	191,109
Unavailable revenue - other	-	-	606,182	-	606,182
Total deferred inflows of resources	191,109	-	606,182	-	797,291
Fund balances (deficits)					
Restricted	10,339	467,694	2,669,373	-	3,147,406
Unassigned	(191,141)	-	(5,591)	-	(196,732)
Total fund balances (deficits)	$ (180,802)	$ 467,694	$ 2,663,782	$ -	$ 2,950,674
Total liabilities, deferred inflows, and fund balances (deficits)	$ 12,866,318	$ 529,961	$ 4,669,203	$ 256,643	$ 18,322,125

TOWN OF GILBERT, ARIZONA
Combining Statement of Revenues, Expenditures, and Changes in Fund Balances
Nonmajor Governmental Funds
For the Year Ended June 30, 2021

	Special Revenue			Capital Projects	
	Grants	Special Districts	Other Special Revenue	Other Capital Projects	Total Nonmajor Governmental Funds
Revenues					
Property taxes	$ -	$ 2,747,227	$ -	$ -	$ 2,747,227
Charges for services	-	-	205,373	-	205,373
Intergovernmental	2,234,239	-	708,587	-	2,942,826
Fines and forfeitures	-	-	369,561	-	369,561
Gifts and donations	-	-	60,666	-	60,666
Interest earnings	-	-	31,329	-	31,329
Net change in fair value of investments	-	-	(22,400)	-	(22,400)
Miscellaneous	-	-	275	-	275
Total revenues	2,234,239	2,747,227	1,353,391	-	6,334,857
Expenditures					
Current					
General government					
Management and policy	1,469,281	-	33,018	-	1,502,299
Court	5,476	-	244,552	-	250,028
Development services	6,069	-	-	-	6,069
Public safety					
Police	369,946	-	482,447	-	852,393
Fire	110,689	-	9,076	-	119,765
Highways and streets	5,166	1,823,123	-	310,145	2,138,434
Parks and recreation	29,109	858,599	4,597	-	892,305
Transportation	-	-	606,182	-	606,182
Non departmental	-	-	49,885	-	49,885
Capital outlay	64,427	-	3,843	1,185,228	1,253,498
Total expenditures	2,060,163	2,681,722	1,433,600	1,495,373	7,670,858
Excess (deficiency) of revenues over expenditures	174,076	65,505	(80,209)	(1,495,373)	(1,336,001)
Other financing sources (uses)					
Transfers in	676,550	-	189,126	1,518,794	2,384,470
Transfers out	(273,028)	-	(18,579)	-	(291,607)
Total other financing sources (uses)	403,522	-	170,547	1,518,794	2,092,863
Net change in fund balances	577,598	65,505	90,338	23,421	756,862
Fund balances (deficits) - beginning	(758,400)	402,189	2,573,444	(23,421)	2,193,812
Fund balances (deficits) - ending	$ (180,802)	$ 467,694	$ 2,663,782	$ -	$ 2,950,674

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BUDGETARY COMPARISON SCHEDULES

TOWN OF GILBERT, ARIZONA
Streets and Traffic Capital Projects Fund
Statement of Revenues, Expenditures, and Changes in Fund Balances –
Budget and Actual – Budgetary Basis
For the Year Ended June 30, 2021

	Budgeted Amounts		Non-GAAP Actual	Variance with Final Budget - Positive (Negative)
	Original	Final		
Revenues				
Intergovernmental	$ 25,511,000	$ 25,511,000	$ 20,237,103	$ (5,273,897)
System development fees	3,000,000	3,000,000	10,424,405	7,424,405
Interest	65,000	65,000	593,045	528,045
Total revenues	28,576,000	28,576,000	31,254,553	2,678,553
Expenditures				
Current				
General government				
Highways and streets	843,120	755,803	606,651	149,152
Non departmental	-	927,000	926,870	130
Capital outlay	131,611,320	113,812,516	44,042,131	69,770,385
Contingency	-	19,589,058	-	19,589,058
Total expenditures	132,454,440	135,084,377	45,575,652	89,508,725
Excess (deficiency) of revenues over (under) expenditures	(103,878,440)	(106,508,377)	(14,321,099)	92,187,278
Other financing source (uses)				
Transfers in	29,053,970	29,053,970	11,819,916	(17,234,054)
Transfers out	(3,746,940)	(3,746,940)	-	3,746,940
Total other financing sources (uses)	25,307,030	25,307,030	11,819,916	(13,487,114)
Net change in fund balances	$ (78,571,410)	$ (81,201,347)	(2,501,183)	$ 78,700,164

Explanation of difference between budgetary ending fund balance at June 30, 2021, and GAAP ending fund balance:	
Fair market value adjustments on investments are recorded on the GAAP basis but are not recognized on the budget basis	(867,711)
Change in fund balance as reported on the statement of revenues, expenses and changes in fund balance	$ (3,368,894)

TOWN OF GILBERT, ARIZONA
Parks Capital Projects Fund
Statement of Revenues, Expenditures, and Changes in Fund Balances –
Budget and Actual – Budgetary Basis
For the Year Ended June 30, 2021

	Budgeted Amounts		Non-GAAP Actual	Variance with Final Budget - Positive (Negative)
	Original	Final		
Revenues				
System development fees	$ 7,500,000	$ 7,500,000	$ 17,750,206	$ 10,250,206
Interest	65,000	65,000	294,045	229,045
Total revenues	7,565,000	7,565,000	18,044,251	10,479,251
Expenditures				
Current				
General government				
Parks and recreation	278,000	255,794	13,647	242,147
Non departmental	3,690	3,690	3,663	27
Capital outlay	22,838,160	15,228,959	5,428,881	9,800,078
Contingency	-	8,213,267	-	8,213,267
Total expenditures	23,119,850	23,701,710	5,446,191	18,255,519
Excess (deficiency) of revenues over (under) expenditures	(15,554,850)	(16,136,710)	12,598,060	28,734,770
Other financing sources (uses)				
Transfers in	13,163,770	13,163,770	6,354,431	(6,809,339)
Transfers out	(5,174,330)	(5,174,330)	(5,171,562)	2,768
Total other financing sources (uses)	7,989,440	7,989,440	1,182,869	(6,806,571)
Net change in fund balances	$ (7,565,410)	$ (8,147,270)	13,780,929	$ 21,928,199

Explanation of difference between budgetary ending fund balance at June 30, 2021, and GAAP ending fund balance:	
Fair market value adjustments on investments are recorded on the GAAP basis but are not recognized on the budget basis	(115,535)
Change in fund balance as reported on the statement of revenues, expenses and changes in fund balance	$ 13,665,394

TOWN OF GILBERT, ARIZONA
Municipal Facilities Capital Projects Fund
Statement of Revenues, Expenditures, and Changes in Fund Balances –
Budget and Actual – Budgetary Basis
For the Year Ended June 30, 2021

	Budgeted Amounts		Non-GAAP Actual	Variance with Final Budget - Positive (Negative)
	Original	Final		
Revenues				
System development fees	$ 7,000,000	$ 7,000,000	$ 10,596,169	$ 3,596,169
Interest	5,000	5,000	152,220	147,220
Total revenues	7,005,000	7,005,000	10,748,389	3,743,389
Expenditures				
Current				
Public safety				
Police	223,300	216,495	159,038	57,457
General government				
Parks and recreation	298,720	294,478	91,438	203,040
Non departmental	256,150	221,983	11,202	210,781
Capital outlay	20,595,140	24,712,152	21,873,747	2,838,405
Contingency	-	19,489,296	-	19,489,296
Total expenditures	21,373,310	44,934,404	22,135,425	22,798,979
Excess (deficiency) of revenues over (under) expenditures	(14,368,310)	(37,929,404)	(11,387,036)	26,542,368
Other financing sources (uses)				
Transfers in	33,150,410	33,150,410	6,135,879	(27,014,531)
Transfers out	(6,390,560)	(7,166,727)	(6,074,508)	1,092,219
Total other financing sources (uses)	26,759,850	25,983,683	61,371	(25,922,312)
Net change in fund balances	$ 12,391,540	$ (11,945,721)	(11,325,665)	$ 620,056

Explanation of difference between budgetary ending fund balance at June 30, 2021, and GAAP ending fund balance:	
Fair market value adjustments on investments are recorded on the GAAP basis but are not recognized on the budget basis	(404,234)
Change in fund balance as reported on the statement of revenues, expenses and changes in fund balance	$ (11,729,899)

TOWN OF GILBERT, ARIZONA
Debt Service Fund
Statement of Revenues, Expenditures, and Changes in Fund Balances –
Budget and Actual – Budgetary Basis
For the Year Ended June 30, 2021

	Budgeted Amounts		Non-GAAP Actual	Variance with Final Budget Positive (Negative)
	Original	Final		
Revenues				
Property taxes	$ 25,880,000	$ 25,880,000	$ 25,855,907	$ (24,093)
Interest earnings	75,000	75,000	152,917	77,917
Total revenues	25,955,000	25,955,000	26,008,824	53,824
Expenditures				
Debt service				
Principal	35,065,000	35,110,000	35,105,000	5,000
Interest	9,974,540	9,929,540	9,850,669	78,871
Fiscal and other charges	41,000	41,000	6,600	34,400
Total expenditures	45,080,540	45,080,540	44,962,269	118,271
Excess (deficiency) of revenues over (under) expenditures	(19,125,540)	(19,125,540)	(18,953,445)	172,095
Other financing sources (uses)				
Transfers in	19,094,080	19,870,247	19,073,408	(796,839)
Total other financing sources (uses)	19,094,080	19,870,247	19,073,408	(796,839)
Net change in fund balances	$ (31,460)	$ 744,707	119,963	$ (624,744)

Explanation of difference between budgetary ending fund balance at June 30, 2021, and GAAP ending fund balance:	
Fair market value adjustments on investments are recorded on the GAAP basis but are not recognized on the budget basis	(35,293)
Change in fund balance as reported on the statement of revenues, expenses and changes in fund balance	$ 84,670

TOWN OF GILBERT, ARIZONA
Special Assessments Debt Service Fund
Statement of Revenues, Expenditures, and Changes in Fund Balances –
Budget and Actual – Budgetary Basis
For the Year Ended June 30, 2021

	Budgeted Amounts		Non-GAAP Actual	Variance with Final Budget Positive (Negative)
	Original	Final		
Revenues				
Special assessments	$ 5,342,840	$ 5,342,840	$ 617,024	$ (4,725,816)
Interest earnings	-	-	1,902	1,902
Total revenues	5,342,840	5,342,840	618,926	(4,723,914)
Expenditures				
Debt service				
Principal	4,510,000	4,510,000	510,000	4,000,000
Interest	219,630	219,630	217,075	2,555
Fiscal and other charges	30,000	30,000	6,548	23,452
Total expenditures	4,759,630	4,759,630	733,623	4,026,007
Excess (deficiency) of revenues over (under) expenditures	583,210	583,210	(114,697)	(697,907)
Net change in fund balances	$ 583,210	$ 583,210	(114,697)	$ (8,749,921)

Explanation of difference between budgetary ending fund balance at June 30, 2021, and GAAP ending fund balance:	
Fair market value adjustments on investments are recorded on the GAAP basis but are not recognized on the budget basis	(3,118)
Change in fund balance as reported on the statement of revenues, expenses and changes in fund balance	$ (117,815)

TOWN OF GILBERT, ARIZONA
Grants Fund
Schedule of Revenues, Expenditures, and Changes in Fund Balances –
Budget and Actual – Budgetary Basis
For the Year Ended June 30, 2021

	Budgeted Amounts			Variance with Final Budget Positive (Negative)
	Original	Final	Actual	
Revenues				
Intergovernmental	$ 8,312,270	$ 8,312,270	$ 2,234,239	$ (6,078,031)
Total revenues	8,312,270	8,312,270	2,234,239	(6,078,031)
Expenditures				
Current				
General government				
Management and policy	1,512,930	2,878,558	1,469,281	1,409,277
Court	-	-	5,476	(5,476)
Development services	-	-	6,069	(6,069)
Public safety				
Police	57,690	526,918	369,946	156,972
Fire	513,270	513,270	110,689	402,581
Highways and streets	-	-	5,166	(5,166)
Parks and recreation	-	-	29,109	(29,109)
Non departmental	7,500	7,500	-	7,500
Capital outlay	-	291,000	64,427	226,573
Contingency	5,000,000	3,993,832	-	3,993,832
Total expenditures	7,091,390	8,211,078	2,060,163	6,150,915
Excess (deficiency) of revenues over (under) expenditures	1,220,880	101,192	174,076	72,884
Other financing sources (uses)				
Transfers in	-	679,056	676,550	(2,506)
Transfers out	(1,220,880)	(1,220,880)	(273,028)	947,852
Total other financing sources (uses)	(1,220,880)	(541,824)	403,522	945,346
Net change in fund balances	$ -	$ (440,632)	$ 577,598	$ 1,018,230

TOWN OF GILBERT, ARIZONA
Special Districts Fund
Schedule of Revenues, Expenditures, and Changes in Fund Balances –
Budget and Actual – Budgetary Basis
For the Year Ended June 30, 2021

	Budgeted Amounts			Variance with Final Budget Positive (Negative)
	Original	Final	Actual	
Revenues				
Property taxes	$ 2,748,230	$ 2,748,230	$ 2,747,227	$ (1,003)
Total revenues	2,748,230	2,748,230	2,747,227	(1,003)
Expenditures				
Current				
General government				
Highways and streets	1,939,000	1,939,000	1,823,123	115,877
Parks and recreation	1,107,450	1,107,450	858,599	248,851
Non departmental	10,000	10,000	-	10,000
Total expenditures	3,056,450	3,056,450	2,681,722	374,728
Excess (deficiency) of revenues over (under) expenditures	(308,220)	(308,220)	65,505	373,725
Net change in fund balances	$ (308,220)	$ (308,220)	$ 65,505	$ (375,731)

TOWN OF GILBERT, ARIZONA
Other Special Revenue Fund
Schedule of Revenues, Expenditures, and Changes in Fund Balances –
Budget and Actual – Budgetary Basis
For the Year Ended June 30, 2021

	Budgeted Amounts		Non-GAAP Actual	Variance with Final Budget Positive (Negative)
	Original	Final		
Revenues				
Charges for services	$ 185,000	$ 185,000	$ 205,373	$ 20,373
Intergovernmental	696,000	696,000	708,587	12,587
Fines and forfeitures	474,000	474,000	369,561	(104,439)
Gifts and donations	99,190	99,190	60,666	(38,524)
Interest earnings	-	-	31,329	31,329
Miscellaneous	-	-	275	275
Total revenues	1,454,190	1,454,190	1,375,791	(78,399)
Expenditures				
Current				
General government				
Management and policy	108,410	118,410	33,018	85,392
Court	568,340	568,340	244,552	323,788
Public safety				
Police	578,460	693,615	482,447	211,168
Fire	64,410	64,410	9,076	55,334
Parks and recreation	39,270	39,270	4,597	34,673
Transportation	860,000	860,000	606,182	253,818
Non departmental	56,390	56,390	49,885	6,505
Capital outlay	-	3,850	3,843	7
Total expenditures	2,275,280	2,404,285	1,433,600	970,685
Excess (deficiency) of revenues over (under) expenditures	(821,090)	(950,095)	(57,809)	892,286
Other financing sources (uses)				
Transfers in	150,000	150,000	189,126	39,126
Transfers out	(15,000)	(19,000)	(18,579)	421
Total other financing sources (uses)	135,000	131,000	170,547	39,547
Net change in fund balances	$ (686,090)	$ (819,095)	112,738	$ 931,833

Explanation of difference between budgetary ending fund balance at June 30, 2021, and GAAP ending fund balance:	
Fair market value adjustments on investments are recorded on the GAAP basis but are not recognized on the budget basis	(22,400)
Change in fund balance as reported on the statement of revenues, expenses and changes in fund balance	$ 90,338

TOWN OF GILBERT, ARIZONA
Other Capital Projects Fund
Schedule of Revenues, Expenditures, and Changes in Fund Balances –
Budget and Actual – Budgetary Basis
For the Year Ended June 30, 2021

	Budgeted Amounts			Variance with Final Budget Positive (Negative)
	Original	Final	Actual	
Revenues				
Total revenues	$ -	$ -	$ -	$ -
Expenditures				
Current				
General government				
Highways and streets	902,850	730,080	310,145	419,935
Capital outlay	7,711,780	8,363,806	1,185,228	7,178,578
Contingency	-	972,084	-	972,084
Total expenditures	8,614,630	10,065,970	1,495,373	8,570,597
Excess (deficiency) of revenues over (under) expenditures	(8,614,630)	(10,065,970)	(1,495,373)	8,570,597
Other financing sources (uses)				
Transfers in	8,223,320	8,223,320	1,518,794	(6,704,526)
Total other financing sources (uses)	8,223,320	8,223,320	1,518,794	(6,704,526)
Net change in fund balances	$ (391,310)	$ (1,842,650)	$ 23,421	$ 1,866,071

INTERNAL SERVICE FUNDS

Internal Service Funds are used to account for the financing of goods or services provided by one department to other departments of the government, on a cost reimbursement basis.

Equipment Maintenance – to account for the revenues and expenses from the maintenance of Gilbert's motorized equipment.

Employee Benefit Self-Insurance – to account for and finance Gilbert’s uninsured risks of loss for medical, dental, and workers’ compensation claims.

TOWN OF GILBERT, ARIZONA
Combining Statement of Net Position
Internal Service Funds
June 30, 2021

	Equipment Maintenance	Employee Benefit Self-Insurance	Total Internal Service Funds
Assets			
Current assets			
Pooled cash and investments	$ 1,358,349	$ 13,032,263	$ 14,390,612
Receivables, net			
Accrued interest	2,852	28,143	30,995
Accounts	-	1,258,962	1,258,962
Due from other governments	5,400	22,506	27,906
Deposits	-	50,000	50,000
Inventories	753,855	-	753,855
Total current assets	2,120,456	14,391,874	16,512,330
Noncurrent assets			
Non-depreciable	5,261	-	5,261
Depreciable, net	191,463	-	191,463
Total noncurrent assets	196,724	-	196,724
Total assets	2,317,180	14,391,874	16,709,054
Deferred outflows of resources			
Pensions and other postemployment benefits	498,884	-	498,884
Total deferred outflows of resources	498,884	-	498,884
Liabilities			
Current liabilities			
Accounts payable	342,705	45,698	388,403
Accrued liabilities	108,033	4,646	112,679
Current portion of accrued compensated absences	92,027	-	92,027
Claims payable	-	4,068,000	4,068,000
Total current liabilities	542,765	4,118,344	4,661,109
Noncurrent liabilities			
Accrued compensated absences	141,820	-	141,820
Other postemployment benefits	16,009	-	16,009
Net pension liability	2,442,999	-	2,442,999
Total noncurrent liabilities	2,600,828	-	2,600,828
Total liabilities	3,143,593	4,118,344	7,261,937
Deferred inflows of resources			
Pensions and other postemployment benefits	26,968	-	26,968
Total deferred inflows of resources	26,968	-	26,968
Net position			
Net investment in capital assets	196,724	-	196,724
Unrestricted	(551,221)	10,273,530	9,722,309
Total net position	$ (354,497)	$ 10,273,530	$ 9,919,033

TOWN OF GILBERT, ARIZONA
Combining Statement of Revenues, Expenses, and Changes in Net Position
Internal Service Funds
For the Year Ended June 30, 2021

	Equipment Maintenance	Employee Benefit Self-Insurance	Total Internal Service Funds
Operating revenues			
Charges for services	$ 8,028,959	$ 22,114,363	$ 30,143,322
Other	1,270	3,166,714	3,167,984
Total operating revenues	8,030,229	25,281,077	33,311,306
Operating expenses			
General and administrative	97,668	1,976,921	2,074,589
Personnel services	2,517,708	38,542	2,556,250
Operation and maintenance	5,192,012	-	5,192,012
Claims incurred	-	22,595,943	22,595,943
Depreciation	35,488	-	35,488
Total operating expenses	7,842,876	24,611,406	32,454,282
Operating income/(loss)	187,353	669,671	857,024
Nonoperating revenues (expenses)			
Interest earnings	4,610	154,108	158,718
Net change in fair value of investments	(11,035)	(115,866)	(126,901)
Gain (loss) on sale of capital assets	3,360	-	3,360
Total nonoperating revenues (expenses)	(3,065)	38,242	35,177
Change in net position	184,288	707,913	892,201
Total net position - beginning	(538,785)	9,565,617	9,026,832
Total net position - ending	$ (354,497)	$ 10,273,530	$ 9,919,033

TOWN OF GILBERT, ARIZONA
Combining Statement of Cash Flows
Internal Service Funds
For the Year Ended June 30, 2021

	Equipment Maintenance	Employee Benefit Self-Insurance	Total Internal Service Funds
Cash flows from operating activities			
Cash receipts from customers	$ 195,567	$ -	$ 195,567
Other operating cash receipts	1,270	3,166,714	3,167,984
Cash receipts from other funds for services	7,841,253	22,596,949	30,438,202
Cash payments to suppliers for goods and services	(5,256,042)	(22,541,167)	(27,797,209)
Cash payments to employees for services	(2,344,350)	(33,896)	(2,378,246)
Net cash provided (used) by operating activities	437,698	3,188,600	3,626,298
Cash flows from capital and related financing activities			
Acquisition and construction of capital assets	(128,517)	-	(128,517)
Proceeds from sale of capital assets	3,360	-	3,360
Net cash provided (used) by capital and related financing activities	(125,157)	-	(125,157)
Cash flows from investing activities			
Interest received on investments	(6,072)	42,859	36,787
Net cash provided (used) by investing activities	(6,072)	42,859	36,787
Net increase (decrease) in cash and cash equivalents	306,469	3,231,459	3,537,928
Cash and cash equivalents at beginning of year	1,051,880	9,800,804	10,852,684
Cash and cash equivalents at end of the year	$ 1,358,349	$ 13,032,263	$ 14,390,612
Reconciliation of operating income to net cash provided by operating activities:			
Operating income/(loss)	$ 187,353	$ 669,671	$ 857,024
Adjustments to reconcile operating income (loss) to net cash provided (used) by operating activities:			
Depreciation	35,488	-	35,488
Changes in assets and liabilities:			
Accounts receivable	658	487,141	487,799
Due from other governments	7,203	(4,556)	2,647
Inventories	42,002	-	42,002
Deferred outflows of resources	(206,297)	-	(206,297)
Accounts payable	(8,366)	38,698	30,332
Claims payable	-	2,043,000	2,043,000
Deposits	-	(50,000)	(50,000)
Accrued expenses	41,909	4,646	46,555
Other postemployment benefits	2,807	-	2,807
Net pension liability	463,785	-	463,785
Deferred inflows of resources	(128,844)	-	(128,844)
Net cash provided (used) by operating activities	$ 437,698	$ 3,188,600	$ 3,626,298

APPENDIX F

FORM OF APPROVING OPINION

[Closing Date]

Town of Gilbert, Arizona

Town of Gilbert, Arizona,
Water Resources
Municipal Property Corporation

Ladies and Gentlemen:

We have examined the proceedings relating to the issuance by The Town of Gilbert, Arizona Water Resources Municipal Property Corporation (the "*Corporation*") of its Senior Lien Utility System Revenue Bonds, Series 2022 (Green Bonds), in an original principal amount of $473,005,000 (the "*Bonds*"), issued pursuant to a Series 2022 Utilities Bond Indenture by and between the Corporation and U.S. Bank Trust Company, National Association as trustee (the "*Trustee*"), dated as of June 1, 2022 (the "*Indenture*"). The Bonds are secured by payments (the "*Town Payments*") to be made by the Town of Gilbert, Arizona (the "*Town*") pursuant to a Series 2022 Utilities Town Purchase Agreement by and between the Town, as purchaser, and the Corporation, as seller, dated as of June 1, 2022 (the "*Purchase Agreement*"). The rights of the Corporation to receive the Town Payments pursuant to the Purchase Agreement have been assigned to the Trustee by the Corporation pursuant to the Indenture. We have also examined the form of the Bonds.

Based upon such examination, we are of the opinion that, under the law existing on the date of this opinion:

1. The Bonds, the Indenture and the Purchase Agreement are legal, valid, binding and enforceable in accordance with their respective terms, except that the binding effect and enforceability thereof are subject to applicable bankruptcy, insolvency, reorganization, moratorium and other laws in effect from time to time affecting the rights of creditors generally, and except to the extent that the enforceability thereof may be limited by the application of general principles of equity.

2. The Bonds are special obligations of the Corporation, and the principal of and interest on the Bonds, unless paid from other sources, are payable from the revenues moneys pledged and assigned pursuant to the Indenture to secure that payment. Notwithstanding the foregoing, the Bonds do not constitute an indebtedness of the Town or the State of Arizona for constitutional or statutory purposes nor are they secured by a pledge of the full faith and credit of or any taxing power of the Town or the State of Arizona. The Corporation has no taxing power.

3. Under existing laws, regulations, rulings and judicial decisions, the interest income on the Bonds is excludable from gross income for the purpose of calculating federal income taxes and is exempt from Arizona income taxes. Interest income on the Bonds is not an item of tax preference to be included in computing the alternative minimum tax. The Bonds are not private activity bonds within the meaning of Section 141 of the Internal Revenue Code of 1986, as amended (the "*Code*"). We express no opinion regarding other federal tax consequences arising with respect to the Bonds.

The Code imposes various restrictions, conditions and requirements relating to the continued exclusion of interest income on the Bonds from gross income for federal income tax purposes, including a requirement that the issuer rebate to the federal government certain of the investment earnings with respect to the Bonds. Failure to comply with such restrictions, conditions and requirements could result in the interest income on the Bonds being included as gross income for federal income tax purposes from their date of issuance. The Corporation and the Town have covenanted to comply with the restrictions, conditions and requirements of the Code necessary to preserve the

tax-exempt status of the Bonds. For purposes of this opinion we have assumed compliance by the issuer with such restrictions, conditions and requirements.

As to questions of the fact material to our opinion we have relied upon, and assumed due and continuing compliance with the provisions of, the proceedings and other documents, and have relied upon certificates, covenants and representations furnished to us without undertaking to verify the same by independent investigation.

GUST ROSENFELD P.L.C.

Timothy A. Stratton
Bond Counsel

APPENDIX G

$473,005,000
TOWN OF GILBERT, ARIZONA
WATER RESOURCES MUNICIPAL PROPERTY CORPORATION
SENIOR LIEN UTILITY SYSTEM REVENUE BONDS, SERIES 2022
(GREEN BONDS)

CONTINUING DISCLOSURE CERTIFICATE
(CUSIP Base No. 37530A)

This Continuing Disclosure Certificate (this "*Disclosure Certificate*") is undertaken by the Town of Gilbert, Arizona, an Arizona municipal corporation (the "*Town*"), in connection with the issuance by the Town of Gilbert, Arizona Water Resources Municipal Property Corporation, an Arizona nonprofit corporation (the "*Corporation*"), of $473,005,000 in aggregate principal amount of its Senior Lien Utility System Revenue Bonds, Series 2022 (Green Bonds). In consideration of the initial sale, execution and delivery of the Series 2022 Bonds, the Town covenants as follows:

Section 1. **Purpose of the Disclosure Certificate**. This Disclosure Certificate is for the benefit of the Bondholders and in order to assist the Participating Underwriter in complying with the Rule (as hereinafter defined).

Section 2. **Definitions**. Any capitalized term used herein shall have the following meanings, unless otherwise defined herein:

"*Annual Report*" shall mean the annual report provided by the Town pursuant to, and as described in, Sections 3 and 4 of this Disclosure Certificate.

"*Audited Financial Statements*" shall mean the Town's annual financial statements, which are currently prepared in accordance with generally accepted accounting principles (GAAP) for governmental units as prescribed by the Governmental Accounting Standards Board (GASB) and which the Town intends to continue to prepare in substantially the same form.

"*Bond Counsel*" shall mean Gust Rosenfeld P.L.C. or such other nationally recognized bond counsel as may be selected by the Town.

"*Bondholder*" shall mean any registered owner or beneficial owner of the Series 2022 Bonds.

"*Dissemination Agent*" shall mean the Town or any person designated in writing by the Town as the Dissemination Agent.

"*EMMA*" shall mean the Electronic Municipal Market Access system of MSRB, or any successor thereto approved by the United States Securities and Exchange Commission, as a repository for municipal continuing disclosure information pursuant to the Rule.

"*Financial Obligation*" means (i) a debt obligation; (ii) a derivative instrument entered into in connection with, or pledged as security or a source of payment for, an existing or planned debt obligation; or (iii) a guarantee of (i) or (ii), except that "Financial Obligation" does not include municipal securities as to which a final official statement has been provided to MSRB.

"*Listed Events*" shall mean any of the events listed in Section 5(a) of this Disclosure Certificate.

"*MSRB*" shall mean the Municipal Securities Rulemaking Board, or any successor thereto.

"*Official Statement*" shall mean the final official statement dated May 17, 2022, relating to the Series 2022 Bonds.

"*Participating Underwriter*" shall mean any of the original underwriters of the Series 2022 Bonds required to comply with the Rule in connection with offering of the Series 2022 Bonds.

"*Rule*" shall mean Rule 15c2-12(b)(5) adopted by the Securities and Exchange Commission under the Securities Exchange Act of 1934, as the same may be amended from time to time.

Section 3. **Provision of Annual Reports**.

(a) Commencing February 1, 2023, and by no later than February 1 of each year thereafter (the "*Filing Date*"), the Town shall, either directly or by directing the Dissemination Agent to do so, provide an Annual Report to MSRB. The Annual Report shall be provided electronically and in a format prescribed by MSRB. The Annual Report shall be consistent with the requirements of Section 4 of this Disclosure Certificate and shall include information from the fiscal year ending on the preceding June 30. All documents provided to MSRB shall be accompanied by identifying information prescribed by MSRB. Currently, filings are required to be made with EMMA. Not later than 15 business days prior to such Filing Date, the Town shall provide the Annual Report to the Dissemination Agent (if other than the Town).

(b) If the Town is unable or for any reason fails to provide electronically to EMMA an Annual Report or any part thereof by the Filing Date required in subsection (a) above, the Town shall, in a timely manner, send a notice to EMMA in substantially the form attached as *Exhibit A* not later than the Filing Date.

(c) If the Town's audited financial statements are not submitted with the Annual Report and the Town fails to provide to EMMA a copy of its Audited Financial Statements within 30 days of receipt thereof by the Town, then the Town shall, in a timely manner, send a notice to EMMA in substantially the form attached as *Exhibit B*.

(d) The Dissemination Agent shall:

(i) determine the proper electronic filing address of EMMA each year prior to the date(s) for providing the Annual Report and Audited Financial Statements; and

(ii) if the Dissemination Agent is other than the Town, file a report or reports with the Town certifying that the Annual Report and Audited Financial Statements, if applicable, have been provided pursuant to this Disclosure Certificate, stating the date such information was provided and listing where it was provided.

Section 4. **Content of Annual Reports**.

(a) The Annual Report may be submitted as a single document or as separate documents comprising an electronic package, and may incorporate by reference other information as provided in this Section, including the Audited Financial Statements of the Town; provided, however, that if the Audited Financial Statements of the Town are not available at the time of the filing of the Annual Report, the Town shall file unaudited financial statements of the Town with the Annual Report and, when the Audited Financial Statements of the Town are available, the same shall be submitted to EMMA within 30 days of receipt by the Town.

(b) The Town's Annual Report shall contain or incorporate by reference the following:

(i) Type of Financial and Operating Data to be Provided:

A. Subject to the provisions of Sections 3 and 4(a) hereof, Audited Financial Statements for the Town.

B. Annually updated financial information and operating data of the type contained in the following tables of the Official Statement:

i. TABLE 1 – Historical Combined Statement of Operations;

ii. TABLE 8 – Water Customer History;

iii. TABLE 11 – Wastewater Customer History; and

iv. TABLE 12 – Water and Wastewater System Development Fees (in each case, actual results for the most recently completed fiscal year only).

C. In the event of an amendment pursuant to Section 8 hereof not previously described in an Annual Report, an explanation, in narrative form, of the reasons for the amendment and the impact of the change in the type of operating data or financial information being provided and, if the amendment is made to the accounting principles to be followed, a comparison between the financial statements or information prepared on the basis of the new accounting principles and those prepared on the basis of the former accounting principles, including a qualitative discussion of the differences, and the impact on the presentation and, to the extent feasible, a quantitative comparison.

(ii) Accounting Principles Pursuant to Which Audited Financial Statements Shall Be Prepared: The Audited Financial Statements shall be prepared in accordance with generally accepted accounting principles and state law requirements as are in effect from time to time. A more complete description of the accounting principles currently followed in the preparation of the Town's Audited Financial Statements is contained in Note 1 of the Audited Financial Statements included within the Official Statement. Notice of amendment to the accounting principles shall be sent within 30 days to EMMA.

(c) Any or all of the items listed above may be incorporated by reference from other documents, including official statements of debt issues of the Town or related public entities, which have been submitted to EMMA or the Securities and Exchange Commission. If the document incorporated by reference is a final official statement, it must be available from EMMA. The Town shall clearly identify each such other document so incorporated by reference.

Section 5. **Reporting of Listed Events**.

(a) This Section shall govern the giving of notices by the Town, either directly or by directing the Dissemination Agent to do so, of the occurrence of any of the following events with respect to the Series 2022 Bonds. The Town shall, in a timely manner, not in excess of 10 business days after the occurrence of the event, provide notice of the following events with EMMA:

(i) Principal and interest payment delinquencies;
(ii) Non-payment related defaults, if material;
(iii) Unscheduled draws on debt service reserves reflecting financial difficulties;
(iv) Unscheduled draws on credit enhancements reflecting financial difficulties;
(v) Substitution of credit or liquidity providers, or their failure to perform;
(vi) Adverse tax opinions, the issuance by the Internal Revenue Service (the "*IRS*") of proposed or final determinations of taxability, Notices of Proposed Issue (IRS Form 5701-TEB) or other material notices or determinations with respect to the tax status of the Series 2022 Bonds, or other material events affecting the tax status of the Series 2022 Bonds;
(vii) Modifications to rights of Bondholders, if material;
(viii) Bond calls, if material, and tender offers;
(ix) Defeasances;
(x) Release, substitution, or sale of property securing repayment of the Series 2022 Bonds, if material;
(xi) Rating changes;
(xii) Bankruptcy, insolvency, receivership or similar event of the Town;
(xiii) The consummation of a merger, consolidation, or acquisition involving the Town or the sale of all or substantially all of the assets of the Town, other than in the ordinary course of business, the entry into a definitive agreement to undertake such an action or the termination of a definitive agreement relating to any such actions, other than pursuant to its terms, if material;

(xiv) Appointment of a successor or additional trustee or the change of name of a trustee, if material;

(xv) The incurrence of a Financial Obligation of the Town, if material, or agreement to covenants, events of default, remedies, priority rights, or other similar terms of a Financial Obligation of the Town, any of which affect Bondholders, if material; and

(xvi) A default, event of acceleration, termination event, modification of terms, or other similar events under the terms of a Financial Obligation of the Town, any of which reflect financial difficulties.

(b) "*Materiality*" will be determined in accordance with applicable federal securities laws.

Note to Section 5(a)(xii) above: For the purposes of the event identified in section 5(a)(xii) above, the event is considered to occur when any of the following occur: the appointment of a receiver, fiscal agent or similar officer for the Town in a proceeding under the U.S. Bankruptcy Code or in any other proceeding under state or federal law in which a court or governmental authority has assumed jurisdiction over substantially all of the assets or business of the Town, or if such jurisdiction has been assumed by leaving the existing governing body and officials or officers in possession but subject to the supervision and orders of a court or governmental authority, or the entry of an order confirming a plan or reorganization, arrangement or liquidation by a court or governmental authority having supervision or jurisdiction over substantially all of the assets or business of the Town.

Section 6. **Termination of Reporting Obligation**. The Town's obligations under this Disclosure Certificate shall terminate upon the legal defeasance, prior redemption or payment in full of all of the Series 2022 Bonds. Such termination shall not terminate the obligation of the Town to give notice of such defeasance or prior redemption.

Section 7. **Dissemination Agent**. The Town may, from time to time, appoint or engage a Dissemination Agent to assist it in carrying out its obligations under this Disclosure Certificate, and may discharge any such Dissemination Agent, with or without appointing a successor Dissemination Agent.

Section 8. **Amendment**. Notwithstanding any other provision of this Disclosure Certificate, the Town may amend this Disclosure Certificate if:

(a) The amendment is made in connection with a change in circumstances that arises from a change in legal requirements, change in law, or change in identity, nature or status of the Town, or the type of business conducted;

(b) This Disclosure Certificate, as amended, would, in the opinion of Bond Counsel, have complied with the requirements of the Rule at the time of the primary offering of the Series 2022 Bonds, after taking into account any amendments or interpretations of the Rule, as well as any change in circumstances; and

(c) The amendment does not materially impair the interests of Bondholders, as determined by Bond Counsel.

Section 9. **Filing with EMMA**. The Town shall, or shall cause the Dissemination Agent to, electronically file all items required to be filed with EMMA.

Section 10. **Additional Information**. The Town may, at the Town's election, include any information in any Annual Report or notice of occurrence of a Listed Event in addition to that which is specifically required by this Disclosure Certificate. If the Town chooses to include such information, the Town shall have no obligation under this Disclosure Certificate to update such information or include it in any future Annual Report or notice of occurrence of a Listed Event.

Section 11. **Default**. In the event of a failure of the Town to comply with any provision of this Disclosure Certificate any Bondholder may seek specific performance by court order to cause the Town to comply with its obligations under this Disclosure Certificate. The sole remedy under this Disclosure Certificate in the event of any

failure of the Town to comply with this Disclosure Certificate shall be an action to compel performance and such failure shall not constitute a default under the Series 2022 Bonds or the resolution authorizing the Series 2022 Bonds.

Section 12. **Compliance by the Town**. The Town hereby covenants to comply with the terms of this Disclosure Certificate. The Town expressly acknowledges and agrees that compliance with the undertaking contained in this Disclosure Certificate is its sole responsibility and the responsibility of the Dissemination Agent, if any, and that such compliance, or monitoring thereof, is not the responsibility of, and no duty is present with respect thereto for, the Participating Underwriter, Bond Counsel or the Town's financial advisor.

Section 13. **Beneficiaries**. This Disclosure Certificate shall inure solely to the benefit of the Town, the Dissemination Agent, the Participating Underwriter and Bondholders, and shall create no rights in any other person or entity.

Section 14. **Governing Law and Interpretation of Terms**. This Disclosure Certificate shall be governed by the law of the State of Arizona and any action to enforce this Disclosure Certificate must be brought in an Arizona state court. The terms and provisions of this Disclosure Certificate shall be interpreted in a manner consistent with the interpretation of such terms and provisions under the Rule and the federal securities law.

[Signature on following page]

Date: [Closing Date].

TOWN OF GILBERT, ARIZONA

_____
Finance and Management Services Director

EXHIBIT A

NOTICE OF FAILURE TO FILE ANNUAL REPORT

Name of Issuer: Town of Gilbert, Arizona Water Resources Municipal Property Corporation
Name of Bond Issue: $473,005,000 Senior Lien Utility System Revenue Bonds, Series 2022 (Green Bonds)
Dated Date of Bonds: June 14, 2022 Base CUSIP: 37530A

NOTICE IS HEREBY GIVEN that the Town has not provided an Annual Report with respect to the above-named Bonds as required by Section 3(a) of the Continuing Disclosure Certificate dated June 14, 2022. The Town anticipates that the Annual Report will be filed by _____.

Dated:_____

Town of Gilbert, Arizona

By_____
Its _____

EXHIBIT B

NOTICE OF FAILURE TO FILE AUDITED FINANCIAL STATEMENTS

Name of Issuer: Town of Gilbert, Arizona Water Resources Municipal Property Corporation
Name of Bond Issue: $473,005,000 Senior Lien Utility System Revenue Bonds, Series 2022 (Green Bonds)
Dated Date of Bonds: June 14, 2022 Base CUSIP: 37530A

NOTICE IS HEREBY GIVEN that the Town failed to provide its Audited Financial Statements with its Annual Report or, if not then available, within 30 days of receipt as required by Section 4(a) of the Continuing Disclosure Certificate dated June 14, 2022, with respect to the above-named Bonds. The Town anticipates that the Audited Financial Statements for the fiscal year ended June 30, ____ will be filed by _____.

Dated:_____

Town of Gilbert, Arizona

By_____
Its _____

APPENDIX H

KESTREL VERIFIERS SECOND PARTY OPINION

Second Party Opinion

EXECUTIVE SUMMARY

ISSUER

Town of Gilbert, Arizona, Water Resources Municipal Property Corporation

OPINION ON

Senior Lien Utility System Revenue Bonds, Series 2022 (Green Bonds)

GREEN STANDARD AND CATEGORY

- Sustainable Water Management

KEYWORDS

Drinking water, groundwater, acquisition of water rights, resiliency, sustainable water system growth, Arizona

EVALUATION DATE

May 4, 2022

SUMMARY

Kestrel Verifiers is of the opinion that the Senior Lien Utility System Revenue Bonds, Series 2022 (Green Bonds) ("Bonds") conform with the four core components of the Green Bond Principles 2021 as follows:

- **Use of Proceeds**
  The Bonds will be used to finance upgrades and expansion of the North Water Treatment Plant, other improvements to the Town's water system (collectively "System Improvements" or "Projects") and pay costs of issuance. The Projects will enable sustainable growth in the Town's drinking water system by maximizing water supply reliability, creating system redundancy, and improving water use efficiency. The System Improvements are eligible projects as defined by the Green Bond Principles in the *Sustainable Water Management* project category.

- **Process for Project Evaluation and Selection**
  Several planning documents informed the decision to pursue the Projects, including the Town's Capital Improvement Plan, 2020 City of the Future Plan, Water Supply Reduction Management Plan, water conservation goals and projected population growth models. The Bonds support the Town's priority to ensure all residents have access to safe, affordable drinking water through maintenance of a sustainable water system.

- **Management of Proceeds**
  Proceeds from the Bonds will finance reconstruction and expansion of the North Water Treatment Plant and other projects in the Town's Capital Improvement Plan and pay costs of issuance. The proceeds shall be invested and held in a project account until expended for Project costs.

- **Reporting**
  The Town commits to posting standard continuing disclosures to the Municipal Securities Rulemaking Board ("MSRB") annually through the Electronic Municipal Market Access ("EMMA") system. The Town expects to post updates on the projects to the Town's website and, once the projects are completed, intends to produce a summary report of expenditures, projects and impacts.

- **Impact and Alignment with United Nations Sustainable Development Goals**
  By optimizing and improving the sustainability of the water system, the Bonds support and advance multiple UN SDGs, including Goals 6: *Clean Water and Sanitation*, 7: *Affordable and Clean Energy*, 9: *Industry, Innovation and Infrastructure*, 12: *Responsible Consumption and Production*, and 13: *Climate Action*.

Second Party Opinion

Issuer:	**Town of Gilbert, Arizona Water Resources Municipal Property Corporation**
Issue Description:	Senior Lien Utility System Revenue Bonds, Series 2022
Project:	System Improvements
Green Standard:	Green Bond Principles
Green Category:	Sustainable Water Management
Keywords:	Drinking water, groundwater, acquisition of water rights, resiliency, sustainable water system growth, Arizona
Par:	$473,005,000
Evaluation Date:	May 4, 2022

GREEN BONDS DESIGNATION

Kestrel Verifiers, an Approved Verifier accredited by the Climate Bonds Initiative, conducted an independent external review of the Town of Gilbert, Arizona Water Resources Municipal Property Corporation Senior Lien Utility System Revenue Bonds, Series 2022 ("Bonds") to evaluate conformance with the Green Bond Principles (June 2021) established by the International Capital Market Association.

This Second Party Opinion reflects our review of the uses and allocation of proceeds, and oversight and conformance of the Bonds with the Green Bond Principles. In our opinion, the Bonds are aligned with the four core components of the Green Bond Principles and qualify for Green Bonds designation.

ABOUT THE ISSUER

The Town of Gilbert, Arizona ("Town" or "Gilbert") is located in Maricopa County, southeast of Phoenix and just north of the Gila River Indian Community. As of 2021, Gilbert has a population of more than 270,000. The Town's Public Works Department provides water and wastewater services. Water supply sources for the Town are diverse and include the Colorado River (through the Central Arizona Project), the Salt and Verde Rivers (through the Salt River Project) and groundwater wells.[1] Drinking water is treated at the North Water Treatment Plant which receives water from the Salt and Verde Rivers and has a current treatment capacity of 45 million gallons per day ("MGD"). Drinking water is also treated at the Santan Vista Water Treatment Plant, which is operated in partnership with the neighboring City of Chandler and has a treatment capacity of 48 MGD—of which up to 24 MGD is available to Gilbert. Santan Vista receives water from the Colorado River, which is in a Tier 1 shortage.[2] Additionally, since 1985, the Town has used treated wastewater to support its reclaimed water supply. Approximately half of the Town's treated wastewater is used for irrigation, while the other half is used for groundwater recharge via three percolation basins (Riparian

[1] The Salt River Project was established in the early 1900s as a public power and water utility that impounds water in a 13,000 square mile watershed and operates six reservoirs on the Salt and Verde River watersheds to supply water to Phoenix and surrounding areas. The Central Arizona Project is designed to deliver approximately 1.5 million acre-feet of water from the Colorado River to central and southern Arizona.

[2] "Colorado River Shortage: 2022 Fact Sheet," Arizona Department of Water Resources, accessed April 28, 2022, https://new.azwater.gov/sites/default/files/media/ADWR-CAP-FactSheet-CoRiverShortage-081321.pdf. In 2021, the Colorado River was declared a Tier 1 shortage by the US Secretary of the Interior. The shortage went into effect in 2022 and will lead to a reduction in Arizona's share of the Colorado River. While the reductions are primarily anticipated to impact agricultural users, the Town is taking action to reduce water use.

Preserve, Neely Recharge Facility, and the South Area Recharge Facility) and one injection well. As of 2020, these sites have collectively recharged more than 55 billion gallons of reclaimed water.[3]

Programs to support responsible water use within the community and raise awareness of water resources stewardship are emphasized by the Town of Gilbert. The Water Wise Program encourages local businesses, schools, homeowner's associations, churches, hotels and apartment complexes to promote responsible water consumption and conservation. Through this program, organizations are recognized for being within 120% of their annual landscape water budget. The ongoing Automated Metering Infrastructure program is also a crucial component of the Town's water conservation goals: all residential and commercial customers are expected to have automated meters by 2025. Moreover, the Town's water rate structure incentivizes water conservation through incremental rates associated with increased water use. To maintain sustainable growth and development, the Town has established a Water Allocation Policy which limits the total amount of water that may be used on each parcel of land. The Policy, rate structures, active monitoring of landscape irrigation, efficient water fixtures, water efficient landscaping, education workshops and Residential Water Efficiency Checkups all contribute to the Town's exemplary water conservation efforts.

ALIGNMENT TO GREEN STANDARDS[4]

Green Standard
The Green Bond Principles
Eligible Project Category:
▪ Sustainable Water Management

Use of Proceeds

The Bonds will be used to finance upgrades and expansion of the North Water Treatment Plant, other improvements to the Town's water system, (collectively "System Improvements" or "Projects") and pay costs of issuance. The Projects will enable sustainable growth in the Town's drinking water system by improving reliability and operational efficiency. The System Improvements are eligible projects as defined by the Green Bond Principles in the *Sustainable Water Management* project category.

The Bonds finance multiple projects for the water system which are all included in the adopted 2022-2031 Capital Improvement Plan. A list of anticipated bond-financed projects is provided in Appendix B. Projects will reduce the use of groundwater as a water source, improve system resilience by maintaining a diverse water portfolio, address water treatment needs as a result of changing water quality from the Salt River Project and Central Arizona Project, and accommodate population growth. Construction of the Projects is expected to be complete by 2026.

The North Water Treatment Plant ("NWTP") project and other projects financed by the Bonds are forward-looking projects that demonstrate Gilbert's long-term vision for sustainable growth. The Town uses pilot projects to evaluate scenarios, solutions and optimizations. Because it lacks claims to any more historic water rights, is located in a water scarce region, and is experiencing a significant population increase, the Town has pursued projects that maximize water supply reliability, system redundancy, and water use efficiency.

North Water Treatment Plant: Upgrades and reconstruction of the NWTP is the largest project to be financed by the Bonds. As one of the Town's two drinking water treatment plants, reconstruction of the facility is necessary to accommodate population growth, address structural deficiencies at the existing plant, improve treatment capabilities and address changes in water quality (due to the effects of wildfires and droughts). As a result of the upgrades, the NWTP will increase production from 45 million gallons per day ("MGD") to 60 MGD. Currently the Town periodically forgoes drawing from its Salt River Project water allotment because of water quality concerns and instead must rely on groundwater resources. The new facility will have the capability to treat trihalomethanes[5] which are naturally occurring in Salt River Project water, thereby allowing the Town to use less groundwater and support the long-term sustainability of the local aquifer.

[3] "Reclaimed Water," Town of Gilbert, Arizona, website, accessed April 22, 2022, https://www.gilbertaz.gov/departments/public-works/water/water-resources/reclaimed-water.

[4] Green Bonds are any type of bond instrument where the proceeds will be exclusively applied to finance or refinance eligible Green Projects which are aligned with the four core components of ICMA's Green Bond Principles.

[5] "Trihalomethanes in Public Water and Health," Iowa Public Health Tracking Portal, accessed April 25, 2022, https://tracking.idph.iowa.gov/Environment/Public-Drinking-Water/Public-Water-and-Health/TTHM-in-Public-Water-and-Health.

Transmission and Distribution: Design and construction of new distribution pipelines are essential for efficient operation and resilience. Periodic maintenance and replacement are best management practices and critical to water loss prevention.

Reservoirs: The Bonds also fund construction of a new 2.7-million-gallon aboveground reservoir to increase storage redundancy. The reservoir project involves construction of the new reservoir, rehabilitating infrastructure from an existing aboveground steel reservoir, and construction of an onsite treatment system for nitrates. In addition to improving water supply resilience, the projects improve water quality thereby allowing the Town to better utilize its existing supply.

Water Rights: The Bonds finance the acquisition of surface water rights through two transactions. The first provides 3,248 acre-feet of Central Arizona Project water rights through a lease with the White Mountain Apache Tribe. The second provides 1,282 acre-feet of Central Arizona Project water rights approved by the Arizona Department of Water Resources.

Well Development: The Town also relies on groundwater to meet water demand when alternative water supplies are reduced or unavailable. Groundwater is primarily used when canals that convey water supplies are being maintained, when the Salt River Project water has quality issues, or during possible future periods of Central Arizona Project water shortages.[6] To add redundancy, the Bonds finance development of a new 2 MGD groundwater well and pump, piping, and valve improvements on a different well. The groundwater projects will allow Gilbert to maintain a diverse water supply portfolio that improves resilience of the drinking water system and supports expected population growth.

Climate Risk and Transition Alignment[7]

Mitigation of transition risk requires planning for the necessary structural changes to address climate change and the transition to a low-carbon economy, with recognition of the risks associated with inaction. The System Improvements address climate transition risks by planning for water shortages and adding redundancy and resiliency features into the Town's water system, in a region experiencing scarce water supplies amidst rapid population growth. The Town will be able to fully utilize its available water supplies while improving water quality by adding new treatment capabilities at the NWTP to serve a growing population. Acquisition of additional water rights and construction of a new reservoir increase system resilience.

The Bonds also finance activities which align with the *just transition,* characterized by the equitable inclusion and accommodation of all individuals, with a special focus on disadvantaged groups who may be directly or indirectly affected by the structural changes necessary for the transition to a low-carbon economy. By financing proactive projects that aim to ensure a long-term, reliable source of drinking water for all residents the Bonds support the just transition. Furthermore, the Town's rate structure for the drinking water system is designed to improve equitable access to water by maintaining low rates for small water users and increasing costs for large water users.

[6] Rates of groundwater extraction in Arizona must not cause the water table to drop 1,000 feet below land surface over a 100-year pumping period (Adequate Water Supply Rules adopted by the Arizona Department of Water Resources).

[7] Climate change poses significant systemic risks to US financial systems and municipal issuers. These risks may broadly be divided into physical risk, transition risk and societal risk. Physical risk includes effects of climate change on physical assets, such as extreme weather events and sea level rise. Transition risk includes market and technology risks, reputational risks, policy risks and legal risks. Societal risk includes risk to stable democracies, risk to civil liberties and human rights, risk to labor supply, and risk to public health. Mitigation of transition risk requires planning for the necessary structural changes to address climate change and societal inequity with recognition of the risks associated with inaction. We refer to this as the just transition to a decarbonized economy, or the just transition.

Process for Project Evaluation and Selection

The Town's 2022-2031 Capital Improvement Plan, Water Supply Reduction Management Plan, 2020 City of the Future Plan, and water conservation goals guided decision-making and prioritization of these Projects.

The 2022-2031 Capital Improvement Plan, which outlines infrastructure improvements and proposed budgets for the next ten years, is updated annually, and proposed projects outlined in the first year of the plan are approved during the budgeting process. Activities are prioritized based on the following criteria: safety and reliability, cost effectiveness, community support, and urgency.

The Town accounted for future growth when choosing to pursue the NWTP reconstruction project. As a fast-growing community, the Town prioritizes sustainable resource management to ensure water quality and affordability for residents. The Projects also align with Gilbert's "Plan for Our Future: 2020 Gilbert General Plan," which outlines goals, policies and implementation actions to guide decisions that impact the physical development of land in the Town. The Projects align primarily by promoting a healthy environment through responsible water use and infrastructure.

Additionally, the Town's prioritization of water conservation influenced the decision to pursue the Projects. The Town's "Water Supply Reduction Management Plan" and participation in the regional "500+ Plan" (a plan involving California, Arizona and Nevada to protect Lake Mead water supplies) outline water conservation efforts and encourage responsible water use. Increased treatment capacity at the NWTP will contribute to the Town's resiliency against potential droughts and advances its sustainable water use goals.

Management of Proceeds

Bond proceeds will finance reconstruction and expansion of the North Water Treatment Plant and other projects in the Town's Capital Improvement Plan and pay costs of issuance. Prior to allocation to the Projects, proceeds shall be invested and held in a project account in accordance with the permitted investments defined in the Bond Indenture. These allowable temporary investments consist of instruments including, but not limited to, money market funds and bonds or notes guaranteed by US federal agencies or the US government.

Reporting

The Town will submit continuing disclosures to the Municipal Securities Rulemaking Board ("MSRB") so long as the Bonds are outstanding. The Town will also provide reports in the event of material developments, as outlined in its Continuing Disclosure Certificate. This reporting will be done annually on the Electronic Municipal Market Access ("EMMA") system operated by the MSRB.

Gilbert expects to post updates on the Projects on the Town's website: gilbertaz.gov. The Town intends to produce a report after all bond proceeds have been expended that will include a summary of financed projects and their impacts. Impact metrics are expected to include: number of customers benefiting from these Projects, total increase in treatment capacity, and reduced reliance on groundwater resources as a result of the financed activities. Gilbert will voluntarily post this report on either the Town's website or on EMMA after all proceeds have been spent.

IMPACT AND ALIGNMENT WITH UN SDGS

The Bonds are helping to address UN SDGs 6, 7, 9, 12 and 13 by improving and optimizing the water system. By financing reconstruction of the NWTP, transmission main projects and acquisition of water rights, the Bonds advance Target 6.1. Integration of the system and the Projects with percolation and injection facilities to support groundwater recharge advance Targets 6.5, 9.4 and 12.2. The energy efficiency improvements support Targets 7.3 and 12.2. The added redundancy and system resilience provided by the new groundwater well, reservoir, and water treatment improvements advance Target 13.1.

Full text of the Targets for Goals 6, 7, 9, 12 and 13 is available in Appendix A, with additional information available on the United Nations website: un.org/sustainabledevelopment/

6 CLEAN WATER AND SANITATION	Clean Water and Sanitation (Targets 6.1, 6.5) Possible Indicators ▪ Proportion of population provided with safely managed drinking water services ▪ Documentation of integrated water resource management
7 AFFORDABLE AND CLEAN ENERGY	Affordable and Clean Energy (Target 7.3) Possible Indicators ▪ Reduction in greenhouse gas emissions as a result of energy efficiency improvements
9 INDUSTRY, INNOVATION AND INFRASTRUCTURE	Industry, Innovation and Infrastructure (Target 9.4) Possible Indicators ▪ Decreased reliance on groundwater as a result of the projects
12 RESPONSIBLE CONSUMPTION AND PRODUCTION	Responsible Consumption and Production (Target 12.2) Possible Indicators ▪ Increased energy efficiency ▪ Decreased reliance on depleted groundwater resources as a result of the projects
13 CLIMATE ACTION	Climate Action (Target 13.1) Possible Indicators ▪ Avoided down time in water delivery as a result of interconnections and system redundancy

CONCLUSION

Based on our independent external review, the Town of Gilbert, Arizona Water Resources Municipal Property Corporation Senior Lien Utility System Revenue Bonds, Series 2022 conform, in all material respects, with the Green Bond Principles (2021) and are in complete alignment with the *Sustainable Water Management* project category. The NWTP project and other projects financed by the Bonds are forward-looking projects that demonstrate Gilbert's long-term vision for sustainable growth. The Town has pursued projects that maximize efficiency, redundancy, and reliability in its water system.

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ABOUT KESTREL VERIFIERS

For over 20 years Kestrel has been a trusted consultant in sustainable finance. Kestrel Verifiers, a division of Kestrel 360, Inc. is a Climate Bonds Initiative Approved Verifier qualified to verify transactions in all asset classes worldwide. Kestrel is a US-based certified Women's Business Enterprise. For more information, visit kestrelverifiers.com.

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- Melissa Audrey, Senior ESG Analyst
- Jordynn Paz, ESG Analyst

DISCLAIMER

This Opinion aims to explain how and why the discussed financing meets the ICMA Green Bond Principles based on the information which was available to us during the time of this engagement (April-May 2022) only. By providing this Opinion, Kestrel Verifiers is not certifying the materiality of the projects financed by the Green Bonds. It was beyond Kestrel Verifiers' scope of work to review for regulatory compliance and no surveys or site visits were conducted. Furthermore, we are not responsible for surveillance on the project or use of proceeds. Kestrel Verifiers relied on information provided by the Town and publicly available information. The Opinion delivered by Kestrel Verifiers does not address financial performance of the Green Bonds or the effectiveness of allocation of its proceeds. This Opinion does not make any assessment of the creditworthiness of the Town, or its ability to pay principal and interest when due. This is not a recommendation to buy, sell or hold the Bonds. Kestrel Verifiers is not liable for consequences when third parties use this Opinion either to make investment decisions or to undertake any other business transactions. This Opinion may not be altered without the written consent of Kestrel Verifiers. Kestrel Verifiers reserves the right to revoke or withdraw this Opinion at any time. Kestrel Verifiers certifies that there is no affiliation, involvement, financial or non-financial interest in the Town or the projects discussed. We are 100% independent. Language in the offering disclosure supersedes any language included in this Second Party Opinion.

Use of the United Nations Sustainable Development Goal (SDG) logo and icons does not imply United Nations endorsement of the products, services or bond-financed activities. The logo and icons are not being used for promotion or financial gain. Rather, use of the logo and icons is primarily illustrative, to communicate SDG-related activities.

Appendix A.
UN SDG TARGET DEFINITIONS

Target 6.1
By 2030, achieve universal and equitable access to safe and affordable drinking water for all

Target 6.5
By 2030, implement integrated water resources management at all levels, including through transboundary cooperation as appropriate

Target 7.3
By 2030, double the global rate of improvement in energy efficiency

Target 9.4
By 2030, upgrade infrastructure and retrofit industries to make them sustainable, with increased resource-use efficiency and greater adoption of clean and environmentally sound technologies and industrial processes, with all countries taking action in accordance with their respective capabilities

Target 12.2
By 2030, achieve the sustainable management and efficient use of natural resources

Target 13.1
Strengthen resilience and adaptive capacity to climate-related hazards and natural disasters in all countries

Appendix B.

ANTICIPATED PROJECT LIST[8]

Project Name	Project Description	Total Budget
Tankersley Water Line Area III/IV	Design and construction of new water distribution pipelines	$13,825,000
Tankersley Water Line Area VI	Design and construction of new water distribution pipelines	$2,988,000
Pony Lane Water Line Replacement	Design and construction of several new PVC water mains	$10,454,000
Tankersley Water Line Area IX	Design and construction of a new water distribution pipelines	$9,757,000
NWTP Upgrades and Reconstruction	Design and construction of a new 60 MGD surface water treatment plant located directly east of the North Water Treatment Plant	$346,352,000
SVWTP Raw Water Cathodic Protection	Inspection and testing of the cathodic protection system on the 48" ductile iron pipe that carries water from the Central Arizona Project canal to the Santan Vista Water Treatment Plant	$2,282,000
Transmission Main Assessment Phase 3	Rehabilitation of critical transmission mains serving Zone 2	$20,170,000
Zone 2 to Zone 4 Interconnect	Installation of valves and piping to tie back-feed into Turner Ranch Reservoir into Zone 2 of the water distribution system to also allow Zone 4 to supply Central Arizona Project water	$1,644,000
Site 33 Well Development	Completion of a direct system well that was previously drilled northwest of Recker and Ocotillo Roads; includes well pump, valves, and piping to connect it to the water distribution system	$5,009,000
Site 20B New Well Development	Design and construction of a two million gallon per day direct system well	$7,337,000
Site 20 New Reservoir Construction	Design and construction of a new water reservoir, rehabilitation of existing above ground reservoir, water quality improvements, and controls; Includes the restoration of the site and construction of onsite split stream ion-exchange nitrate treatment system	$9,330,000
NWTP Upgrades and Reconstruction	Design and construction of a new 60 MGD surface water treatment plant located directly east of the North Water Treatment Plant	$111,244,000
Water Rights - WMAT Settlement	Payment for additional Central Arizona Project water rights in association with White Mountain Apache Tribe settlement	$11,770,000
Water Rights-NIA Priority CAP Acquisition	Acquisition of Non-Indian Agriculture Priority Central Arizona Project water	$3,700,000

[8] In accordance with the Capital Improvement Plan as periodically amended. Projects listed may include funding sources in addition to bond proceeds.

APPENDIX I

BOOK-ENTRY-ONLY SYSTEM

The Depository Trust Company ("DTC"), New York, New York, will act as securities depository for the Bonds. The Bonds will be issued as fully-registered securities registered in the name of Cede & Co. (DTC's partnership nominee) or such other name as may be requested by an authorized representative of DTC. One fully-registered Bond will be issued for each maturity of the Bonds, each in the aggregate principal amount of such maturity, and will be deposited with DTC.

DTC, the world's largest securities depository, is a limited-purpose trust company organized under the New York Banking Law, a "banking organization" within the meaning of the New York Banking Law, a member of the Federal Reserve System, a "clearing corporation" within the meaning of the New York Uniform Commercial Code, and a "clearing agency" registered pursuant to the provisions of Section 17A of the Securities Exchange Act of 1934. DTC holds and provides asset servicing for over 3.5 million issues of U.S. and non-U.S. equity issues, corporate and municipal debt issues, and money market instruments (from over 100 countries) that DTC's participants ("Direct Participants") deposit with DTC. DTC also facilitates the post-trade settlement among Direct Participants of sales and other securities transactions in deposited securities, through electronic computerized book-entry transfers and pledges between Direct Participants' accounts. This eliminates the need for physical movement of securities certificates. Direct Participants include both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, clearing corporations, and certain other organizations. DTC is a wholly-owned subsidiary of The Depository Trust & Clearing Corporation ("DTCC"). DTCC is the holding company for DTC, National Securities Clearing Corporation and Fixed Income Securities Clearing Corporation, all of which are registered clearing agencies. DTCC is owned by the users of its regulated subsidiaries. Access to the DTC system is also available to others such as both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, and clearing corporations that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly ("Indirect Participants" and together with the Direct Participants, the "Participants"). DTC has Standard & Poor's rating of: "AA+." The DTC Rules applicable to its Participants are on file with the Securities and Exchange Commission. More information about DTC can be found at www.dtcc.com.

Purchases of Bonds under the DTC system must be made by or through Direct Participants, which will receive a credit for the Bonds on DTC's records. The ownership interest of each actual purchaser of each Bond ("Beneficial Owner") is in turn to be recorded on the Direct and Indirect Participants' records. Beneficial Owners will not receive written confirmation from DTC of their purchase. Beneficial Owners are, however, expected to receive written confirmations providing details of the transaction, as well as periodic statements of their holdings, from the Direct or Indirect Participant through which the Beneficial Owner entered into the transaction. Transfers of ownership interests in the Bonds are to be accomplished by entries made on the books of Direct and Indirect Participants acting on behalf of Beneficial Owners. Beneficial Owners will not receive certificates representing their ownership interests in Bonds, except in the event that use of the book-entry system for the Bonds is discontinued.

To facilitate subsequent transfers, all Bonds deposited by Direct Participants with DTC are registered in the name of DTC's partnership nominee, Cede & Co., or such other name as may be requested by an authorized representative of DTC. The deposit of Bonds with DTC and their registration in the name of Cede & Co. or such other DTC nominee do not affect any change in beneficial ownership. DTC has no knowledge of the actual Beneficial Owners of the Bonds; DTC's records reflect only the identity of the Direct Participants to whose accounts such Bonds are credited, which may or may not be the Beneficial Owners. The Direct and Indirect Participants will remain responsible for keeping account of their holdings on behalf of their customers.

Conveyance of notices and other communications by DTC to Direct Participants, by Direct Participants to Indirect Participants, and by Direct Participants and Indirect Participants to Beneficial Owners will be governed by arrangements among them, subject to any statutory or regulatory requirements as may be in effect from time to time. Beneficial Owners of the Bonds may wish to take certain steps to augment the transmission to them of notices of significant events with respect to the Bonds, such as redemptions, tenders, defaults, and proposed amendments to the Bond documents. For example, Beneficial Owners of Bonds may wish to ascertain that the nominee holding the Bonds for their benefit has agreed to obtain and transmit notices to Beneficial Owners. In the alternative, Beneficial Owners

may wish to provide their names and addresses to the Trustee and request that copies of notices be provided directly to them.

Redemption notices shall be sent to DTC. If less than all of the Bonds within an issue are being redeemed, DTC's practice is to determine by lot the amount of the interest of each Direct Participant in such issue to be redeemed.

Neither DTC nor Cede & Co. (nor any other DTC nominee) will consent or vote with respect to Bonds unless authorized by a Direct Participant in accordance with DTC's MMI Procedures. Under its usual procedures, DTC mails an Omnibus Proxy to the Town as soon as possible after the Record Date. The Omnibus Proxy assigns Cede & Co.'s consenting or voting rights to those Direct Participants to whose accounts Bonds are credited on the Record Date (identified in a listing attached to the Omnibus Proxy).

Payment of principal of and interest on the Bonds and the redemption price of any Bond will be made to Cede & Co., or such other nominee as may be requested by an authorized representative of DTC. DTC's practice is to credit Direct Participants' accounts upon DTC's receipt of funds and corresponding detail information from the Town or the Trustee, on payable date in accordance with their respective holdings shown on DTC's records. Payments by Participants to Beneficial Owners will be governed by standing instructions and customary practices, as is the case with securities held for the accounts of customers in bearer form or registered in "street name," and will be the responsibility of such Participant and not of DTC, the Trustee or the Town, subject to any statutory or regulatory requirements as may be in effect from time to time. Payment of principal of and interest on the Bonds and the redemption price of any Bonds will be made to Cede & Co. (or such other nominee as may be requested by an authorized representative of DTC) is the responsibility of the Town or Trustee, disbursement of such payments to Direct Participants will be the responsibility of DTC, and disbursement of such payments to the Beneficial Owners will be the responsibility of Direct and Indirect Participants.

DTC may discontinue providing its services as depository with respect to the Bonds at any time by giving reasonable notice to the Town or the Trustee. Under such circumstances, in the event that a successor depository is not obtained, certificates are required to be printed and delivered.

The Town may decide to discontinue use of the system of book-entry-only transfers through DTC (or a successor securities depository). In that event, certificates will be printed and delivered to DTC.

The information in this section concerning DTC and DTC's book-entry system has been obtained from sources that the Town believes to be reliable, but the Town takes no responsibility for the accuracy thereof.

A Beneficial Owner shall give notice to elect to have its Bonds purchased or tendered through its Participant to the Trustee, and shall effect delivery of such Bonds by causing the Direct Participant to transfer the Participant's interests in the Bonds, on DTC's records, to the Trustee. The requirement for physical delivery of Bonds in connection with an optional tender or mandatory purchase will be deemed satisfied when the ownership rights in the Bonds are transferred by Direct Participants on DTC's records and followed by a book-entry credit of tendered Bonds to Trustee's DTC account.

DTC may discontinue providing its services as depository with respect to the Bonds at any time by giving reasonable notice to the Town or the Trustee. Under such circumstances, in the event that a successor depository is not obtained, Bond certificates are required to be printed and delivered.

The Town may decide to discontinue the system of book-entry-only transfers through DTC (or a successor securities depository). In that event, Bond certificates will be printed and delivered to DTC.

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